Sansera Engineering (SANSERA)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

SANSERA ENGINEERING LIMITED
(Formerly Sansera Engineering Pvt Ltd)
Reg Off: No. 143/A, Jigani Link Road, Bangalore- 560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80- 27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

May 30, 2023

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Earnings Call Transcript
Please find attached a copy of transcript of Earnings call held on May 23, 2023 on audited financial results of the Company for the quarter and year ended March 31, 2023.
The above transcript will also b e made available on the website of our Company at www.sansera.in .

Kindly take the same in your record.
Thanking you,

for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer
M.No. F5176

Encls: a/a

"Sansera Engineering Limited
Q4 FY'23 Earnings Conference Call"
May 23 , 202 3

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 23rd May 2023 will prevail.

MANAGEMENT : MR. B R PREET HAM – GROUP CHIEF EXECUTIVE OFFICER – SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER – SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – CHIEF OPERATING OFFICER – SANSERA ENGINEERING LIMITED
MODERATOR : MS. SEEMA SEHGAL - ICICI SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Sansera Engineering Limited Q4 FY '23 Earnings Conference Call hosted by ICICI Securities Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch- tone phone. Please note that this conferen ce is being recorded.
I now hand the conference over to Ms. Seema Sehgal from ICICI Securities Limited. Thank you and over to you.
Seema Sehgal : Thank you, Ranj o. Good morning, everyone, and thanks for joining us today. We have with us the management of Sansera Engineering Limited, represented by Mr. B.R. Pr eetham, Group CEO, and Mr. Vikas Go el, CFO, Mr. Praveen Chauhan, COO. Thanks to the management for giving us this opportunity to host the call.
Now I would like to ha nd over the call to the management for the initial remarks. Over to you, sir.
B.R. Preetham: Thank you. Good morning, everyone. Welcome and thanks for joining this call. On this call, I'm joined by our CFO, Mr. Vikas Goe l, and our COO, Mr. Praveen Chauhan, and our Investor Relation Advisor , SGA. The results and the presentations are uploaded on the Stock Exchange and the company website.
I hope everybody has had a chance to look at it. I am pleased to share that we finished another year with our best -ever annual performance in terms of top line and profitability metrics. The momentum is set to continue as we begin the current fiscal year on a high note. Both the domestic and international markets are showing recovery, which bodes well for our auto and non -auto end sectors.
Amongst the key development in the quarter, I'm very proud to share that Sansera has recently been certified as a great place to work in India. This certification signifies building and sustaining a high-trust, high -performance culture in the company. We continue to be recognized by industry for delivery, development, and quality performance and we have received multiple awards in this area.
On the strategic front, we made an investment in MMRFIC, which is a research, design, and manufacturing entity, building subsystems for next -generation radars by leveraging machine learning with artificial intelligence and millimeter wave sensors with hybrid beam forming capabilities. This transaction provides us an opportunity to reinforce a s trategy of diversification and collaborations. MMRFIC's team of experts and years of R&D experience in the radar space sets it apart and made a compelling investment case for us.
The strategic investment in MMRFIC will help Sansera enter into high-technolo gy space and have access to a strong R&D engineering team which can address our priority segment like defense and aerospace.

It has also the potential in telecom and automotive, especially in autonomous driving subsystem technologies in the future. This al liance is expected to provide both parties with significant future growth prospects. Coming to our performance in the quarter, we registered a 78% increase in our auto-tech agnostic and xEV products. The demand for EV two -wheelers is rising at a fair clip. Our tech agnostic products are also doing fairly well with good traction in order in flow for aluminum forged components. All the three press lines which we have commissioned are fully booked now. We are also adding another 2,500 ton plus for the aluminum components. This segment contributed 11% of sales of which 6% came from auto-tech agnostic products and 5% came from xEV products. With the upcoming change in BS norms, our IC E sales registered a marginal decline of 3% during the quarter.
Thi

s decline was seen across two -wheelers, three-wheelers, and passenger vehicles. Performance for motorcycles was flat whereas x EV registered a growth. This segment contributed to about 75% of sales of which 33% sales came from motorcycle segment. Scoote rs accounted for 6% of the top line. Passenger vehicles accounted for 22% of the top line. Commercial vehicles , which accounted for 13% of the top line.
A significant portion of sales has come from our Swedish subsidiary in this segment. In commercial vehi cles, we witnessed 18% growth on a year -on-year basis and 25% growth on a two-on-two basis. I would like to highlight that we have changed our reporting. Previously, we used to talk about auto sales mix along with tech agnostic and x EV products. However, n umbers

starting from this quarter pertain to auto ICE only.
Our non-automotive segment grew by 50% in the quarter. Talking about the sale mix, as guided previously, we crossed 900 million milestone for our aerospace and defense business in FY '23. In this quarter, it contributed about 4.9% of our sales, registering a strong 76% year -on-year growth in the quarter.
With our new facility which is now fully functional, we expect a stronger growth in the coming year. Off-road sales were in a region of 4.7%. Demand is coming very strongly for this segment as well. Agriculture accounted for 2.5% of the top line and remaining 1.8% of the top line came for a few other segments. With all the above put together, non-auto segment contributed to 14% of our sales.
Coming to our order pipeline, as of March 31, 2023, our order book of new business with an annual peak revenue stood at INR 13.3 billion with auto ICE contributing to INR 5.5 billion, which is about 41% of the total order book. Auto tech agnostic and xEV adding to 4.3 billion, which is about 33% of the total order book.
I would also like to highlight that for aluminum forged components, we have about 58 component orders from 13 different customers. And non-auto accounts for about 3.5 billion of the order book, which constitute about 26%. This is post our reset. We do reset our numbers at the beginning of the year, wherein we would move our products which have started the mass

production into the mass production cycle. So the numbers that I told you, which is 13.3 billion is post the reset.
Until a few years ago, we never had a dedicated business development team. However, with our entry into newer areas of business, now we have an establi shed business development desk, which is proactively involved in securing new businesses, from newer sectors and for the newer components as well. And their efforts continue to pay off as we are seeing good order inflows across all the sectors.
Our interna tional order book is also expanding as a result of the momentum in our aerospace and defense division. At this point, I would like to take a step back and reflect on our journey. Sansera has been in business for four decades, the first three of which were spent establishing a leadership position in the ICE area and becoming a major supplier of connecting rods and rocker arms for global and domestic players.
With this position of leadership secured, we started our non-auto journey. In the past few years, we have also introduced a variety of tech agnostic and x EV components. With these persistent efforts, we have been able to outpace the industry and achieve considerable progress towards our long-term vision. I'm glad to share that we have surpassed our estimates with respect to our tech agnostic portfolio. As a result, we refocused our vision and raised our long- term sales contribution target from x EV and tech agnostic products from 15% to 20%.
Effectively, over long term, we are looking at an auto ICE contrib uting to 60% of our top line, while 20% each coming from non -auto and xEV

and tech agnostic portfolio. Going forward, we are geared towards an even better F Y '24 as domestic business continues to remain healthy and on the international side , we are seeing signs of good recovery both on exports as well as our international business to our Swedish subsidiaries. I would now hand over the presentation to our CFO, Mr. Vikas Goel. Vikas?
Vikas Goel: Thank you, Preet ham. Good morning, everyone. Welcome, you all. I will briefly cover about the financial performance during the quarter. During Q4 FY '23, our total income stood at INR6,230 million, representing a 7% growth on a year -on-year basis and 10% increase sequentially. If we look at our performance on yea r-on-year basis, domestic markets outpaced the international business. However, sequentially, we have seen a recovery in our international business, which is a positive development. After experiencing some degrowth in the previous quarters, sales at our Sw edish facility is now approaching closer to the normal levels.
The Q4 gross margins at 39%, had an impact of approximately 100 basis points by one -time year-end adjustments, including the inventory provisions and some customer -related costs. These are one-time and do not represent our run rate margins. Employee expenses saw an increase of about 9% on a year -on-year basis, which represents the annual increments and volume increases during the quarter as against previous year, in same period. Other expenses at INR583 million were in line with the last quarter and represent our run rate.
Overall, our EBITDA margin for Q4 FY '23 stood at about 16.2% versus 17.2% during Q4 FY '22 and for the reasons explained in the gross margin section. Finance costs for the qua rter

increased to INR173 million as compared to INR147 million in the corresponding quarter in FY
'22, largely due to an increase in the rate of interest that we have seen over this year and the
higher working capital borrowings that we had to do for business expansion. Our cash profit
after tax of INR701 million in Q4 FY '23 was stable agains t the same for last year at INR 701
million.
In terms of geographic sales mix for Q4 FY '23, it stood as follows: India 68.4%, Europe 18.5%,
USA 9.2% and other foreign regions 3.9%, as a percentage of total revenues. In the next year,
we are looking at better numbers in terms of international business mix. Looking at the full year
numbers, as guided in the last quarter, we closed the year at about, with an 18% growth in total income amounting to
INR23,560 million, which is also the highest revenue ever achieved by the
company. Our EBITDA stood at INR3,948 million with a margin of 16.8%. This included these
one-time adjustments that I mentioned in the quarterly section.
Net profit was INR1,483 million as compared to INR1,319 million in the previous year. We
generated a cash profit after tax of INR2,784 million versus INR2,516 million in the last year and a net cash from operating
activities at INR2,558 million, which is 79% of the EBITDA for
FY '23 as against 73% during FY '22, which is a healthy cash conversion of profit. On the debt
front, our net debt stood close to INR6,505 million as on March 2023.
I am happy to share with you that, the Board of Directors has recommended a dividend of 125%
of the face value at INR2.5 per share for the financial year 2023. Capex for this year stood at
INR2,440 million. This was mainly to enhance the technological upgradation and add production lines to support our growth in
the non -ICE segments. We expect to spend a similar amount in
the current financial year. On the capex front, we have started construction of a new aluminium
machining parts facility at our existing plant 11 in Bidadi. This is a Brownfield expansion
project, wh ich is expected to get completed by the end of this year and it will help us further
improve our presence in the tech ag

nostic and xEV segment. With this, we conclude our formal presentation and open the floor for Q&A.
Moderator: Thank you. The first quest ion comes from the line of Mumuksh Mandalesha from Anand Rathi.
Please go ahead.
Mumuksh Mandalesha: Thank you, sir, so much for the opportunity, sir. Sir, gross margin was lower this quarter
sequentially. Can you explain more, what kind of one -offs this w as, sir?
Vikas Goel: So, as I explained, there were primarily two types of one-offs. One was the inventory
provisioning. So, we reviewed our inventory provisioning policy, especially because we used to
only provide for semi -finished and finished components or rather WIP and finished components.
We took a more conservative approach and started providing for the raw materials as well, which
was included in this. Secondly, there were some customer -related costs for previous quarters or
previous periods, which got identified during this period and adjusted.
Mumuksh Mandalesha: Got it. Sir, how different would be the margin and return profile for the aerospace and the different
segments? Also, similarly, as the mix for techs, agnostic and xEV products are
increas ing, how would the margins and return profile be different for this also?

B.R. Preetham: Hi, Pr eetham here. So, aerospace and defense, as we have also previously said, are very similar
to our export margins, where we say that, on a gross margin level, we a re about 10% better than
our domestic mix, which probably translates to about 6% to 7% EBITDA margins, higher
EBITDA margins compared to our domestic profile.
So, this would give you – but while defense is a very small portion of the whole mix, primarily,
currently, the major revenue is coming from the aerospace business, which we expect also to have a significant growth this
year as well. Now, on tech agnostic and xEV components, as
previously communicated as well, we follow most of these customers, ours is a mechanical
forged and machine precision component category. It's no different to our component category,
which we do for ICE as well. So, we follow the similar activity -based costing, so the margin
profiles are very similar to our current product port folios.
Mumuksh Mandalesha: Thank you. Sir, how would be the ramp-up of this INR13.3 billion orders over the next few years? And
since the new orders have a better export share, the margin profile should be better,
right, sir?
B.R. Preetham: Yes. See, whil e we have said that this ramp -up of the – we only declare the peak annual revenue
of the order book, which translates to, when all these orders mature, this would give an annual
revenue of INR13.3 billion, which generally takes anywhere between two years t o three years
to, for the full maturity to happen. In our experience, we generally see 30% to 40% of ramp-up happening in the first year,
about 70% to 75% of the ramp-up achieving in the second year, and
third year onwards, the full maturity.

But when I s ay this, you should also note that, every order has got its different ramp- up cycle. It may not follow the same thing. There are domestic orders, which could actually ramp up much faster, while some of the defined programs, could take this path. So general ly, we say that the third year is when, we achieve the full maturity of the products.

Mumuksh Mandalesha: Right, sir. And can you share more insight on this MMRFIC technology on the products, and how do you see the revenue ramp -up for this business over the next few years?

B.R. Preetham: Yes. MMRFIC, as I explained, this is primarily an R&D facility. These were started by technocrats who came out of primarily from Texas Instruments about seven and a half, eight years back. All the promoters are bootstrapped, and they have been working on this technology, which has been developed in millimeter -wave radars. This works on between 30

gigahertz to
110 gigahertz, which is primarily between K&W band. And these technologies are not fully available in India.

Currentl y, these technologies are being imported either from Russian countries or from Israel or from US. So, these are the technologies today which are being used currently by both defense and non-defense applications. In the defense application, primarily it is used in the seeking application where the radars are used for seeking the targets and then guiding the systems. And in the non- defense area, it is also used for surveillance, primarily on perimeter surveillance on critical establishments, also used in dron e detection technology as well.

Now, it is also used in electronic warfare where primarily prior to any missile that goes, this radar goes, detects all the ground -based radars and generally neutralizes them, and then the warhead follows. So, it is primarily used in the EWA application as well. But these are very, very high technologies which are being developed from last four to five years. Most of the components of the radar are already mill -tested, and it is expected to go on field testing towards the end of this year.

We expect that mass production of these would commence from next financial, towards the middle or end of the next year, next calendar year. We expect that MMRFIC would start generating meaningful revenues between 18 months and 24 months. We' ve also identified their technology, the second radar which I spoke about, which is used for perimeter surveillance and surveillance. In this, some channels of this could be used for altimeters, which are used primarily in all the aircrafts in the space ap plication, as well as drones and missile applications, a wide variety of applications.

We have a very good client base on aerospace, so we would work with them to find out a collaboration between our existing customers and MMRFIC. And we also see potential going forward because most of the automobile companies are also working on radar with vision for the future generation of autonomous driving. So, we are very excited about this collaboration, and with Sansera's management capabilities and wide network of customer base, we expect that this collaboration would be very fruitful. Thank you.

Mumuksh Mandalesha: Thank you, sir. The last question is only capex , what would be capex , FY24, sir?

Vikas Goel: Capex for '24 will be approximately similar, as I mentioned , about in the range of INR250 crores, and this will again be spearheaded by projects which will help us to deliver the new order book, mostly in the areas of non-auto, auto non-ICE categories.

Mumuksh Mandalesha: Got it, sir. Thank you so much for the opp ortunity, sir.

Moderator: Thank you. Before we take the next question, a reminder to all the participants that you may press star and 1 to ask a question. Also, to all the participants, please restrict yourself to two questions. Next question comes from th e line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Hi, sir. Thanks for the opportunity. Sir, first question again on the margin side. So, like you said, there were a couple of one-time costs in the quarter…

B.R. Preetham: Siddhartha, could you be please, a bit louder, please?

Siddhartha Bera: Yes. Is it better now, sir?

B.R. Preetham: Yes, yes, better.

Siddhartha Bera: So, I was checking on this cost side. So, will it be possible to indicate, cumulatively how much percentage all these costs put together have come in the quarter or is one -time?

Vikas Goel: It was approximately, slightly above 1% for the quarter. And if you spread it across, the impact in terms of annual margin rates would be about 25 basis points if you look at. So, we reported

about 16.8 on a full year basis as an EBITDA margin. And if

you just add it back, it would be a
little over 17% from that point of view. On a full year basis.
Siddhartha Bera: Got it. So slightly more than 1% would have been the impact for the current quarter?
Vikas Goel: Yes, yes, absolutely.
Siddhartha Bera: And will it be possible to highlight, in the coming years, you said obviously one sector will be exports, which will have better margins, where our growth will be better. So, any color on the margin side overall, how much should we expect improvement from the adjusted current levels?
B.R. Preetham: Yes. So, while we had indicated that, the overall exports for us would have, see, in the year FY'22, I think the total international sale and Sansera exports from Sansera India almost was close to 37%. While in FY'23, it declined to about 28.4% or 28.5%. So, this was a significant
reduction in the last year.
While the second quarter, I mean quarter four, we were very close to about 31%, which shows that from a full year perspective to the Q4, the recovery has already started in the export segment.
Generally, if you look at it, our exports grows faster than our domestic, on a normal year, our export, because our order wins also indicates the same, that we have better export mix in the new orders.
So, this year, we expect t hat we should be very close to between 32.5% and 33% on a full year basis. So, this also would mean that on a full year basis, our margins will be better because exports, as I said, that comes with a higher gross margin and higher EBITDA margin. So, we expect overall about 50 basis points to 55 basis points on a full year basis improvement coming from better export mix. And this would also mean that even our domestic is quite strong. We expect this year to be a quite stable year in terms of even two -wheeler performance.
Our EV portfolio is also growing. tech agnostic products, new businesses are growing. So, we expect that our utilization will be better and which would also give us operational efficiency advantage as well.
Siddhartha Bera: Got it. Sir, secon d question is on the order win side. So, you have indicated the order book for the year -end. Will it be possible to highlight how much new orders you have added in the current quarter in Q4?
B.R. Preetham: Q4 Yes, it would be possible because I will just g ive you that number while, because we do reset the previous, every year we do reset the, Yes , approximately about INR2 billion worth of orders has been added in the Q4, which has resulted in an overall order book post the reduction to about INR13.3 billion. Because we have moved whatever has come into mass production as of 31st March out of the new order book and only retained the orders which have yet to start commercial production.
Siddhartha Bera: Got it. And possible to highlight what all segments will this new order be pertained to?
B.R. Preetham: Pardon me?

Siddhartha Bera: What all segments have you got these new orders? For aerospace or what segments?
B.R. Preetham: Yes, yes, see out of the total, the thing almost 18%. Yes , approximately about, for this quarter or the full year, you want to have the year -ending?
Siddhartha Bera: Only f or this quarter.
B.R. Preetham: Yes. Okay. So the exports, we got about 52% and 48% was for the domestic or the other way, 52% was domestic and 48% was the exports. In this auto ICE, was about 28 plus 19, that's about 47% out of the total order book. Auto tech agnostic was about 13%. Auto xEV is about 17% and non-automotive was about 24%.
Siddhartha Bera: Okay, okay, understood.
Vikas Goel: So it's about 47 for auto-ICE and 53% for non-auto -ICE .
Siddhartha Bera: Non-auto -ICE and tech agnostic. It's widely spread out, not like...
B.R. Preetham: No, no, no, it is quite widely spread out and I would say that even in auto-ICE , it is primarily coming from, you know, passe

nger vehicles and commercial vehicle segments.
Siddhartha Bera: Okay, okay. So I mean, for this year, should we expect, because now our aerospace plant is also up and running, so most of the order we will target from aerospace, will that be a fair ass umption for this year? And lastly, for capex, we wanted to know, I mean, in terms of the mix of 2.5 billion, how will it be spread across tech agnostic EVs and ICE?
B.R. Preetham: Sid, can you repeat this question, the last question?
Siddhartha Bera: The capex, capex of 2.5 billion, how will it be spread across your tech agnostic EVs and ICE portfolio?
B.R. Preetham: Yes, see, as we have already said that most of our, you know, more than 75% of our capex is going into the new sectors, which is primarily for , you know, aerospace, tech agnostic and xEV components. Now, we have also taken up construction of a new brownfield facility, about a lakh and 50,000 square foot of building area, which is primarily focused on aluminum forged and
machined components. And, you know, this is primarily because we already have a lot of orders on aluminum from the number of customers and products, it's almost approximately about 85

different components from almost, you know, 13, 14 customers across the two-wheeler and passenger vehicle segment.
And this also includes, you know, some prominent passenger vehicle names from Europe as well. Our expectation is that we have also initiated a procurement of a brand new 4,000-ton press line, which would again, primarily 50% of the capaci ties would be used for heavy engines, which goes into, you know, stationary engines, heavy commercial vehicles, as well as construction equipment as a thing. And 50% of the capacities would be kept for bigger aluminum components, which would either go into, you know, chassis and frame of the two-wheelers or into the passenger vehicle application.

So most of our capex is focused on the new generation components. If you have seen or observed SID, the last three big plans that we have constructed, first one wa s for electric and hybrid components. Second one was for aerospace and defense. And the third one now we are putting it up for aluminum forgedand machine. So in the last two to three years, our focus has been on this, while we are doing pretty well on impr oving our utilization on our existing portfolio.
Moderator: Thank you. Mr. Bera, we request that you return to the question queue for follow -up questions. Next question comes from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahea d.
Jyoti Singh: Thank you for the opportunity. And, sir, my question is on the debt side. If I compare from FY19 to till now, we are, you know, on a higher level. During FY20 to FY21, we reduced somehow. But again, we are coming, you know, on a higher -level debt. So what 's your view on that?
Vikas Goel: So basically, the two years that you mentioned about FY20 and FY21, or rather FY21, this was a period of also a degrowth for us, the only year in the history of the company. And we also clamped down on the c apital investment because of a lot of changes happening in the industry. This also happened to be the period where, I mean, post -recovery of COVID, when we were able to, again, improve utilization of our equipment.
But for enabling the growth, we have, and also as a result of the huge amount of order inflows that we are seeing now, we are required to invest heavily in terms of building capacities and especially for the non -traditional areas of non -ICE and non -auto components, which is actually resulting in this higher capex and, of course, in a slightly higher debt. We expect the debt to remain around this level for some more period, although the debt metrics will continue to improve. If you look at net debt to equity or net debt to EBITDA, those metrics wil l continue to i

mprove as we move forward because this is being procured to fuel the growth in the coming periods.
Jyoti Singh: Sure. Thank you, sir. And, sir, my next question, second question is on the revenue front. Earlier, as we have guided 15% to 17% growth, which we did pretty well, 18% in FY23. So what 's our view for further FY24 -25?
B.R. Preetham: Madam, as I had seen, if you look at our business model, we have built quite a resilient business model. FY22 was a weak domestic market despite all the C OVID pressures, weak domestic market. We were able to grow because we did very well on our export front. Now, looking at FY23, FY23 was, as we had expected, because of Ukraine war, energy crisis, continued chip crisis, the export was much weaker from our o verall contribution of 37% of our revenue from international business.
It came down to almost 28%. So despite that, we registered a healthy growth of almost about 17%. Now, going forward this year, we have already seen recovery in exports. We are looking at a much stronger performance in our non-auto business, which also is expected to grow at about 50%, especially aerospace, on a year -on-year basis. With all these things, we are quite confident, both domestic and exports, to do well. And we expect that we will do better than FY23 in terms of percentage growth.

Jyoti Singh: Okay, thank you. And sir, if you can update us about the plan that we have planned to coming up by 25 in North America on a lease basis, initially.
B.R. Preetham: The plans are quite underway. We have just, again, we have had some more visits to some potential sites. We expect that towards the quarter three of this year, we would finalize the place and commence, you know, taking steps towards establishing this facil ity, which would be a lease
front. We expect that this would be the first step towards, you know, setting up some manufacturing portion of this, because now strategically what we have decided is to cater to

specific customer requests.
We would put up fina l operations, including assembly and, you know, inspection and few final operations there, while we would cater majority of forging and machining, green machining from India. So with that strategy in mind, we expect that towards Q3, we should finalize the space and the place to start.
Jyoti Singh: Okay, thank you.
Moderator: Thank you. Next question comes from the line of Vinod from SKP Securities. Please go ahead.
Vinod: Hello, good morning. Good morning. Yes , my first question is answered about the export s. I just want to ask about, can you give some color on how the aerospace business is going on and have you received any major orders in that area?
B.R. Preetham: Yes, aerospace business is, as I said, that after two years of lull , it has done pretty well last year.
Last year, our aerospace went up by almost 50%. And we expect a similar growth or slightly higher growth this year as well. We have confirmed orders for that. Post next year also, we expect that we already have a visibility of close to about $12 million, which is out of which very few are expected to add to the revenue for this year. So we are looking at a very, very strong growth coming from aerospace in FY '24 as well as FY '25.
Now to cater to these growth, we have already set up a new manufacturing facility in anticipation of this. We are also working on several new initiatives, including we have recently concluded on appointing a very dedicated senior person for Europe region who is based out of Toulouse. And he is going to be focusing on, working with European customers and aerospace. So for us, aerospace, we expect that this new facility, we should be able to fully utilize in FY '26, wherein, once it is fully utilized, it should give us a revenue of anywhere between INR350 crores to INR400 c rores.
Vinod: Yes, perfect. Thank you.
Moderator: Thank y

ou. The next question comes from the line of Vaibhav Shah from ICICI Prudential Life Insurance. Please go ahead.
Vaibhav Shah: Yes, thank you. Good morning, sir. So my first question is primarily on the Sweden business.
So if I look at the quarterly numbers consolidated minus standalone on a sequential basis, even though our revenues have come in better, our profitability has gone up. And even on a Y -o-Y basis, our profitability seems to have taken a bit of a hit. So can you let us know what exactly is

happening in this Sweden operation and at what level of utilization can we expect this profitability to improve? That's the first ques tion.
B.R. Preetham: Yes, the Sweden, Vaibhav, we had said that last year, FY '23, Sweden would see a de -growth because of a change in business strategy from our principal customer. While on a few of the programs, we were a single source and a few of the p rograms, another competitor was a single source. So to de -risk the business, they wanted to allocate 30% of our business to them and 30% of their business to us. While our product categories was a mass production number, so they wanted to take up that firs t. So 30% of our products was given to them.
And in this year, we would get 30% of their s, which we have already started. So in Sweden, while all the fixed overheads remained intact, so this resulted in a dilution of margin. And we expect that this year, m ost of it will be recovered. And we are taking up some more cost improvement initiatives as well. So with that, we expect we would be back to about 7% to 8% percent EBITDA and probably towards the last quarter, we should be able to reach towards a double -digit EBITDA in this year.
Vaibhav Shah: Thank you. Sure. That's helpful. The second question is on the order book. So you have highlighted that for the March quarter, we have a new order, annual peak revenue of $13.3 Billion. I just wanted to know that, is there any orders which are probably being closed or are they going down because of this easy shift which is happening in 2W or probably shifted? So what is the net order? I mean, the annual new orders you have given, but are there any orders which are bei ng closed down and which have not been renewed? And the net order book, if you can highlight.
B.R. Preetham: You mean on our regular business, what has been closed down? Is that the question or in the new order book, have we lost anything? Is that the ques tion, Vaibhav? I'm a bit confused.
Vaibhav Shah: On the regular business.
B.R. Preetham: See, generally, the regular business, this order book does not include any of the replacement business. So if there is a model change which is going out and we are nom inated for the newer model which will replace the existing model, we do not take that into our new order book because that's only a replacement business. When we mean new orders, it would be only, just to give you an example, if Maruti recently introduced Jimny . Jimny is a new order for us where this would be added into the new order book. While the new Alto is replacing the old Alto, so that would not come into the new order book. So except for one component, which is a rocker

arm for Maruti, which was going in F8D and G10 engines which got replaced with a newer K -
series engine, after almost four decades of supply to Maruti, in March we did our last rocker arms for Maruti.
So, it's kind of a historic day for us because this component was the first component that we
started and it lasted for almost four decades where we were, for most of the three, more than
three decades we were single supplier to Maruti as a 100% share of business. So apart from that,
nothing else has ended.
Vaibhav Shah: Okay. So this, we should take it as a fully new order and no replacement orders.

B.R. Preetham

: Absolutely. Whenever we say that new order books, it only means that these are additional
orders, nothing to do with model replacements. If we get any of the model replacement s, it would
only go as a replacement. It doesn't come into the new order.
Vaibhav Shah: Understood. And my last question is on the exports. So can you highlight what the export mix ?
I mean, between autos or probably autos and non -autos for us.
B.R. Preetha m: Export mix for the previous year or export mix for the coming year? What was the question?
Vaibhav Shah: I mean, if there is a significant change and you can highlight for both FY '23 and what it should
be for FY '24?
B.R. Preetham: Exports for FY '23 w as close to about 28.4% of our product sales was from international sales,
out of which about 21.7% was from sales from India and 6.7% was primarily international sales,
which is coming from Sweden plant. And this 28.4% would go up to 32.5%. Primarily, all the
growth is coming from exports from India. And this also includes a very strong aerospace. As
I said that aerospace we are expecting almost close to 60% growth this year.
Also, there is aluminum forged and machined components, which has started commer cial
production, which is being exported to Europe. So all these are going to result into a much better
export mix for the coming year.
Vaibhav Shah: Right. I was also looking at the export mix within this 28%...
B.R. Preetham: Within the exports for the F Y23 so can I come back to you with that answer towards the end of
my thing? I will answer that question. I will just pick up the numbers and tell you.
Vaibhav Shah: Yes, sure. Thank you.
B.R. Preetham: Yes.
Moderator: Thank you. Next question comes from the line of Shashank Kanodia from ICICI Securities
Limited. Please go ahead.
Shashank Kanodia: Yes. Good morning, sir. I just wanted to check how soon can we achieve this 20% margin
trajectory in terms of EBITDA margins? So is it something on the cards over the next two years,
is it something which we endeavor to achieve?
B.R. Preetham: Absolutely. We have taken up company-wide program for 20- 20-20 on the three 20s that we are
working on. Of course, we would like to maintain 20% CAGR growth, 20% ROCE and 20% EBITDA margin. We are quite
confident that, as you rightly said, that with the current order
book and the current market scenario, not accounting for any unexpected thing, we should be
able to progress towards that.
Shashank Kanodia: Okay. So by FY '25, we should expect us to clock 20% margins, is it something?
B.R. Preetham: I would really like that to happen while we are all working very focused towards achieving that.

Shashank Kanodia: Okay. Secondly, sir, coming to some of the data points that yo u shared in slide number six, so
is it fair to assume that you underperformed the domestic auto industry, auto-ICE industries by
going just 9% whereas the industry grew roughly a higher double digit?
B.R. Preetham: Which slide are you referring to?
Shashank Kanodia: I am referring to slide number six. When you mentioned auto-ICE growth for us being 9%, right? Whereas
in the industry, you held a double digit this year.
B.R. Preetham: So please do understand, this also includes our de -growth in exports. Because while the
significant de -growth has come from auto-ICE in exports in the previous year, while our
domestic growth in auto-ICE has been very healthy, if you would like to understand what is our
domestic growth in auto-ICE, I will just give you that numbe r.
Shashank Kanodia: Yes.
Vikas Goel: Basically, if you look at our growth in the domestic markets for automotive markets, we grew
our business by about 29% in absolute terms. Yes , 29% in two- wheelers, 39% in passenger
vehicles, almost flat in commercial v ehicles and marginal negative in three-wheelers. So both
these are relatively sm

all er percentages in the overall revenue. But broadly, if you see two-
wheelers and passenger vehicles, average growth is about 29%.
Shashank Kanodia: Right, sir. And lastly, co ming about auto-ICE share of revenues between two -wheelers, passenger vehicles and commercial vehicles. So it's more tilted towards two -wheelers, right? And the contribution from passenger vehicles and commercial vehicles has declined. So is this the dire ction that we're heading to or there's a one -off? And even there, the exports have played a component.
Vikas Goel: No, so basically, I would like to put it slightly differently. The share from passenger vehicles has not declined. Rather, the share from two -wheelers has increased because we added a new customer during the FY ‘22, which got matured volumes during FY ‘23, which has actually improved the share of two-wheelers, which is one of the prominent OEMs in the Indian market, which was not our customer e arlier.
B.R. Preetham: Yes, as you rightly said, one is that and second thing is there is an impact on exports also. The exports, passenger vehicle contribution is significantly higher. But you would see that this year, with addition of matured business fr om Tata Motors, which we had added towards the second half of the last year, and a better export mix, the passenger vehicle returns would be quite healthy this year.
Shashank Kanodia: Sure, sir. Thank you so much. And wish you all the best.
B.R. Preetham: Thank you.
Moderator: Thank you. Ladies and gentlemen, we have reached the end of question-and -answer -session. I would now like to hand the conference over to the management for closing comments.

B.R. Preetham: Thank you very much for all your patience, hearing and all the questions. And, I would just like to say that while we have taken up the sector expansion, as I said that we have built a business which is quite resilient. And with the current positive growth story coming from both domestic and exports, and all our newer plants are coming into fully operational mode, we expect with better utilization this year would be a much stronger year in terms of growth as well as in terms of margin. So we look forward for meeting you all people again. A nd any clarifications on questions that you would have, you could reach out to our IR partners SGA or directly to us. Thank you again and wish you all the best.
Management: Thank you.
Moderator: Thank you. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

SANSERA ENGINEERING LIMITED
(Formerly Sansera Engineering Pvt Ltd)
Reg Off: No. 143/A, Jigani Link Road, Bangalore- 560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80- 27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

August 08, 2023

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning group conference call held on August 02, 2023 on Unaudited Financial Results for the quarter ended June 30, 2023 .
The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you,
for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

“Sansera Engineering Limited
Q1 FY24 Earnings Conference Call”

August 02, 2023

MANAGEMENT : MR. B R PREETHAM – GROUP CHIEF EXECUTIVE OFFICER – SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER – SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – CHIEF OPERATING OFFICER – SANSERA ENGINEERING LIMITED

Moderator : Good morning, l adies and gentlemen . Welcome to Sansera Engineering Limited Q1 FY 24 Earnings Conference Call .

This conference call m ay contain forward -looking statements about the Company which are based on the beliefs , opinions and expectations of the Company as on the date of this call . These statements are not the guarantees of future performance and involve risk and uncertainties that are difficult to predict .

As a reminder, all participants' lines will be in the lis ten-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing '*' then '0' on your touchtone phone. Please note that t his conference is being recorded.

I now ha nd the conference over to Mr . B. R. Preetham - Group CEO , Sansera Engineering Limited. Thank you, and over to you , sir.

B. R. Preetham: Thank you. Good morning, everyone . Welcome and thanks for joining this call. On this call, I am joined by our CFO – Mr. Vikas Goel and our COO – Mr. Praveen Chauhan along with our Investor Relations Advisor – SGA . The Results and the Presentations are uploaded on this Stock Exchange and the Company website . I hope everybody has had a chance to look at it.

I am thrilled to update you that we have kicked off this financial year with our best ever performance in terms of both top line and EBITDA. Th is stellar performance is driven by broad-based growth across domestic and international markets , and we hope to continue this fast lane throughout this fiscal year .

Talking about some industry-wide trends, as per the data published by SIAM during this quarter , passenger vehicle sales rose to 9.9 lakh units , up 9% as against the same period of the last fiscal . Two-wheeler sales rose by 11 % to 41.4 million (wrongly spoken, actually it is 41.1 Lakhs units) units on a year -on-year basis . Overall, the Indian Auto industry is growing at a healthy pace with strong trends emerging across the category .

OEM s have lined up multiple launches in H2 and which should again help in consolidation of our business with them and also growth . The reduction in the FAME 2 subsidy can lead to a rise in the price of electric two -wheelers which will have a short -term impact on the EV two -wheeler sales .

Coming to our performance in the quarter , the contribution of Auto -Tech Agnostic and xEV products continues to improve on a growing base reflecting Sansera's readiness for a futuristic product range . We saw an upsurge of 70 % in our Auto -Tech Agnostic and xEV products on a year-on-year basis . This growth is largely driven by xEV products . The segment contributed

12% approximately of our sales of which 6.6% came from Auto -Tech Agnostic products and 5.3% came from xEV products.

Auto -ICE segment registered a 19.6 % growth largely driven by growth in our motorcycles and PV components . The upsurge in the PV components is backed by our latest customer addition. This growth was achieved on a large , very large base and is a reflection of our very strong engineering capabilities in our key component categories such as connecting rod , crankshaft assemblies , rocker arm , integral crankshaft , gear shifter fo rk etc.

The Auto-ICE segment contributed 76.4% of sales versus 79.8% in Q1 of FY '23. This segment included 35.3% of sales were from motorcycles . Scooters accounted for 5 % (wrongly spoken, Actually s cooters accounted for 5.7%) of the top line. PVs accounted for 23.8 % of the top line. Commercial vehicle sales ' contribution was 11 % of the top line.

Our non-auto segment grew by 27 % in the quarter, contributing 11.7% of the total sales . Talking about the sales mix , our Ae

rospace and Defense business contributed 3.2% in the quarter . We are expecting robust growth coming from aerospace in FY '24 and FY '2 5. Visibility is good and we are prepared for achieving these numbers .

Off-road sales were to the tune of 4.3 %. Demand is coming very strongly from this segment. Agriculture accounted for 2.7% of the top line and the remaining 1.5% of the top line came from few other segments .

Coming to our order pipeline , our order book of the new business with annual peak revenue stood at Rs. 16.9 billion as on 30th June 2023 versus 13.3 billion as on 31st March 2023. This increase is largely driven by strong order inflow in the Auto -ICE segment reflecting Sansera's progress in its core pr oduct category with Auto -ICE contributing about Rs. 8.04 billion , 47%, Auto -Tech Agnostic and xEV adding Rs. 5.09 billion , which is about 30 % and non -auto accounting for 3.8 billion, which is 23 %.

On the CAPEX front , we are highly focused on our new generation components . In fact, our last two plan ts which we have commissioned include our electric and hybrid components plant , Aerospace and Defense plant. Recently , we have also started construction of a new Brownfield machining facility , which is about 1,50,000 square foot of built-up area. This is largely intended to house all the aluminum forged and m achine product category of components and this step is in line with our increased long-term sales contribution target of 20% from xEV and Tech Agnostic products .

With a combination of strong tailwinds in our operating segments and our strategic initiatives , we are very confident to deliver a healthy top line going forward. To achieve these targets , our ICE segment will continue to outperform the industry growth on the back of the component client additions , while the newer initiatives like aluminum for ged and other components will bloom to much faster rate.

Now, I will hand it over to our CFO Mr . Vikas Goel to give you the Financial Highlights . Vikas.

Vikas Goel: Thank you, Preetham. Good morning everyone . Welcome to our earnings call . Before I talk about the financial performance of this quarter , I would like to share some changes with you in terms of our financial presentation .

Firstly , we have made some changes and we have standardized our financial presentation by separating revenue from operations and other income as against total income. This helps in a better and more clear understanding of the operating EBITDA .

Secondly, some of the manufacturing expenses which were being directly reported on the face of the income statement have now been combined with other expenses in line with standard practice across the market . However , we continue to show the cost of goods sold and gross margin figures in our investor presentations for easy reference of the audience.

Coming to the Q1 performance, our revenue from operations for the quarter stood at 6 ,601 million representing a 24 % growth on a year-on-year basis and a 17 % increase on a sequential basis . This is our best ever quarterly performance from a top -line perspective driven by excellent performance in our international markets as well as domestic markets . Our international business grew about 35 %, while the domestic business registered a healthy 20 % growth. Despite such strong growth in the international business , its contribution to the overall sales still lacks the historical average.

The gross margin stood at 39.9 %, an improvement of about 1.5% on Q-o-Q basis . You may recall FY ' 23 has had some movements in the g ross margin from quarter -to-quarter o wing to various factors , like raw material price fluctuations and certain customer claims etc. The gross margin for the Q1 was better than the full -year average of FY '23 by 20 basis poi

nts . So, we
thought it's a better reference point in terms of comparison .

Employee expenses for the quarter stood at about 910 million versus 774 million in Q1 of FY '23, largely representing annual salary increases and volume increase related costs for the quarter . Other expenses, at 579 million in ched up in line with higher sales . Overall , our EBITDA margin for Q1 stood at 17.3% versus 17.2 % in Q1 '23 and 16.4% during the full year of financial '23.

Finance costs for the quarter increased to about 189 m illion as compared to 137 million in the corresponding quarter of FY '23, largely due to increase in the rate of interest and higher amount of borrowing. Profit after tax of 452 million Q1 '24 as against 348 million in Q1 '23, a 30% growth o ver year -on-year .

In terms of geographic sales mix for Q1 '24, India contributed 68.4 %, Europe 19.5% and North American region 9%. Other foreign countries ' share was 3.1 % of the total sales . In the next financial year , we are looking at better numbers in terms of international business mix.

Our Swedish subsidiary recorded a 35% growth in revenue on a year -on-year basis resulting in

an EBITDA margin of 12% during the Q1 . On a full-year basis , in the current year , we expect to get back to between 9% to 10% EBITDA for this subsidiary .
On debt front, our net debt stood close to 7.2 billion as of June '23 representing increase in inventory and receivers to support the revenue growth , especially in the international markets .
CAPEX for the financial year is estimated to be in the vicinity of 300 crores . A majority of this CAPEX will be in the areas of non -auto and Auto -ICE categories in order to deliver upon our evolving order book .
With this, I would like to conclude our presentation and open the floor for question and answers .
Moderator: Thank you. Ladies and gentlemen , we will now begin with the question-and -answer session . The first question is from the line of Siddhartha from Nomura. Please go ahead.
Siddhartha: Thanks for the opportunity and congrats on a good set of numbers as well as on your appointment as ED. Sir, my first question is on this export side . So, we have seen a good pickup in trend , but I think in the past , you had indicated that it might be even stronger at close to 50 % growth for the full year . So, does that still hold ? And does that mean that we will see some more acceleration in the coming quarters ?
B. R. Preetham: Thank you, Siddhartha . Yes, we still are certain that we will grow by more than 50 % on our previous year 's export base. If you had remembered our slide in the export contribution in last year started from Quarter 2 and Quarter 3 . So, the base has shrunk in Quarter 2 and Quarter 3 and we expect that this year we have a very strong momentum in the exports, and we will overall on a full -year basis , we will do better than 50 % growth.
Siddhartha: Even in non-auto si de, sir, if I see the current quarter , I think the trends have been slightly weaker , especially on the Aerospace side. So, can you highlight here ? I think , also we had indicated close to 50 % growth and how should we expect why the slight disappointment this quarter and how should we expect for the full yea r?
B. R. Preetham: No, see, as you remember that we have commissioned a new plant . We have moved the most of the facilities now to the new plant . Apart from the new machine additions , all the older , I mean , the existing facility was also entirely moved to this new facility . So, while doing so, a lot of re - PPAP and customer approvals needs to be acquired . So, we had both at customer and our end, there were inventories that were built , and I think upon all the customer approval in the last quarter Q1 customers because it was all approved , now I think

the inventories , in-house
inventories of their were consumed and that is resulted in a slight slower off take from our this thing , but overall the business outlook looks very strong and we are quite confident with the addition of the newer businesses and also growth in the Aerospace sector overall , we will be able to deliver close to 50 % growth in this sector . You will see a strong recovery and performance in the quarters to come.

Siddhartha: Sir, lastly on this investment in MMRFIC . So, any progress there on the new orders which you are seeing ? And will it be sort of possible to highlight some of the orders or your targets probably in the next few years ?
B. R. Preetham: Yes, while this business itself has come new to us and our understanding on this is pretty new even for us because it's a very, very high technology business module , we are focusing on two separate segments . One is, of course , on defense and the other one is on the surveillance radar .
Now these surveillance radar 's application is quite wide from both defense and civilian perimeter surveillance, anti-drone systems , automotive applications .
So, with contacts of Sansera, we have been able to get them on -board with one of our European clients and now they have technically been cleared for developing a radar . These are three radars combined into a small one module which will be of the size of a credit card and technically , everything has been cleared now and a go ahead has been given, but we are awaiting their final confirmation on with the financial aspects as well , but we are very confident that with this breakthrough, we will be able to approach our other customers .
Sansera's deep penetration in th e automotive segment could help them , but while I say that they are also making good progress in the defense sector as well , their ability of last five years of effort is now th is thing , so resulting into newer opportunities even in defense and with government push , we expect that as I had said that during our last time also in the last speech where we expect another 18 to 24 months where full potential of this Company can be realized .
So, this is the current status now .
Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.
Mumuksh Mandlesha: Sir, on the medium to long-term perspective, you have set the target for 20% sale contribution from the xEV, Tech Agnostic and non -auto . Based on the current order book, where do you see reaching those targets in next three years ?
B. R. Preetham: Mumuksh, so we had, see, both put together , xEV, Tech Agnostic and non-auto , we had said we

would like to reach about 40 %. Initially , we had said it would be 15 % and 25%. Then now we have revised 20 % and 20 %. And if you really look at our order flow, sales order book inflows also, we are quite confident that given the current momentum that we have in this space, we should be easily able to surpass our targets , but having said that, we are also doing quite well on Auto -ICE as well .

So, while I am, because this when I say the 40 % in the next three years , so it would be on a much larger base. So, definitely which means that our growth in this segment has to be much , much faster than our normal growth to achieve these numbers , and we are quite confident that give n the momentum that we have and the order pipeline that we have , we should be able to surpass our target s of 20% and 20 %. Between both these segments , today , this year , we should be

reaching closer to 28 %. Last year it was closer to 22 %, and this year we should be reaching closer to 28 %.

Mumuksh Mandlesha: In three years , 40%, right ?

B. R. Preetham: Yes.

M

umuksh Mandlesha: On the international that Sweden order , the split which happened, has that order commenced , sir?

B. R. Preetham: I would ask our C OO Praveen Chauhan to talk about Sweden. Praveen.

Praveen Chauhan: So, Sweden last year as we had told that there are a lot of development activities happening . There was a shift in share of business for one of the major components . All that has got stabilized and the results have started coming in already this quarter . This quarter, if you see , there is already a growth and the product mix has already changed . So, all those things are on track . In fact, we are under final discussions with our customer to further look at growth over the next couple of years . So, we are quite confident be cause they expect us to be doing more numbers over the next two years and we see a good potential of growing, growth over there .

Mumuksh Mandlesha: Sir, can you share more insights on the new order won during the quarter of 3.7 billion and also the new PV customer win ?

B. R. Preetham: See, it's quite wide . It has come from all the segments , but to be more clear , I think we have got some of the main key customers who have given repeat orders are the orders have come from General Motors . It has come from SCS, Stellantis , TVS Motors , Cummins Aerospace and also a reasonably big order from the marquee E V international customer . So, there has been a good spread of order . Especially , if you look at these things , these are more tilted towards exports because there is an order from General Motors almost 87 crores annual . Stellantis is about 67 crores . Cummins is about 40 crores as well as the marquee customer of EV another 70 crore . So, there has been quite widespread orders from all the customers .

Mumuksh Mandlesha: Sir, can you just finally share the breakup of the power and fuel conversion charging and consumption store separately , sir, number ?

B. R. Preetham: Yes. You want it on the call or if you wanted ? Power and fuel as a cost to the entire revenue , is it?

Mumuksh Mandlesha: Yes. So, this quarter , the breakup of the power and fuel and conversion charges and the consumption store. So, you have given a total number in the presentation . A breakup I wanted , sir.

B. R. Preetham: Vikas will probably give you those numbers.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited . Please go ahead.

Jyoti Singh: And my question is what's the opportunity in the Aerospace industry? And how does the offset clause benefit us with Boeing and Airbus sup plying to India ?

B. R. Preetham: The Aerospace industry as we have been telling that the opportunity in Aerospace is quite robust , especi ally with a lot of Indian carriers presenting a lot of new orders , big orders , biggest in the history both Air India group, Tatas and also Indigo. This only makes more committed outsourcing to India from these things . As of now , we are not part of any offset program because these offset programs are predominantly more significant in the defense sector , but on commercial airlines , as such the order inflows are quite good and more so the value -added parts are going up.

What used to happen earlier was that India would get only an overflow of components or components with lower engineering significance or lower value addition. Now looking at we have been also recently , last couple of days back , we got a Platinum award from Raytheon Group which is the second highest award in their group. So, very, very few suppliers have got this. So, there is a lot of confidence and faith shown on the Indian vendors . So, we are able to now get much better , higher value -added parts , bigger opportunities to participate . So, I only see that this as a b

eginning of a big growth story for companies who are involved in the Aerospace industry.
Jyoti Singh: And sir, like we are catering to all Auto -ICE, Tech and Tech Agnostic and Aerospace and non-automotive , so, sir, which segm ent we are seeing very much a good traction ? I mean , you can see very good traction which segment we are seeing ?
B. R. Preetham: Your question is which segment do you see good traction , is it?
Jyoti Singh: Yes.
B. R. Preetham: We expect that , see, while still the two -wheeler industry is yet to pick up fully , there is a huge upside that is expected to be there because the two-wheeler industry has been struggling in the last three , four years and we expect that it should come back to its especially now with there is a pressure on EV two -wheelers in terms of subsidy reduction. So, there would be a short -term impact , which would also mean that the vehicle buying will tilt towards the ICE for some time. So, it should do well.
Prem iumization of this two -wheeler industr y is helping because the content per vehicle in the two-wheeler , premium two -wheelers , we are presented with all of them like we are already strongly partnered with Royal Enfield. We have got a good order from Bajaj Triumph models . We are present in H ero Harley also and in the future models that are getting developed. So, two-wheeler is looking , apart from that in all the E two-wheelers we are present . So, two-wheeler segment for us apart from the industry growth because of the premiumization and also

on the Tech Agnostic components lightweighting which is happening , our content per vehicle is significantly improving . So, this would add both to the top line and as well as or to the margins . Passenger vehicles , we are adding customers . Tata Motors has been a good addition for us . Maruti share of business is going up . With export customers Toyota is doing extremely well. So, we are one of key customers (wrongly spoken , actually we are one of the key suppliers) to them on connecting rods and hybrid components . On international front as well , we have w on good order . So, on all these segments , we are looking for a very, very strong growth in this year .
Jyoti Singh: Sir, ju st last question . For the Tata Motors , how much order we have , if you can explain?
B. R. Preetham: No, currently , we have started production of one connecting rod. It is about 75 ,000 connecting rods per month . There are other two contracts that are on the testing . So, slowly , the relationship is started just in the third quarter of last year. We expect that with our performance, we expect it to gain share of business with them .
Moderator: Thank you. The next question is on the line of Arjun Khanna from Kotak Mutual Fund . Please go ahead.
Arjun Khanna: Sir, congratulations on the appointment on the board as Executive Director . A few questions from my side . First, just in terms of the CAPEX, we have increased our CAPEX guidance from 250 crores to 300 crores . Is it because of the US assembly plant ? Or could you throw some further light on this ?
B. R. Preetham: No, Arjun. Thank you very much , first of all , and the CAPEX as such, there is no , the US plant , we have not yet committed any revenues nor any this thing while the work is going on as to I think by third quarter , we should have some news given to the Board and after that approval of the Board , we will also announce it to the other thing, but as of now there is no CAPEX that have been considered for the US facility . This is primarily Vikas, can you just say?
Vikas Goel: Yes. So, this is primarily to cater to capacity expansion and line balancing . Line balancing in the existing product lines and capacity expansion for the new range of products and businesses that we have in the

order book and this also include s some capacity , sorry , some facility buildups like Preetham mentioned about the machining facility being under construction now . And then, so, largely , it's for the businesses which we already have.
B. R. Preetham: Arjun, also, you should also appreciate the fact that some of these premium models that I mentioned has also come as an additional business to us where like the number of components that we are supplying to these models are also high and then also initial estimation projections to currently looking at the response , they have increased their ask. So, we are adding capacities in those segments as well and especially on aluminum , in fact, five presses what we had planned fully booked. Now we are contemplating adding two more p resses because the order inflows are very, very strong there .

Arjun Khanna: That's very heartening to hear, sir. S ir, just the second question on Sweden . So, if you look at revenues for the quarter based on your disclosures , we have seen 35 crores move to 47.5 crores, almost 30 odd , 36% growth. So, effectively , this captures the loss of business which we had and incrementally , it's on new business that turn over would grow . Is that the right understanding?
Praveen Chauhan : Yes. This quarter is the right indication of what is going to happen over the years . We have gained , as you rightly said , we have gained whatever was lost to a great extent and we hope the European market and our customer demand in the market continues to be the way they have been indicating . We are quite hopeful that this year will be in line with the growth that we already had in the quarter.
Arjun Khanna: My final question is just in terms of the debt level . So, that has risen quarter -on-quarter in spite of very strong numbers . Obviously, CAPEX would be a part of it . Now we'll get the balance sheet disclosure next quarter , but just in terms of how do you see the debt profile for the Company going forward given our CAPEXes?
Vikas Goel: So, Arjun, t his is rather a unique quarter . As a first quarter , we generally have a revenue reduction after Q4 because of seasonality in the industry . So, Q1 is generally either at par or slightly lower than Q4 , but this time we have had growth on a sequential basis also , and that's thanks to the international business picking up. Now some of the inventory…
Arjun Khanna: So, it's a working capital impact .
Vikas Goel: Yes.
Arjun Khanna: Is that the right understanding?
Vikas Goel: I am coming to that. So, that actually necessitates extra inventory built up and also higher amount of receivables because of this increase in the international business . Now, this will get normalized over next two to three quarters and as we expect , we should be around this level of debt by the end of the year .
B. R. Preetham: Yes, Arjun, it will get softened a bit . We expect that we should be in the range of 680 to 700 crores as debt overall . That's our target .
Arjun Khanna: And as our exports or the international business continue to grow , do we expect the deterioration in working capital cycle ?
Vikas Goel: The credit periods or the collection period is relatively higher in the international market . So, yes, that's a valid assumption.
Arjun Khanna: And the flip side is would that essentially mean higher EBITDA margins going forward since that business has higher margins ?

Vikas Goel: Yes, this should marginally improve over the p eriod reflecting a growth in the international business .
Arjun Khanna: So, EBITDA margins , as international business grows, we should see an improvement out there .
Vikas Goel: We should see improvement .
Moderator: Thank you. The next qu

estion is from the line of Basudeb Banerjee from ICICI Securities . Please go ahead.
Basudeb Banerjee: Just a couple of questions. So, just to understand how are you looking at the two -wheeler indents in the coming months this season in October , November , so at least for next couple of months , how the orders panning out from the large player ? And second question is , on one side , the two-wheeler manufacturers are saying say the leaders in EV s, say OLA or TVS that from August itself , the EV portfolio will go back and make new highs , whereas in July , we still saw that the retails were pretty much subdued because of the subsidy change . So, you are still being one of the key suppliers , how are you looking at the production of the E V models of the leading E two-wheeler vehicles ? So, these are my two questions .
B. R. Preetham: First question to ask that this time, there is also additional bad month where people don't buy the vehicle. So, the vehicle, two-wheeler sales have not really picked up. It was generally assumed that the buildup would start from July , but I think it has got delayed by a month. So, we expect that August , September , October should be reasonably good for two-wheelers .
While I say that, there is more and more we see that more and more entry level , there is a pressure on entry level segment . I think the executive and the premium models are doing better . So, there is a shift which you can see . Premium models , definitely , what are being released now , has a better , at least for us , we have a better contribution in terms of number of components , value of components going up.
So, for us as a business on two -wheeler , we expect that the coming quarters would be quite strong . I am yet to I think it will take another couple of months at least for the EV s to go back to reasonable numbers . That's what is my assumption that there could be a couple of more months before they stabilize and hit the numbers as previously what they were doing.
Moderator: Thank you. The next question is from the line of Devesh Kayal from Monarch AI F. Please go ahead.

Devesh Kayal: Sir, it's really heartening to see whatever you have been committing and del ivering on the same. Sir, my first question was on debt. So, that is now addressed . So, second is on the machining plant , which we are putting up at the Bidadi plant . So, peak revenues that is for exports which you had mentioned earlier . So, peak revenue from this machining plant , how much can we expect ?

B. R. Preetham: No, it is actually the extension of our current machining facility, which is there in Bidadi , which largely caters to the export in terms of ICE components where we are producing bigger connecting rods for customers , both the commercial vehicle as well as industrial application . Further , this portfolio would be enhanced there because new orders has to be started delivering like Cummins connecting rods are going to be manufactured from there . So, we expect that by first phase of this expansion would get completed by end of September .

The second phase, which is on the , we are we are doing it on the two floors for machining, ground floor plus first floor , and the ground floor is almost ready , and it would be commissioned by September , and first floor should be ready by the third quarter end . This will also mean that we have enough and more space for both aluminum and bigger connecting rods . Overall, this plant which should do close to a revenue of about 400 to 420 this year with full occupancy and utilization , I expect that this should double up. This plant would have a overall potential to deliver between 800 to 850 crores of revenue.

Devesh Kayal: And our international mix in the order book , so that's currently high and with this new capacity by end of FY '24, so our international mix going forward, let's say, FY '25, '26, so fair to assume that that will cross 40% i n the overall sales ?

B. R. Preetham: See, the order inflows are tilted more towards international business because currently , we are focusing on lightweightings , which we have won orders from UK-based passenger vehicle Manufacturer for aluminum forg e and machine components that should start in the next year . These are all about 600,000 volumes per year . Then there is also this marquee EV customer for which our production is starting from this third quarter . That's also a good significant chunk of order . So, there is a good momentum on international business . While I say that , see, in the FY '22, our contribution from international business was almost 37 %. Then in FY '23, it came down to 28 %, but we have said that this year we could be around 32 % to 32.5%. On a long term , yes, there is a potential that we should be looking at around 40 %. So, between 35 % and 40 % depends on how our domestic growth also goes on.

Moderator: Thank you. The next question is from the line of Mulesh Savla from Shah & Savla . Please go ahead.

Mulesh Savla: Sir, most of my questions have been answered , but I am really delighted to know that we are getting tractions for all our divisions , and we are in for further expansion and line balancing , and we are trying to get higher wallet share along with all our customers . So, looking at this scenario , there w as one question in past that we might think of even inorganic growth potential also. So, is there anything in the pipeline , sir?

B. R. Preetham: We have just made a investment into this hi -tech technology Company where we are focused on Sansera's Automotive and Aerospace penetration to help them . While they are very strongly in defense, we intend to take that into this thing . So, our current focus is on looking at how to stabilize this and mutually grow this business . While having said that , we keep coming across opportunities both in automotive as well as non -automotive spaces . We keep looking at it and

as such , there is nothing on car ds now , but that doesn't mean that there is not going to be . So, we will keep our eyes and ears op en. We are looking at opportunities , but nothing concrete is at present now .

Mulesh Savla: And sir, in this radar Company also, we were planning to increase our stake up to 51 %. So, how soon that is likely to happen?

B. R. Preetham: No, see, this is we already have a right to increase up to 51 %. Now this is based on a capped valuation as well. So, as and when the Company requires the funds and as and when we feel that it is an appropriate time to increase, we will do it. In my expectation , this should happen over two to three years’ time.

Moderator: Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited . Please go ahead.

Jyoti Singh: Sir, if you can explain on the revenue from the top five customer along with their respective name as some changes done , so, please?

B. R. Preetham: Madam, so as we keep expanding our customers , the contribution from each of our customers have also the share of contribution as strategy our top four customers , if you look at our top four customers , only two of them are now about 10 %, Bajaj being the number one customer at 13.6 %. So, overall if you look at the contribution from the top five customers , it now stands at 47.7% . So, while this is also very healthy , this is in line with our strategy because we would like to grow with our customers . In the same time, we want a lesser and lesser dependency on one such customer . So, it's been a good mix . So, today , if you look at last year's first quarter which was our top five cus

tomers contributing to 52.7 %, now it has reduced to 47.7% , and only two of our customers are abo ve 10% now.

Moderator: Thank you. The next question is from the line of Siddhartha from Nom ura. Please go ahead.

Siddhartha: So, basically , sir, just wanted to check on one more thing. I mean , if I look at the, for this quarter , like if you see your domestic revenues have grown by 20 %, and if I see segment -wise , even two - wheeler motorcycles , I would say, has grown by upwards of 20 %. So, now if I look at the industry production numbers for the two-wheeler industry , it's been sort of flattish to marginal growth. Even for PV s will be on those similar lines , low single digit type of growth on the production side . So, any particular reason why our growth is much higher ? What is thriving this ? And given the numbers , given the run rate now , should we expect some normalization going ahead ?

Praveen Chauhan: Yes. Siddhartha, basically , we had always been saying that we will grow much faster than the industry , and this is exactly what is happening and what is visible right now . The industry growth has not been in line with our expectations , but we have been growing by virtue of two things . One is that we have been consolidating our position in the two -wheeler segment . With the addition of TVS two years back , we have been continuously ramping our business with them

and they are closer to the top six, seven customers that we have and on top of that new ad dition of businesses and the premiumization particularly what Preetham spoke about some time back , that premiumization is something which is coming in quite handy for us , especially from aluminum forging business .

Our customers like Royal Enfield are expanding into it and talk about any customer , they are talking about getting very seriously into premium segments . All these are somewhere benefiting us. We had been talking about it like that and that is all now fortifying now .

B. R. Preetham: And also the programs which we had started this year , mass production programs for supplies to BMW for their European programs , all these components which are going into that have already kicked in . The full production volumes have started, and also there is 400 plus cc Vehicles where our contribution is upwards of Rs. 7,000 to Rs. 8,000 per vehicle is also helping us to improve our the two -wheeler spread .

Siddhartha: But sir, if I look at the quarter , I mean , on a Y -o-Y basis in Q1, I mean , 440 cc anyways the production has not happened in Q1 . So, that will not be the reason .

B. R. Preetham: Yes. Q1 the contribution , as Praveen said that it is mainly coming from TV S, Royal Enfield and also from our aluminum for ged components which have started exports .

Siddhartha: Yes. Aluminum forge will be coming under Tech Agnostic , right ?

B. R. Preetham: Tech Agnostic, yes.

Siddhartha: TA, yes. So, I was just looking at the two-wheeler ICE m otorcycles revenue . So, one will be the TVS share of business . So, possible to highlight how much has it gone up and can we see further increase from the current levels ?

Praveen Chauhan: TVS we have grown by more than 30 %. So, that growth is coming. Then similarly , Royal Enfield is much higher than the industry as such.

B. R. Preetham: And Royal Enfield, if you look at our participation also , again , in the newer series of engines and newer programs , again , our contribution per vehicle has increas ed. So, the number of components have increased . So, that has also helped .

Moderator: Thank you. The next question is in the line of Rahul Shah from Crown Capital . Please go ahead.

Rahul Shah: Can you please share a few more words on this stake you have recently taken in the high-tech Company? What is it exactly for ? How does it help us exactly?

B.

R. Preetham: So, basically , this Company is into high technology products , especially electronic products . They are focused on radars and Sansera felt that , see, we have always been focused on technology and we felt that there is a lot of synergy that we can derive out of both these companies . They are a bootstrapped seven -year-old startup. All the promoters ar e technocrats

who come from , two of them are doctorates , in fact , and they have been working on this technology. Currently , this technology is not fully practiced in India. They work between 20 to 110 gigahertz band, and this is between W and K band , if you are familiar with that .
So, primarily , there are two phases of application . One is on defense and one is on civilian application including autonomous driving vehicles including altimeters , which are used in all the flying objects . So, there are a lot of applications where we can participate in terms of while they do all the electronics , there is a lot of mechanical components like Gimbal , antennas goes into this which requires very , very precision machining . That is where he thought both our expansion into defense which we are keen on doing it which will also be helped by them and their expansion into the aerospace and two -wheelers segment can be actually helped by Sans era.
So, with this in mind w e have committed or invested about 20 crores . This would on a projected EBITDA basis , the CCPS , when it gets converted, would result into approximately about 20 % stake, but we also have a right to go up to 51% with a valuation capped valuation . So, we expect that between 18 and 24 months , a lot of revenues which are now in final testing and field -testing stages would fructify and this Company would have a great runway .
Rahul Shah: And secondly, are you sharing any outlook or guidance for FY ' 24? Because you mentioned a lot of factors which will lead to growth across all the segments . So, overall on a full-year basis , revenue and margins , what are your expectations , sir?
B. R. Preetham: Basically , see, I have said that previously also, just on a thumb r ule basis , you can just say that we will be approximately growing at double the pace of the industry. If industry grows by 8%, we would be growing by at least 16 % to 17 %. So, looking at that , that is how we look at ourselves . So, we have kept oursel ves a target also. I have also said this in my previous this thing, Company-wise , there have been initiatives . There have been very , very focused KRAs that is fixed for each one of us where all our plant heads and business heads are working on certain things to make sure Company-wide objective which we have set at 20 -20-20, which is 20% growth , 20% EBITDA, 20 ROC E. We are working towards that .
Moderator: Thank you. Ladies and gentlemen, we will be taking the la st question that is from the line of Akshay Karwa from Anand Rathi. Please go ahead.
Akshay Karwa: Sir, firstly , congratulations on exceptional performance. And sir, my questions are basically with regards to T VS. So, what will be the new share of business with them ? And secondly , with regards to the new customer acquisitions in this quarter , I mean the aut o-ICE segment , which product is this for ? And what would be the expected production of this ? And when do we start seeing the revenues are coming for the same, sir?
B. R. Preetham: You said that you wanted to know what is our share of business with TV S currently ?
Akshay Karwa: Yes, sir.

B. R. Preetham: On Auto -ICE, I think our share of business is close to about 30 % on Auto -ICE components , whereas on Tech Agnostic and wherever we are supplying their EV models , I think we are close to 100 % share of business . That is what it is . And the second question

was pertaining to new customer addition s, what are they into ? Is that the question ?
Akshay Karwa: Yes, sir. The new customer , what product we will be supplying the connecting rod, crankshaft ? So, when do we expect the revenues accruing for the same into our P&L?
B. R. Preetham: Generally , see, a lot of these orders have come from our existing customers . As I said , it has come from Cummins is, of course , a new customer for us . General Motors and FCA and Tesla, all of these are existing customers , but having said that , the revenue order book that we generally indicate , that would anywhere start peaking from second to third year onwards . So, if I have to say that this 366 million what we have received would start coming into the revenue a year later and then peak will happen from about six to eight qua rters from today . So, that is how we should look at it, but not all orders follow the same trend . There are like orders which, especially in the domestic segment where the orders would start fructifying within six months as well. So, that, but internationally , generally , if you look at it , it is between 18 and 24 months where the order peak will start happening .
Akshay Karwa: So, assuming the Q1 F '26 revenues, we expect Cummins to kick in ?
B. R. Preetham: No, but this order of Cummins would begin slightly ahead of time because of their own requirement . So, we expect that in the next financial year the revenues will start contributing .
Akshay Karwa: Sir, lastly , now that we have so many customers based in the US , GM, Tesla and all these guys and now that we have Cummins also on board , so, I know that we had the plan to start a capacity in the US . So, any color on that in the next two years , sir?
B. R. Preetham: I already , I think , answered this , but at the cost of rep etition, let me again say that that currently there is nothing concrete on that . While the Company is working on, we are yet to identify and finalize on a place which I expect should happen towards the end of the third quarter . Upon the Board approval , any further information on this , we will be sharing it .

Vikas Goel: One thing , follow -up, there was a question regarding the manufacturing expenses , like power and fuel and consumables . So, for the Q1, it was 1 ,074 million . I think Mumuksh had asked that.

Moderator: Thank you. Ladies and gentlemen , that is the last question . I now ha nd the conference over to Mr. B. R. Preetham for his closing comments .

B. R. Preetham: Thank you everyone for having patience and being supportive of us . We expect to continue our journey strongly into this financial year , Quarter 2 , Quarter 3 and Quarter 4 , and we certainly expect that we will be in line with similar growth story for all these qu arters. So, with that in th is thing , I again thank you all of you and all the best . Thank you.

Moderator: Thank you member s for the Management team . Ladies and gentlemen, on behalf of Sansera Engineering Limited, that concludes this conference call . We thank you for joining us and you may now disconnect your lines . Thank you.

Call: Nov 2023

SANSERA ENGINEERING LIMITED
(Formerly Sansera Engineering Pvt Ltd)
Reg Off: No. 143/A, Jigani Link Road, Bangalore- 560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80- 27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

November 16, 2023

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning group conference call held on November 09, 2023 on Unaudited Financial Results of the Company for the quarter ended September 30, 2023.

The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you,

for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

“Sansera Engineering Limited
Q2 FY2024 Earnings Conference Call ”

November 09 , 2023

DISCLAIMER : E&OE - THIS TRANSCRIPT IS EDITED FOR FACTUAL ERRORS . IN CASE OF DISCREPANCY , THE AUDIO RECORDINGS UPLOADED ON THE STOCK EXCHANGE ON 9TH NOVEMBER 2023 WILL PREVAIL

MANAGEMENT : MR. B R PREETHAM – EXECUTIVE DIRECTOR AND

CHIEF EXECUTIVE OFFICER – SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER – SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – CHIEF OPERATING OFFICER – SANSERA ENGINEERING LIMITED

 Moderator : Ladies and gentlemen, good day and w elcome t o Sansera Engineering Limited Q2 FY2024 Earnings Conference Call. This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and e xpectations of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participants' lines will be in the liste n-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' and then '0' on your touch tone phone. Please note that th is confere nce is being recorded. I now hand the conference over to Mr. B. R. Preetham – Executive Director and CEO from Sansera Engineering Limited. Thank you, and over to you, sir .

B. R. Preetham : Thank you. Good morning and season's greetings to everyo ne. Welcome and thanks for joining this call. On this call, I am joined by our CFO – Mr. Vikas Goel and our COO – Mr. Praveen Chauhan and our Investor Relations Advisor s – SGA. The results and the presentations are uploaded on the stock exchange and company website. I hope everybody has had a chance to look at it.

We are pleased to report a strong financial an d operational performance in Q2. Our revenues came in a healthy Rs. 6,929 million representing a 9% year-on-year growth and a 5% sequential growth. EB ITDA margins during the quarter was steady at 1 7%, in terms of revenue and EBITDA this was yet another record -breaking quarter for us.

I am thrilled to share that Sansera has received premium award for out standing achievement in collaborations and customer s ervice fro m Raytheon Group. This award is another feather in our cap and it demonstrate s the solid collaboration and valued partnership between Sansera and Raytheon. In this quarter , we also received awards from Royal Enfield, Fanuc Robot s, Volvo Eicher Powertrain, and few more. These awards are a testimony of our high quality and delivery excellence.

Coming to some updates on the industry. At large, this has been a strong quarter for the Indian Auto OEMs with passen ger vehicles leading the pack . Passenger vehicles d elivered the highest ever sales during the quarter. Three-wheelers and Commercial Vehicle segments also continue to witness healthy growth. The retail figures of the two -wheelers have also exhibited promising trends. Further the festive sales are off to a promising start as reflected in the auto sales number for the month of October and Sansera has also seen a very good traction in Octobe r. The quarter of Sansera has been good, showcasing a stable business.

 The demand levels in domestic market s are expected to grow in coming quarters as OEM s are also fairly optimistic, and are ramping up the production while ensuring ample inventory to meet the escalating demands. Notably our international operations experience significant expansion driven by a favorable demand landscape. This positive trend is driven by the robust sales demonstrated by the global OEMs.

I would also like to mention that our cash flow from operations also saw a remarkable 84% year-on-year growth in H1 FY2024. It went up from 1.3 billion in H1 FY20 23 to 2.4 billion in H1 FY2024. At Sansera we have witnessed a substantial increase in the RFQ s tha t we receive on a regular basis. Correspondingly , we hav e streng thened our organizational structure by hiring and as well as elevating re levant personne l to support this growth demand.

Now getting to the details of our opera ting performance in the quarter. Auto -ICE segment registered a 4 % year -on-year growth for Q2 FY20 24 and 11.1% year -on-year for H1 FY2024. This was primarily driven by growth in PV and HCV components. In fact in PV components we did our highest ever quarterly sales and this upsurge in PV is backed by strong performance of our large PV customer. Recen t addition to this has been Tata Motors as our customer and it is provi ng to be a valuable partnership. We are also increasing our share of business with Maru ti, our oldest customer.

Coming to two -wheele r segment which is one of our major contributors to Sanser a's revenue. Here we are witnessing an increase in the top line with industry grow th and recovery along with premiumization. It is note worthy that premiumization is advantageous to us as the content per vehicle in premium two -wheelers exceeds that of the entry level two-wheelers signifi cantly. We are participating in some of the prominent programs for premium motorcycles which our OEM clients are running. For instance we have a very healthy partnership with Royal Enfield, we are supplying multiple component s for Baj aj Triumph models, we are also catering to premium bike models such as He ro Harley, BMW Motorrad, etc. S ansera is also a preferred partner for our customers in their future programs. While three -wheeler segment has demonstrated remar kable gr owth figures, but for us it is a very small contributors for our overall revenue. Based on all these three factors , we are very confident about a strong growth coming into Auto -ICE segment in this year. In all Auto - ICE segment contributed to ab out 75.6% of our s ales in Q2 FY 2024 versus 80.1 in Q2 FY2023. This included the segment 's 35% of our sales coming from motorcycles, scooters accounted for only 5.9% of the top line, PV s accounted for 24.5% of the top line, commercial vehicle sales contributed to 9.4% of the top line.

The other segmen ts which are Auto -Tech Agnostic , xEV and non -auto have grown at a much faster rate compared to the Auto -ICE segment. This aligns perfectly with our long-

 term vision and showcases our dedication towards achieving our targets. Auto-Tech Agnostic and xEV products together contributed ar ound 11.9% to th

e sales revenue. This is reflecting Sansera's r eadiness for futuristic product range. The year-on-year growth in the first half of this financial year was an impressive 4 4.8% dem onstrating except ional progress. 7.3% of revenue came from Auto -Tech Agno stic components. We have very good traction for our aluminium components due to g rowing requirement of light -weighting and premiumization. The contribution from xEV products has decreased to 4.6% primarily as a result of scaling down of our busi ness from one of our domest ic EV two-wheeler customer. However we are quite confident that our EV business will improve as the production schedules which saw a setback due to withdrawal of FAME2 subsidies are back on track. Also our new American multinational Automot ive EV customer 's orders will contribute meaningfully to our top line in the coming quarters.

Our non-automotive seg ment grew by 44% in the quarter, contributing to 12.6% of the total sales versus 9.6% las t year.

Talking about the sales mix. In Aerospace we manufacture seatin g parts aero structure parts. door assembly, light weighting parts, cargo handling systems, also engine and l anding gear related parts. Aerospace and defense cont ributed to about 4.6% in this quarter. We see great opportunities in Ae rospace segment , especially with a lot of Indian carriers presenting a lot of new orders, whic h are quite big in size as well. Defense: While in its nascent stage the opportunity is vast , current ly we have focused on supplying components to tier one companies for component s invo lving advanced technology.

Off-road sales were to the tune of 4.2% of the revenue, this year we expect to do a top line of more than Rs.1000 million in o ff-road components alone. Agriculture component accounted for about 2.1% of the top line and the remaining 1.6% of the top line came from few other segments.

Coming to our order pipeline , our order book of the new businesses with an annual peak revenues stood at Rs. 19.3 billion as on 30th September 20 23 versus 16.9 billion as on 30th June 2023. This incre ase is largely driven by strong order inflows in the Auto -ICE segment reflecting Sansera's expertise in its core product category. Having said this we hav e also received major orders from xE V and Tech Agnostic products, which account ed for about 35% of the incremental orders in the quarter. Our order book reflects our grow ing commitment to the diversity. The current order book of 19.3 billion includes Auto- ICE order s of about 9.29 billion, which contribute about 48% of the overall order book. Auto Tech Agnostic and xEV adding to 5.2 billion, that is about 31% of the overall order book and non-a uto accounting for 4.13 billion, which is about 21% of the overal l order book. On a strategic level , we are working on initiatives to optimize c apacity utilization particularly

 in our Auto -ICE area. Further we are continuously ramping up our machining capabilities. The new press lines which we are installing in our existing plant 11, is expected to get commissio ned by next month. Once commissioned the work will start in full stream of this as our capacity is fully booked wit h orders from various customers. Our long-term targets are built around Sansera's core competencies in high engineering and precision products. With this focus we ha ve been able to deliver consistent results while adhering to our mantra

of growth via diversification. I will now hand it over to Vikas, our CFO for the expla nation on financial performance.
Vikas Goel : Thank you P reetham. Good morning everyone and season's greetings to all of you. I will cover the second quarter performance on a c onsolidated basis first.
As you all know that the operating revenue for the quarter stood at 6929 million with a 9% growth on a year -on-year basis. The sales from a utomo

tive sector in this grew at 6.6%
while the revenue from non-auto business grew at 44 % on a year -on-year basis. This was primarily led by the recovery and phenomenal growth in the off -road segment by about more than 4x and a 26% growth in the Aerospace sector, which was slightly behind our original expectati ons.
Revenues are growing at a very healthy pace with support from the new order book and we have set high standards, high benchmark of performance for ourselves. We are hopeful that our consistent and steady profits will se e a meaningful upswing once we are completing a structural shift in the overall business profile as Preetham just outlined. The growth is led by strong sales in our i nternational markets particularly in the US. Last year second quarter was particularly difficult for us in the international markets and has recovered ever since.
The international sales recorded in this quarter are in line with our recent performance in these markets , despite a marginal impact from the UAW strike in the US towards the end of September and marginally lower than expected off take in the Aerospace business.
On the margin front we saw a 200 basis points i mprovement in the gross margin primaril y on the back of higher exports, and material cost stabilization. This could have been slightly higher for the reasons t hat I explained in term s of the in ternational business, we had some marginal setback which has a higher gross margin business. So approximately 30 to 40 basis points was an impact on g ross margins and the E BITDA margins becau se of these.
As Preetham mentioned we are strengthening our organization structure to execute the growing and more diverse business, which has led to an increase in the emp loyee cost on a temporary basis, if you look at a percentage to the sales. Our expenses which are semi variable in nature increased in tandem with our revenue are in control. At EBITD A level we maintained our margins at 17 % despite all the fa ctors that I explained jus t now and saw a
 9% year-on-year increase at 1 178 million. Finance cost for the quarter was at 180 million and in line with the fi nance cost for the last quarter. Profit after tax stood at 475 million in the secon d quarter with a margin of 6.9%.
Geographical sales mix for the second quarter stood as follows: India 71.3 %, Europe 16.3%, USA 9.5% and other foreign countries a t 2.9% of the total operating sales revenues.
Looking at the half year numbers: Revenue from operations surged by 16% year-on-year at 13,529 milli on as compared to 11 ,678 million in the corresponding period last year. The H1 EBITDA grew in line with the revenues and stood at 2 ,321 million with a margin of 17.2% slightly higher than the same period last year. Net profit for H1 stood at 927 mil lion registered a growth of 14%.
Coming to the cas h flows and balance sheet for H1. The company generated a total cash from operations of 2, 391 million as against 1 ,299 million last year because of our very hi gh focus on the cash management during this period. To further highlight the point, the cash generated during this period of H1 is almost equivalent to the total cash generated during last full financial year. So you can see the kind of improvement and focus w e have had on cash management during this year and this we expect will continue going forward. In H1 2024 we invested a total of 1 ,634 million towards purchas e of plant and equipment and also this includes 125 million invested in our new entity MM RFIC which we shared with you some time back.
On debt front: Our net debt stood at close to 6 ,232 million as against 6 ,500 million in the end of March. CapEx for the year will be in the vicinity of 2 ,800 million and majority of this CapEx will be in the areas of non-auto and non-ICE categories in order to deliver our evolving orde

r book.
With this, I would like to conclude our presentation in this meeting and open the floor for question and answers. Thank you.
Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from t he line of Siddhartha Bera from Nomura. Please go ahe ad.
Siddhartha Bera : Thanks sir, and thanks for the opportunity and season's greetings to the team as well. Sir, my first question is slightly on the longer -term. So EV I think globally has seen some slowdown in the quarter and we continue to see a good t raction in the x EV segment. So some thoughts ther e how do you see this segment developing over the medium -term and

second is on this light weighting segment as well w here we continue to get very good
 traction. So do you think the revenues or the mix can shi ft meaningfully here how much capacities are we adding and some color there will a lso be very helpful.

B. R. Preetham : Good m orning Siddhartha, thank you and season's greetings to you as well. You are right, we h ave been having a good traction, lot of order inflows into the xEV segment both from our dom estic customers as well as from our International customer a well -known leading EV manu facturer from the North America. We have started o ur commercial prod uction of our programs into this customer and you wil l see that revenue ramp up happening in the quarter three and qu arter four as wel l. While I just came back from US yesterday from a 10 day business tour where we have had visits to our customers just to reaffirm our commitments to the business, and also discuss with them on various opportunities that are available. So one thing was evident from the discussions with most of them is that there is a slowdown on the EV adoption especially in North America and this is also evident from the fact that all the thre e major auto OEM s have scaled down their plans on EV . So there is a renewed focu s on all the ICE platforms that are again seeing lot of revamping and also on extension of the programs beyond 2032s. So we have been getting a lot of opportunity on this as well while we are working on strengthening our xEV portfolio by adding more products into it, but the opportunities in our core components which comes at a very healthy margins as well are significantly going up. So we are quite bullish on this, going forwar d you would also see addition of few more customers from them and also participating in the newer programs through these additions also.

Siddhartha Bera : Second is on this order book, so you have indicated that over a three-year period we should see the full impact and you have compared and showed us the mix compared to FY2023 where we are so. Is it fair to assume that this is largely sort of, I mean, the risk to this sort of playi ng out because in the recent term we have seen some slowness in some segments . So how confident are you are that by maybe FY 2026 w e sort of achieve the potential, long - term potential probably which you have called out here.

B. R. Preetham : See, if you really look at our last year's performance that is what we have shown in our slide number eight in our presentation, where it demonstrates that the new order book combining with current last year's product mix performance, we would have reached close to about 36% of our revenue s coming from the non-auto xEV and Tech Agnostic products. Now while this is the current revenue mix and actually visibility that we have on the order book and the mix of it, but we still feel that the trends towards premiumiz ation, trends towards light weighting , and a lso our growing collaboration with the x EV customer would also mean that we would probably be able to do better than this 36% and move closer to our vision of 40%. But as you rightly said these are all also, there are variou s external factors that coul

d have an influence on this, while that is exactl y the reason why we have not really focused on any particular segment, while we have kept ourselves more focused on non-auto
 and tech agnostic. So even if there is a s light slowdown in the one particular segment or one particular technology, we are trying to ringfence ourselves. Now while the programs themselves owing to various external factors may get slightly extended in terms of their startup program s or the thing, but we are very confident that b y 2026 or FY20 26 we will be able to achieve these numbers as a company in terms of all the resources , capacities and our strategies we are working towards the same.

Siddhartha Bera : Last question on this depreciation , we have seen some increase in the current quarter compared to the last quarter. So any particular i nvestmen ts which we are being doing and the sort of the benefit or the revenue pickup is not happening now, is anything there to look at.

Vikas Goel: Nothing unusual there, see this is as a normal process we continue to invest in expansion of facilitie s or balancing of lines. So this is in line and probably in one specific quarter you may have some ups and downs, but on an overall basis this is all inve stmen t in the productive assets, which if not completely in this quarter will pan out and re flect in the following quarters. There is nothing abnormal that we have seen there.

Siddhartha Bera : Sure sir, thanks a lot. I wi ll come back in the queue.

Moderator : Thank you. The next question is from the l ine of Nitin Arora from Axis Mutual Fund. Please go ahead .

Nitin Arora : Hi sir, thanks for taking my question. The first question is that when we look at your growth this quarter which is about 9%. Does it have an im pact of the UAW strike because you said October has been very good where I a m assuming if you are saying good , this is despite the

UAW strike whic h was very stringent in October. Can you clarify that.
B. R. Preetham : Good morning Nitin and again season's greetings to you as well. So, yes, w e have had an impact of close to about 5 Crores in September b ecause of the U AW strike where we could not deliver and that number is almost closer to 9 Crores or so in October as well, but despite that we have had a very good October and now that is pas sed, I think we will see a good traction going forward from our North Am erican based customers.
Nitin Arora : Second can you talk about little on the content you talked about Triumph and other products coming in, in the two-wheelers. Can you talk about a little on the content how much is the content there because the res ponse of th e bike has been very phenomenal. So if you can throw about some light there how much content can be there in terms of, because I assume you are in Harley as wel l. So the content in crease if you can talk about that and second we have not seen much benef it to y ou coming from the commodity side or let us say OEM
 giving you that benefit so far though we are maintaining our margins closer to 17%, but can you throw some light, are there some levers or OEM s are not at all passing because their margin seems to be doing very well. Those are two things.
B. R. Preetham : Yes, like in the previous interactions also I have maintained that while we are participating in most of t he premium motorcycl es including all the programs from Royal E nfield , programs from TV S BMW, we are also supplying to Har ley Hero models, as well as Triumph Bajaj model. While there is a significant addition of components especially light weighted components aluminium parts to t hese models , the contribution varies from model to model and I would say it varies from Rs. 5000 to Rs.9000 currently because in some of the models that we have per vehicle, some of

the models we have more number of components compare d to the other, but we are quit e confident as we establish, see we are also on the, in terms of our light weighting capacities that we have commissioned. See we have three presses which are currently operating, we are just on the verge of commissioning the fourth press for alumi nium forging which is a t 2500 ton press. We have two more presses on order which should get executed before the end of this financial year. All these presses have been fully booked, when I say fully booked the 4 plus 2, six presses h ave been fully booke d. So there are constraints in how much more we can take with current capacities that are being panning out and please understand that this is also a new line of business for us. So there is a learning curve we are going through which means that while we are developing many more variants and components of this, there is also a pressure of production because most of this is also brought into a production. So overall I would say there i s a lot of good t raction in aluminium light weighted components like it is demonstrated by the fact that we are fully booked for our capacities w hich is currently available and also on plan. We have also added couple of components from passenger vehicle segment which goes into the EVs in this category as well. So there is overall a very, very positive response from both domestic as well as i nternational customers for this segment, and I understand while I talking to this thing that the scope and the opportunities in this segment both internationally and domestically is going to significantly increase in the coming quarters. So at Sansera we are full y committed, we are starting expansion of our new forging facility, we are adding another forge shop into our plant 11 which will be able to house another six additional presses for alumi nium whenever the time is required as and when we start getting the orders, we will have this facility ready. We hope to complete this facility by first quarter of FY20 25, building will be ready where we will also place 4000 ton press by end of May. So with this I think there will be a very meaningful progress in the light weighting and aluminium components. On commodity prices I will leave it to Vikas.
Vikas Goel : When you say impact of commodity price this works the other way. So actually we have to pass on a material selling p rice reduction to the customers based on the purchasing price reduc tion that we get from suppliers. So in terms of margin, yes, it is visible, if you see the
 gross margin has had an improvement of 2% for the quarter a s against same period last year. So this is visible due to the stabilization and slig ht reduction in the raw material cost versus last year.
Nitin Arora : Do you see this levers of further commodity benefit coming in the gross mar gin and overall EBITDA margin or you think this is the thing.
Vikas Goel : I think this is now stable for some time, it has been stable for a few months and we do not have any further indication of more reduction immediately . The improvement that we expect to come forward is basically from the change of product mix and so w e will see improvement coming in from more h igher exports as well as stabilization of the new

products that we are launching every month will actually start reflecting in slight improvemen t in the gross margins.
B. R. Preetham : Just to add to what Vika s said, see over the last two and a half y ears you are aware of the fact that there has been more than 60% increase in the raw material cost actually resulting in almost 2.5% to 2.75% optical impact on margins for us because it is a numerator denominator effect. As the commodity prices cools down and it starts moving down, we would have that similar positive impact onto the gross margin.
Nitin Arora : All the bes

t sir. Thank you.
Moderator : Than k you. The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.
Basu deb Banerjee: Thanks sir. Just to continue with the margin thing. Decent set of numbers, gross mar gin improving sequentially also. But just one thing for Goel ji that revenue up 5% Q -o-Q, other expenses up 10% almost Q -o-Q. So any one of f in that other expense o ne like I can see it is moving up almost 10%. So margin would have been closer to 18% also this quarter.
Vikas Goel : You a re right, there is a 5 % increase in the revenue whereas the expen ses have actually risen faster, and as we explained that the major reason there being increase in manpower cost, which is not a one off or not an exceptional thing. This is the planned increase that we have had because of increasing the capability and we are adding a lot of people in the mid management layer to improve the c apability and also to address the growing diversity in the product profile.
Basudeb Banerjee: But sir, m anpower cost would get reflected in the employee cost, staff cost line item. I was saying about other expens es.
 Vikas Goel : Other expenses also h as an element of contract ors. So that is the main item which is actually reflecting in other expenses also the contract labor.
Basudeb Banerjee: So with the rise in scale requirement of higher contract labor will keep that l ine item at this level elevated.
Vikas Goel : Yes, so it will normalize over a pe riod of time, so as I said when we introduce products initially there is a higher amount of manpower a nd there are somet imes imbalances in the schedule. So that also causes this. So we are keeping a track of this.
B. R. Preetham : One more thing is that as we in the Q2 generally because o wing to the almost one month of holidays in Europe. So generally the international business would be slowed down, but we will not be slowing down our production because our dist ribution is over 12 months. So you would see that some of these costs are loaded because while we had produced this we would not have delivered tha t you will see that effect which will com e from third and fou rth quarter. So overall things are very much in line with our expecta tion as well.
Basudeb Banerjee: Second thing if I look at 4.6% of revenue Aerospace almost pointing to the annualized revenue of 130 Crores. So as you were guiding earlier beginning of the fiscal that you are targeting 130-135 this fiscal. So already you are reaching annualized 130. So any incremental order addition which is giving you visibility of increasing that outlook becaus e that is a higher margin area.
B. R. Preetham : Yes, see while in the beginning of the year we had set our selves a target of about 5 0% growth in Aerospace business. So I had said that we will be anywhere between 140 to 150 Crores in this year, but there has been one program of one of the major customers has owing to the delay in the approval c learance for their aircr aft, this pa rticular program which is a carg o conversion has got delayed, and overall there is a 16 C rore impact on full year basis, but we hav e now been told that, that program is going to restart or start commenci ng from first quarter of the calen dar year which means the fourth quarter of our year. So while there could be a reduction from our original estimates of 50% we will still be a round 40% growth for this year, but t he order inflows have been very, very good, you will further see because there is a lot of RFQ s where we have been working on while there have been finalizations that have happened yet to get a full final confirmation you will see those things panning out in this quarter and the next quarter. Overall we have a very, very healthy order book in Aerospace as well. While defense is in a still n ascent stage, opportunity wise we se

e
a lot of traction, but in defense as you are aware it is a long -term and we are working on a lot of approvals working with certain agencies for working through their programs as well.
Basudeb Banerjee: Thanks. I will come back in the queue.
 Moderator : Thank you. The next question is from the line of Saurabh Patwa from Quest Inve stment

Advisors Private Limited. Please go ahead.
Saurabh Patwa : Thanks a lot for th is opportunity sir. Just wanted to have your thoughts on the slide eight where you have given your growth part. So, is it based on the LOIs or how much would the ratio would be for LOI s and purchase orders because it i s quite long as you have given it is almost f or next 3, 4 years. So you have the visibility of revenues or is it also includes some expectation which you believe you will get.
B. R. Preeth am: You talking about the slide eight right.
Saurabh Patwa : Yes sir.
B. R. Preetham : It is 100% on LOI and purchase orders, we do not have any of the thing. These are the peak annual revenue as we have explained previously also and these would only include the businesses that have been secured by us in terms of either LO I or a purchase order. So there is nothing that we have put in this as expected businesses, it is all confirmed volume and the prices that have been given either through a LOI or through a purchase order.
Saurabh Patwa : So this gives a visibility of close to 4 000 Crores plus kind of a revenue in FY20 26 is it a fair understanding.
B. R. Preetham : Yes, like see what we are saying is that generally our orders peak in about 3 year s' time depending on the sector, some of them could peak around two years, som e of them will take three years, based on either do mestic or international businesses, but overall it is a fair assumption to say that while we say that the order book is p eak annual revenue cou ld lead to a full volume of Rs. 19 billion Indian rupees so 1900 Crores . So this would mean that at its full peak when all the programs kick off and a ttain a maturity it will give 1 900 Crores , but please understand our current order book also would have orders which have just started last year where we have moved fro m order book to this . So overall there is a very healthy order book progress and inflow of RFQ s as well.
Saurabh Patwa : From the current order book also do you believe that current order which yo u are already executing say FY2023 operating revenue you believe some pa rt of revenue may mature and like those programs may get longer be there which will get replaced by the new orders which you have already got.
B. R. Preetham : While in the new order book that w e project, we have always maintained that these would only reflect new businesses that we are acquiring and would not r eflect any replacement business. Just to give you an example if an x model we are supplying to one of our customers gets replaced by a newer model that is not a new business for us that is only a
 replacement business which does not ge t included in the order book. So whatever new businesses that we acquire is only reflecting in this , no replacement of this.
Saurabh Patwa : Just add one more question sir, if you allow. On this current quarter while we have grown Y-o-Y in the export business, is the Sweden business is there some seasonality there where in the second quarter revenue there.
B. R. Preetham : There is international revenue as I said. See generally if you see the guidance, we have said that our international revenues would reach closer to 31 .5% to 32% of our overall mix, but if you really look at this quarter it was only 28% which means that for almost one month our Sw eden subsidiary was closed because of the summer holidays we had some impact of UAW strike in September we also had our e

xport customers especially in Europe where we have a lot of presence, also there has been a dip . So while our domestic has done reasonably well as expected Q2 there is a s lowdown in the international business which is very normal and Q3 and Q4 you w ill see that the international business will be back to the normal growth and we will definitely move towards that 31 % to 32% contribution com ing from th e international business on a full year basis.
Saurabh Patwa : Essentially your H2 will be far better in terms of revenue growth versus H1, is this a fair thing to assume on a c onsolida ted basis.
B. R. Preetham : You mean H2 would be better than H1.
Saura bh Patwa : Significantly better than H1.
B. R. Preetham : We expect that, see H2 wi ll definitely be better t han H1, but how much significantly better depends on how the markets pan out we have our plans in place so we expect that definitely H2 will b e better than H1.
Saurabh Patwa : Any specific area where you see weakness in India or outside India.
B. R. Preetham : Any specific area where you see…
Saurabh Patwa : Some sort of weakness because there are some macro head wind s in India as well as a large headwinds in outside India any specific segment or a product or a product line something in case you have.
B. R. Pre etham : I am not very sure at present we do not have any particular indication or anything. See whatever slowdown was there because of the UAW strike I expect that all these people will try and catch up in the next two quarters of whatever the loss in reve nue that they have had

so that should actually positively impact. I have also commented on Aerospace while that
 program which one of the progra ms which was temporarily could not be executed because of our customer did not ge t a final regulatory clearances, but that should also start. So I really do not have any indication on anything negative , currently everything looks normal.

Saurabh Patwa : Great sir, thanks a lot and all the best for the coming quarters and w ishing you happy Diwali.

Moderator : Thank you. The next question is from the line of Ankit Merchant from SBI Life . Please go ahead.

Ankit Merchant : Hello, thank you for the opportunity. Fro m the revenue perspective during the qua rter we have seen that the two -wheele r growth on a year-on-year basis it i s negative 11%, is it largely been driven by the scooter segment. So can y ou give some more color on this. So scooter segment is actual ly not doing much better for us.

B. R. Preetham : We actually have exited one of the programs of one of the large EV OEM two -wheeler because of pricing and margins. So we did not wanted to continue because we were not having a meaningful c ontribution coming towards that. So while we are keen to work with all the customers , we want to improve the business relationsh ip, but th at cannot come at a cost of margin. So we are very clear on that while we choose our customers, we try and get the component, so this you would have seen that, that is one of the reasons that we would have lost about 6.5 Crores of revenue because we exit ed that program and some of the two - wheelers market which is outside India that is like all our BMW , Ducati all these customers who are Piaggio all these customer s would have had a summer break. So the exports also would have not taken . So overall that is th e reason that you would see that two -wheele r contribution coming down.

Ankit Merchant : So is it the new age OEM which you have exited or is it an established OEM.

B. R. Preetham : No few of the products that we have exited not t he overall OEM itself. It is a new age.

Ankit Merchant : And from the Sweden subsidiary so basically can you highlight wha t was the impact on the margins.

Vikas Goel: Sweden subsidiary during Q2 and H1 both have actually improved in terms of re venue as well as margin , we have had a 34% increase on a year-on-year basis both for Q2 and H1 in the revenue and this is primarily due to the recovery or the normalization of volumes that we had an impact due to the changeover during last year. So that is now back to the normal levels and similarly the margins have als o come back to the normal level.
 B. R. Preetham: There was also a price correction that we have received from the customer s in terms of energy prices and also inflation compensa tion that has also helped i mprove the margins there in o ur Swedish sub sidiary.

Ankit Merchant : How much was it , the margin.

Vikas Goel : The margin for Swedish subsidiary was about 11% we had during H1.

Ankit Merchant : The revenue impact is largely because of the shutdown as well as some impact because of the UAW.

Vikas Goel : Shutdown is sea sonal and it happens every year, but if you look at a year -on-year basis for Q2 as well as for H1 as I said ,

Ankit Merchant : No sir, I am just talking about the Sweden part.

B. R. Pree tham: Yes, UAW Swed en has got no impact, i t is only shutdown which is seasonal. So the UAW impact is not for Sweden, it is for one customer in US.

Moderator : Thank you. The next question is from the line of Jyoti Singh from Arihant Capital Markets Limited. Please go ahead.

Jyoti Singh : Thank you for the opportunity. Sir if you could please provide information on the current order status and any a strategic t arget for the increase, the revenue mix within our Aerospace segment as we are doing pr etty decent on that segment and second I would appreciat e it, if you could provide further detail and insight regarding the increase in content per vehicle due to premiumization.

B. R. Preetham : I think increased content per vehicle question I already addressed because Mr. N itin had asked us. See specifically what happens as our premiumization, these are all higher CC engines could be around 400 to 500cc engines. So we would have our components integral crank shaft along with connecting rod, higher technology rocker arms gear shifter forks balance equipment , engine components that goes into all these things. These of course go at a much higher revenue compared to a 150cc or a 180 cc motorcycles because the configuration of the components and technology is totally different, but added to that we also supply a lot of aluminium forged and machine components which goes into suspension

chassis and such of the system. So all put together I said there could be an opportunity between Rs.5000 and Rs.9000 per vehicle depending on the what all mix of the se components we s upply to various models not e verything goes into every mo del. So the maximum being about Rs. 9000 per vehicle. So that is about the premiumization and this thing. In terms of Aerospace we see a lot of traction, see I have said that and I am willing to
 maintain that statement p urely based on the orders that we have and the traction that we have that for the next 3 years we see that there is a potential growt h opportunity of about 50% year -on-year there could be a temporary one or two quarter s impact because of on e or two programs not being started on time, but othe rwise in ge neral our order book is very strong we are adding customers as well as product portfolios which are larger and better value addition in this so we are on track for having 50% growt h for the next 3 years at least.

Jyoti Singh : Okay thank you so much sir.

Moderator: Thank you. The next question is from the line of Arjun Khanna from Kotak Mahindra Asset Management. Please go ahead.

Arjun Khanna : Thank you for taking my questi on. Sir, just on the CapEx side. So you talked about the premiumization. Is there addi tional CapEx we need to do for these components in the ICE give

n that our utilization levels are lower at this point in time.

B. R. Preetham : No, particularly for ICE category of components like all our traditional components except for some balancing equipment in the integral cramp sh aft line where we have actually added some of the induction hardening and grinding facilities which to balance out because we need to e xpand that otherwise we are not adding anything specifically in ICE subject but then premiu mization also means that aluminium and aluminium related components where we are adding capacities both in m achining , in heat treatment , in foring as well. So these also come under two -wheeler segment where we are only fully booked as I said on the capacities , but our Cap Ex plan which was planned budgeted includes all those things. So there is nothing additional that we are going to do on this. We have already planned for this.

Arjun Khanna : Sure, so I just wanted to understand, so as the pr emiumization of the market happens potentially we could drive higher revenues and possibly margins from existing equipment to some extent.

B. R. Preetham : Right, so like rocker arms, gear shifter folks, connecting rod, all these are coming out of our existing capacities. We d o not need to increase any of the capacities there including the traditional crankshafts we are ut ilizing our existing capacities, but in terms of these premium motorcyc les also would have integral crank shafts which means that this is where we have ad ded some capacities or balancing the equipment on integral. So other than that it is mostly comi ng out of our existing capacity.

Arjun Khanna : The second question is, if one looks at our Cap Ex, if you uh look at slide # 8 we have given a guideline in terms of how we expect revenues to increase, what would the Cap Ex be required to meet some of these programs. So some of them would be completely new, so me
 would be existi ng businesses. So, if you c ould talk about the CapE x plan for the next thr ee years. Thank you.

B. R. Preetham : See, while we have this revenues and this thing in place, we said that generally our asset turns into the new business in a uto when we are looking at forge and machin e components would be around 1.5 times and in Aerospace it wo uld be slight ly better than two. This would not include addition of new plant. So we need to really work through it I do not have an exact figure for the next three years, but it wou ld not be too much of a difference f rom what we are doing currently. So it would be in the range of 250 to 300 Crores per annum for this kind of business mix.

Arjun Khanna : Thank you and wishing you all the best.

B. R. Preetham : Thank you Arjun and wis hing you a happy Diwali as well.

Moderator : Thank you. The next questi on is from the line o f Aman who i s from Carnelian Capital . Please go ahead, sir.

Aman : Thank you for the opportunity. My question was regarding this EVs and motorcycles like currentl y in Ind ia we are seeing so me transition on the scooter si de, but depending on our discussi ons wit h OEM and like when do we expect motorcycles to start basically coming into EVs how are we thinking about it. If you can talk about it.

B. R. Preetham : We have been working with a couple of them in terms of ultraviolet and also top motors on this, but the volume and the progress on that we are also participating in couple of programs with the newer OEM, I mean, the traditional O EMs who have also been looking at some models, but in my per sonal opinion from whatever interactions that we have been havin g with both the new age O EMs as well as the thing, motorcycles still has a long way to go for a meaningful journey into the EV, but at Sans era we are we are well prepared and we in fact look forward for this thing because as you are aware that motorcycles are much more heavier compared to

the scooters in terms of their weight and it requires definitely for the same similar range and similar power it would require a lo t more light weighting . So where we see ourselves as well positio ned to take up that opport unity. So while I still have my reservation on a meaningful journey into electrification in motorcycles, but as and when it comes Sansera is very well prepared and look forward for participating in this program.
Aman : My second question was on the inorganic opportunity like as one of our strategies we have mentioned inorganic opportunity how are we thinking about it and would we consider some area in non -Auto space li ke Aeros pace, defense or ev en some of the spaces we have been
 talking about like contrac t manufacturing for EMS and all. So how are we thinking about inorganic opportunity to add upon the growth from the new orders we already have.
B. R. Preetham : We have been very selective in our approach towards any inorganic growth, we have had in our history only three times one is acquisition two of them are participating in this thing but the last one being MMRFIC where we have a very, very going into the future tech nology we have been very, very selective because S ansera has been very focused on, we are an engineering company, we like engineerin g, we invest in engineering ahead of the curve. So this is what has been driving our business and in line with that only we have had this investment into MM RFIC we think both in defense as well as in a uto we will have a meaningful contribution through this because we see a lot of adoption in the future autonomous vehicle segment the things are looking very, very positive for th is company we have been dis cussing with a few of the OEM s in developing a radar for the aut omotive application where the object identification is becoming a norm definitely we will have a role to play in that thing while such opportunities we are through A CMA cluster programs and also through some of the programs conducted by I ISC we keep looking a t a lot of opportunities with startups and wherever we feel that this thing we have a deeper discussions with them. Currently there is nothing on cards that I have to te ll you, but we have kept our ears and eyes open, in the future we might look at something to do with aerospace and defense an opportunity outside India, if we need to look at it that is something th at is of interest to us as well.
Aman : Very Happy Di wali to the whole team . Thank you.
B. R. Preetham : Thank you. Happy Diwali Aman.
Moderator : Thank you. As there are no further questions from the participants. I now hand the conference over to the management for the closing comments.
B. R. Preetham : Thank you. With this I conclude the call, if you have any further queries , please contact SGA our Investor Relation Advisors. Thank you everyone for joining us today on this earning call and Happy Diwali and season ’s greetings to all of you.
Moderator : Thank you very much. You on behalf of Sansera Engineering Limited that concl udes this conference. Thank you for joining us and you may now disconnect your line s.

Call: Feb 2024

SANSERA ENGINEERING LIMITED
(Formerly Sansera Engineering Pvt Ltd)
Reg Off: No. 143/A, Jigani Link Road, Bangalore- 560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80- 27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

February 19, 2024

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Earnings Call Transcript
Please find attached a copy of transcript of Earnings call held on February 13. 2024 on Unaudited financial results of the Company for the quarter and nine month ended on December 31, 2023 .
The above transcript will also b e made available on the website of our Company at www.sansera.in .

Kindly take the same in your record.
Thanking you,

for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer
M.No. F5176

Encls: a/a

"Sansera Engineering Limited
Q3 FY202 4 Earnings Conference Call "

February 1 3, 202 4

DISCLAIMER : E&OE - THIS TRANSCRIPT IS EDITED FOR FACTUAL ERRORS . IN CASE OF DISCREPANCY , THE AUDIO RECORDINGS UPLOADED ON THE STOCK EXCHANGE ON 13TH FEBRUARY 2024 WILL PREVAIL

MANAGEMENT : MR. BR PREETHAM – EXECUTIVE DIRECTOR & CEO – SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER – SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – CHIEF OPERATING OFFICER – SANSERA ENGINEERING LIMITED
Sansera Engineering Limited
February 13, 2024

 Moderator : Ladies and gentlemen, good day and welcome to Sansera Engineering Limited Q 3 FY2024

Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Preetham CEO and Executive Director. Thank you and over to you Sir !

BR Preetham : Thank you. Good morning and welcome and thanks for joining this call . On this call I am joined by our CFO Mr . Vikas Goel, our COO Mr. Praveen Chauhan and our investor relations advisor team from SGA . The results and the presentations are uploaded on the stock exchange and the company website . I hope everybody has had a chance to look at them . FY2024 has been a fairly strong year for us . We delivered our highest ever performance in terms of sales as well as EBITDA in each of the quarter this year . India continues to be the third largest automotive market globally. T he auto industry is expected to drive major manufacturing growth and become a major exporter of cars as well as a uto components . The auto component industry itself is witnessing a lot of traction and growth due to increased opportunity as the content supplied to the OEM s has been on a continuous increasing trend . Sansera has also been the beneficiary of that. India has become an integral part of the global supply chain. G lobally OEM s have a renewed focus on all the ICE platforms as well apart from their focus on the EV segment and they are extending various ICE programs beyond 2032 . Similarly , aerospace and defense OEM s are also actively looking to expand vendor base in India with a t arget aiming to develop sourcing and a manufacturing base for the long term. From time to time our achievements are recognized by our customers , recently Honda Motors India awarded us for the t arget accomplished in delivery and quality during year 2023- 2024. Now coming to compan y specific performance highlights for the quarter gone by . We are pleased to announce that we have reported strong financial and operational performance in Q3 . Our revenues came at a healthy Rs.7126 million representing 27% year-on-year growth and a 3% sequential growth. EBITDA margins during the quarter were steady at 16.9%. T he performance is particularly noteworthy as this strong performance came through despite Q3 being a slow quarter industry wide and the pres sure that we are seeing in our subsidiary in Sweden . This quarter
we saw good order execution on international business as expected which comes in with a n obviously higher margin . This increase in international business has mainly come from our North American customers . Now getting to the details of our operating performance in the quarter. The au

to I CE segment registered a 28% year on year growth for Q3 FY2024 and
 16.4% year on year for nine months ended FY2024. This growth was primarily driven by growth in PV and two -wheeler motor cycle segments. In fact within the two -wheeler components we had our highest ever quarterly sales driven by the motor cycle components which has also helped by the premiumization of these models which have started delivering the numbers and this upsurge is also backed by the strong performance of our large two wheeler customers along with increase in share of business focused on premium models. We are participating in most of the premium motorcycle models including Royal Enfield, TVS, BMW program, Harley, Hero models and Triumph Bajaj models as well. Parallely , the CV segment which contributes more than 10% to the total sales has also witnessed the highest ever sales in this quarter. The PV segment contributed 22% of the sales in this
quarter, which is a 36% improvement over the same period last year. We are focusing on increasing our wallet share among our customers and targeting to participate in their newly launched upcoming models as well . In all, the auto ICE segment contributed 76.1% of our sales in Q3 FY2024. T his segment includes 37.1% of the sales from motorcycle segments , scooters accounted for around 5.7% of the total top line , passenger vehicles accounted for 21.9% of the top line, commercial vehicle sales contributed to 10.7% of the top line. As anticipated , the other segments which are auto tech agnostic xEV and non-auto have also grown at a faster rate. Auto tech agnostic and xE V products together contributed 11.7% to the sales revenue reflecting Sansera’s r eadiness for the futuristic product range . The year over-year growth in the first nine months of this financial year was an impressive 41.8% demonstrating exceptional progress , 7.9% of the revenue came from auto t ech agnostic components . We have very good traction for our aluminium component due to the growing requirements of the light weighting , as well as the fact that more aluminium components go into the premium models . The contribution from xEV products has decreased to 3.8% primarily due to the scaling down of our business from one of our domestic EV two-wheeler customers as mentioned

previously as well . However , our EV business will
improve as a new American multinational a utomotive EV customers orders have already started contribu ting to our top line. Our non-automotive segment grew by 25.5% in the quarter contributing to 12.2% of our total sales and the contribution was similar in Q3 last year. Talking about the sales mix in a erospace, we manufacture seating parts, aero structure parts, door assemblies , lighting parts, cargo handling systems , parts which go to actuation and engine systems . Aerospace and defense contributed together about 4.4% to the quarter . Growth in this segment is lower than our earlier expectation as there are some delays in one large order from our customer end which was also mentioned during our last conversation . This order is expected to be starting from this quarter , but ramp up will happen throughout the next financial year . Off-road sales were to the tune of 4.6% of our revenue. T his year we expect to achieve a top line of more than Rs.1000 million in the off -road category. Agriculture accounted for about 1.6% of the top line and the remaining 1.6% of the t op line came from few other segments . Our order book of the new business with an annual peak
 revenue stood at Rs. 20.4 billion as of December 31st. This is more than 85% of our t opline in the last year .
This is a very meaningful number as this is over and above our existing business and does not include the orders which are already in the mass pro

duction stage . In the quarter we saw
a very strong inflow of orders in both non -auto segment and auto I CE segment reflecting Sansera's expertise in these areas . Non-auto accounted for almost 58% of the new orders and we also received major orders for the tech agnostic products which accounted for almost 14% of our new incremental orders in the quarter . On the capex front this quarter we have finished the construction of our new m achining facility at our existing plant 11 . We have already started commissioning machining lines here which will primarily cater to the machining of aluminium forged components as well as bigger connecting rods for agriculture and construction equipment and heavier engines as well . The construction of the new forging plant at our Bidadi facility has commenced and we expect that towards the end of the second quarter of the next financial year this building would be ready and we will be commissioning our 4,000 ton press in the same new building. T his will also be a very meaningful addition to the progress in our light weighting and aluminium components . I now hand it over to Vikas Goel our CFO.
Vikas Goel : Thank you Preetham. G ood morning, everyone . I will talk about the c onsolidated financial performance for the third quarter of FY2024. O ur revenue stood at Rs. 7126 million with a 27% growth on a year -on-year basis . This is a very broad- based growth across the geographies and segments . Over the years Sansera has become known as a leader in the connecting rod space which is very critical in a uto ICE. However , a number of our IC E products , including the connecting rods find application in both ICE as well as non -auto and tech agnostic spaces . We have increased our disclosure with respect to the component mix to offer more clarity on this . You can refer to slide number 17 in the presentation for the same. F urther in terms of revenue mix , customer diversification is in the play with higher business coming in from new customers . The percentage of top five customers came down to 48% from 52 on a year on year basis which is a progress in the right direction. G ross margins were in line with previous quarters . However , one percentage point improvement in EBITDA margin is witnessed which is largely due to operating leverage coming into play. Overall EBITDA improved 36% on a year -on-year basis to Rs. 1207 million . The finance cost for the quarter was at Rs. 175.4 million which was in line with the finance cost of the last quarter . Profit after tax of 483 million for the quarter with a margin of 6.8% witnessed a year on -year growth of 55%. Geographical sales mixed for Q3 stands as follows , India 68.3% , Europe 18.1%, North America 11% and other foreign countries 2.6% of the total revenues . Now we come to the nine-month performance on a year to date basis . Revenue from operations surged by 20% year-over -year at Rs. 20,656 million as compared to Rs.17,274 million in the corresponding period last year . Nine month EBITDA grew in line
 with our revenues and stood at R s.3582 million with a margin of 17.1%. Net profit for the nine months at Rs. 1412 million registered a growth of 25%. O n the debt front our net debt stood close to Rs.6196 million . With this we conclude the formal presentation and open the floor for question and answers . Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. T he first question is from the line of Siddhartha Bera from Nomura. P lease go ahead .
Siddhartha Bera : Thanks for the opportunity and congrats on a good set of members . Sir first on the order book, we have continued to see a very good improvement over the year in terms of the order

book, depending on the order book can you give some more colo ur what percentage or what quantum of this order book will proba

bly get executed in the next one year and according to you which segments do you see s tronger growth, I mean this quarter we have seen a good pickup in the two whee ler motorcycle segment but if you look for the coming year which are the segments which you think that grow can be stronger depending on the order book here.

BR Preetham : Thank you Sidd. I mean order s as I said that Indian auto comp industry has been witnessing a quite a steady inflow of orders and we are no exception while we have diversified into non-automotive and in automotive tech agnostic components , xEV components so these are helping us definitely to increase our order book, S o currently what we are seeing is that most of th ese orders , the maturity would happen around FY202 7 so which means that from FY2025 to FY202 6 and FY202 7, towards the end of FY2027 the full maturity of this order book could be seen that is what we have the projections from our customers and if I have to speak about from which sectors are we getting the maximum traction out of the total order book about 47% of our orders have come from a uto I CE, non auto contributes to about 23%, xEV about 18% and t ech agnostic components about 12%. In auto ICE as well , I would say 28% is coming from passenger vehicle segment and in two wheelers we see a lot of traction on the premium motorcycle segment so that is where all our growth is coming from . We have added also some customers in the larger engine capacity so I see a lot of growth coming in that segment which goes into industrial heavy commercial vehicle then agriculture segment , of course our xEV components continue to grow . We have kept adding to this as well .

Siddhartha Bera : Sir some more clarity on the non auto side . I mean we have sort of overall numbers been around that in the last couple of quarters so some colo ur on the outlook I mean like a ero space or off road can we sort of go back to that 40-50% growth which we sometimes have indicated in the past in the coming year or that according to you may take longer .

 BR Preetham : Fundamentally there is a good traction in the non -auto segment . We have been growing . You would see further addition to this segment in the coming years as well as I said that we have picked up orders on the larger engine category which is mostly non-automotive . Second thing is that on the a erospace and defense we continue to see a good traction . Of course , there was some delays in few of the order execution as I had communicated last year otherwise, we would have seen the same 45 to 50% growth this year but for that but slowly we are seeing that that is also coming back while almost 70 -80% of that order will be executed in the next financial year . As we see today the current customer projection and the order pipeline and the development pipeline that we have we still think that next year we could see closer to 45 to 50% growth in our aerospace and defense segments . We continue to be quite positive on this segment , Siddhartha .

Siddhartha Bera : Got it Sir . Sir last question on the margin side I mean if I look at the s tandalone margins they have improved quite a bit if I look at Q2 versus Q3 but we have not seen that type of improvement in the cons ol margins , you mentioned like Sweden had seen some issues so probably X of Sweden where will be the margins and how long do you think this Sweden issue will take to resolve . I mean by when should we see the normal margins coming back X of Sweden .

BR Preetham : In Europe we see a bit of a slowdown overall as well as due to the reorganizing of the product share of business between us and another supplier for the de risking . There is a cut in share of business on our largest engine program me but we have got additional volumes from the other program mes but that is not in line , in the sense

because we have two separate lines , one producing larger volumes where we have lost some share of business and overall volumes have come down in this segment as well , see the whole of the next year the Europe looks flattish and then we do not see too much of a change coming from the numbers that have been projected from our customers so what we have done is we have based on what projections that we have , we have started serious conversations with our existing customer s for finding a solution because we do not intend or on a long term this is not a desired situation for us to have in Sweden so we have taken with our customer for various options including looking at some of the production facilities or some of the volumes to be done from India to offset cost or compensating so this is underway , discussions are underway so I do not see too much of a change that is happening in Sweden in the coming quarters unless there is a market pick up or change in share of business that can happen but we are in continuous conversation now with our customers to ensure that how do we cover up for this reduction in margins , of course our other subsidiary Fitwel we have a very strong sales pipeline there . This year due to one of the customer 's slowdown for them the growth has not been significant . They have had a single digit growth but then their order pipeline is quite strong so I expect that next year they will have a reasonably higher growth for us so on a standalone performance Vikas can you talk about this .

 Vikas Goel : So we have done well as you have also noted Siddhartha on the standalone basis and it is on all the fronts including gross margin as well as on the operating leverage in terms of other costs so that is translating well and if we had been able to maintain the same in the subsidiaries we probably would have a margin which would be higher by about half percent or 50 basis points so that is the impact that we see. W hile Sweden may take a little longer to resolve , in Fitwell we are hopeful that we will recover faster and the impact itself is very low there .

Siddhartha Bera : Got it Sir . Thanks a lot . I will come back in the queue.

Moderator: Thank you. T he next question is from the line of Akshay Karwa from Anand Rathi . Please go ahead .

Akshay Karwa : Sir the previous person's question regarding the order book so assuming that the order book we have is of Rs. 2 billion and we expect it to be executed by FY202 7 so what type of revenue target are we looking at for the next few years Sir by FY202 7, FY2028 preferably , if you could talk about that Sir .

BR Preetham : Akshay when I answered the previous question I told you that most of this order book depending on the sector and depending on the geography there are different program mes that we are working on but then I see the maturity h appening by FY202 7 that is what as per the current indication most of the 90% order book maturity would happen I would still like to maintain that given the size of the business which is growing and the order book addition to that I would still think that we will continue to grow at double the industry growth. I f the industry is going to grow by almost 7.5 to 8%, I think that it is very safer to assume that we will grow double that thing. S pecifically , we are still to work on how much of each of this segment so we are still working on the numbers from our customers so we are still not ready with the full set of numbers which we may have for the next year so we will have some more clarity towards the next quarter .

Akshay Karwa : Assuming that your two-wheele r industry your entry level segment if this segment come back to pre COVID levels so what type of revenues could you expect for the two -wheeler segment in FY2023 we did something around 500 Crores of revenue so what type of revenue would you be seeing if the potential in this segment Sir.

BR Preetham : See currently ,two-whee ler revenue contributes almost closer to 1000 million till year to date revenue so I would say that see we are expecting a double digit growth in the two wheeler segment in the coming year that is what is the most industry productions are all also pointing to. A dded to that we have got good amount of tech agnostic products that are maturing into the higher end CC where our contribution per vehicle as well as some

 margins are better so looking at that we should have a very healthy , again I would still say if the industry is going to grow by 8 9% in two whee ler segment . We will double the growth.

Akshay Karwa : That is nice to hear and Sir just last question in your opening remarks you mentioned about this new 4 000 ton press in the Bidadi plant so what type of components would we be looking at from this press and what type of margins , what type of profile , could you talk about this please.

BR Preetham : See all this while our component category predominantly could have been accommodated in a 2500 ton press so our lines were equipped to handle that as we have now moved to higher engine category going up to almost 18 to 20 litres engin es the components that we have developed for some of our customers which would include customers like C ummins, JCB, Kohler, Liebherr, and CNH program me. A ll these would require bigger tonnage of press so we have added this new press, it is a brand new press unlike the industry generally the bigge r presses are not added on this thing so it is a brand new press with fully automated line with an ti vibration mounts and all those so this would be operational towards the end of the second quarter while the commissioning would start towards August . Primarily 50% of this capacity would be meant for forging the bigger connecting rods and 50% of the capacity we still would like to keep it for developing some bigger aluminum components as well. So given the product portfolio and the profile obviously I expect that going forward we will have few more of these presses in the future because there is a lot of traction in this kind of components .

Akshay Karwa : Got it Sir , so basically you would be catering more towards the larger engines from this 4000 ton press.

BR Preetham : Mostly coming into the non-automotive segment larger engine capacity , larger connecting rods and bigger component which is also both steel and aluminum .
Akshay Karwa : Thank you so much Sir and wish you all the best . That is all from my side .
Moderator: Thank you . The next question is from the line of Kashyap Javeri from Emkay Investment Managers . Please go ahead .
Kashyap Javeri : Thank you so much Sir and congratulations for a great set of numbers . I have four questions here one in terms of order book of about 240 Crores how much is domestic a nd exports .
BR Preetham : So the order book domestic totally segment wise I have to see the domestic contributes about 41.45% and exports is about 58. 55% approximately about 1196 million is from exports and 847 million or 846 million is from domestic.
 Kashyap Javeri : And within this 11960 which is exports how much is EV.
BR Preetham : xEV is close to 2,000 .
Kashyap Javeri : So slightly less than 20% of that is EV.
BR Preetham : Yes.
Kashyap Javeri : Second question is on the operating leverage side so continuing from what Siddhartha highlighted about the domestic margins now at about almost about 18 % how much of more operating leverage can be squeezed in the domestic operations from the i nvestments that we have done over past let us say about four five years . I mean we have invested almost about 1100 Crores in capacity additions how much o

f more operating leverage can be squeeze from this with existing capacity .
BR Preetham : To correct my last previous answer about 200 Crores coming from EV in exports but another 165 from domestic so you need to add that both put together it is about 365 coming from xEV. Just to correct that because my answer was more towards 200 coming from exports so I left out the domestic portion there .
Kashyap Javeri : Right Sir got that , on the operating leverage side.
Vikas Goel : See operating leverage will definitely come through as our utilization on the two-wheeler segment improves , we would say about another half a percent may still come over the next one to one and a half years .
Kashyap Javeri : So last time in one of the conferences that I had met you had highlighted that on overall basis we could still do roughly about 18-19% kind of margins now contingent on what is happening in the Swedish operations would that 18-19% be limited to less than 18% overall on consolidated basis .
BR Preetham : I think it is safer to look at that way on a current situation basis because I said that Sweden might take some more time to come back while we are performing well on our domestic front or Sansera India bas is so it is safer to assume that for time being.
Kashyap Javeri : Sure third question is on the capex side we have spent significant amount on capex last five years next five years we are seeing the complete change of our revenue mix in favor of the newer technologies how much are we going to spend let us say over next five years in terms of capacity addition on a broader basis I am not asking individual business wise but on the broader scale how would that capex be split so over next about five to six years .
 BR Preetham : See most of our capacities are going into new technologies only except that in passenger vehicles. W e are looking a lot of traction in the passenger vehicle you would see in the coming days or in the next quarter announcement that we are talking to some new big international customers on addition of business in the auto ICE as well in our core category of components and it is substantially good business inflow coming from there so while most of our investments today are focused on t ech agnostic components that is going into aluminium for ging, machining , anodizing lines , special process requirements we are also expanding our capacities in non-automotive segment . As I said that we are adding capacities both in forging and machining for larger size components which goes into industrial construction equipment , agri as well but looking at our order in flows we should safely assume that because we do an end to end capacity expansion on a gross block level about 1.5 to 1.6 asset turns is what we should look at in the automotive and non-automotive category except in a erospace where we could probably look at 1:2 on the order book basis that is how we will split our capex.
Kashyap Javeri : Sure, and last question is on new components contribution to overall top line what is it today and over the period of next five years where do we see that going .
Praveen Chauhan : See typically speaking what P reetham has been telling is that we are likely to grow double the industry growth from that point of view the 50% of our growth would be coming from the new component and 50% would be via the industry growth . Now th is 50 could be

sometime 60 -65% sometimes around that but typically around 50 -55% of the growth would
come out from the new products .
Kashyap Javeri : Sure sounds great Sir. T hank you so much. T hat is it from my side . Thank you so much Sir.
Moderator: Thank you . The next question is from the line of Mumuksh Mandlesha from Anand Rathi .
Please go ahead .
Mumuksh Mandlesha : Thank you so much Sir for the opportunity and congratulation s on a good st

andalone
performance. Sir can you provide an update on the aluminum forging what are the revenues
currently nine month and expected revenues next few years .
BR Preetham : Mumuksh thank you. S ee aluminium as it stands today for the current nine months a pure
aluminium components about 26 Crores of our revenue for the first nine months but what I
see here we will be producing closer to a million components this year and this whole of
this year we worked with almost two and a half presses now we are working with four
presses and then two more are getting added now 1,600 and 1350 ton press towards the end
of this year and looking at how business is shaping up another three presses are required at
the current order book that we have confirmed order so in terms of aluminium t ech agnostic

 product and aluminium for ge and machine category of components if you see our order s
breakup almost 245 Crores is coming from t ech agnostic components 12% of our total order
book so there is a good amount of t raction . And please understand except for a two or three
orders which we have got from p assenger vehicle industry we have not yet touched that at
all, what we are doing and currently focused on is on premium two wheeler segment and
also on some xEV segment on the scooters but then there is a huge scope and currently as I
see whatever capacities that we have committed and the thing we are full up to FY2025.
Mumuksh Mandlesha : And that is 250 Crores currently order book right .
BR Preetham : The current order book which is not yet executed itself is about 250 Crores while we
already total tech agnostic, I think order book if I see is about 361 Crores.
Mumuksh Mandlesha : Got it Sir so on the Sweden can you share what has been the revenue and the PAT for the
nine month numbers and can you just guide how do you see for FY202 5.
Vikas Goel : So revenue for nine months is about 127 Crores and we expect to reach about 160 Crores
for the year. The projection for FY2025 will depend on how the negotiation with the
customers go . We are looking at multiple options as Preetham explained, it could be
pricing , it could be volume so it all depends how the negotiations conclude .
BR Preetham : But currently we do not expect too much growth coming there for the next year . We expect
the revenues to be flattish . The EBITDA margin currently for the YTD stands at around
7.5% but for the quarter it was lower . The EBITDA margin for the quarter was only about
1% so going forward we expect that from all the things that I told you that Sweden , we did
not expect from the beginning that we will not cross I mean we were targeting about 10%
EBITDA margin from this business but next year would be a challenging year so we expect
that with the current talk with the customers we would be able to resolve this issue and
move towards that number .
Mumuksh Mandlesha : Got it Sir and just lastly can you share some thoughts on the margins for the new segment
like auto tech and xEV so I mean it would be broadly in similar to the ov al company margin
or you will see better margins as they are more on the export side.
BR Preetham : See on a overall basis if I see t ech agnostic and xEV components today more than 50% of
that is coming from exports so which means that the export margins are better in line with
our exports margins but as I also kept on explaining especially on t ech agnostic components
there is still headroom available for improvements because we are currently in a phase
where both development and mass production ramp up is happening in the current facility
which is again restricted to one of the facilities here where we do only in one facility so

 there is a lot of pressure , while we have to develop all the components , all the i mproveme

nt
cycles are still on the progress which means that going forward we will still have good head
room for improving our margins . We are still not optimized on both the machin ing and
forging on this category of components . Potentially we will do much better on this category .
Mumuksh Mandlesha : Understood Sir. Thank you so much for the opportunity.
Moderator: Thank you. T he next question is from the line of Arjun Kh anna from Kotak AMC . Please
go ahead .
Arjun Khanna : Congratulations on a good set of numbers . I just have a few questions . The first one on the
aerospace and defense side in terms of order book we talk of almost 185 Crores of an order

book so in terms of an annualized number which year do we expect to hit these p eak annual revenues .
BR Preetham : If I see how things are progressing so FY2026and FY2027 towards the middle of FY2027 is when I see the current full order book , full maturity Arjun.
Arjun Khanna : So, by FY2027 we could see roughly 185 Crores revenues is that the right understanding.
BR Preetham : No, this 185 Crores of revenue is only on the n ew order books which are yet to be executed .
Arjun Khanna : FY2023 revenue is around Rs. 90 Crores.
BR Preetham : No but if you really look at the current order book that we have had apart from what we have so this itself would be around 180 to 190 Crores so you add another 185 to 190 Crores for this order book from the new order so in my opinion that overall order book from the current orders and the new orders put together would be around 350 to 360 Crores .
Arjun Khanna : Okay. Understood now Sir. W e are saying the facility will reach p eak utilization by FY2027, the entire facility and this year like you mentioned in the previous quarter have been partly shifted so on an FY2025 basis what kind of order book would come into the actual execution .
BR Preetham : I think FY2025 we are looking at somewhere around 170 to 175 Crores total revenue in aerospace.
Arjun Khanna : Sure so we are looking at possibly 20 27 being double of 2025 is that the right understanding.
 BR Preetham : I think so yes. Arjun , this also goes in line with what I have been saying that in the next two three years given the kind of growth potential that is there in the order book visibility we could grow by 50% . This year being exception because one of the things we had got so if you really extrapolate what is happening that is how it will pan out also.
Arjun Khanna : That is very good to hear Sir. Sir the second question is in terms of the two-wheeler piece you mentioned we have won a number of p remium two wheeler orders ; I just wanted to understand do we utilize the same equipment m achining or do we have to set up new equipment etc for th at.
BR Preetham : Basically for the existing setup components I CE category of vehicles especially on the entry segment and executive segment of vehicles we do not intend to or we have not added any capacities that is where we use our own existing facilities but on all the premium models be on ICE components as well as on t ech agnostic components there needs to be a capacity expansion that needs to happen especially on aluminium components and on higher CC crank sh afts like 400 cc but very marginal . On the core components there is no expansion that is planned .
Arjun Khanna : Sure and just in terms of core components what is the utilization rate c urren tly. We had mentioned around 50%.
BR Preetham : Last year it was around 55%. I think this year we are closer to 70% now .
Praveen Chauhan : That is right . We are closer somewhere around 67- 68% is on an average. We expect the year to go close to around similar number 68 to 70%.
Arjun Khanna : Sure so then that operating leverage should show up in our margins markedly if utilization rates go up further .
Praveen Chauhan: Yes t

here is certainly a potential to go further up . We expect the utilization but as you see that our order book is very strong and we are adding new types of products so we are adding new product lines , our capex will continue to be on a higher side so maybe only over a period of time we will have these better operating leverage but we will continue to have that benefit .
Arjun Khanna : Sure thank you and wishing you all the best.
Moderator: Thank you . The next question is from the line of Rakesh Vyas from Quest I nvestment . Please go ahead .
 Rakesh Vyas: Hi congratulations on good set of numbers . I have two set of questions first one is extension to what was asked previously on the existing capacity that we have what is the peak revenue that we can expect from the business because you said we are in the conve rsation we are already at around close to 70% so given the kind of product mix that we have what is the maximum revenue that we can attain and the second question is the peak revenue visibility of 4500 Crores kind of number in FY2027 how does the existing ramped up order actually gets accounted for example if there is a change in model from the existing OEM which you are already supplying how does the reordering or some of those numbers comes into picture in this 4500 Crores revenue .
BR Preetham : Actually , see our order book as we have mentioned earlier , we do not take any of the

existing business replacements into our order book. S uppose if we are doing for just to give you an example if we are doing some components for M aruti Br eeza and Maruti Breeza would get an upgrade and we get a n order for that upgrade model so our order book does not constitute any of these components so there is no order which accounts for replacement business of the existing business is accounted for . While we say that there would be some program me which would probably retire but given the track record of our past performance with the customers and our relationship and this thing, we expect that we would be a strong participant in the future models as well because that is how the development cycle goes . We keep ourselves engage d with the customers in the development cycle from the beginning because our kind of components also go through quite a long time of development about one and a half years of development so to answer to your question as none of the replacement business are factored in , it would be only new businesses that are factored in . Second thing is that you ask me what is the peak revenue potential of our current facility , so while we say that theoretically we would like to have between 80 and 85% utilization given the cyclical nature of our business we need to keep some headroom for some peaks andother things so we are comfortable operating between 80 -85%. Please understand these capacities are calculated on a three shift , 300 day working basis so with that and this is a moving piece we keep adding and depending on different sectors performing I think it is safer to assume that at around 85% we can generate a revenue from current capacity about 900 Crores per quarter .

Rakesh Vyas: Got it and just for clarity the existing revenue that we are generating today which is on most of the ramp ed-up production on the already existing order book is there a visibility that of this how much will actually taper off going forward into FY2027.

BR Preetham : Please understand that my existing order book or existing revenue is consists of three pieces if I have to say one is that it is a full mature business there is another one which is probably 50% matur e business and there is a portion of business which is just started last year and on the ramp up stage so all these three put together and all have got different thing . While we

drop our business plan we also have to take it into consideration depending on the model and customer wise projections on what model goes down so there is enough headroom because the current order book is not a full mature order book ./

Rakesh Vyas: And lastly just to clarify again this 4500 Crores revenue visibilit y as of orders that exist in high end today and in next two years if you get more orders which you will obviously get this revenue visibility will actually further improve beyond this 4500 even for FY2027 itself because as you said some part of this new order will add to ramp up using FY2027 as well.

BR Preetham : Definitely that is the plan and that is how we work because we continuously interact with customer . We strive to participate in all their new program mes. W e also expand both geographically and product mix so we expect that we continue to add new businesses into our order book in the coming quarters.

Rakesh Vyas: Great thank you so much and best of luck.

Moderator: Thank you. T he next question is from on the line of Kapil Singh from Nomura. P lease go ahead .

Kapil Singh: Good morning Sir . I have two questions , so firstly I wanted to check on the technological front in case of aluminium for ging especially for the new components what kind of technological skill sets are required to be successful in this business and we hear that there are lot of players who are trying to get into this space so in terms of competitive intensity and margin profile how would that play out .

BR Preetham : Good morning Kapil. T his is a journey that we had started about three four years back when we realized that our expansion has to happen b eyond auto ICE component so this was something and we being in the forging and machine category of components so obvious choice was to get into something very similar . So when we started our journey we also said that this is something that we could achieve or do it much faster and much easily but contrary to our belief that the kind of components that are being offered at least in the segment that we are operating in are quite complex in nature which means that the end to end production facilities are required to be in place in order see most of these are class A and class B components which are very aesthetically important apart from functional requirements . So which means that our whole focus currently which was on functional and micron , submicron level of tolerance and all that . Added to that a nd new dimension got added was a very strict and stringent aesthetic requirements because most of these products are going into or majority of these products are going into premium model so while focus on aluminium forging technology itself was primary thing but the material flow , the Die heating technology, the equipment itself but a lot of vertical integration both in terms of machin ing, anodizing , solutionizing everything so what is very key here at least that is what we have learn ed is that what you for ge is not what the product that the finish of the product that is not what you see at the end of the line , so this gets a mplified after solutionizing , after anodizing so it is better or it is recommended that most of our customers should have a fully integrated facility that is where we are expanding . Today this is what we have learn t and this is how the whole industry operates and added to that a lot of skill set is required on product like some of these components which are in multiple planes you would not believe we would have done some 65- 70 iteration to get into level so that we are in so it is something that is not as simple as steel, the equipment and technology is not fully understood and available in India . Of course , there is a lot of interest in this segment people are wanting to get in

and by having this technology about three four years now we seem to have got a good head start in this.

Kapil Singh: Great Sir. Second question I had was if you look at the model cycles for the OEM now they seem to be more aggressive than the past where a lot of frequent changes are taking place and mo re focus is there on premiumization now I suppose that is also going to put a lot of pressure on your development and e ngineering teams , how are you preparing to handle this and how does this manifest into profitability for the company if you are putting in more effort to develop these components and some of these may be running for lesser periods before again there is some kind of upgrade that is coming , if you look at historically the model s need to last much longer .

BR Preetham : Of course traditionally what we used to do or when we have as we keep growing this segment there is also kind of understanding on the category of this segment so broadly today we know there are triple clams there are support brackets , all these are class A components , now we are able to understand a product category among sub category among this category . So traditionally in S ansera what we have done is we work with quite advanced software where we do automation on the design itself , so by parameterizing the whole thing that we automate the design of both product as well as the fixtures and jigs that are required and when you seen in our facilities we have mostly even in for ging all our toolings we have made it more fungible depending on this thing so we can actually change from one component to another component quite fast in terms of the thing but having said that you are right the number of components that are developing per vehicle is significantly increased , the number of models and the variants that are getting developed are also increased . There is a lot of pressure . Only thing that is currently challenging is and while I say that while we are adding capacities not much of time we are getting on a lot of improvements that we want to do so we are adding capacities and I am sure that in next two to three quarters we would get into a space where we will have some team and equipment to only focus on i mprovement on the thing but going forward this technology that we have

 now learned over three four years we will also put in our expertise to automate a lot of design work as well so that is how we are looking .

Kapil Singh: Sir my question was also to understand that if there is more development work being put in for these products is that you can ask your OEM for better margins also for these products because ultimately if you have a product A and it runs for 10 years 20 years and now these products are running for lesser periods and more development work is required then ideally you should be asking for better margins from the OE Ms so that is where I was coming from .

BR Preetham : Always we want to have better margins from the OEM of course because these are on the premium category of vehicles and with diversified customer base that we have we expect that the product margins are going to be better in this category . Of course we also get development cost for these components as well . They also understand the kind of iterations and kind of development efforts that goes in so we get compensated for the development cost as well but over the time our understanding of the product pricing ha s also been better . We have also done mistakes in our product pricing in the earlier stages of our development . We have understood it better . We are pricing it more optimally so yes you are right that this category o ver the maturity should give us better margins .

Kapil Singh: Thank you Sir. Wish you all the best .

Moderator: Thank you . Due to the time constraint we will take this as the last questio

n . I now hand to conference over to management for closing comments .

BR Preetham : Thank you everyone for your time and in interest in our company. I conclude this call. If you have any further queries , please contact us directly or our S GA, our investor advisor s

and thank you again everyone for joining us today for our earning call.
Moderator: Thank you. O n behalf of Sansera E ngineering Limited that concludes this conference. Thank you for joining us and you may now disconnect your lines .

Call: May 2024

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

May 23 , 2024

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Earnings Call Transcript
Please find attached a copy of transcript of Earnings call held on May 17, 2024 on audited financial results of the Company for the quarter and year ended March 31, 2024.
The above transcript will also b e made available on the website of our Company at www.sansera.in .

Kindly take the same in your record.
Thanking you,

for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer
M.No. F5176

Encls: a/a

"Sansera Engineering Limited Q4 FY-24 Earnings Conference Call"

May 17, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 17th May 2024 will prevail

MANAGEMENT : MR. BR PREETHAM – EXECUTIVE DIRECTOR & CEO , SANSERA ENGINEERING LIMITED .
MR. VIKAS GOEL – CFO , SANSERA ENGINEERING LIMITED .
MR. PRAVEEN CHAUHAN – COO , SANSERA ENGINEERING LIMITED .

MODERATOR : MR. RAUNAQ SABHARWAL – PHILLIP CAPITAL PVT.
CLIENT GROUP .

Moderator: Ladies and gentlemen, good day and welcome to Q4 and FY 24 Sansera Engineering Limited Earnings Conference Call hosted by Phillip Capital Private Client Group.
This Conference Call may contain forward looking statements about the Company , which are based on beliefs, opinions and expectations of the Company , as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Raunaq Sabharwal for opening remarks. Thank you and over to you, sir.
Raunaq Sabharwal: Thank you Neha . Good morning everyone , on behalf of Phi llipCapital Private Client Group, I welcome you all to the Q4 and FY24 Earning Conference Call of Sansera Engineering Limited .
We thank the Management of Sansera Engineering Limited for allowing us to host the call. From the management side we have Mr. BR Preetham – Executive Director and CEO, Mr. Vikas Goe l – CFO and Mr. Praveen Chauhan – COO.
I now hand over the conference to Mr. Preetham for his Opening Remarks . And we will then open the floor for a Q&A session . Over to you sir .
BR Preetham: Thank you Raunaq . Thank you and good morning and welcome to everyone. Thanks for joining this call .
As told, on this call I am joined by our CFO – Mr. Vikas Goe l, our COO – Mr. Praveen Chauhan , and our Investor Relations Advisor SGA team. The Results and the Presentations are uploaded on the Stock Exchange and the Company website. I hope all of you have had a chance to look at them.
We maintained our growth trajectory in the Fiscal Year 2024. We have reported a very healthy double -digit growth annually since our IPO. This growth is driven by our efforts to expand our emerging busin ess segments, namely non -automotive, tech agnostic and xEV. We close d the year with our highest -ever annual revenue and EBITDA at Rs.28114 million and EBITDA at approximately Rs. 4800 million respectively.
For FY 24, I am very happy to say that our Board of Directors have recommended a dividend of Rs.3 per equity share.

The EBITDA margin ha s improved from 16.4% in FY23 to 17.1% in FY 24 on the back of business mix and operational efficiencies. Our quarterly revenue and EBITDA were also at record levels at Rs.7459 million and Rs.1268 million respectively. Overall, the auto industry remained buoyant during the year with growth coming across all market segments including two wheelers, three wheelers, passenger vehicles, tractors and commercial vehicles. The two-wheeler segments growth was a function of both IC E and EV growth .
Historically Sansera has outperformed the industry growth by a healthy margin. Our performance in the past few years is a reflection of the same . In terms of business mix details, quarterly numbers are available in our investor deck, I am going to focus on our annual numbers to share some strategic insights alongside . Our auto ICE segment delivered a growth of 17.7%. The growth of th is segment is driven by both addition of new customers as well as expansion in valid share of the existing customers like Baja j, Maruti , Tata Motors, General Motors and T VS. Zooming further on auto ICE segment , both motorcycles and PVs grew by over 20% approximately at Rs.9521 million and Rs.6014 million respectively. These are our largest in markets in the I CE space and continue to see traction amongst the global OEMs . With our manufacturing progre

ss, we are able to address their needs in a swift manner. xEV segment grew by 10.7 % taking the total sales to approximately Rs.2616 million, with growth spread across India and Europe.
Two-wheeler scooters, which are transitioning into EVs at a fast clip de-grew by 10.8%, resulting in a sales of approximately 1 533 million. To offset this trend, we have built a solid portfolio of tech agnostic and xEV products, which registered a healthy 43.3% growth. Our auto tech agnostic revenues were close to Rs.2000 million. This segment offers a variety of products

including suspension pa rts, braking system, chassis components, stem com steering, aluminum forged components, among other things. We have an interesting customer lineup over here, including premium two wheelers, and premium manufacturers who are based across the world.
On EV side, we delivered Rs.1243 million in top line registering a growth of 52%. This growth is largely driven by the commercialization of our orders for a marquee North American customer.
Moving on to non -auto side, this business has been growing in accelerated manner. We delivered a revenue of Rs.3239 million with a 25% growth in this segment . Aerospace and defense segments registered 19% growth to reach a top line of Rs.1093 million. Broadly speaking, this business has doubled between FY 21 and FY24. Despite experiencing a few minor setback this year. The business maintains a positive long term outlook due to substantial interest shown by both existing and the new customers. And we are very , very positive on the segment.
On the defense side, the validation cycles are fairly long, we have begun our journey in th is segment , with a few marquee projects . We maintain our growth positive outlook on th is segment.
As expected, the off-road segments have passed the milestone of Rs.1000 million. In fact, we grew by 66% in this year to touch sales of Rs.1144 million . Agriculture sales declined to Rs.556

million. Industrial and marine engine coms which are an offshoot of C V coms are expected to be a major driver in a non -auto category. These components are typically larger in size than CV components for a larger size engines. We have recently secured significant orders in th is sector from prominent international clients.
Taking a minute to talk about our Swedish subsidiary :
Despite some changes on account of product share reorganization in the last year, we reported a 11% increase in revenues. As we mentioned in our last call, we had several discussions with our anchor customer here. Resultantly, we have received orders for additional products in this facility.
Moving to order book updates . Of the new business with annual peak revenues stood at Rs.15.9 billion as of March '24 . This is after our annual reset. As you are all aware, we reset our order book at the beginning of the year. This mix of our order book is in sync with our long-term vision with respect to the business mix .
On the CAPEX front , the new 4000 tonne press which will be commissioned in the H1 is well on track. In fact, our team has just recently visited manufacturers and cleared the press . Along with this , we are adding two more presses of 2500 tonnes and 16 00 tonnes respectively to increase our capacities for the bigger engine category of components . This will be a very meaningful , there will also be a very meaningful addition to the capacities in light weighting and aluminum components here as well.
Typically, these components, these aluminum forged components replaced steel forging components to achieve light weighting requirements . A strong demand for these components is expected from premium vehicles, EV vehicles and also hybrid vehicles. Given the nature of these components, there is a potential to increase the revenue per vehicle by four to five times compared to our ICE per vehicle components . We

also foresee a large export opportunities with
these components . Our diverse product portfolio in these is the cornerstone of our continuous growth over the years . With this portfolio we are able to pivot and evolve continuously to meet shifting market demands as well.
With several years of efforts, Sansera has built a legacy on ICE side . We strive to create the same recall for ourselves in emerging business segments as well.
Now, I hand over this to my colleague Vikas Goel who will talk about our Financial Highlights . Vikas.
Vikas Goel: Good morning everyone . Thank you Preetham . I will talk about the 4th Quarter performance first and then I will cover the full year performance.
So, for the Q4 our revenue stood at Rs.7459 million, which is a 21% growth on a year-on-year basis. While both domestic and international business showed strong growth in the quarter . The

international business outpaced domestic business resulting in gross margin improvement by 1.2%, including the continued improvement in the manufacturing efficiencies. EBITDA grew by about 32% on a year-on-year basis, to Rs.1270 million . Growth in the gross margin flew through our EBITDA and we achieved a margin of 17% versus 15.5% in the corresponding quarter of the last year.
The finance cost for the quarter increase d to Rs.225 million, largely due to higher levels of debt.

During this period, we also completed our investment in MMRFIC of 200 million, so the last installment was paid during the 4th Quarter . We also invested in a renewable energy project during the 4th Quarter , which will help us improve our overall green power percentage in the total energy consumption. Our profit after tax for Q4 stood at 465 million versus 354 million during the last year .

Coming to the full year basis , the revenue from operations surged by 20% year-on-year to Rs.28114 million . The growth in auto tech agnostic xEV and non -auto which represents our emerging business outperformed the auto ICE business at 34% versus 18%. So, the growth in the focus segments of tech agnostic xEV and non -auto was at 34% , while the growth in auto ICE segment was at 18%. As Preetham mentioned, we have multiple levers in place which will help this momentum to continue in the foreseeable future. With the effect of operating leverage, we were able to deliver a superior growth of 25% in our EBITDA, resulting in a EBITDA of 4800 million wi th a margin of 17.1%, which is a marked improvement against the performance of last year. The net profit for the year stood at 1875 million, registering a growth of 26%. On the debt front, our net debt stood at 7.4 billion.

On the cash flow side. Our cash conversion remains good, and our operating cash flow improved from 11% of the revenue in FY23 to 13% of rev enue in FY 24. Also, the operating cash as a percentage of EBITDA improved from 67% to 78%. Our CAPEX for the period stood at 3.4 billion, including 70% in plant and equipment , 15% in facilities expansion, and balance in maintenance and other categories.

On a like-to-like basis, our R OCE improved from 15.3% in FY 23 to 16.9% or close to 17% in FY24. If we look at these numbers a bit differently by excluding the capital work in progress from both the periods, because that generally is an investment which is still to start delivering results , the ROC E growth will look like 17.7% from 16.2% of the last year.

Our Company is in a growth phase and a lot of investments that we have made over the past few years are not fully mature or in the process of getting mature. Hence, there is head room for improvement or increased return profile over a period of time.

I would like to conclude this presentation and open the floor for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Bharat

Sheth from Quest Investment. Please go ahead.

Bharat Sheth: So, taking ahead, if you can give a little more color on the first is on this aerospace and defense where we have been , defense of course is not relevant, but aerospace numbers are not in the line. So, how do we see and second thing, w e have a full potential of around 350 crore in the new facility, whereas we have order book of around 153 crores peak revenue. So, how do we really see the growth of this aerospace and what has led in Q4 or FY24 where we have not been really able to reach and defense also if you can give some more color ?

BR Preetham: Thank you , Mr. Bharat . Yes, in fact, during our previous t wo earning calls as well, we had indicated that our dependence on in the aerospace is largely on t wo OEMs. And especially on North American based OEM through our Teir 1 as well as direct supplies is almost 65 % to 70% of our revenue comes from them. Now, a couple of programs which were scheduled to start in the last year got postponed due to the regulatory approvals for the OEMs. So, resulting in push out of our orders to the subsequent quarters. So, we expect that all these because there are a lot of processes that have been put in place to strengthen a lot of supply chain related issues as well. So, we expect that things would be much , much better in this year, whi le the order book remains to be very strong our expected revenue generation this year again, is expected to be very strong, very close to 40 % to 50% growth . But I would be guarded, because a lot of things are happening in aerospace segment, which actually is all positive, but we as a Company are very positive. In fact, all the capacities are in place as you rightly said, this facility of ours is equipped to deliver at least 350 to 400 crores worth of revenue. And if you really look at our order book is also quite strong. So, we expect that this year would be a good year for commercial aerospace. Now, in terms of defense, as you know that defense is a new segment for us directly through Sansera as well as through our newly invested associate Company , which is MMRFIC. So, there is a lot of exciting projects that we are working on both with Indian companies as well as with Indian government of companies, which are like H AL and DRDO and all the government agencies as well and also some very marquee foreign clients. So, not much of information can be divulged on this, but our journey into defense has begun and we are very quite bullish and excited on this .

Bharat Sheth: So, Preetham color on this aerospace what are we doing to de -risk from these to North American OEM to are we adding the customer and by 27 what is our vision for aerospace to contribute what kind of revenue ?

BR Preetham: So, no we have already added , we are working on not only increasing the value addition but also increasing the product portfolio itself. We have added Saab as our customers , we have added

Triumph Aerospace as our customer where t hese are primarily to de-risk our business. And then to further strengthen our offering in the aerospace field, the Board has also given a clearance to add special process facility to our existing machining facility. This would mean that a lot of dependency which we have today on external source for special process would be debottleneck ed in terms of both , in terms of capability and capacity. So, with all the things we expect that this facility would be use d fully by FY27.
Bharat Sheth: What kind of revenue do you have a inspiration to get from aerospace ?

BR Preetham: When I say that this facility would be able to deliver 350 crores and it would be fully utilized . I am sure we are looking at by FY27 to fulfill this entire facility with order. So, we are looking at anywhere between 350 to 40

0 crores of revenue by FY27.
Bharat Sheth: Okay, great. And I have a question for Vikas on the bookkeeping . Vikas if I am trying to br ide what you have given, see FY 23 order book versus FY 24 closing order , till FY 23 we had a revenue of around 2300 crore and 600 has moved into this year say into March production. So, it should work out something 2938 crore , but our revenue is coming 2800 crore, so does it mean that there was some kind of a dip from the previous customer and that has brought down this revenue . So, how do we really see, order book playing out and then there's some kind of, some component moving out of our sales revenue, if you can give a little more color ?
Vikas Goel: Sure, sir. So, the process that we follow as and when the particular product goes into mass production, and we have reasonable certainty that it w ill continue growing , we exclude it from the order book at the end of the year. Now, this does not mean if you remove 600 crores worth of orders, it is not delivering 600 crores as of now, but 600 crores is the peak annual volume. So, this will still take some time to reach the peak levels. So, the growth in revenue that we see from last year to this year was partially thr ough this order book and partly through other growth factors.
BR Preetham: And to add to what Vikas has said on order book . See, we do not take any kind of , this is an LOI volumes that would be indicated by the OEM. So, we generally take it as the same because we need to create capacities as well on that, but generally when you look at this, this would also include their market expected projection . So, there would be about 10 % to 15% variation both plus or negative side on each of the orders depending on how the market receives those kinds of models. So, when we say that 600 crore is the LOI volume, so we should take some kind of haircut when we are look, we do thus when we are creating the facility. So, when we move the 600 crore order , it is partial contribut ion has come in the previous FY 24 there would be contribution in FY 25. And most probably this would peak ed-out in FY 26. So, that is how you should look at.
Bharat Sheth: Okay. Preetham or Vikas , you say that operating leverage is playing out. But that operating leverage is , I have seen that particularly in Q4. Our EBITDA has improved only because of improvement in a gross margin but other expenses are as a percentage to sales has almost remain same. So , how do we see the EBITDA if we are assuming that these gross margins sustain at this level. So, if you can give a little more color ?
Vikas Goel : Sir there are two pieces in this , one is the product mix, which largely impacts positively or negatively the gross margin . Secondly is the manufacturing efficiency or operating efficiency, the improvement projects that we are running on a regular basis in various streams for improving the cost efficiency. That also works , and of course third piece of operating leverage or margin efficiency comes from the operating leverage when the volume increases, which is other expenses. So, there could be in the 4th Quarter specifically if you see, we had a slightly higher

freight cost because of the Red Sea crisis that was partially responsible not fully responsible, because not a significant cost. Similarly, there would have been certain other minor cost but we have been able to maintain the cost not increase it substantially , despite the growth in revenue.
Moderator: Thank you. The next question is from the line of Abhishek Jain from AlfAccurate Advisors . Please go ahead.
Abhishek Jain: Sir this year CAPEX was high around 340 crores and that’s why the debt has increased to 890 crores and it has reflected also in the finance cost . So, just wanted to understand what is your debt repayment planned ahead and what kind of the CAPEX we can see

the next two years ?
Vikas Goel : Sorry Abhishek, can y ou repeat your question and go a little slow ?
Abhishek Jain: Sir, w hat is your CAPEX plan for the next two years and what is your debt re payment plan going

ahead ?
BR Preetham: See, we are a growing Company and there is a very strong order book especially on new generation of components, higher CC engines and this thing. So, this all requires and we are in a vertically integrated facilities. Generally our kind of components also requires front loading of our CAPEX . So, this year, because we are adding some 4000 ton ne press , 2500 tonne press and there is a lot of front loading of forging capacity is the thing , we are looking at approximately about 400 crores of CAPEX this year, but going forward in the next year, it should be back to our normal range of between 300 to 350 crores depending on the kind of order inflows that will be there. But since the order book is very strong, and we are also looking at adding capabilities. So, ther e would be some front -loaded investment this year. So, w e are quite confident that with our cash flow and marginal increase in our debt profile, we will be able to , we will be able to manage our investments and in case there is and we are reasonably, very light on leveraging. So, we have not leveraged highly. So, we have option of taking further debt in case it is required, we will keep our options open as to how do we go about funding of this .
Abhishek Jain: Okay. And sir the current segment which is non -auto segment is around 12.5%. So, how do you see the growth ahead and what's kind of the mix you are looking forward in auto versus non - auto in the coming year by FY26 -27?
BR Preetham: If you really look at our overall full year basis , our auto ICE is at 76%. And our other businesses of non -auto, xEV and tech agnostic stands at 24%. But if you really look at exit quarter, it is slightly higher it is almost at 26% instead of 24%. So, going forward, we have already said that on a longer mission we intend to reach 40% of our revenues coming from xEV as well as non - auto and tech agnostic components. And if you really look at our business order book, The future order book, it is very well acquired account, our businesses are flowing in that to actually say that, in fact our order wins are significantly higher in these category of components. So, we are quite confident that our vision, we are progressing towards achieving our numbers in that .

Abhishek Jain: Okay sir . And my last question on the other expenses side . So, basically it is quite high around 26%, 27% and this quarter you have impacted because of the Red Sea issues. So, what is your plan to reduce the other expenses to sales ratio and improve the margins?
Vikas Goel : So, as I mentioned earlier, there are various projects which are underway currently in terms of improving the operating efficiency or the manufacturing efficiency in various areas, we have invested in the 4th Quarter in a green energy or a renewable energy project, which will further improve our ratio of renewable energy. So, this not only helps us to contribute towards the sustainability, but it also helps us to improve or reduce our cost . Then there are various other projects currently underway, so we are sure that we will be able to handle or keep other cost under control.
Abhishek Jain: And w hat is the EBITDA margin in international business versus domestic business, because in international business you are facing some issues in Sweden , that's wh y margins are lower , so if you can throw some light over there what's your plan to improve margin over there ?
Vikas Goel : So, Sweden business is a small portion of the total international business, our total international business is about 32% out of which Sweden is hardly 6%. So, 26% of our total revenue comes from exports fro

m India, which is a very, very fast-growing segment. So, we are quite positive that this fast growth in the exports from India, which definitely is at the highest margin ratio compared to the other two segments will continue to help us positively.
Moderator: Thank you. The next question is from the line of Arjun from Kotak Mahindra Asset Management . Please go ahead.
Arjun: Sir, just continuing from some of the previous questions , firstly in terms of utilization, if you could just talk about that where we are currently and of the CAPEX you mentioned 400 crores for FY 25, how much is it for new capabilities and what are these new capability that we are talking of f?
Praveen Chauhan: Hi, good morning . On the utilization of the capacities that we ha d, we had spoken about that this year we might reach around 69 % to 70%. We are very much on track and slightly better than that. So, as the existing business continues and as the domestic market grows, we will continue to improve this we optimally think that the best in the auto sector could be 80% of capacity utiliza tion, because of cyclic behavior during the entire year. That's on the current capacities. On the CAPEX side typically, we are talking about close to around 40% going into auto ICE and most of the CAPEX going into newer technologies, which could be aluminu m and it could be tech agnostic, EV and non-auto. We are on a track on a broad basis, and we will continue to do so going forward.
BR Preetham: Just to add to what Praveen has said that in the last year, we have added almost 26% of our capacity has gone into PV s and CV s on auto ICE. About 40% that is 20 out of 40% has gone into tech agnostic comp onent and non -auto. Only about 15% has gone into auto two wheelers in

the legacy components, but that 15% also is for high end premium vehicles category of investment. So, mostly our new investments are going into as I said that into higher category of engine components like industrial engines and agriculture and heavy commercial vehicles and as well as 40% has gone into tech agnostic and non -auto.
Arjun: So, essentially this enables us to increase our addressable market ?
BR Preetham: Right .
Arjun: Sure. And does this 400 crore also include overseas capacity ?
Praveen Chauhan: No, it does not include any overseas capacity, there is some investment that has been done in Sweden facility to increase our automation levels for the new order that we have acquired. But that is to an extent of about 15 to 16 crores , other than that, there is no other investment that is considered for any overseas facility.
Arjun: Sure. The second one, just on Sweden . So, this year, just working on numbers we are very close to the target that we mentioned in the previous conference call of 160 crores , just wanted to understand what would our EBITDA margins be for the year for the overseas for Sweden, and in terms of our outlook for FY 25-26, since we are investing for new capacities , what could be the size of the order win?
BR Preetham: I will just first tell you about the order win and then Vikas and Praveen can talk about the EBITDA margin and what we are looking at . See Arjun, during the last year we had said that Volvo has taken up this de -risking proposal , wherever we were 100% we have been cut by about 20%, 30%, 35% and we have got similar order. So, in that process, there are two lines , two kinds of lines were operated in Sweden facility, one is a high volume fully automated line in which we were 100% , we were catering to 100% of Volvo's those requirements, while the volume from that line was cut, and they have added new components which was generally done on a mixed line which was primarily not automated fully. So, if we have to continue doing that way then it will cost a lot of labor cost and it would not be feasible for us to produce. So, wha

t we have
decided is , since they have a 17-liter engine order has been confirmed to us and this is what is going to take us back into the normal levels of revenue which will be in excess of about 200 crores. So, we are investing about 15 to 16 crores in automating the second line in order to ensure that it becomes feasible, and we are on track for about 10 % to 11% of EBITDA . Now, currently Praveen can you just take the current numbers and see what we are .
Praveen Chauhan: See c urrent year is a transition period, the investments have just started, and it may take around three to four months at least, to do that activity and after that only we will start getting the benefits of that automation. So, current year being the transition period, we expect the marginal improvement from last year's numbers, but the real margin improvement would happen in FY 26. So, that's where we stand on the overall business , we are on a growth track, as mentioned that we have acquir ed an order of 17 literconnecting rods in 100% capacity so that full volumes

would actually appear in the next financial year, which is ‘26. So, ‘26 would be an interesting year to see where in margin improvements would happen. And the top line growth would also happen.
Vikas Goel: So, this year we should expect between 5% and 6% EBITDA , Arjun.
Arjun: And then move in 26 to closer to 10 ?
Vikas Goel: Yes, 11% is what.
Arjun: And for FY 24, we would have done closer to low single digit 1%, 2% margins ?
Vikas Goel: 6.4%
Arjun: Okay . So, we are expecting flat margins 24 to 25 ?
Vikas Goel: That's right.
Moderator: Thank you. The next question is from the line of Lakshminarayanan from Tunga Investments . Please go ahead .
Lakshminarayanan: Couple of questions from my side , first what is absolute EBITDA and percentage of debt you like to keep on a standalone basis?
BR Preetham : You mean standalone performance.
Lakshminarayanan: Net debt as the percentage as well as on an absolute basis over the next couple of years?
BR Preetham : Can you repeat the question s, we couldn't hear it properly sorry.
Lakshminarayanan: My question is, in terms of debt on the books, on the standalone basis what is the , what is the absolute debt in INR million as well as in terms of the percentage in terms of debt equity you like to maintain for FY 25 and FY26 ?
Vikas Goel : Sir in FY 24, the absolute net debt that we had was 64 19 million for FY 24. Going forward and

this basically on a consolidated level, it translates to a debt -equity of 0.5 4. Going forward, we believe that the debt-to-equity will continue to improve b ecause we used to be 0.57 in FY22, reduce to 0. 55 in FY23 and now 0.54 going forward we expect this to marginally improve, because we are generating a lot of operating cash in the business and bulk of the investments will be funded through the cash generation itself.

Lakshminarayanan: Got it. Now, in terms of the CAPEX in the last year and also in the next two years FY25 and 26 which segment you would like to spend the CAPEX on of course you mentioned 4000 tons and 2000 tons , etc. Amongst the various segments like two wheelers, aerospace , defense, how the

debt was, how the CAPEX was spent on machinery as well as land for the last year and how do you think in the next couple of years, just broad numbers would help.

Vikas Goel: Sir, I had referred to that in the remarks that say, so about 70% of the investment was made in the plant and equipment during last year . 15% was spent on facilities expansion that is land and building and balance 15% was on maintenance and other categories like IT and miscellaneous categories. So, that's how it was spent last year . Going forward this year, bulk of the investments will be on the forging and machining capacity . And we

are also building a new facility for the new forge shop for th e larger presses that we are acquiring . The new factory or expansion of the building of factory is under construction as of now. So, that will be another major item this year.

Lakshminarayanan: My question is slightly different sir, I just wanted to understand which segments we are spending because what we understand is that , in two wheelers, our utilization is low therefore, we are actually spending incremental CAPEX on the other businesses. So, this while given in terms of plant, land and others just want to check from a business point of view is that how one should think about it , or that’s how the Company looks at it ?

BR Preetham: So, as you have seen there has been a good improvement in terms of our utilization. Now, in even the two wheeler segment. Last year had a healthy growth this year also we expect that it should be back to normal. So, our utilization levels would become normal in terms of two wheeler but we are not actually investing anything on the legacy components in two w heeler, about 40 % to 45% of our investments would still be g oing into tech agnostic and non -automotive segments, which means that we will be investing into aluminum forging lines , machining lines , anodizing facility for an aluminum we are also investing into few of the machines in aerospace and defense. Meanwhile, as we have also indicated that we have received some good orders from our auto PV , we have added Ford Motor Company as our, we never had Ford Motor Company as our thing in the 4th Quarter we have added a business , we have won about 75 crore worth of business, that's the first of the business that we have won from them, and we expect a lot of good progress with that customer as well. So, passenger vehicle will continue to attract our investment and there is investment that is planned for heavy engine category which constitutes both xEV as well as industrial engines. So, primarily our investments are towards all the new generation of components and segments that we are focusing on.

Lakshminarayanan: Just one more question I want to squeeze in. Sir, if I just step back and look at it, there is a lot of products which we make which are all built to print , so you actually make what ever the OE or whoever ask for it and there are certain products you may think of building a system. So, just want to understand how where are we on that journey in terms of building to print and versus building to non -profit what is the ratio you are now and what do you have aspired to be ?

BR Preetham: No, when we say that, when we are doing buil t to print, it is not exactly built to print because most of the newer generation of components are either co -designed or designed from statement of requirements. And then designs are also validated through finite element an alysis and also testing done in -house to validate the designs. So, mostly that, all our newer components , newer

businesses, we participate in design to manufacture, so a lot of input and co-design happens from our side. As far as the system supplies are concerned, this would be primarily driven by the OEM strategy , with already with Maruti we supply connecting rod and piston assemblies while it would be almost 50 %, 50% piston manufacturer supplies as an assembly the re by connecting rod assemble it and send it or we buy pistons and rings and assemble it and give it to Maruti . This kind of transition into the full system assembly has happened in the like crankshaft assembly for the entire two wheelers are now being supplied. So, we buy crank pins, we make crank shafts and connecting rods, we buy bearings, we buy sprockets and then assemble and supply as a full crankshaft assembly. Now, this has already happened in Indian OEMs which is becoming more and more prominent, but in international OEMs

this is just started. So, we expect
that over the time that we will graduate into that , that is on automotive but in aerospace we are already looking at becoming more and more subsystems supplier .
Lakshminarayanan: Sir on the design ed manufacture what is the broad revenue , I assume that usually get higher margins for us. So, any how the Company stands to
BR Preetham: Mr. Lakshminarayanan, more than higher margins it becomes a kind of protected design, because wh en we do a participative design, the design becomes joint ownership. So, it becomes much more productive business case. Rather that is what we look at rather than of course, there would be cost that are going to be compensated related to testing and designing which is part of our tooling cost that comes engineering and tooling cost. But this is primarily help in securing and protecting our businesses towards improving share of business and protecting.
Moderator: Thank you . The next question is from the line of Sakshat from ICICI Pru . Please go ahead.
Sakshat: On the existing asset block , what can be our peak revenues like post FY24 and can you break it, give an idea segment wise like on two wheelers, EVs, then on probably aerospace mix. So, that it gives us a better idea where are we in terms of utilization across segments and why our CAPEX amount, why are we further investing so much in FY25?
BR Preetham: Okay, it may be difficult to give you kind of how break up on how we are looking at the each segment , definitely what we are looking at for the next year growth prospects is definitely that we will continue our momentum, we have assumed certain industry numbers, but when we see the momentum , momentum is much better than our assumption. So, we expect that , as we have continued to deliver (+20%) of growth, we expect that this momentum will co ntinue, but with the current FY 24 base with reasonably good utilization of about 80 % to 85%, we should be able to hit a peak revenue per quarter of about 900 crores potentially. So, this is what we can do potentially, of course it depends on sector mix and how each sector utilization happens. So, we will, with our capaci ties that are installed on FY 24 end base, we should be able to generate a revenue of 900 crores per quarter on a peak utilization basis.

Sakshat: Got it understood. And sir just one more question on the CAPEX numbers which we have outlined for next year . Does it also continually emerge a new opportunity or that would be separate?
Vikas Goel: No, that would be organic , it is based on the order book visibility that we have .
Sakshat: Okay, got it. And are we actively looking for any inorganic opportunity as well, or that would be?
Vikas Goel : We are not scouting in the market. But we are open to good opportunities .
BR Preetham: So, we work with a lot of initiatives which are initiated by ACMA as well as Indian Institute of Science. So, we come across and meet a lot of startups. And this is a process that, in that process itself we add investor in MMRFIC as well. So, we keep looking at it and if anything is relevant, and we find it technologically advanced opportunity that comes in our way we would look at it but nothing specific.
Moderator: Thank you. The next question is from the line of Siddhartha Bera from Nomura . Please go ahead.
Siddhartha Bera: First question is on the order wins for the quarter if I calculate it comes to somewhere about 160 crores in the quarter. Probably you indicated that we have got about 75 crores from Ford any other big order wins which are here and going ahead how are you sort of thinking about customers or segments for the coming year?
BR Preetham: Thank you sir, yes, approximately you are right about 150 crores of orders approximately were added , major wins were from Ford, 50% of that was from one of the orders that w

e have received
from Ford Motor Company . This on a program where we have got a partial order from this and we expect that a very similar sized order we should be able to get from there another overseas unit for the same , connecting rod program . But when I say that we have also added Triumph aerospace and Collins have also g iven another 20 crore order for aerospace bus iness. So, aerospace has got about 30 crores of order in that quarter as well. We have actually added one more connecting rod from Tata Motors into that . Now, talking about the momentum yes of course, our existing order , our existing clients both from North America both the traditional OEMs as well as a marquee EV customer, we have been talking about very interesting projects which you would see a lot of order wins coming in this year. There's a lot of momentum e ven for Latin America and this is also aided by some troubles that they have been going through because of the flood s and this thing, which is also contributing to accelerating those discussions with us. So, there's a good momentum in North America as well as Latin American states in the order inflows for us.
Siddhartha Bera: Got it. Sir second question is on the EV side. If you see in FY2 4 we were at about 4.5% in terms of xEV revenues and given the order book we are expecting that to go up to 9.5% . I do see that you have also added another EV customer in the current , two EV actually customers in the

current quarter. So, some color here who's, which are these customers , which segments and
where are we seeing a stronger traction is it India or export markets?
BR Preetham: Basically, it's one of our Japanese based two-wheeler manufacturers for whom the new EV
would be launched . So, we have got some component business out of them. So, that becomes a
newer customer for us. We have also gained, our EV last year if you know that we had said that
we have actually made one of the exits from one of the two-wheeler OEM. So, that actually
reduced our growth in xEV components last year, but this year we expect because of our
commercialization of EV components to North Amer ica, as well as starting of the newer
components into the existing two-wheeler market customers as well as th is thing , we expect to
double the revenue coming out of xEV in this year. So, xEV portfolio looks very strong. Plus,
there are a lot of interesting RFQ s that we are working on for the overseas customer as well.
Moderator: Thank you. The next question is from the line of Mumuksh Mandlesha from Anand Rathi
Institutional Equities . Please go ahead.
Mumuksh Mandlesha: Sir just want to check with the North American mark EV order, how the ramp up is going s ir,
how are the production plan ned for their product , is there any change in expedition then earlier
what we guided ?
BR Preetham: No, we have not at least seen any change we should cross 100 crores of revenue this year. With
that customer, and we expect a strong business relationship going forward as well. So, we have
started delivering all our developed products according to commercial production. So, we expect
a very strong momentum in that, we have not seen any cut or significant reduction in any of the
projection s from them.
Mumuksh Mandlesha: Okay, sir. As you mentioned about the aerospace of 40%, 50 % growth. C an you also mention
for the non -auto and tech a gnostic what kind of growth you see for FY25?
BR Preetham: So, non -auto and tech agnostic we expect about 40% growth in the coming year. So, that is what
is approximately, I can tell you from the current base for this thing . So, this year we wil l grow
by about 40% in both non -auto and tech agnostic. And I told you that xEV we will grow by
about 100%.
Mumuksh Mandlesha: Got it sir. Just lastly on MMRFIC, this quarter there was some profit from associate. So, is it
you are re

lating to this MMRFIC and just want to see how is the revenue projection for this
business?
BR Preetham: So, lot of this is coming from still not a full -fledged production revenues. While there is some
stocking up of the components from the customers were the defense radar, which is being
developed for by them. So , yes this associate Company profit that has been added is our
proportion of investment that has been considered , it's 5 million or so.
Mumuksh Mandlesha: Yes, got this and in terms of revenue side, any news what kind of numbers?

BR Preetham: This year, we are looking at about 20 crores of revenue from MMRFIC .
Moderator: Thank you. The next follow up question is from the line of Bharat Sheth from Quest Investments .
Please go ahead.
Bharat Sheth: Sir n ow coming back a little more on this MMRFIC, you have 20% stake. So, what is our future
roadmap are we going to increase our stake or if at all, then what level, what will be the , how
the valuation will be done and what kind of amount will be required?
BR Preetham: I had addressed this issue, but I will again say that , that we have the right to go up to 51% as and
when the Company requires the capital we will assess it and we have the right but we don't have
an obligation , we have a right to go up to 51% and here the valuation is capped based on whatever
is agreed so , it's a predetermined valuation, though there could be very upside in terms of their
performance, but we have caped our valuation just to ensure that we get the leverage of our
investments in to this Company . So, just to give you a proper answer this , we will be at 51% over
the next couple of years and this fund infusion will happen as and when they require any funds.
This year, I don't see any kind of investment that they will require.
Bharat Sheth: Okay . And one more question for Vikas, Vikas exchange losses, can you give some color on the
nature of that loss?
Vikas Goel: Yes, so basically there are two elements to the foreign exchange gain or loss. One is the gain
that we actually realize, on the transactions which are completed. Second leg of the gain or loss
is the mark to market measurement of the open exposures, whether in terms of outstanding
receivables and payables, or in terms of outstanding forward contracts. So, this year, towards the
end of the year, we have a certain negative on account of the mark to market measurement. And
that is actually resulting in this negative here. And it's not real, it's a not ional loss, which will be
get reset as we move on.

Moderator: Thank you . Ladies and gentlemen , we will take this as a last question. And I hand the conference over to the management for closing comments.
BR Preetham: Thank you very much for all of you for your participation and all the questions that you have had. And thank you for your patience . We are very confident of good performance in the coming year as well . As explained, we are moving towards a long-term vision of 60% of our business coming from auto ICE again predominantly from commercial vehicles, high end motorcycles, passenger vehicles. And then 40% of o ur business would come from non -automotive xEV and xEV and tech agnostic components . Company is very confident of delivering industry best growth numbers, we expect that at least 10% additional growth to the industry growth in the coming years as well. And as demonstrated, we will also be working on various initiati ves to improve our margins year -on-year. So , with this I conclude this call and thank you very much for all your patience hearing . Thank you very much.

Moderator: Thank you . On behalf of PhillipCapital Private Client G roup, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you .

Call: Aug 2024

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

August 15, 2024

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning group conference call held on August 0 9, 2024 on Unaudited Financial Results for the quarter ended June 30, 2024 .
The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you,
for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

"Sansera Engineering Limited Q1 FY25 Earnings Conference Call"

August 09, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 9th August 2024 will prevail

M
ANAGEMENT : MR. B R PREETHAM – EXECUTIVE DIRECTOR & CEO

MR. VIKAS GOEL – CFO
MR. PRAVEEN CHAUHAN – HEAD (CORPORATE
STRATEGY)
MODERATOR : MR. VARUN BAXI – NIRMAL BANG INSTITUTIONAL
EQUITIES

Moderator : Ladies and gentlemen, good morning, and welcome to the Sansera Engineering Limited Q1 FY '25 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited.
This conference call may contain forward -looking statements about the Company, which are based on beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *"and then "0" on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Varun Baxi from Nirmal Bang Securities. Thank you, and over to you, sir.
Varun Baxi : Thank you, Neha. Good morning. On behalf of Nirmal Bang Institutional Equities, I welcome you all to the 1Q FY '25 Results Call of Sansera Engineering.
We have with us the management team represented by Mr. Preetham – Executive Director and CEO; Mr. Vikas Goel – CFO; and Mr. Praveen Chauhan – Head of Corporate Strategy. We also have with us the SGA team.
I now hand over the call to Management Team for their "Opening Remarks". Over to you, sir.
B R Preetham : Thank you, Varun. Thank you for hosting this call. And good morning and welcome, everyone, and thanks for joining this call.
On this call, I am joined by our CFO – Mr. Vikas Goel and our Head of Corporate Strategy, Mr. Praveen Chauhan, along with our investor relations advisor SGA Team. The Results and the Presentations were uploaded on the Stock Exchange and the Company's website, and I hope everybody has had a chance to look at them.
It gives me pleasure to update you that the fiscal year has gotten off to a reasonably good strong start in line with our expectations. During Q1 FY '25, we have reported revenues of Rs. 7,439 million and an EBITDA of Rs. 1,275 million with sustained margins. Our domestic and international businesses have continued to grow at a he althy double digit.
On our domestic side, we saw a healthy upsurge in demand, especially on the 2-wheeler side. In terms of our international business, the growth has been fueled by multiple levers, including client additions, valid share expansion and some of the orders movi ng to commercial production.
If we take a closer look at the domestic markets, notable growth in 2 -wheeler segment has been driven by driving rural economy and its positive monsoon effects.

On the PV side, SUVs continue to do well. However, demand for small cars is on the lower side. The industry is also seeing heightened levels of inventory.
As I touch upon our performance across sectors during this quarter :
I think it is important to appreciate that in all the sectors that we serve, Sansera's precision engineering prowess is a common thread that ties all our offerings together and helps us to stay ahead in the industry. With this backdrop, we have met with success in our emerging sectors, mainly non-auto, tech agnostic and xEV. Together, these segments have expanded by 34% on a year-on-year basis during this quarter. We have registered a top line of Rs. 712 million in auto tech-agnostic products with a year -on-year growth of 68%. Our xEV business grew by 29% on a year -on-year basis to Rs. 421 million despite the fact that one of key customers in the 2-wheeler segment, we have reduced considerable business.
As a general phenomenon, EV OEMs today are facing a lot of pressure on the cost side, and as a result, we are very optimistic of our export potential on this segment. Non-auto side, which is another part of ou

r emerging new age business grew by 16% as compared to Q1 FY '24. All non-auto subsegments with the exception of Agri saw a strong double -digit growth.
The Aerospace and Defense segment delivered a top line of Rs. 256 million, with a 28% year -on-year growth despite some delays in our orders from a key customer. To broaden our clientele in this space, we have added customers like Saab and Triumph Aerospace . We are looking at

about 40% to 50% CAGR growth in this sector for the next 2 to 3 years. For the off -road segment, where our end market is North America, we have c locked revenue of Rs. 302 million during this quarter. We are working very closely with our customers to increase wallet share in this segment. Agriculture sales during the quarter stood at Rs. 161 million. Amongst our other non-auto customers, we are seeing a lot of traction in industrial and marine engines as well. We expect this to become a meaningful contributor to our non-auto category in the years to come.
In the Auto ICE segment, we grew our revenues by 7.2% during the quarter, primarily on account of solid growth on the 2-wheeler side. We are seeing an increase in content per vehicle on this side as we are participating in key programs for premium motorcycles across our customers. Also, we are continuously working on adding new components and increasing the wallet share in this space.
In terms of order book, it stood at Rs. 16.9 billion as of June '24. Out of which, 63% of orders are from international business and the rest 37% are domestic orders. In order to cater this order
book, we need to add capacities over the long run. Our current facilities are working between 65% and 70% utilization across our plants. And in our industry, peak utilization can reach to up to around 80% in the best -case scenario as we run all 3 shifts and around 300 days a year. This effectively warrants further investment in growth to support our order book and expansion plans in the long term. We are looking at a CAPEX of approximately Rs. Rs. 4,500 million during FY '25. This is towards brownfield expansion projects for which we are looking at our existing facilities.

40% to 45% of our CAPEX is expected to go towards tech -agnostic and non -auto motive segments. The new 4,000 -ton press, which is being commissioned and which will be fully commissioned by the end of H1 will have a major step forward in expanding our product portfolio in higher capacity engines as well as aiding light weighting and aluminum components. In the future, we are also seeing an opportunity for chassis and suspension components on the aluminum side.
To further strengthen our offering in the aerospace field, the Board has also given clearance to add a special process facility to our existing machine facility. We expect to add this capacity by mid of FY '26 and subsequently fully utilized by FY '27.
Lastly, in terms of our new CAPEX , we have recently signed an MOU with the government of Karnataka to acquire 55 acres of land. Over the years, we will be looking at greenfield expansion in the area of our current expertise in this piece of land. We will take Board approvals for these CAPEX plans, and we will update you appropriately.
Now I hand over the call to our CFO, Mr. Vikas Goel.
Vikas Goel : Thank you, Preetham. Good morning, everyone.
Let me give you a glimpse of the consolidated Financial Performance during the 1st Quarter of FY '25 :
Our revenue from operations rose by 13% to Rs. 7,439 million in this quarter. This growth came from both domestic and international business, as explained by Preetham just now. We delivered our highest ever quarterly revenues on the domestic side in this quarter. We saw the gross margin
expansion by approximately 2 percenta ge points, largely due to shift in the product mix, a favorable product mix.
During this quarter, the gross margin g

rew from 39.9% in Q1 of FY '24 to 41.8% in the Q1 of FY '25. We had an annual salary hikes, which kicks in every year in the 1st Quarter of the year. As a result, we see an increase in the employee expenses on both a year -on-year and quarter -on-quarter basis.
Other expenses are semi variable in nature and tend to increase to the extent of sales increase. Further, during the quarter, we faced some issues on the logistics side leading to higher spend on the international freight costs. We had touched upon this during our previous call as well, and it's now actually playing out.
The EBITDA for the quarter stood at Rs. 1,275 million versus Rs. 1,144 million in the same period of last year. EBITDA margins were stable at 17% levels.

With a continuous CAPEX and capacity building, the depreciation and amortization swelled up to Rs. 400 million for the quarter. We maintained PAT margin levels and closed the quarter with Rs. 501 million PAT.
With that, we would like to conclude our presentation and open the floor for question and answers. Thank you.
Moderator : Thank you very much. We will now begin the question and answer session. The first question is

from the line of Siddhartha Bera from Nomura. Please go ahead.
Siddhartha Bera : Sir, my first question is, if I just look at the continuous order book increases we have been seeing, probably compared to the last year, we did about close to Rs. 8.5 billion order, wherein this time in the 1st Quarter , the increases have been probably slightly softer than what we had for the entire year. So, how do we think in terms of the scale -up, depending upon how your discussions are playing out? Do you believe at an annual level, we will still be sort of having some of those numbers we have seen in the past? Or has there been any change given the global slowdown if you can share some thoughts there?
B R Preetham : Thank you, Siddhartha. We have a very strong order book and a strong visibility into a lot of projects that we are working on. Ours is not a quarter -to-quarter kind of order book acquisition.
We work on long-term projects, both on customer addition as we ll as increasing product portfolios. And we are very, very confident that across all our segments, including aerospace, defense, our Swedish subsidiary and also our international business, we definitely would like to achieve a number which will be higher than the previous year's addition into the thing. There's a lot of visibility. We are working on a lot of projects. Of course, the timing of each of these varies because the customers take this in their own project timing. But I am very clear and we are quite confident that we will achieve numbers which will be higher, if not equal to the previous year's order booking.
Siddhartha Bera : Great to hear that, sir. Sir, second question is If I look at now the revenue side, earlier last quarter, we had said that we probably will still look to grow at least 20% this year on the revenue side. Do we still sort of assume that holds even after 1st Quarter ? Or do you believe there is some change to that?
B R Preetham : See, as of now, I do not want to jump into any immediate conclusion. See, if you look at our growth, while year -on-year, we have posted on a consol basis a growth of about 13%. But on a stand -alone basis, Sansera has grown by almost 16.8%, almost 17% on our product sales. We have had a degrowth of about 20% in our Swedish subsidiary and very flattish kind of performance from our Fitwel, our another domestic, they grew by about around 2%. But if you really look at Sansera as a stand -alone, we h ave grown by almost 17% in our product sales category. While I would be cautious to say that international business is looking in the second half of this year, especially the international business looks to be slightly worrisome. But overall basis, because of our incre

ased productionization of all our new developments which have started giving us commercial revenue and also strong growth in 2-wheeler sector, which is where

we have significantly higher participation, I would still do not want to jump into any change in numbers, but we are quite cautious and we keep ourselves cautiously optimistic on this year's performance.
Moderator : The next question is from the line of Divyansh Gupta from Latent Advisors PMS. Please go ahead.
Divyansh Gupta : I just have one question with regard to MMRFIC. What’s the value addition from Sansera side? Is it more to connect MMRFIC with, let's say, other customers? Or are we also going to get into the manufacturing of semiconductor parts?
B R Preetham : See, as far as their core competency is concerned, as we have previously told, they are into pure play electronics and software, they are into manufacturing and designing and manufacturing of radars, millimeter wave radars. So, as far as Sansera is concerned, we definitely would want to add value to their current capabilities. So, while the Radar has got all the electronic elements, Radars also would have mechanical elements like a seeker radar would have antennas with full chassis, the gimbal s. All these things are part of our manufacturing process. So, at an appropriate time when this gets into full March production and MMRFIC now with the backing of Sansera are looking at full radar integration, which would involve mechanical elements as well. So, our interest and our contribution would be in this space. But along with this, going forward, we think that with our expertise, we will be able to give our customers full offering on both electronics and mechanical elements together.
But this is more strategic for Sansera because apart from what support that we give them in terms of manufacturing expertise, we also bring in a lot of management bandwidth and financial oversite so that they can participate in bigger projects and acquire such projects. So, after our investment in the MMRFIC, they've been able to set up a world-class cleanroom facility with a lot of manufacturing capabilities added into PCB manufacturing, very high-end cleanroom, where they have actually they have been able to attract a lot of interest, including defense and space sectors, we have been working on very, very interesting projects.
Moderator : The next question is from the line of Neel from Valuequest Investment Advisors. Please go ahead.
Neel : So, I had probably 2 questions. One was on the profitability front. So, we have this medium - term target of reaching 20% in kind of margins. So, if you just look at the historical numbers,

we have not done that kind of margins earlier. So, 2, 3 years down the line, if we look at the key segments that we're indicating that we will grow fast, one is auto agnostic, where I think the margins are broadly similar range. Second would be aerospace. Now aerospace, again, 2, 3 years down the line, sho uld not be more than 8%, 10% of the book. So, what are the levers that you're expecting which would help us in terms of margin? And secondly, on the aluminum forging side, so any indication you can give in terms of scale and profitability we can have in th is particular business? And why are some of your competitors in the forging space are not willing to enter this aluminum forging segment yet? So, yes, your thoughts on this will be helpful.

B R Preetham : Yes. Neel, I will take this call first and then maybe our CFO, Vikas, can add into this thing. So, of course, we clearly understand that while we have set ourselves target on working towards 20% margin expansion, we very clearly understand that these are not going to come very easy. We need to have a clearcut strategy. As an organization, we have had cl ear strategy in terms

of
product expansion, in terms of segment expansion, in terms of a lot of productivity improvement programs through which we will work towards achieving this target.

But as of now, if you really look at what are the key levers which are going to drive this, apart from what you said that focus on non-auto motive segments, which includes higher value addition sectors like industrial segment and bigger engines, aerospace, and off -road vehicles, where our participation is increasing, but you should also note a point that our international business where our ma rgin profiles are higher compared to our domestic, our order book consists of significantly higher international business share. So, as we keep moving more and more towards almost 63% of our order books are expected to come from our international business. Added to this, last year and this year, we have said that our subsidiary because of the reorganization of our business in with our key customer Volvo in Sweden, we are going through a lean patch there. So, we have worked, and we have acquired 2 key business wins for our Swedish subsidiary, which will enable us to go back to 12% to 13% EBITDA starting from next financial year. So, we have had 2 very clear -cut order wins on 2 engine programs, one of which is going to immediately start from week 36 of this cal endar year and the second one is going to start towards the third quarter of this year. Both these programs, also some element of aid is also going to come from our customer so that we can have enough. This is due to a fact that one of their existing suppliers has gone out of business. So, they wanted us to immediately take up and start delivering these components as we were the second source for this. And of course, our aluminum forging business, which was on a learning curve, a lot of improvements on optimization of processes which includes productivity improvements, yield improvements, reduction of rejections , all this has happened. And we will continue to work towards achieving our optimum margins in this. So, these are key factors. Vikas will add points to what I said.

Vikas Goel : I think, Preetham, you covered almost all key factors. One is the continuously improving product mix in favor of more profitable segments, whether it's in non-auto motive exports or the other exports. Second is the improvement of profitability profile of Sweden, which you already covered. And also, the growth in the 2 -wheeler sector, which is we are now facing, and we expect this growth along with the increased premiumization of the 2-wheeler sector, which comes at a relatively better margin. These factors aided with the operating leverage on better capacity utilization on various product lines will actually help us to achieve or get closer to the 20% goal of operating margin. Of course, there are other elements or other initiatives in terms of improving cost and efficiency, which are work in progress, and we are seeing good progress on each of those.

Neel : And also, your thoughts on the aluminum forging side, the scale profitability that we can achieve over the next 2 to 3 years? And why is competition in domestic market still not entering this segment? Your thoughts on this.

B R Preetham : I am not sure I can answer on behalf of any others why they are not entering into this field. But as a sector, I don't think this is that much easy and straightforward that anybody with capital investment can get into this. There's a lot of technology an d not only stand-alone technology, but a fully integrated technology like surface treatment is very, very important. Surface preparation is very important because most of these components apart from functional criticality also is aesthetically very important. So, it also calls for a lot of capital infusion. So, given the fact that space itself has started to evolve and taking up reason

able quantities, so I don't think
the time probably is appropriate for a lot of people to enter it. But over time , I am sure that you will see many players looking at the thing because on a long run light weighting is going to be very, very important and key element in any technology of powertrain that is going to develop it.

So, we feel that across all the powertrain adoption, one common factor that would be there, it will be light weighting. So, that is the reason that we are focused significantly. In fact, we have started achieving. This year, we will be doing almost close to 1.5 million aluminum parts, which is quite a good progress given the fact that this has been only about 2.5, 3 years of this thing. As far as margins are concerned, clearly, in the past, also, we have stated that this is in line with our other domestic p roducts on a designed margin criteria. But, of course, because we are on a learning curve, we are still headroom left to achieve these numbers.

Moderator : The next question is from the line of Bharat Sheth from Quest Investments. Please go ahead.

Bharat Sheth : Congratulation on a good set of numbers. Preetham, if you can give some color on our MMRFI Radar business from this year to next year and the year following. What kind of a growth path that we are seeing? And if you can give some broader picture on the n umber side also and how it will be the EBITDA margin. So, how do you really expect this business to play out for us, if you can give a little more color?

B R Preetham : Sir, we are working on , rather MMRFICs are working on multiple channels. As we had said, it is both for defense and surveillance and also in space. So, apart from automotive radar application that we are seeing a lot of interest. See, the first and foremost business is on a defense seeker radar program, which they have been working on from last 4 to 5 years, where they have made significant progress. All their modules, we understand that they have been certified now, and they are now looking a t full integration and field testing. There is a lot of upside to this because currently, the end users seem to be importing all these things from outside India. And today, given the situation that the world is facing, a lot of demand for these are envisaged. So, definitely, the customers also put a lot of pressure on full integration and field testing of this because it involves a lot of government agencies, it takes its own course and time.

But upon the full implementation when this radar gets integrated because this is the only company as of now who have been certified whether whoever would be the integration partner, MMRFIC is set to benefit from the entire indigenization program. So, that is on part of seeker radar, which is going into defense program. But apart from this, they are working with other agencies to work with a lot of surveillance radar, which also include a possibility to develop and

demonstrate radars, which can work in the foliage to detect any intrusions and kind of stuff. Also, they are working on some space programs as well. So, we are looking at a very, very strong product portfolio development in the next coming years, which would also get translated into significantly higher revenue. I do not want to put any numbers as of now because these are quite high potential but might have some timeline constraints in putting up a number. But generally speaking, the average, the EBITDA num bers on this business would be upwards of 50%.

Bharat Sheth : And a second question. So, what is the potential if you can give rather than giving any number for say next 3 years, I mean the third year?

B R Preetham : I think that at the current level, I am not in a possession of the numbers that I can tell you. But over the course of time, probably we will come out with the appropriate set of numbers that we can give it b

ecause as you are aware that while we have invested and think there is still the entire operations and guidanc e has to be given by MMRFIC Board. So, we will come out with an appropriate time, we will come out and give you the numbers then.

Bharat Sheth : And second question is on, if I am not mistaken, in your opening remarks, you said that in 2-wheeler, we reduced supply to one of the customer. So, is that correct? And it is just that if you can give a little more color on it.

B R Preetham : No, because one of our customers whom we were supplying some quantity, I am talking about an EV customer, and they had a model change. And due to various factors, which includes commercial also, we could not participate in the newer program because of the commercial issues that we could not agree upon. So, due to this factor, compared to last year, 1st Quarter to this quarter, there has been a significant reduction in the revenue coming out of that customer.

But despite that fact, our xEV comp onent business has grown by almost 30% year -on-year. This is aided by our productionization of components to our North American global leading EV customers, which we see that there is a good traction going forward. And with the global cost pressures that are there now, the opportunity for engaging on a global level with the different EV platforms and customers, that potential has increased significantly.

Moderator : The next question is from the line of Vidrum Mehta ASK Investment Managers. Please go ahead.

Vidrum Mehta : So, my question is again on the revenue growth. So, our auto ICE segment grew 7% on Y -o-Y. I understand one of our customers reduced the business, but that was on the EV front, right? So,

why are Auto ICE just grew 7% as against 2-wheeler industry, which reported around more than 14%, 15% growth in this quarter?
Vikas Goel : So, there are various elements to this growth as we see. One, of course, yes, the 2 -wheeler segment, we also registered a fairly good growth in terms of revenue year -on-year, about 19% growth we registered on 2-wheeler sector. But then there are other slices i n terms of passenger vehicle and commercial vehicle segment. So, we registered a degrowth in our Sweden business about 20%. So, that is also included in this Auto ICE combined growth of 7%. Secondly, one of our customers during Q1 of FY '24, we had actually supplied a higher share of business due to

some challenges that they were facing from other suppliers. Now this year, those supplies were normal. So, that is also reflecting as a flat or slightly negative and thus not capturing the growth. We also had, as Preetham was mentioning , some softness in the European side of passenger vehicles. Now all this is clubbed as Auto ICE. So, what 7% growth we are seeing is a combined result of all these pluses and minuses or flats.
Vidrum Mehta : Secondly is on the number of LOIs or purchase order. So, that has come down from 408 to 346 on a Y -o-Y basis. But largely, the order book remains stable at Rs. 1,700 -odd crores. So, is it fair to assume that the new orders which we have won are of higher ticket size or bigger ticket size? And can you throw some light in which segments or geographies we are receiving this bigger ticket size order?
B R Preetham : The number of LOIs, I mean, you can't read too much into it. This is because we have shifted a portion at the beginning of the yearinto mass production. So, it's just a number that the LOI numbers to the peak revenue. What I want to tell you is that the order book addition into the future also looks quite strong. As I've said that during the second quarter, which probably at a later date when we do the second quarter announcement, we have added a good amount of business into our Swedish subsid iary into this new program, which I said that which would also help them to bridge the numbers and this

one. And we have also started looking at good order inflows into our aerospace and defense sector where not only from aerospace and defense, but there i s some new interesting segments that have emerged, where we have been able to start getting orders and interest, which is very, very close to what we do in our aerospace and defense. Of course, these are ultra-high- precision component machining into semico nductor machines manufacturing space, we have been able to acquire some good amount of orders into this space as well.
So, because it is now part of this Q2 order book buildup, you will come to see, but we are quite confident that across all the segments, including Auto ICE, where a lot of interest is now coming back into Auto ICE, which, of course, as you are aware that our c onnecting rod and Auto ICE business is a very well established and very optimized business where we tend to get good higher margin. So, that is also showing a lot of promise because a lot of customers in Western World who had put a freeze on Auto ICE development engine, ICE engine development, have actually started working on all these platforms, and we have been able to get a good amount of interest. So, overall, we think that this year, we will end up very strong order book growth like what we have been demonstrating over the last couple of years.
Vidrum Mehta : Sir, lastly, just on the order book front. So, our EV share of order book has come down from 19% to 17% on a yearly basis, Y -o-Y basis. So, we keep on hearing, there is some slowdown in the adoption of EV globally, and is that the reason why order book is not moving, specifically EV order book? Some of your customers have postponed their EV launches by a year or 2, and that is what is reflected in our order book? Your sense on the overall EV order book or adoption of EV globally.

B R Preetham : No, I would say that, yes, there has been some concerns on the rate of adoption of EV and the expansion of EV in the western market, both in Europe as well as in U.S., we can see a slowdown in the sales as well as overall when companies had announced that their focus is largely on EV and no ICE focus. But that has definitely shifted now. There has been focus shifted towards ICE as well, which is in a way also good for us. But what you see is mostly because as we keep working with our existing and new customers to acquire more inroads into our EV components. But because we get a bigger pie from our ICE, that shift is what we are talking about. It is, as of now, we don't see any slowdown in the order inflows. But of course, the quantum or the quantities has probably slowed down a bit. But order book, I don't think there is any concern as of now.
Moderator : The next question is from the line of Deep Shah from Yes Securities Limited. Please go ahead.
Deep Shah: So, the question on your opening remarks where you had said you are going to set up a special

machining facility for aerospace segment and SOP is expected by FY '26. So, basically, what I want to know is what does it change for us in terms of the growth and the profitability and what we do today? And the second question related to that is what is the CAPEX for that line, basically? That would be the first question.
B R Preetham : Yes. My opening remarks was that the Board has approved for us setting up of a special process facility for aerospace where we have machining facility now. See, we are dependent on outside vendors for doing all the special process like anodizing, sharpening, NDT testing, primer and plating, classification, chrome and zinc, nickel; all these are the processes which we get it done outside for the aerospace business; like for automotive, a lot of them, what is required is available inhouse. For aerospace because the quantum and the scale was lower, we had not put up any dedicated facility, which requires NADCA

P approval as well. Now that we see a lot of potential new order inflows and higher value -added parts, so we have decided in order to accelerate this growth, what is required i s apart from the capability of engineering with Sansera has demonstrated, we should have some in -house capability of special process, which will aid acquisition of higher value -added business because people are tentative if you do not have these in-house. So, we are setting up this. So, this would mean that in over 12 to 15 months, this facility will come up adjacent to our existing machining facility, and this would have an overall investment of about Rs. 30 crores.
Deep Shah: And the second question is on the Swedish operations. So, basically, you had highlighted that the margins can be reached to about 11% to 12% FY '26. Where are we in that journey as of today? So, last call, you had said FY '25 margins probably would be flattish as compared to FY '24. Please can you update on a 1Q performance?
B R Preetham : Yes, my colleague, Praveen, will take that call. Praveen?
Praveen Chauhan : Yes. So, on the Swedish operation, we have been able to acquire certain businesses as we have been talking for the last few quarters. This is big connecting rods, in fact, bigger connecting rods. Incidentally, these were being produced on a manual line. Now we are in the process of

automating that. That's one area of improvement that is going to happen. So, once we automate the line, the human resource requirement would be much lesser, and therefore it will be much more profitable. That's 1 part of it.
Second is what Preetham spoke about a new business acquisition where their customers' alternate supplier had been into a tough time and has stopped supplies or in the process of stopping supply. So, this business is coming out to be on a very good pricing and good profitable business. So, we expect both these put together when we come on stream and the lines become automated, which is closer towards the end of this year, the business will become much more profitable and the real effect of that will come in the next year. So, the top line as well as bottom line both will be positively impacted.
Deep Shah: So, basically, if I read it correctly, you are saying by end of FY '25, the margins profile should be touching double digits versus, let's say, about 6%, which we did last year?
Praveen Chauhan : It could be tending towards that, but the real impact will come only either in the last quarter of this year or maybe the early quarter, the 1st Quarter of next year.
Vikas Goel : So, Deep, by end of this financial year, we will have all the elements in place to deliver that EBITDA margin. We may not be able to report a higher margin in this year for Sweden .
Moderator : The next question is from the line of Aashish from InvesQ PMS. Please go ahead.
Aashish Upganlawar : Sir, I am a bit new to your company. So, just trying to understand, I mean, I think 70-odd percent of your business comes from the domestic market. So, we have had a very good time in the last 2, 3 years where the domestic auto industry has done well. And I think some plateauing is happening now. So, in case there's a slowdown and basically growth doesn't come in the domestic market, how does your business perform in such a period? Any comments would be helpful to understand.
B R Preetham : Of course, thank you. We would definitely not be fully insulated by what happens in the industry. We are in the industry, we are integrated with our industry. And if there would be a slowdown like everyone else, we will also get impacted. But what works for us is about 32%, 33% of our revenue comes from our international business. Also, sector -wise, we have tried to diversify from automotive to other sectors, which includes non-auto motive. And we have also added a lot of new customers, new programs, pro

duct expansion, all these things, we are quite confident that as we have stated earlier, whatever would be the industry growth, you can add that overall, we would grow by about 8% to 1 0% higher than the industry growth. So, this is where we are working towards insulating ourselves from. Of course, the inevitable slowdowns in certain sectors, certain geographies which will have an impact on the business, but we are trying to be

minimizin g that negative impact on to our business.
Aashish Upganlawar : So, what I could understand is assuming that there is no growth, 0 growth on the industry side, still, we will be able to ensure about 8% to 10% growth on a rough basis?

B R Preetham : Yes, that is what you'll get.
Aashish Upganlawar : And the international business plus the other components of the non-autos in domestics, figures would help to understand basically what kind of growth are we expecting just to make up the picture clear on the consolidated basis for us.
B R Preetham : See, generally, because our non -auto motive business is on a lower base, the growth rate in non-automotive and xEV business and the tech -agnostic business is much faster. So, if you really look at the next 2 to 3 years, we are looking at a CAGR growth in this by about 40% to 50%. So, depending upon each of the sectors, it could be slightly different. But then overall, what we see is non -auto motive, tech agnostic and xEV business, we hope to grow by about 40% to 50% on a year -on-year basis.
Aashish Upganlawar : And internationally, you're saying that it's difficult to take a call given the scenario overall as to what the growth rates you would be looking at.
B R Preetham : If you see for us, the revenue growth from our international business in the 1st Quarter has been almost about 28% on Sansera stand -alone. So, we have actually grown faster than domestic even in this year in Sansera stand -alone. Because of our Swedish subsidiaries degrowth in the 1st Quarter , there has been some muted this thing. Otherwise, international revenue because we have added customers, we have added this thing and despite the fact that there could be a slight slowdown in the second ha lf of the year on a general market industry, but because our new additions of businesses, we are still confident of delivering a strong growth in this segment as well.
Aashish Upganlawar : Sir, if I could, basically on the margins, you are saying that still there is potential to improve that. You said that it will take some hard work on that. But you would probably expect margin improvement, right? I mean, on a consol basis overall? It was explained in the earlier part of the call.
Vikas Goel : Yes. What we said is there are structural elements and there are special efforts also, as you also mentioned. So, it's a combination of both of these things, which will help us to achieve higher margin.
Aashish Upganlawar : Any conservative numbers on where they would trend maybe in the next 1 or 2 years?
Vikas Goel : So, it's a path, I may not be able to give you specific numbers at this point in time.
Moderator : The next question is from the line of Basudeb Banerjee from ICICI Securities Limited. Please go ahead.
Basudeb Banerjee: Just a couple of questions. One, as you used to highlight earlier, so what's the internal target of Aerospace revenue in FY '25 as of now? And what is the target of export business ex of Swedish business in rupees crores in FY '25?

B R Preetham : Basudeb, sorry, can you repeat this? I missed out this question, sorry.
Basudeb Banerjee: What is the internal target of Aerospace revenue in rupees crore in FY '25 and similarly for export business ex of Swedish business this year?
Vikas Goel : Aerospace revenue target for FY '25. Is that correct?
Basudeb Banerjee: Yes.
Vikas Goel : A

nd the second part of the question?
Basudeb Banerjee: Is ex Swedish business, exports like exports out of India.
B R Preetham : Yes. Basu, as I said that our exports out of India grew by almost 27%, 28% this quarter. And we did well on both on xEV as well as on tech -agnostic in this segment. For this year, for Aerospace, we are looking at between 30% to 35% growth as it stands today. While initially the expectation was that we would grow between 40% and 50%, but because still we see that one of our customers are still not out of the woods fully. So, there have been some pushouts of the schedules. So, we are a bit cauti ous in saying what we will achieve, while we are working a lot on improving our defense revenues also. But as it stands today, I think that we should safely assume that we should do between 30% and 35% growth for aerospace this year.
Basudeb Banerjee: And what was the base of fiscal '24, absolute? 135?
B R Preetham : No, base of fiscal FY '24 for aerospace..
Vikas Goel : 110.
B R Preetham : 110.
Basudeb Banerjee: So, 30%, 35% over that. And similarly, what was the base of exports from India?
B R Preetham : Exports from India, one second. I will just give you. Exports from India last year for the full

year was around
Praveen Chauhan : 25%.
B R Preetham: yes around 25%
Basudeb Banerjee: Yes. No, no, sir, I meant rupees crore FY '24.
B R Preetham : At about Rs. 665 crores.
Basudeb Banerjee: That does not include Swedish subsidiary?

B R Preetham : No, no, no, it does not include Swedish subsidiary. This is only from exports from India. Product sales, I am talking about product sales.
Basudeb Banerjee: Yes.
B R Preetham : Because revenue includes other things, but this is purely on product sales, 27.5% of our revenue from product sales came from export from India, which stood at about Rs. 665 crores.
Basudeb Banerjee: And lastly, sir, any progress in terms of technical partnership or JV or tie up with any global player to get access to newer markets, newer products, newer customers as such?
B R Preetham : We are always looking at and working on these elements. As of now, there is nothing to declare. But definitely, we are looking at various opportunities that are available, especially in Aerospace segment for this kind of opportunity. So, company is actively keeping ourselves active in this space, but there is nothing that I can talk about as of now.
Moderator : The next question is from the line of Himanshu Singh from IDBI Capital. Please go ahead.
Himanshu Singh: Sir, we said that our growth in the EV segment was around 30%. This was the high-growth segment, which we were expecting for like going ahead. So, what kind of growth we can assume for FY '25 and '26 given we have lost a big customer in the segment. So, will there still be a very high-growing segment or like because we have grown at 30% compared to 52% in FY '24, so the growth has come down. Any comments on that?
B R Preetham : No. This was towards the third quarter itself, we had said that one of the OEMs, we have come out of 2-wheeler in the OEM business, largely, not fully, but then largely. We have also started commercial production into our North America and where we expec t that there is a strong growth prospect, commercialization has happened. But having said that, as you are also aware that there have been some headwinds in the EV sectors, every customer is finding it difficult to deliver growth in numbers. Bu t as far as we are concerned, we are looking at almost Rs. 100 crores of revenue to come out of this customer in this financial year, which should aid our growth into this segment. And also going forward, we are also working with them and other customers t o add more components and also add a few more customers into this segment. So, while the industry, we have been talking about there could be a slowd

own on adoption. But we want to keep working towards improving our participation in this. So, our focus has been on working on xEV and tech -agnostic components, which goes into xEV as well.
Himanshu Singh: Sir, and on the non-auto side, off -road segment. So, how is the growth expected this year? So, we have seen some moderation in growth in the 1st Quarter . So, what is the kind of growth we can expect for the full year?
B R Preetham : Praveen, do you want to take it? Praveen?
Praveen Chauhan : Himanshu, can you repeat your question, please?

Himanshu Singh: Sure, sir. So, I am talking about the offroad segment, we have seen some moderation in the growth profile. We have grown by around 15% this quarter. The full year growth last year was almost 66%, 67%. So, what is the kind of growth we can expect for the full year in this segment?
Vikas Goel : So, Himanshu, we had a major upscale in terms of our new components addition, new products production last year. And this year, mostly it will be execution or normal consolidation of that. There will be moderate growth. There are other programs which are currently in discussions with this customer, which will probably play out in the coming years. But this year, you may consider this will be a normal growth, not a substantial growth that we witnessed during last financial year.
Himanshu Singh: So, around 14%, 15% is what we can expect?
Praveen Chauhan : Yes, it may be in that range.
Moderator : Ladies and gentlemen, we will treat this as the last question. I now hand the conference over to Mr. Varun Baxi for closing comments.
Varun Baxi : Thank you, Neha. On behalf of Nirmal Bang Institutional Equities, I thank everyone for attending this call. I also thank management of Sansera Engineering for giving us the opportunity to host the call. Thank you so much, sir.
B R Preetham : Thank you, everyone. With this, we conclude the call. And if you have any further queries,

please contact SGA, our Investor Relation advisor or directly, you can reach out to us, and we will do our best to answer your query. Thank you again for all of you to be having participated and having patience to listen to us. Thank you very much.

Vikas Goel : Thank you.

Praveen Chauhan : Thank you.

Moderator : Thank you. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Nov 2024

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

November 18, 2024

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning call held on November 12, 2024 on Unaudited Financial Results of the Company for the quarter and half-year ended September 30, 2024 . The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you,
for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

"Sansera Engineering Limited
Q2 FY '25 Earnings Conference Call "
November 12, 202 4

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 12th November 2024 will prevail

MANAGEMENT : MR. B.R. PREET HAM – EXECUTIVE DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – SANSERA
ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER –
SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – HEAD CORPORATE

STRATEGY – SANSERA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sansera Engineering Limited Q2 FY25 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B.R. Preetham, Executive Director and Group CEO. Thank you, and over to you, sir.

B. R. Preetham: Thank you. Good morning, and welcome to all, and thanks for joining this call. On this call, I'm joined by our CFO, Mr. Vikas Goel ; Mr. Praveen Chauhan, our Head of Corporate Strategy; and Mr. Rahul Kale, our CEO; and also our Investor Relations advis or, SGA. The results and the presentations are uploaded on the Stock Exchange and the company website, and I hope everybody has had a chance to look at them.

To start with, we are pleased to report that our financial and operational performance in Q2 FY '25 has been quite strong compared to the existing market conditions. On a year -on-year basis, our revenue has increased by 10% to INR 7,634 million, along with an improvement in EBITDA margins, which stood at 17.4%. Having completed QIP of INR 12,000 million in the month of October, our balance sheet position has strengthened significantly.

This capital will be instrumental in supporting our future growth plans, giving us the financial flexibility we need to pursue growth opportunities. Now let's take a look at the broader industry landscape. In the domestic market, 2 -wheelers maintained a healthy momentum in Q2 FY '25 with volumes increasing at double -digit rates on a year -on-year basis, while the passenger vehicles saw a slight dip. On the export front, 2-wheeler volumes showed a similar growth

trajectory. And as we look forward, festive sales have come in strongly in the month of October. Having said that, we are seeing some softness in demand on the export side.

Let's take a closer look at our performance across sectors in Q2 FY '25. While our Auto ICE business had healthy growth, there was a mixed bag performance in our emerging business, namely tech -agnostic, xEV, and non -auto. The tech -agnostic and xEV business continues to be the fastest -growing sector with a growth of 55% (wrongly said, correct number is 53%) year-on-year basis.

This was primarily driven by the ramp -up order execution of our large North American-based EV customers, and interestingly, we are yet to achieve the peak execution level. However, our non-auto sector saw a degrowth of 20% year -on-year. This was mainly due to weak performance in our off -road and agriculture business.

Off-road segment revenue stood at INR 166 million during the quarter. Agriculture sales, during the quarter, stood at INR 101 million. With a stronger monsoon, we expect this segment to be better in the coming quarters. I would like to inform you that we have already started order execution for a large stationary engine and HCV custom er, with one order already generating revenues and another set to start in the next few months. These orders will reach their optimum value by FY '26.

Speaking of the aerospace business, it was also under pressure, due to some headwinds faced by our large customer -- which resulted in delay of order execution. Having said that, we look forward for a gradual production recovery at their end. Broadly, the demand for aerospace remains robust, driven by healthy air traffic growth.

The underproduction of aircrafts in recent years has resulted in a very large order backlog, and with the ending of strike at Boeing, we expect the business to be back on the expected growth trajectory. We have entered into a strategic MOU with Dynamatic Technologies, allowing us to leverage our manufacturing and engineering expertise in producing high-friction parts going into the Airbus A220 aircraft door assemblies.

Coming to our Auto ICE business, it witnessed a growth of 9% year -on-year and stood at INR5,367 million, which is the highest -ever quarterly revenue. This performance was mainly driven by the 2-wheeler business, which showed a growth of around 21% year -on-year. We are positive on this business as we continue to receive new orders for 2 -wheeler components in the tech-agnostic and high-end of the market, and we expect it to demonstrate similar growth in the future.

Our PV business, fueled by the slowness in the export market, degrew by 8% year -on-year, which is in line with overall industry scenario of slower demand. Now let's turn to our order

book. As of September 2024, our order book stood at over INR 20 billion, with 60% of these
orders coming from international markets.
I would like to mention that this quarter was very good in terms of order booking as well. We booked around INR 3.2 billion worth of orders during the quarter, and major order inflows are
from both auto and non-auto sectors.

In order to meet the increasing demand for our products as well as the necessity for launching
new products to meet our customer specifications, we have also set out our plans to expand our
capabilities, including the establishment of a new manufacturing f acility in order to
accommodate new forging lines and machining lines.
Towards this, we have signed a letter of allotment for 55 acres of land in Harohalli, Karnataka. We are also expanding our factory building at Plant 9 to accommodate a new special process
setup. Further, we will be upgrading and adding some more machines, too, in these facilities as
well.
We have also expanded our manufactu

ring facility at our Pantnagar plant, having acquired a new
manufacturing place with 120,000 square foot area, and we hope to continue our low -cost
manufacturing base at our Pantnagar facility. Broadly speaking, beyond la nd and building, we
intend to spend more than 60% of our future capex towards new -age components in tech -
agnostic, xEV, and non -auto si de.
We are also focused on expanding our professional team and have recently roped in multiple
members at the senior level. To name a few, Mr. Rahul Kale, who has recently joined us as COO of the company, brings a significant amount of experience and leadershi p expertise with a
demonstrated history of more than 20 years in automotive and MNC.
Mr. Madhukar Bhat, CHRO, has over 2 decades of experience in HR leadership experience. Mr.
Sridhar, who has joined as Head of -- COO of our Forging division, also comes with more than
2 decades of experience in the forging-related industry.
If you recollect, we have already added experienced professionals to take on leadership roles such as Mr. Anil Patil , our C QO, who has over 2 decades of experience in quality management
and operational excellence across automotive OEMs; Mr. Pattabhiraman Raghuraman, our
CSSO, over 2 decades of experience in managing sourcing and supply chain management; and
Mr. Satyanarayan Patel, Head of our Business Finance, who has also over 2 decades of experience. Along with our strong existing team, collectively, all of them bring a wealth of
industry experience that will be instrumental in driving our growth journey forward.
At Sansera, we are driven by a passion for engineering to effectively seize market opportunities and drive continued growth in the years ahead. Now I hand over this to our CFO, Mr. Vikas
Goel .
Vikas Goel: Thank you, Preetham. Good morning, and let me talk of the consolidated financial performance
during the second quarter of this financial year. Our revenue from operations rose by 10% to
INR7,634 million. We have delivered our highest ever quarterly revenue despite the challenging
macro environment in the auto industry in domestic as well as international markets. Our gross
margin expanded by approximately 1.3 percentage points due to evolved product mix and certain
efficiency projects, which we' ve been working on, which have now started delivering benefits.
During the quarter, our gross margin stood at 41.3%. In Other expenses, we had a marginal
improvement on a sequential basis, on a few items, and this is basically a result of our cost
control measures. So that also helped us improve and maintain a good performance.

The EBITDA for the quarter stood at about INR 1,331 million versus INR 1,178 million in the
same period last year. Our EBITDA margin for the quarter stood at 17.4%, which is marked
improvement on an ongoing basis. Interest cost was higher on a sequential basis, partially due
to higher debt and largely due to the discontinuati on of interest subvention on export credit.
Going forward, we expect this to get nullified as we are deploying the proceeds of our QIP for
repayment of most of these loans. And so we should have some positive reflection on the results
going forward on this account.
Our depreciation and amortization expenses stood at about INR 425 million, in line with our
ongoing asset capitalization. We were able to maintain our PAT margin level and closed the quarter at INR 516 million of PAT.
Talking about the performance during first half. The revenue from operations rose by 11% to [INR 15,073 million with a

healthy margin profile. EBITDA for the half year stood at INR 2,607
million, with a year -on-year growth of 12% and a margin percentage of 17.3%. PAT stood at
INR1,018 million with a margin of 6.8%.
And on the debt front, our net debt stood at INR 8,797 million as of September 2024, owing to
higher capex during the firs

t half and a slightly elevated inventory which is basically to build up
for the ongoing festive season.
Capex investments were to the tune of INR 2,937 million, in this period of first half. And the
details of which were already explained by Preetham in his address. Cash flow from operations stood at INR 1,959 million,
and I would like to highlight that with the help of QIP proceeds, we
are currently net cash positive.
With this, we would like to conclude our presentation and open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question
is from the line of Mukesh Saraf from Avendus Spark Institutional Equities.
Mukesh Saraf: My first question is on the order book. You have seen the order book kind of expand now this quarter. And
moreover, it seems like the non -auto segment has seen a good order increase now,
last, INR500 crores. Could you give some more sense on this number? Is this largely aerospace?
Or is there some of the other orders that we are getting in the non-aerospace and non - auto
segment as well?
B. R. Preetham: Thank you, Mukesh. Yes. See, while the overall order book is quite healthy, orders have flown from all the
segments. Overall, if you really look at our order book, which is about INR 2,055
crores, more than 50% of this has come from non-auto , tech-agnostic and xEV, approximately
about INR500 crores from non-automotive. Tech -agnostic is about INR205 crores.
xEV is about INR 315 crores. And Auto ICE also is quite healthy with INR 979 crores. So -- and
if you really look at domestic versus this thing, again, about 40% of this is from domestic and
about 60% is coming from exports. So there is a healthy order inflow from each of the sectors
and also from the geography as well.

Mukesh Saraf: So my question was specifically on that INR 500 crore non -auto order book. Just trying to
understand this incremental quarterly improvement that we have seen, is this largely only
aerospace? Or is there other segments in the non -auto as well?
B. R. Preetham: Also a portion of -- we have been able to add some new segment as well. So in this, about 36%
-- about 37% of the orders have come from aerospace. About 4% from agri but then we have
also added a customer in semiconductor business. So we have been able to get a good entry into
this. This is for a semiconductor equipment manufacturer, and that constitutes about 55% of the
non-auto order book.
Mukesh Saraf: Got that. Got that. And secondly, on the money that we have raised, the INR 1200-odd crore
number, could you kind of spell out the plans that -- obviously, you mentioned about some debt
repayment, etcetera. But any strategic plans there in terms of M&A? And even if you're not able
to kind of specifically talk about M&A, could you tell us what kind of areas we're looking at? Is
it more a geographic expansion that we're looking at?
Is it a capability building, say, on forgings? We do have Fitwel, but is that -- anything that we're
looking there on the forging side? Or is it like a customer acquisition -- so could you kind of
spell out a little more in detail on the usage of these funds? Obviously, there's a U.S. plant as
well that you're looking at, so if you could give those details.
B. R. Preetham: Yes. See, broadly, what we have strategized is that to begin with, immediately, we would actually net off our
debt. So we have become mostly debt free. That will also give us a leverage
for any further expansion as and when the opportunity comes up. We have also, as I've specified that we are expanding in 2
places on our land and building because we have almost run out of
land bank.
So we are acquiring about 55 acres, which is in an EV path coming up very close to this industry
an area where government has identified a parcel of 55 acres and allo

tted. Where we expect that
all our future order book execution would happen.
We have also added a manufacturing base, which we intend to keep it as a low -cost
manufacturing base in our Pantnagar. Now post this, we are also setting up a special process
plant in our aerospace facility. This will also accelerate our growth in aerospace and also in other
non-automotive sectors because special process being extremely critical to these sectors.
Now apart from this, as you said, that we areon the -- very actively pursuing our plans into
starting up of a small assembly plant to begin with in the U.S. And with the change in
government that is due to happen in U.S., we are closely watching what kind of policy shift will
happen, which would also help us to take further decisions on this.

Now just coming -- and we -- you know that we have already invested in a deep technology startup where -- in MMRFIC, and we would definitely look at much faster growth in that. Of course, aluminum would play a key part in our expansion strategy. We are def initely open to looking at more and more warm -forged as well as hot -forged components critical to our component strategy. Some of our key members who have joined us would also come with that expertise. So we expect that, that will also leverage our -- propel our growth.

Mukesh Saraf: Right. Any number you can tell us on the US capex will be a small -- I mean are you starting off with a very small number now because you've raised money? Just want to check.
B. R. Preetham: Yes, it is not a significant number at all. To begin with, it would be only a lease premises with some final inspection, assembly and operations. So, it would not have any material impact at all.
Mukesh Saraf: Got it. And just lastly, margins. While we have maintained a ballpark around the 17.5% number, what are the kind of levers, from here, you're seeing? Because -- how are you seeing some of these initiatives you're taking in terms of product diversification, etcetera, might take some more time. What is the trajectory you're seeing on these margins?
Vikas Goel: So as I explained earlier, the margin is definitely, you rightly said, there are project diversification or higher product mix is one lever. The second lever is the cost improvement initiatives. On the indirect costs, we are taking control measures. And also, we are looking at efficiency improvement projects. There are a few projects running already in the company.
So these are two levers that we have. The third lever is the volume expansion on an overall basis and a higher capacity utilization, which will probably also materialize over a period of time.
Mukesh Saraf: Right. So immediately -- I mean, so basically, it would take some time as we see these business play out at basically?
Vikas Goel : Yes, absolutely.
Moderator: The next question is from the line of Arjun from Kotak Mahindra Asset Management. Please go ahead.
Arjun: Congratulations on a great set of numbers. Sir, the first question is just on the capex , while you did cover it. We had indicated roughly INR 450 crores of capex for this year. Has there been any change in thought process post raising money in the QIP?
B. R. Preetham: No, Arjun, we continue to work as per the guidelines, except that this between INR 425 crores and INR450 crores, what we had indicated was not inclusive of this land parcel that we have mentioned. So that would be additional. And apart from that -- yes, those two land portions. And apart from that, it should be more in line with whatever we had indicated. Of course, we will also take the overall macroeconomic condition and the market momentum into consideration
while slightly adjusting in cas e that we need to curtail or accelerate any of this thing.
So because, as I said, that we have added some more sector, there could be some capabil

ity that needs to be added into those, which may also require some additional equipment. But that, again, having said that, that should be well within the projections th at we have made.
Arjun: Sure. Sir, just on the margin side of it, while you did also articulate. Going forward, if I look at your order book, entering into semiconductor equipment, etcetera. Would it be fair to say that the margins of the order book potentially could be higher than the existing margins?
B. R. Preetham: Yes, while the new sectors, especially non -automotive and also tech -agnostic xEV, these are primarily driven by the export. Geographically, it is meant for exports. So this -- all these comes

with higher margins, of course. But then we also have some learning, as I had already said that we are optimizing our learning in our tech -agnostic components especially in aluminum forged and machined components.
I expect that we would take another couple of quarters before we reach those optimum levels, which also currently is a drag . So -- and definitely, the order book, as it represents, should give us a positive momentum in margin expansion and also some of the initiatives that we are taking in our Swedish facility, along with the new order additions there and some automation proje cts
that we have taken up.
Beginning of the next quarter, we should see a better -- going back to our normal margin, the thing. And you'll see the full year next year going back to normalcy in our Swedish facility as well. So with all these things, definitely, we expect that there w ill be some expansion in the margins.
Arjun: Sure. Sir, just a final question, a quick one. Obviously, things are fluid globally. But just if you look at the aerospace and defense piece, we had earlier indicated that we could look at maybe

INR350 crores of peak revenues over the next couple of years. Obviously, there have been global -related occurrences. But how do we see the ramp -up now going forward? Is our order book yet intact? Or has there been some change in the orders? Or anything has be en canceled?

B. R. Preetham: No. In fact, our order book has expanded in aerospace and defense. And with the recent -- one of the largest OEMs, you are aware that there was a labor issue and then it has been resolved. And we expect that they would really put their efforts to catch up the lost ground.

So since we have also expanded our customer base, we have been able to work through with the newer orders. We really -- very firmly, we are working towards achieving whatever is our targets. Of course, external factors do play a big role. But we have tried to -- we have also added, as I said, the new sector would also get added into this facility. So this -- achieving and setting up of special process line, our facility into this is also towards achieving those numbers much faster than what we had thought.

So we continue to hold a positive outlook on aerospace and defense. And definitely, again, as I reiterate, that the company intends to grow by 40% to 50% CAGR in this sector for the next 2 to 3 years with a strong outlook on the order book.

Arjun: So what would be your peak revenues currently in terms of order book and current business?

B. R. Preetham: I think -- see, if I add the new sector also into it, we are already very close to about INR 325 crores to INR 350 crores worth of order book, both aerospace, defense and semicon put together.

Moderator: The next question is from the line of Siddhartha Bera from Nomura. Please go ahead.

Siddhartha Bera: Sir, my first question is on this non -auto si de again now given these improvements with your key customers, ramping up now and your orders also, we are starting to get. Should we expect that this segment start growing in that 30%, 40% or maybe in high teens from current quarter onwards? Or do you thin k some of tha

t recovery may take longer?

B. R. Preetham: No. See, that as the -- now we see that there's already a momentum started seeing. We are also looking at the entire supply chain to definitely support this growth story. And I expect that while the third quarter should maintain the momentum and should see an improvement.

But in the fourth quarter, you would see a significantly improved performance, because already, we are towards the middle of November, and these things would start taking some time into -- coming into the production line. So I expect that full recovery and a full back to normalcy from the fourth quarter. So there you will see the kind of growth that we have been speaking about.

Siddhartha Bera: Got it, sir. Sir, second question is on the PV side. We have seen a quite soft growth in the last first half of this year. What are the issues here? And given the lot of potential, even in Indian market as well as in the export customers, when can we expect some of these trends to sort pickup for us going ahead?

B. R. Preetham: See, PV, both headwinds, so there is headwinds in both the domestic as well as export market. But for our -- having said that, while, one, macro conditions are not yet very favorable, but some of the programs initiatives that we have taken, which should st art kicking in the next couple of quarters would cover for -- if -- we expect that even the industry would not continue to demonstrate the same slowness. And in a quarter or 2, it should be back to the normalcy. But added to that, we also h ave programs, which are now going to start in the first quarter of next financial year. So we definitely are quite positive on the passenger vehicle industry.

Siddhartha Bera: Got it, sir. Sir, lastly, on Sweden, would it be possible to share the EBITDA towards this Q3 for the Sweden entity?

B. R. Preetham: You mean our Swedish entity, what kind of numbers did they return?

Siddhartha Bera: Yes, EBITDA level?

Vikas Goel: EBITDA is about 5.5% for the Swedish facility. And as Preetham explained earlier, the -- closer to 6% with the improvement in the outlook for that business, especially due to price revision with the customer and the new orders, we expect to reach double di git by end of next year.

B. R. Preetham: So Siddhartha, for the overall H1, it was about 6.7%. I mean H1, it was 6%, but Q2, it was 6.7% (Wrongly said, the number is 5.7%) . But then what we see is, already, from Q3 to Q4, you will see a performance improvement. And towards the end of the Q4, we should be back to our normalcy. We expect that between 10% to 12% EBITDA to sustain ongoing quarters.

Moderator: The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha: Just firstly, how do you view and overall growth has been around 10% to 20%, and we expect to do, like, 10% better than industry? Also that -- a key segment 2 -wheeler, particularly has been well -- just wanted to understand, in terms of the new orders exec ution, how that has performed. Because it seems, broadly, our growth has been broadly closer to the industry growth, much of outperformance we have seen, sir. Just want to understand, I mean, why is the low growth then what we expect, si r?

B. R. Preetham: Sorry, Mumuksh. Now if you really look at -- while our overall business is both distributed across about 32% coming from international business, 68% coming from domestic business. And if you really see, about 28% of our business, 27%, 28% of our business c oming from passenger vehicle, while the 2 -wheeler itself has done reasonably well, and we have also done this thing in line with or slightly better than the 2 -wheeler growth. But then what you need to consider is, apart from that, there is a l

ot of headwinds across PV, across aerospace because of one of the customers there being done .

If you really average out all those things, we still have significantly outperformed the industry numbers. And this is because we have been able to ramp up our newer programs, especially on tech agnostic and non -auto, which is -- tech agnostic and xEV, which has actually given us almost 50% growth. And these are all newer components coming into production in this program. And we expect that this would add to the momentum going forward.

While we keep maintaining that overall industry, if you average out all the sectors, both domestic and passenger vehicle, we still have outperformed the industry growth.

Mumuksh Mandlesha: Sir, do you see that going ahead, sir, with the new programs coming up, can this pace of growth further improve, assuming the industry more or less stays around this level, sir?

B. R. Preetham: Yes, we will. Because like I had said, that some of the sectors, which had faced the headwinds like one of the sectors that we have seen. Almost 25% reduction in the industry level is on the off-road, and the customer expectation and the market expectation is next financial year, it should be back to normal. We have already spoken about aerospace where we see a momentum -- significant momentum to improve in the quarter 4 itself, where we will demonstrate that.

And with the addition of new sector, we should be able to outperform as we have committed in our previous and we have been saying that we would outperform the industry by 8% to 10%. So we are working towards that, and I'm quite hopeful that we will be able to achieve that.

Mumuksh Mandlesha: Got it, sir. And also will there be any steel pass -through impact, I mean, because steel price has come down. So any pass -through impact of that, sir?

B. R. Preetham: Steel is not a big impact. Whatever is the nominal reduction that has happened has already been executed, but it's a very small impact.

Vikas Goel: We have a similar offset of this in these scrap rates because that also has been falling. And so largely, we see a nullification of that benefit as of now.

Mumuksh Mandlesha: Okay, sir. Sir, coming to this aerospace MOU with Dynamatic. Can you just share us how this business potential is there? And just more on this particular order win from A220 door parts, sir?

B. R. Preetham: Yes. I think as we had communicated in our press release also, they have secured the supply of -- orders for supply of complete door assemblies for this A220 programs. And we would be machining a lot of critical components to one of the door assemblies. An d this is approximately

about INR40 crores, INR 45 crores -- INR50 crores of annual revenue. About INR 53 crores of annual revenue to start with.

And we expect that once the program is launched, we would have higher opportunities in this. And this also gives us a good entry into the ecosystem of Airbus, where we are working with multiple tire ones and also with OEMs to -- on numerous new upcoming pr ojects as well.

Mumuksh Mandlesha: Got it. And this order will start by when, sir?

B. R. Preetham: We have already started submitting the FAIs, and we expect that Q1 of next year, it should start getting into commercial production.

Mumuksh Mandlesha: Got it, sir. Just then lastly, on the aluminum forging, sir, how that is gaining traction, sir? And can you indicate what could be the order book for this segment, sir?

B. R. Preetham: Totally, aluminum forging, as we had also said that we have actually -- overall, we would be having about 8 presses operational by end of this year. And with a total order book of what we are currently executing as well as overall order book is close to ab out INR350 crores.

And I think by towards the end of next financial year, because these are also going into some newer program

s starting in Europe for the high-end motorcycle business, there's some couple of components, which are getting into passenger EV car exports as well . And by towards the end of the next financial year, quarterly hit rate, I think we should be very close to executing the full -- at least about 80% to 85% of this order book.

Mumuksh Mandlesha: Got it. And sir, currently, it will be in the double -digit growth, sir, full year basis this year?
B. R. Preetham: Yes, yes, yes.
Moderator: The next question is from the line of Abhishek Jain from AlfAccurate Advisors. Please go ahead.
Abhishek Jain Congrats for a strong set of numbers despite the challenging environment. Sir, in ICE segment, our growth was around 9%. So if you can explain the new products and the client additions in the ICE segment?
B. R. Preetham: No. See, ICE segment, of course, 2 -wheeler itself has grown well. Of course, there has been a degrowth in our passenger vehicle segment, both domestic as well as the export -- domestic export being slightly more than domestic. But we have been able to expa nd our business with -- as we had said that Tata Motors has been -- we have been expanding our , business with Tata Motors.
We have also been able to grow in line with the growth in 2-wheeler business, we have been able to grow with our existing customers, namely Bajaj and HMS I and as well as TVS. We have also added Ford Motor Company, where the development is on for a connecting road, which would be largely exported. so that's it. I mean, we see that the momentum continues in this quarter as well.

Abhishek Jain: So how do you see the revenue growth for the medium terms in the ICE segment? The industry will grow by the 6% to 7%. How much outperformance can be possible because of the new client addition and expansion?
B. R. Preetham: No, we expect that , a very significant portion of our Auto ICE will also come from passenger vehicle export, while the domestic industry has grown well. But we still await our recovery in the export segment. So all put together, I think we should be betwe en 8% to 10% better than the overall industry, including exports and domestic.
Abhishek Jain: Okay. And are we looking at some big orders from the export segment in the passenger vehicle side, in EVs or ICE, sir?
B. R. Preetham: Yes. That's an ongoing process. We can't stop working with our existing and new customers to acquire new businesses. Of course, at any point of time, there will be a lot of projects, which we will be working on, including some of the big ones going into both North America, Latin America as well. So we expect that, that's an ongoing process. We are quite hopeful with the favorable manufacturing conditions in India and also China plus other thing. We would expect that our inflows will start ge tting better and better in this segment.
Abhishek Jain: Okay, sir. In non-auto segment, our revenue on quarterly basis is INR 65 crores to INR 80 crores. So how do you see the medium -term revenue on the basis of the new orders wins now? So new orders in the non-auto segment is quite healthy. So there, what kind of revenue you are targeting for the medium term in the next 2 to 3 years in non-auto segment sir ?
B. R. Preetham: In non-auto, see, if you really have to dissect the non -auto. Non -auto primarily consists of aerospace defense as well as off -road. So off -road still, we think that another 1 or 2 quarters, it will take for it to come back to its normalcy because the sector itself is struggling. In U.S., one of our major customers , are having -- this year, they had already projected that they are looking at between 15%, 20% degrowth.
So that is in line with whatever the market had expected on that. But other than that, we are quite bullish and you will see us growing much faster in aerospace as well as defense. And you would a

lso see a kind of recovery in agriculture sector, which also is part of the non-auto for us.
So see, overall, if you really look at the off -road coming to its normalcy over the next couple of quarters, I don't expect that to happen in this quarter or the next quarter, but at least from the Q1 of the next financial year, we should really look at ab out 35% to 40% growth in our non-auto business.
Abhishek Jain: Okay. Sir, my last question on the raising the fund, you have raised around INR 1,200 crores, and you are also looking for the repayment of the debt. So how much debt would be repaid? And how much interest cost will go down in FY '26?
Vikas Goel: So we have stated that we will be repaying INR 700 crores of debt and the process has already started. By March, we should be able to complete this entire process. Approximately this should reduce our interest cost by about INR 55 crores per annum on an annualized basis.

Moderator: The next question is from the line of G aurav Gand hi from Glorytail Capital Management . Please go head.

Gaurav Gandhi : Just 1 question, sir. This order regarding semiconductor equipment you are talking about, will this order be recurring in nature or onetime? And is there any more better opportunity in this space for the company?
B. R. Preetham: Yes. This is definitely a recurring order, and we expect that once we -- you start establishing yourself in any sector, you would have definitely higher opportunity, both with the same customer as well as with a few more of these players who are dominant i n this industry.
We are creating certain kind of facilities, which are very, very typical for this sector, including Class 1,000 clean room, also with some of the very high-end capability of machining. All these things should definitely aid us to improve our standing in the sector.
Moderator: The next question is from the line of Deep Shah from YES Securities. Please go ahead.
Deep Shah: A question on aerospace and defense, if you can share what's the revenue share for the quarter for this segment aerospace and defense put together?
B. R. Preetham: In this quarter, what was the revenue is what is your question?
Deep Shah: Yes. From aerospace and defense put together ?
Vikas Goel: Approximately, it's close to 4%. That's the average share from this segment that we've been having for some time now.
Deep Shah: Right. And the related question to that is with this supply input from Dynamatic Technologies, when it starts, with annualized run rate of about INR 50 crores to INR 60 crores, where do you see the revenue share from this segment to go. I mean the other question to that is how are the margins, in terms of within non -auto from this particular segment? Is it, like -- so if it's a critical equipment, how is the margin profile different versus the other components . So that's the second question?
B. R. Preetham: See, overall, I don't see too much of a change between 6% to 7%, like, is what we see aerospace, defense and semicon put together to happen in the short term in the next 2 to 3 years. While we see that this growth would have about 35%, 40% CAGR on year -on-year. But since our other sectors are also growing and this, being a smaller base, would not really improve a lot from current 4%, 4.5%, it would probably go up to about 5.5%, 6%.
As far as the margin is concerned, it is -- like we have said earlier, this is definitely margin accretive compared to any of the domestic business that we have. It is in line with all our other export components that we do, probably slightly better. But j ust also one needs to understand that this would also come with a higher working capital cycle and a longer inventory period. So this would definitely be margin accretive, definitely being much better than our domestic margins.

Deep Shah: Sure. And the last question is about these other deals of INR 50 crores that you've just mentioned, about INR55 crores for A220 program. Do we see a chance of that getting extended to, let's say, further families of the flights like for example, A320 etcetera in near future?
B. R. Preetham: Yes. So we, like, see, as we have capability expansion in this, we are already working with similar components with one more tierone . So we also see that once you get into a range of family of components, the opportunities to work with various other models would come up. So we are already pursuing such opportunities.
Moderator: As there are no further questions from the participants. I now hand the conference over to the management for closing comments.
B. R. Preetham: So thank you very much for all your patience hearing and participating in this. I conclude this call. If you have any further queries, you can contact SGA, our Investor Relation Advis ors or directly, you can be in touch with us and we will give you further clarifications if you have.
Thank you very much.
Praveen Chauhan : Thank you.
Vikas Goel: Thank you.
Moderator: On behalf of Sansera Engineering Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you

Call: Feb 2025

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

February 17, 2025

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning call held on February 11, 2025 on Unaudited Financial Results of the Company for the quarter and nine months ' ended December 31, 2024.

The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you,
for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

"Sansera Engineering Limited
Q3 FY '25 Earnings Conference Call "
February 11, 202 5

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 11th February 2025 will prevail .

MANAGEMENT : MR. B.R. PREETHAM – EXECUTIVE DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – SANSERA
ENGINEERING LIMITED
MR. RAHUL KALE – CHIEF OPERATING OFFICER --
SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER –
SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – HEAD CORPORATE

STRATEGY – SANSERA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of Sansera Engineering Limited. This conference call may contain forward -looking statements

about the company, which are based on the beliefs, opinions, and expectations of the company as of the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participants' lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressin g star, then zero on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B. R. Preetham, the Executive Director and Group CEO. Thank you, and over to you, sir.
B. R. Preetham: Thank you. Good morning, and welcome, everyone. Thanks for joining this call. On this call, I'm joined by our CFO, Mr. Vikas Goel; Mr. Praveen Chauhan, our Head of Corporate Strategy; and Mr. Rahul Kale, our COO, along with our Investor Relations adviser, SGA. The results and the presentations are uploaded on the stock exchange and company websites. I hope everybody has had a chance to look at them.
Starting with the quarterly update, we delivered a decent performance in quarter 3 of FY 2025 with a revenue of INR7,278 million and an EBITDA margin of 17.5%, with a PAT margin of 7.7%. I would like to highlight that generally, Q3 is the weakest quarter for the overall auto industry. I think we have delivered this performance despite a challenging external environment and a very strong corresponding Q3 in the last financial year.
Following our QIP, the balance sheet continues to remain strong, with surplus cash standing at almost INR4,969 million. With this, we are well -placed to expand our capabilities in line with our order book of new business. During the quarter, the overall domestic demand trajectory remained moderate post -festive uptrend. That said, January began on a positive note, and the outlook for the year continues to be cautiously optimistic.
We expect some inventory correction to take place due to OBD 2 Phase B in the coming quarter.
As per S&P Global's 2025 forecast, the global auto sector remains focused on managing production and inventory levels in response to regional demand patterns, whi ch include slower growth in key markets. That said, North America, which accounts for about one -third of our exports from India, is presenting a meaningful opportunity with the changing global dynamics.
Let's take a closer look at our performance across sectors in Q3 FY '25. Emerging businesses, namely tech -agnostic, xEV, and non -auto, contributed 24.2% of our revenue. The long -term outlook for these remains very strong. The tech -agnostic and xEV business delivered a healthy growth of 9.5% on a year -on-year basis.
Our xEV business has experienced more than 30% growth year -on-year on a low base. We shall continue to maintain this high -growth trajectory going forward as our outlook for this tech - agnostic and xEV business remains solid with an order book of INR5,352 million, including a major proportion from aluminum forged products.

In the non -auto sector, we registered a decline of 6.6% on a year -on-year basis, owing to some softness in the off -road and Aerospace business. The off -road segment, especially, recorded revenue of INR203 million. The Aerospace business recorded sales of INR269 million. The decline here is owing to labor issues with one of our key customers, which were resolved by early November.
Since then, we have seen a gradual recovery in orders from their side. Further, we have expanded our customer base and added a large European -based player to our portfolio. Previously, we were working with Tier 1 suppliers of this OEM; however, now we have added them as a d

irect
customer. We see significant momentum in Aerospace from Q4 FY '25 onwards.
Speaking of agriculture, just as we anticipated, this business delivered a healthy growth of 65% on a year -on-year basis, and 75% on a sequential basis. The revenue from the agriculture

segment stood at INR177 million, primarily driven by healthy rural demand for tractors. Our auto ICE business, which remained muted on a year -on-year basis, stood at INR5,089 million. Our 2-wheeler business grew by 7%.

However, this does not show a fair picture of scooter performance, which grew much faster at a rate of 21%. For the long term, we remain positive on the 2-wheeler business as we expect the overall industry to grow in the coming future. As we saw channel inventory pile up towards the end of the December quarter and softness in export orders, our PV business de-grew by 19% year-on-year. This is in line with the overall industry scenario of lower demand.

Having said that, some positive recovery is expected to come on the back of newer product launches by OEMs. We aim to win maximum business in the newer models of our existing customers, both domestically as well as in export markets, with a focus on premiu mization and critical engineering requirements.

The three -wheeler business, being the smallest in size, delivered a decent growth of 10.4% year -on-year. I would like to highlight that our CV business delivered the highest -ever quarterly revenue in this quarter, growing at a steady rate of 10.5% year -on-year. We have also received fresh orders from this segment, contributing to 4% of our new order wins.

Now, let's turn our attention to our order book. As of December 2024, our order book stood at INR22 billion, with more than 60% of these orders coming from international markets. We booked around INR1.9 billion worth of orders during this quarter, with major order inflows from the non -auto sector, helping us move closer to our long -term vision.

Recognizing the strategic importance of the Semiconductor sector in powering everything from consumer electronics to advanced technologies such as artificial intelligence and electric vehicles, India is looking to establish itself as a global hub for Semic onductor manufacturing. In line with our diversification strategy, we are also looking at this space very closely.

We have won a prestigious order from a global leader in wafer fabrication equipment for supplying parts of high -precision and complex machine parts to these equipment s. This strategic deal comes following an extensive evaluation and selection process. This fairly large order is our first -ever order in this fast -growing space.

We expect our business with th is customer to grow meaningfully over the next three years. This LOI is a testament to our ongoing efforts to diversify into the related high -growth areas with high precision. As an engineering -focused company, we aim to deliver best -in-class solutions across multiple business areas within our table.

To conclude, I would like to give an update on our subsidiary company, MMRFIC. The company is performing well in line with our plans. As mentioned previously, we have further invested in the company, for which the shareholding percentage will be determined on the FY '22 financial results. MMRFIC continues to make strides in the Defense space .

And has recently emerged as a proud winner of the iDEX Prime X challenge by the Defense Space Agency (DSA) for developing a 200 -watt Ka -band solid -state power amplifier for satellite ground stations. MMRFIC has been awarded multiple government grants to sup port the development process, mainly iDEX, Grant 3 up to INR10 crores for iDEX Prime 1, up to INR1.5 crores each for iDEX Disc 2 Number , and a TDF grant of up to INR7 crores.

We feel privileged to contribute towards Atmanirbhar program for Defense and

Aerospace
sectors, offering them all the support that we can provide in terms of experience and expertise. And through this, we also get to be part of such an industry, which, as you know, is a critical aspect for the country.

Over a long period of time, we are confident that Sansera will continue to be a preferred choice of supplier for global giants with its deep precision engineering capabilities. Now I hand it over to Vikas Goel, our CFO, to take it forward. Vikas?

Vikas Goel: Thank you, Preetham. Good morning, everyone. Let me give you a brief about our consolidated financial performance during the third quarter of FY '25. Our revenue from operations rose by 2% on a year -on-year basis to INR7,278 million. The other expenses have reduced sequentially from the previous quarter and our employee expenses are broadly in line with our previous quarter. So the other expenses are basically a result of our continued efforts to improve cost metrics.

The EBITDA for the quarter stood at INR1,271 million versus INR1,207 million in the same period of last year. The EBITDA margins stood at 17.5%. During the quarter, we were able to maintain our margins sequentially due to our diversified product mix cost -saving efforts, and certain pricing actions. Interest costs also reduced on a sequential basis owing to the funding received through the QIP process. That said, Q4 of this year would be even better representation of the reduced interest expense. Depreciation and amortization expenses stood at INR445

million, again, in line with Q2. The profit after tax margin improved on a year -on-year basis by 90 basis points, reaching 7.7%.
Talking about the 9 months performance on a year -to-date basis. The revenue from operations rose by 8% on a year -on-year basis to INR22,351 million. EBITDA stood at INR3,877 million with a year -on-year growth of 10% and a margin percentage of 17.3%.
Profit after tax witnessed a growth of 12% from last year and stood at INR1,577 million with a margin of 7.1%. We are also happy to share that ICRA Limited has upgraded the long -term

credit rating from AA - stable to AA stable and reaffirmed the short -term rating to A1+. And India Ratings Limited has also upgraded our company's credit rating, long -term rating from AA - to AA stable.
With this, we conclude our presentation and open the floor for questions and answers. Thank you.
Moderator: The first question comes from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Congrats on the order wins in the Semiconductor and Aerospace. Yes. Sir, firstly, sir, just on the growth recovery from here this quarter, about 2% only kind of growth we had seen, which was, I mean, a little muted. So I just want to understand how do you see the growth recovery going ahead from here, sir.
B. R. Preetham: Thank you, Mumuksh. See, there were a couple of reasons, as I have already stated that while the quarter 3 generally remains a weak quarter for us among the 4 quarters traditionally for most of the automotive companies. Now added to that, exports, especial ly for Europe as well as uncertainty in the US prior to the elections, saw a weak demand from the passenger vehicle industry as well.
So I think that things can only get better, and we look forward for stronger quarters and a much, much stronger coming year because our order books both by way of continued orders as well as the new products that are getting introduced look quite strong fo r the coming year as well. So we are quite optimistic about the coming year's business.
Mumuksh Mandlesha: Sir, if you can share for the key segments, new segments in terms of guidance for next year, firstly, on the aluminum forging and then on the Aerospace, and then on the EV space?
B. R. Preetham: Yes. See, our long -term guidance, we have said that 40% of our

business would come from non -
automotive, xEV, and tech -agnostic products. Now if you see, we have reached almost 26% in the current financial year as we speak. But then if you really look at th e stack up that we have from the current order book to -- I mean, current revenue mix to adding the current order book, we will almost reach almost about 38% in the next 3 years' time. So our diversification strategy and focus on non -automo tive, xEV, and also on tech -agnostic components have really started yielding fruitful results.
Now having said that, most of these segments also cater to almost 60% of the business also comes from the export industry, which means that it definitely would be margin accretive. Now just to take an example on Aerospace and Defense and Semicon put togeth er because this is something that we manufacture in one common facility at our Plant 9. So we have a current order book of very close to about INR600 crores. Now when I say INR600 crores, INR600 crores is an annualized full potential revenue that we have. These are contracts which have already been secured.
Now challenge would be to -- unlike the automotive industry, here, the number of products that are involved in development are quite significant. So we expect that at least 50% of this order

book would get executed in the next year. And when I say next year, it is FY '26. And we expect that by FY '27, at least about INR500 crores or plus would get executed. Now the risk here remains that if there is a delay in the development of any particular package of the products, what happens is generally customer would have to resort to the current suppliers for ordering for the ne xt 6 months to 1 year, and that could impact on the delay in starting of production.
So apart from that, the orders are there, and we have put enough and more resources, including engineering resources are being augmented, and we are preparing ourselves to deliver this order book as well.
Moderator: The next question comes from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, the first question is on some of the newer areas, which you have got good orders. So some color, if you can share what is the size? And in the longer term, what is the quantum of revenues you think you can potentially address in the Semiconductor spac e?

B. R. Preetham: Yes. Thank you, Siddhartha. As I said, the space has been -- we have keenly been observing, and we are being evaluated from the last 1.5 to 2 years from potential customers. Now one of them who are the world leaders in manufacturing of machines for etching and deposition have started a business relationship with us post very, very rigorous evaluation over 1, 1.5 years.

So these are the components which go into the m achines , which are very, very high precision. Some of the operations that we do on a 5 -axis m achine are for first time in our history, while we have been on this business of precision engineering for almost 30, 35 years, this kind of machining requirements, we are addressing it for the first time. It was quite challenging, but we have been able to successfully d emonstrate our capability. We are also setting up a Class 1000 clean room for addressing their requirement.

So with all these things, we expect that we are creating a kind of very niche opportunity, which can actually scale up not only with this customer as well as with a couple of more slightly bigger customers as well. Now what is the biggest thing is these cu stomers are looking at India not for any cost advantage. Basically, they are all looking at India because they are not able to expand for the lack of skill set that is available either in Europe or in the US. So we've been able to offer these capabilitie s -- they are presenting these opportunities and these also come with good margin profile.

Now currently, our ord

er wins from this customer is about $12 million annually, per annum. But the LOI that has been signed will go up to about $30 million in 3 years per year. So this is the kind of opportunity currently that has been visible with this customer. But again, it all depends on how fast and how well we perform. And I think once we establish our credentials, this can only be scaled up further.

Siddhartha Bera: Sir, the second question on the US side. I mean, you also hinted that there are new opportunities also opening up for the US market, while we do see the tariffs impacting demand as well. So how to think about the road map for the US market in the next few years? Are you concerned with the demand outlook from existing clients? And what other new areas we can look at to

offset this? And lastly, for this new US assembly plant also, which you were sort of thinking in the past, any update there how to navigate these tariff issues in the US market?

B. R. Preetham: Yes. Siddhartha, the reason that we haven't taken the final step on this manufacturing facility was to wait for all the uncertainty around the tariff and structure that the new US government would have in place. So we would like to just -- we have been waiting -- I mean, we probably would wait till the end of this quarter to firm up our final plan as to the exact location and the scale of the operations that we need to start.

But the one thing -- one factor is definitely going to be there that it will only be encouraging for people to look at some kind of front -ending facility and manufacturing facility in the US. So that is what is the whole objective of this I mean, current regime to encourage more manufacturing in the US, which also would mean that more and more OEMs, especially in metalworking place, will look at vendors who would have some kind of facility to offset the tariffs.

So in terms of the current customer orders, I don't think there is so much of an issue with that because in certain new products that we have started producing, we are almost single source for that. So it is on the ramp -up and that would continue to happen .

But meanwhile, there has been a lot of engagement with the existing multiple OEMs to look at all the newer programs because ICE has got a renewed focus, both in terms of multi -fuel engines as well as hybrid engines. So we are engaged in multiple conversati ons with multiple customers for our traditional components, which would actually go beyond 2035 as well. So we are looking quite positive towards the opportunity in North America.

Moderator: The next question comes from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

Abhishek Jain: Congrats for a decent set of numbers in a tough time. Sir, my first question on the capex side, you have done a capex of around INR3.7 billion to date. I'm looking for around INR4.5 billion in this year. So how much incremental we will be able to generate based on this capex in the next 2 to 3 years? What would be the asset turnover?

B. R. Preetham: Yes, I'll probably take this question, and then Vikas can add to my answers. See, generally, we have always maintained that when we are putting up a greenfield facility or expanding the facility, generally, if you will have to take our overall asset turns aro und 1.3 to 1.4. Our order book is also quite clear. It is at INR2,200 crores. So we will require over the next 3 years to invest about INR1,300 crores to INR1,400 crores, which included this year as well. So to make

sure that we execute this.
But one thing that we would like to add is any incremental expansion in the new facility, especially in Aerospace, where we have already created the infrastructure and then further addition of only the machining facility and this thing would be at a higher asset turns, which would mean that any incremental investment.

This year, in fact, we would be investing about close to INR110 crores to INR120 crores in the Aerospace facility on the machining alone. And that would mean that we would have an asset turn o f more than 2. So it's a mix of both the thing. And I think it is safer to assume that 1.3 to 1.4 is the right mix for us to look at.

Abhishek Jain: And the next question on the international business, which now accounts for the 31% and the new order book. My next question on the international business, which accounts for the 31% now. And most of the order book -- around 60% order book is for the inter national business going ahead. So just wanted to understand what change in the mix we can assume international versus domestic business for the next 2 years?
B. R. Preetham: So I think, see, over the time, we expect that the international business should move between 35% to 40%. This also includes our business out of Sweden and exports from India. But again, it also depends on how the domestic market would perform because the domestic market performing strongly, the base is much larger here, 69% is coming from the domestic market. But then anywhere between 35% to 40% over the full next 3 to 4 years' time is what we think it will -- that is where we are looking a t.
Moderator: The next question comes from the line of Khush Nahar from Electrum PMS.
Khush Nahar: Sir, 2 questions. So first, how do we see demand in general, if you can elaborate a bit more, considering the tariffs that might be placed on India also? And second, sir, a bookkeeping question. Our employee expenses have increased year -on-year by 15%. So what kind of manpower are we adding here because revenue has increased only by 2%? And consequently, our tax rate is also lower this quarter. But is it safe to assume that it will be 25% on a yearly basis?
B. R. Preetham: The first 2 questions, let me answer. The trade impact of trade on India and the Indian suppliers is yet to be seen because the reciprocal tariff is what he's talking about and the US President is talking about, but nothing has yet been firmed up. They are all -- they expect that a lot of these are kind of negotiation tools. And that is why I said that we would wait till the end of March, probably where things would become much more clearer before one can come to any kind of conclusion on to what is going to be the effect on each country and each product category.
It's too early for me to make a comment on that. So I would refrain from making any kind of comments on what is going to be the effect on this. As far as our labor cost is concerned, yes, see, because it's an engineering industry and it's a high skilled area, we will not be able to, on a short term, adjust towards big variations. We would rather carry the trained manpower because our long -term and medium -term goals are very clear and the targets are clear.
So we have focused on creating skilled manpower, especially in the areas of high -precision machining like Aerospace, Defense, aluminum machining, and aluminum forging, these are areas which need a very, very high skill set. So any temporary drop in the rev enue, we will not definitely make a knee -jerk reaction to cut the manpower rather incre ase our investment and training and skilling of these people is on a long -term basis.
So in a short term when the revenues are weaker, you would see a slightly higher percentage, but this is done keeping long -term strategy in mind.
Vikas Goel: Talking about the tax rate for the quarter, yes, it seems lower for this quarter because of certain pricing actions we did in our Sweden subsidiary because of which we have a relatively higher profit there. And on a full year basis, we should be closer to the average for the whole entity.

Khush Nahar: Around 25%.
Vi

kas Goel: Around 25%, that's right.
Khush Nahar: Sir, just one question, if I can squeeze in? So what kind of revenue growth you're seeing for the next 3 years considering this uncertainty in demand and obviously, our current order book, which is strong?
B. R. Preetham: See, the current order book presents a very, very aggressive opportunity for growth. But having

said that, the current -- see, auto is generally a cyclical business. And there would be once in 3 years, that we would see a couple of quarters, there would be a dip in demand. There is also coupled with now there is technology changes that are coming in. So I would still say that high teens is what we should expect over the 3 years on a CAGR basis.
Khush Nahar: Obviously, sustainable EBITDA margins around 18% to 20% going ahead, considering product mix.
Vikas Goel : Yes, it's EBITDA sustainable margins, we would not put a number to that. Yes.
B. R. Preetham : I mean, the intent is to improve our margins year -on-year, at least by 0.5%. That is how the company is focused on working. And on a long term, 20% is definitely a target on which we are working on. So both on ROCE and margins. So that is where our long -term vision is. So we, as a company, are working towards that.
Moderator: The next question comes from the line of Basudeb Banerjee from CLSA.
Basudeb Banerjee: A few questions. Like I can see year -to-date capex at around INR360 crores. And even a year back, when we were discussing, you are looking at full -year capex of INR300 crores, INR320 crores. So maybe post fundraising, some more comfort for growth capex . And on the other side, revenue growth is a low single digit. So how to look at from a strategy angle next 3, 4 years, your triple 20 vision of growth margin and ROCE, especially the last one?
And how are you looking at the ROCE factor in the next 3, 4 years where venturing into Semicon and EMS or other areas in the initial phase of scaling up, how do you look that in the transition phase?
B. R. Preetham: Thank you, Basu, and congratulations for your new innings. So yes, this quarter, as you said, this year or year -to-date, the going has been not as expected because especially in our export markets and domestic PV industry has been muted. Exports, especiall y in certain of our customers like off -road have had a significant degrowth in this year, which was also expected. But then I see a very, very strong momentum.
The order book is strong. New programs are quite promising. The new industries with which we are working on, like we have added Airbus as our customer directly. Today, the Aerospace and Defense and Semicon order book stands at almost INR600 crores. So we are focused on making the right investment into these areas. Of course, auto ICE business, which is our traditional business, there's not much of incremental investment that is going on.

This is where our effort in consolidating our products at our various manufacturing facilities and harnessing the existing capacities we are working on. So Rahul, our new COO, along with his team, have been very focused on having this approach. I would say you would be able to see results in the next few coming quarters of all these actions that have been initiated.
I would say that on all the newer investments that we are making, especially in nonautomotive sectors, both our margin profile and ROCE are much, much better and higher than the traditional line of businesses. But of course, as you rightly put it across a few of the first initial quarters, there would be a learning curve.
We are going through that already because from month of October, the production to these sectors has started. And I expect that over this quarter and middle of next quarter, we should be through with the first b atch of the 12 million orders that we have received and production has to start. So things are looking quite positive, Basu.
Vikas Goel: I would like to add here, Basu. Normally, the capex that we incur in our business is ahead of almost 3 to 4 quarters of the actual sales realized. So the capex that you see now is not meant for this year. It's actually going to result in revenue in the coming year. And that also takes a gradual upscale as the volumes increase on any new order. And most of the capex that we incur is actually driven by the new orders that we have.
Basudeb Banerjee: And sir, the new businesses, what will be the fixed asset turn compared to the earlier traditional businesses?
B. R. Preetham: New businesses should give us about 2 to 2.25 asset turns.
Basudeb Banerjee: And last question, this year, you will be ending up with how much consolidated capex ?
B. R. Preetham: Consolidated capex would be between INR425 crores to INR450 crores, not inclusive of the new parcel of land. The land included, it would be very close because we have invested in a very large piece of land, 55 acres in the new EV estate that the government of Karnataka is creating very close to the existing Toy ota facility where a new airport is also proposed to come nearby. So I think with that, we should be very close to INR550 crores with the land parcel included.
Basudeb Banerjee: And any last guidance you are giving for Aerospace revenue for next year?
B. R. Preetham: Next year, I already said, Basu, that we are targeting about 50% of our order book execution. Our order book is about INR600 crores as we speak. So Aerospace, Defense, and Semicon put together, we expect that we would execute at least 50% of that in the next year.
Basudeb Banerjee: And Semicon will be how much of that?

Moderator: The next question comes from the line of Arjun Khanna from Kotak Mahindra Asset Management.
Arjun Khanna: Just carrying forward from Basu's question. So what is the revenues we expect from Semiconductors this year?

B. R. Preetham: This year, Arjun, do you mean the next coming year?
Arjun Khanna: Just to understand the breakup, while we are saying INR300 crores for FY '26. So FY '25, what would this like -to-like number be?
B. R. Preetham: I think in our own estimate, we have taken about INR60 crores as the revenue coming out of Semicon in this year, but the potential to do is much higher because our order book currently is almost close to $17 million. In fact, I've been just corrected, I was telling about $12 million. We have recently receiv ed one more additional order. So it has been about $17 million. While the opportunity is slightly higher, I'm being a bit more cautious because the cycle of establishment of these products and the FAIs and customers also.
As I said, these also will require that we have to get into the cycle. If we miss a cycle, we would miss about 6 months of revenue. So in our current estimates, we have taken about INR60 crores coming out of this.
Arjun Khanna: Right, '26. So if I look at Aerospace, Defense, and Semicon, we have said we'll do INR300 crores in FY '26. So this INR300 crores, what would the number be in FY '25 for all 3 businesses? Semiconductor may not be there much. But for Aerospace Defense, what do we expect for the closure of FY '25?
B. R. Preetham: Arjun, can you repeat your question? I couldn't get it.
Arjun Khanna: Sir, we've mentioned INR300 crores of revenues in FY '26 from Aerospace, Defense, and Semicon. Just wanted to understand what would this number be for FY '25 given that most of the year is done.
B. R. Preetham: We should be very close to about INR140 crores.
Arjun Khanna: So we are looking at almost a doubling of the business in FY '26?
B. R. Preetham: If you really look at the INR140 crores, about INR8 10 crores is only coming out of Semicon. So a big amount of that would get added in the next year. Plus there i

s a good amount of Defense orders coming through, which we are getting into production. So the Aerospace will have its normal growth, but that wo uld be mostly be supported by Semicon and Defense.
Arjun Khanna: Sir, the second question is on MMRFIC. If you could just talk about how do you look at the end game out here. So while we continue to invest, we see a new R&D facility also. So do we envisage us taking a much larger stake in the future? If you could talk a bout in terms of synergy benefits that possibly this partnership could represent?
B. R. Preetham: Yes. Actually, see, when we looked at them, and it's been now close to 2 years since we have invested in them. So coming this March, it will be 2 years. I think in my calculation from whatever equity that we have already put, it should result between 35%, 36% of holding in the curren t this thing. But going forward, we have the right to go up to about 51% .
And beyond that, it is only whether valuation and whether we want to be -- because there we need to be making sure that the promoters who are working on the projects also are interested

and they have a reasonably good amount of stake in the company. Now that is something on holding and the other thing.
But as far as the order book and the products are concerned, I understand that they have very, very strong development programs that are going on. They have been working with multiple products with ISRO, with DRDO, with Indian Army. There have been 4 or 5 grants that have been given on the iDEX programs from them.
And then according to my information, their current order book backlog is in excess of INR100 crores. So in that way, they are very well poised to have meaningful growth in the years to come and also scale it up in the products that have already been developed. Most of this would also result in technology transfer agreements once your iDEX prog rams are completed.
So I think the future for this company is definitely in line with what we have been all anticipating. And especially they are currently, as we speak, they are also participating in the aero show where they have a stall. And we expect that there would be a lot of interest from the customers also coming out of that.
Arjun Khanna: Sir, so just to understand, sir, maybe over a 3 -year period, say, by FY '28, would you expect in

terms of milestones, maybe INR100 crores of turnover from this business?
B. R. Preetham: See, Arjun, what has happened is that, yes, these are all -- now currently, the one big project which they have been working on, which is the Radar 1, which as we speak, has been under evaluation. And it is just on the cusp of mass production. Now we expec t the field trials to be over sometime in the next 2 quarters. And then we have already given 5 sets for all the field trials.
And once this starts, there will be a very stable revenue, significantly higher revenue coming into the company because we expect that about 150 to 200 radars is the peacetime requirement per year. But apart from that, there are several projects on which there is a thing. I am not in a position to put an exact number, but things look very, very positive.
Moderator: The next question comes from the line of Sahil Kanade from Asian Market Securities.
Mayur Milak : This is Mayur Milak. So 2 things here. One, the Semiconductor business, currently safe to believe that you're reporting it under the Auto -tech agnostic segment?
B. R. Preetham: No, it is on non -auto.
Mayur Milak : So it will have a separate growth pattern going forward, right?
B. R. Preetham: Currently, we are reporting under non -auto because this is the facility which is combined with Aerospace and Defense and Semicon. We have not yet started reporting it separately. But going forward, as the business achieves scale up and reaches a meaningful level , we will separ

ately
show, but it will be under non -auto. So under non -auto, it will be off -road, agriculture, Aerospace, Defense, and Semicon. It will be like that.

Mayur Milak : So when you say there could be a 40% kind of CAGR growth in the Aerospace and Defense based on your order books with Airbus and gradually the Tier 1 supplier as well.
The Semicon will be over and above the 40% growth that you will be reporting in that space.
B. R. Preetham: Could you please repeat your question?
Mayur Milak : Sure. Sir, I was just trying to look at the numbers in the Aerospace and Defense segment that you've reported so far. It looks like this year will be a flattish year, where you're saying you already have included about INR50 crores, INR60 crores of the Semicon revenue to be added into this segment for this year. So clearly, the aerospace and defense by itself would have been in a negative growth territory this year.
B. R. Preetham: INR50 crores, INR60 crores is going forward next year. This year, the revenue has just started. So this year, we should be ending up very close to about INR140 crores, INR135 crores to INR140 crores. So we will have a positive growth.
Mayur Milak : And sir, when you guide for a 40% kind of outlook growth in that space, that will be over and above. So the Semicon growth will be over and above the growth that we will get in aerospace and defense space individually. Safe to look at it like that?
B. R. Preetham: Yes. See, basically, what I said is that between INR140 crores to INR300 crores is what we are targeting for the next year. About INR60 crores will come out of the Semicon. So if I remove that this year, INR10 crores has come from INR140 crores from Semicon, INR130 crores to INR240 crores is the growth that we expect from Aerospace and Defense put together. So there is a good amount of Defense orders also getting added to that. So Aerospace by itself will grow by about 50% CAGR. That is the minimum that we have taken.
Mayur Milak : Sir, I think, a couple of guys have also asked it, but I was just trying to look at the ratios. So clearly, in the last 8 years, there are 2 things here that our asset turn has always been at that 1.2 mark. And our ROCs have always been in that 11% to 12% range. Now I believe we've already started our journey on the non -auto side and the heavy growth on xEV. But some of that really doesn't seem to be reflected in the asset turn as well as ROCE.
So can you throw some light, is there a near -term possibility of looking at a 14%, or 15% ROCE over 3 years? Or are these going to be more gradual and slower because the numbers do suggest that even in 2, 3 years, we should be around the 12% mark only. So just trying to work out some number on that side.
Vikas Goel : So when you say ROCE, could you just elaborate on how you look at it? Because according to -- at above 15% mark.
Mayur Milak : So basically, sir, I'm looking at EBIT one minus tax net of that?
Vikas Goel : Post-tax you're looking at. we look at it as a pre -tax because this includes all elements. So see, pre-tax, we are targeting to reach up to 20%. So if you do a post -tax, it will definitely be above

15% over a period of time. And various actions in terms of margin improvement in terms of diversification and also capacity utilization improvement are some of the actions.
Moderator: The next question comes from the line of Shashank Kanodia from ICICI Securities.
Shashank Kanodia: I wanted to check on the QIP proceeds. So out of this INR1,200 -odd crores, what proportion would you be using for retiring debt and balance for growth capex ?
B. R. Preetham: Yes. Praveen, could you please answer in case our line gets cut because you are on the line where you could hear most of it?
Praveen Chauhan: I'll try and do that. Are y

ou answering this question?
Shashank Kanodia: I was just asking, sir, out of these INR1,200 crores of credit proceeds, what proportion you would be using for retirement of debt? And what proportion you will be using for growth capex and the gross debt number as on December end versus the March numbers?
Vikas G oel : So out of the INR1,200 crores, we have already retired INR700 crores of debt, which was the plan as declared in the QIP document. INR200 crores is going towards the capex , out of which INR100 crores is towards the new parcel of land and another INR100 crores is towards some new machine equipment that we are in the process of procuring.
Balance INR300 crores out of that INR25 crores was the expense of QIP and INR275 crores is what we will basically be deciding in the next few weeks. Mostly it will go towards growth capex and certain other developmental expenses.
Shashank Kanodia: So the gross debt number is roughly about INR300-odd crores as of December end because I think it was INR800-odd crores as of March end if I'm not wrong ?
Vikas Goel : Gross debt as of December end is about INR350 crores because there is some debt also in the subsidiary companies, which we have not touched as of now. And we are retaining some debt in the parent company in the flagship company because of a longer period of that debt. But on a net basis, we are ne gative debt.
Shashank Kanodia: Positive cash is about INR500 crores of cash flow, right? Positive INR500 crores of cash ?
Vikas Goe l : On a net basis, it will be about INR150 crores.
Shashank Kanodia: Net basis, INR150 crores of positive cash?
Vikas Goel : Yes.
Shashank Kanodia: Secondly, sir, in the past, on the order book size, we have been mentioning that it will take roughly 2, 2.5 years to reach the peak revenue potential of that order book. So from roughly INR3,000 crores of revenue run rate that we're doing right now, it essentially means we should be touching closer to INR5,000 crores of revenues in FY '27. Is it the right understanding?
Vikas Goel : I would say by '28.

Shashank Kanodia: So by FY '28, you should be touching INR5,000 crores.
Vikas Goel : Crossing INR5,000 crores, considering everything as normal.
Shashank Kanodia: Lastly, you can put a timeline to your 20% EBITDA margin and ROCE target as we have been giving this as an aspirational target, but I think we would be more concerned what is the timeline that you're looking at this 20% margins in ROCE?
Vikas Goel : See, this is a 2 -way street. If you look at the diversification strategy and new product introduction that we are adding, there is definitely some amount of effort and cost, which is incurred in the initial phases whenever we introduce a new product line i nto the business. So that makes up for some costs. Also, there is a learning curve when we stabilize. So while theoretically, we are improving our margins on one side, on the other side, we are incurring additional costs and in the learning curve to stab ilize these new products.
That's an ongoing process. And we believe that year -on-year, we should still be able to sequentially improve our margins by about 50 to 60 basis points. So considering we are about 17.5% now, it should take about 3 to 4 years for us to touch or get closer to 20%.
Moderator: Ladies and gentlemen, in the interest of time, we would take that as the last question. I would now like to hand the conference over to the management for the closing comments.
B. R. Preetham: First of all, let me apologize for all the inconvenience caused due to some technical issues during the call. We could have done the call without that. I'm sorry for that. And with this, I conclude this call. If you have any further queries, please contact SGA, our Investment Relations adviser, or us directly. And with a very positive looking next year, we end this call,

and thank you, everyone, for joining us today for the earnings call. Thank you very much.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Sansera Engineering Limited, that concludes this conference. You may now disconnect your lines.

Call: Jun 2025

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

June 02, 2025

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Earnings Call Transcript
Please find attached a copy of transcript of Earnings call held on May 28, 2025 on audited financial results of the Company for the quarter and year ended March 31, 2025 .
The above transcript will also b e made available on the website of our Company at www.sansera.in .

Kindly take the same in your record.
Thanking you,

for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer
M.No. F5176

Encls: a/a

“Sansera Engineering Limited
Q4 FY '25 Earnings Conference Call ”
May 28, 202 5

“E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 28, 2025 will prevail.”

MANAGEMENT : MR. B.R. PREET HAM – EXECUTIVE DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – SANSERA ENGINEERING LIMITED
MR. RAHUL KALE – CHIEF OPERATING OFFICER -- SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER – SANSERA ENGINEERING LIMITED
MR. HARI KRISHNAN – CHIEF EXECUTIVE OFFICER , ADS DIVISION – SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – HEAD CORPORATE STRATEGY – SANSERA ENGINEERING LIMITED
MR. RAVI – DIRECTOR – MMRFIC – SANSERA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Call of Sansera Engineering Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B.R. Preetham, Executive Director and Group CEO. Thank you, and over to you, sir.
B.R. Preetham: Thank you. Good morning, and welcome, everyone. Thanks for joining this call. On this call, I'm joined by our CFO, Mr. Vikas Goel; our CEO of ADS Division, Mr. Hari Krishnan; Rahul Kale, COO; Praveen Ch ouhan, our Head of Corporate Strategy; and also Mr. Ravi, Director at MMRFIC and our Investor Relation Advis ors, SGA.
The results and the presentation are uploaded on the Stock Exchange and the company website.
So I hope everybody has had a chance to look at them. For the fiscal year 2025, Sansera Engineering crossed INR 30,000 million mark in terms of top line with a 7% revenue growth on a year -on-year basis. This is our highest ever annual and quarterly performance in terms of top line and PAT . With this performance, we continue to outperform the industry growth despite multiple headwinds in the Indian as well as global economy.
Broadly, the domestic automotive industry registered a single -digit growth across the segments, primarily due to a high base effect and muted demand. That said, the outlook, particularly on the 2-wheeler side is looking better for the coming year with a st rong rural demand supported by improving consumer sentiment.
On international business, things are moving at a slower pace as decision-making from OEMs with respect to production and new order placements and the new projects has been on hold due to tariff -related uncertainties going on globally. We hope that this is a temporary phenomenon and would get addressed in a short period. Hence, we see some impact in our export business in Q4, we saw some impact in our export business in Q4 FY '25, especially on the auto side.
It is expected to continue in the Q1 FY '26 as well while our exports from India would be impacted a bit, but our Sweden business is doing better now, primarily due to volume and price improvement with our key customers.
Speaking of the non-auto business, we now view this segment as ADS and non-ADS. ADS stands for aerospace, defense and semiconductor, whereas non -ADS would include agriculture, off-road and other industrial applications. We anticipate significant growth in the ADS segment in the years to come. And to drive this business, we have recently appointed Mr. Hari Krishnan as the CEO of ADS Division.
I would like to take this opportunity to introduce you to Mr. Hari who has joined us in this February of this year, and he brings in over 30 years of leadership experience in the manufacturing sector. Prior to joining us, he held key leadership roles in the renowned organizations like CIE Automotive, as CEO of Forging Division, Apten Forgings as COO to

name a few. Hari will also oversee the business development activity of the entire group and would be a key member of our leadership team.
Speaking about the segment -wise performance for the year. In the Non -auto segment, we delivered a stable performance on a year -on-year basis. However, the fourth quarter saw a 15.6% increase, especially on the ADS side. ADS revenues stood at INR 1,235 million in FY '25, with a 13% growth on a year -on-year basis with the production schedules moving up for our key customers in the Q4.
During Q4 FY ' 25, ADS segment, revenue surged 43% on a year -on-year basi

s to INR 434 million. The outlook for this segment is very bright as we expect this upward trajectory to continue in the coming quarters. This will be aided by the addition of another large aerospace OEM and the semi -con revenues flowing through. Rest of the non-auto business delivered a top line of INR 2,024 million (Wrongly said, the number is INR 2,044 Million) .
If you look at xEV and Tech -agnostic segment, it continued to demonstrate a strong momentum, registering a year -on-year growth of 28.6%, mainly due to healthy growth in our xEV piece on the back of the execution of orders for our North American customers. Collectively, both xEV and Tech -agnostics segment accounted for close to 15% of our total revenue. With our new forging press, we are confident to do stronger business during the year.
Turning to our traditional ICE automotive components business. The Two-wheeler segment delivered a steady performance, contributing approximately 44% of the overall revenue in the

ICE pie. The Passenger and the Commercial Vehicle segment contributed 18.6% and 10.5% of the total revenues, respectively. Thanks to our attempts to diversify our revenue streams, the ICE business share of overall revenue fell to 73.6% in FY '25 from 75.4% in FY '24. When considering the massive ever -expanding base of this segment, this accomplishment takes on further significance.

As of March 2025, our order book stood at INR 18,511 million following the annual reset process, wherein we exclude orders that have transitioned into mass production during the year. Notably, over 60% of the order book comprises of international orders, reflecting the continued strength of our global business pipeline. Of the total INR 18,511 million orders secured during the year, about 28% of the orders came from the ADS segment.

During the year, we focused on preparing -- playing field for our future growth as we have undertaken multiple strategic investment for the capacity enhancement. We spent about INR 100 crores to acquire a 55 -acre land in Karnataka for our future expansion. We plan to start construction work in FY '27. We have also invested about INR 35 crores to acquire a facility in Pantnagar and we expect it to operationalize by Q2 of FY '26.

Further, we have done brownfield expansion at our Bidadi plant by adding new machines and setting up a forging as well as machining lines which are in line with production plans for our new orders.

Before my closing comments, I will take a minute to update you on MMRFIC, our strategic investment, which we made a couple of years ago. It is progressing as our expectations. They

have multiple products with qualified technology for aerospace, defense. MMRFIC has also received government orders, grants under development from ISRO, DRDO and iDEX DIO. We are very optimistic about its prospects given the high focus on defense sector and continue to support their endeavors with regular investments.

Looking ahead, the outlook for our business remains strong with multiple growth levers across the segments, particularly ADS, where we expect to double the revenue in the year FY '26. In this dynamic world, we see a lot of opportunities coming towards the Indian companies, and Sansera is well positioned to capture these opportunities.

I now hand over the presentation to Vikas Goel, our CFO, to talk about the financial performance. Thank you.

Vikas Goel: Thank you, Preetham. Good morning, everyone. I will take you through a glance of our consolidated financial performance for the quarter ended March 2025. Our total revenue from operations increased by 5% on a year -on-year basis, reaching a figure of INR 7,817 million as against INR7,458 million last year in the fourth quarter. EBITDA for the quarter stood at INR1,271 million at a margin of 16.3%. Other income saw an increase primarily due to deployment of the

residual funds from QIP and resulting in interest income.

Depreciation and amortization expenses stood at INR 468 million, in line with the investments that we've been doing in our facilities. Finance cost during the quarter decreased to INR 96 million from INR 225 million as we have reduced significant amount of debt from our balance sheet. Profit after tax at INR 592 million with a growth of 27% year -on-year. PAT margin remained healthy at 7.6%.

Talking about our full year performance for financial year 2025. Our revenue rose by 7% on a year-on-year basis. The details were already discussed by Preetham earlier. The total revenues stood at about INR 30,168 million. Our EBITDA for the year stood at INR 5,148 million with a year-on-year growth of 7% and the margin in line with the previous year at 17.1%. Profit after tax witnessed a growth of 16% from last year and stood at INR 2,169 million with a margin of 7.2%.

Our operating cash flow, net of taxes continues to be healthy and stood at INR 3,766 million, which is 12% of our operating revenue and 73% of our EBITDA for the year. During the year, we have spent towards capex , INR5,911 million. And going ahead, we continued to spend on adding capacities in the current financial year. At year -end, the net cash amounted to INR 125 crores as a result of the cash generated or cash received from QIP.

Thank you. We'd like to close this call -- sorry, close the address and open the session for Q&A.

Moderator: The first question comes from the line of Siddhartha Bera from Nomura.

Siddhartha Bera: Sir, first question is on the PV segment. So we have continued to see a lot of weakness there. So firstly, if you can sort of break out the decline of 16%, 17% in the quarter into the domestic and exports, how does it look? And for the export market now, I mean given the visibility which your customers are giving, how do you see the trends there to sort of pan out for the year?

Are you seeing some sort of pickup in schedules or the near -term view still maybe it can extend for a bit more time? And how does this -- how does the tariff is sort of getting impacted either we are absorbing or passing it, how that tariff is playing out for us?
B.R. Preetham: Thank you, Siddhartha. See, PV segment for us on a full year basis last year actually degrew by almost 7.9%. This was primarily due to a fact that there has been a significant slowdown in the second half of the year in the export market, owing to a lot of uncertainty both in Europe as well as in U.S. Also, it was not aided. I mean, it did not get too much of sup port because of the --
finally at the end of the last -- towards the last year, the tariff problems also started.
Now because all the OEMs also were very cautious to reduce all the inventories, pipeline inventories because shipping across the border from Mexico, the whole vehicle also eventually was stopped or was coming at a higher tariff. So there were lot of cautio us approach from the customers.
Actually, our order book has been very strong from the PV segment. In fact, we expect to outgrow our performance in the coming year as well as years to come. Overall, if you really look at our average growth, this segment will grow faster for us because there are several opportunities where we have already contracted further new orders from the -- both from North America, Latin America as well as India OEMs exports and Indian domestic segment.
While we are quite confident on the overall year performance, of course, there could be certain impact on the first quarter and towards half of the second quarter as well because this needs to be -- I mean, as of now, the tariff -- base tariffs are in effect, 10% and we are in close discussion with our customers who have taken all the inputs from us, a very few of our orders currently are -- the duty is paid by us

whereas most of our export orders are currently duties are paid by the customers directly.
So wherever we are paying the duty, we are already in discussion with the customers to offset it, but it is still -- the times are still uncertain, we are still not clear as to what would be the end result. But we expect at the end of this whole exercise, there would be more tailwinds for the Indian component manufacturing industry rather than any headwinds. So having said that, we expect that this year, we will have a stronger performance both in terms of passenger vehicles, both xEV as well as the normal ized ICE segment.
Moderator: Does that answer your question, Siddhartha?
Siddhartha Bera: Yes, sir. Sir, second question is on the Tech Agnostic side. Here also, we had a good order book in the aluminum forging business where I understand that capacities are largely booked for us.
But growth in this segment also been a bit soft in the last couple of quarters. So how do you think about this segment? What are the key orders here? And how should we expect the ramp-up here?
B.R. Preetham: See Tech Agnostic segment, yes, the order book is strong, and there have been slight slowdown in this segment because there is one of the customers, the European customers had an issue with insolvency and stuff like that. So there was an impact on that to an extent. But other than that, the business in terms of -- and also in Tech Agnostic component, some of the premium models

which were expected to do well where we had all expected that there could be more traction in the premiumization segment in the domestic market had some initial hiccups, but we see that the traction momentum has started to happen now.
We're seeing a lot of increase in the pull from the customers on these models. But exports continues to be the thing. As I had also commented on the xEV, especially on aluminum forged components, we are now in the stabilization phase where we are actually focusing on operational excellence and improvements.
In fact, like last time, I had told that we have had enough order book to focus on consolidation of our operations to improve the margin profile, improve the operational efficiency. That is the phase in which we are working, especially on aluminum forged a nd machine components because we have a very healthy order book totally about -- totaling about -- close to be about INR400 crores totally.
And this year, our focus will be to execute it in a more efficient manner, where most of the learning curve has already passed us. We have gone through all the learning curves, especially on Class A components where a lot of product learning and technology learning went through.
And we are quite confident now that this year, it would be returning a stronger growth.
Moderator: The next question comes from the line of Arjun Khanna from Kotak Mutual Funds.
Arjun Khanna: The first one is on -- just back on to the earlier participant's question of U.S. demand. You did mention that we are seeing uncertainty -led demand slowdown. So are the OEMs procuring from

someone else, is there a domestic supplier? Or how are they fulfill ing their demand at this point in time?
B.R. Preetham: Arjun, so currently, the entire industry, as we -- see the share of business has not been changed.
So what is happening is there's a lot of inventory consolidation and correction that has happened because when there are tariff uncertainties -- because ther e are very few of the vendor base, at least largely in our component categories, inside U.S., either it is in Latin America or in Europe or in China or in India, where all the countries who are supplying have been affected by the tariffs. So I don't see that -- I mean, as per our knowledge and our market feedback, we haven't lost any share of business, but it is a general correction or the slowdown that is the

re.
On the contrary, U.S. customers are talking about a lot of new projects and initiatives both in terms of upgrades as well as this thing, which we had actually expected to close down before the end of Q4, but these things are slightly delayed because of the tariff clarity. But all the technical work around these orders have already been close to completion. So we expect that once this uncertainty is remote, there's a lot of traction on this segment.
Arjun Khanna: Sir, we were historically planning the overseas plant. So any update on that?
B.R. Preetham: Yes. Actually, the update is that just that we are on a pause mode because we have selected the site. We were about to sign the contract. But for now -- see the kind of opportunity sizes that is being discussed and on the verge of finalization do require our presence in North America. Now the issue here would be that depending on the final tariff from the product and USMC A norms

that would come into place, what kind of operations that we would require to be put into that facility is what remains to be seen.
So while we were very certain in our pre -tariff period that we need to put up only final assembly and a couple of final operations along with inspection and godown operations. That could slightly change depending upon the overall value addition that one ne eds to be looked at. While the forging definitely would remain in India that it doesn't make sense, but the extent of operations can only be decided once the final tariffs are there.
Buyers are also keen but are waiting for tariffs to stabilize. So there is a lot of -- once India signs up this thing, I think there is a lot of tailwinds that will be there towards the Indian auto industry.
Arjun Khanna: So we may have to do more machining in the U.S., if I understand correctly what we are...
B.R. Preetham: I mean, that, Arjun, depends on final tariffs and how they are going to -- suppose if this base tariff is also going to continue and if there is some additional tariff for this thing, so they would prefer that there would be some extended valuation addition that needs to be done. But -- that is why we didn't -- we put the whole thing on pause so that the size of the -- size and the space requirement could change depending upon the final metric. So that is why...
Arjun Khanna: Sure. Sir, my second question is if we go to Slide 20, in non-auto we write aerospace. So this aerospace includes defense and semicon? Or is it just aerospace, and semicon and defense is in others?
B.R. Preetham: So in the last year's numbers, you say?
Arjun Khanna: Sir, on Slide 20 of the presentation, we have for FY '25, '24 breakup...
Vikas Goel: Yes, this includes the aerospace, defense and semiconductor. And this is -- if you look at meaningfully -- actually most of it is aerospace. Gradually, we are building revenue in defense and semicon also.
B.R. Preetham: Arjun, going forward, you will see a bigger number there. Just to add to what Vikas said that while we have renamed it as ADS, the meaningful ADS contribution will happen this year because a lot of qualification on the semicon and defense has happened now and we are now just starting the mass production of the semiconductor piece because these are -- I would say these are, for us, at least at Sansera, these were totally different technology altogether, much higher level of precision and kind of operations that we are doing, especially in semicon area.
And with this added, we expect that as I've told in my commentary also that we expect the ADS business to be on a safer side, should deliver double the revenue of last year. We expect that it would be more than that. But then given a lot of pieces, puzzles which needs to be put together,
I would still say that doubling the revenue is definitely on target because that is -- keeping that in mind, we ha

ve also done a lot of investment, both in terms of machining facility, in terms of - Level 1000 clean room, quality systems and also special processes.

So in fact, if you really look at our plant and machinery investment, a lot of that last year and also continues to this year would go into this piece given the kind of order inflows. And you would see in the coming period, there will be also more clarity on further order wins from our side.
Arjun Khanna: So just to give context to this. So, we did roughly aerospace INR 130-odd crores, INR 132 crores to INR133 crores in FY '25. We are saying this could be around INR 265 crores in FY '26?
B.R. Preetham: It would be very close to INR 300 crores, between INR280 crores and INR 300 crores. Yes.
Moderator: The next question comes the line of Anirudh Shetty from Solidarity Advisors.
Anirudh Shetty: Just needed some data points. In our order book, which is 60% exports , can you give the split across Europe, U.S., other markets?
B.R. Preetham: So you mean in the order book -- of overall order book, how much is approximately, 24% comes from Europe, 27% comes from North America and about 9% comes from Asia.
Anirudh Shetty: Got it. Sir, my second question is, we are seeing a lot of progress in our Tech Agno and xEV business, but a large share of our business in ICE is actually two-wheelers today. Can you just give a sense around the kit value that you're seeing if you just compare -- let's say, a customer, if you did X amount in ICE, are you seeing the kit value increase when the model shifts to xEV, Tech Agno and if you can just quantify that, that will be helpful?
B.R. Preetham: No, I think, okay. We have spoken about the kit value consistently over the period. So depending upon what kind of model that we work with, if it is -- see Tech Agnostic components generally are all aluminum forge and machine components. So in the scooter segment, there are limited number of such components which are there.
It could be suspension, it could be some in braking, some in suspension. So there would be -- if you really look at as ICE scooter versus EV scooter, the content per vehicle for us largely remains the same, but the addressable market would between INR 4,000 to INR 5,000 per vehicle.
But whereas if you really look at once the shift of electric vehicles happens towards motorcycles, then that is where the real game changer will be because that is where the content per vehicle is expected to go up significantly because the lightweighting requirement on the motorcycles is far higher than the requirement in the so -.
So just to put a figure that if we are able to secure all the components that we are doing for similar models, it could go up to a 5 -digit mark, could go up to almost INR 10,000 per vehicle as the kit content. So this is how contextually you'll have to see , vis-a-vis about an average ICE motorcycle content of between INR1,800 to INR 2,000, that's wh ere we are.
Anirudh Shetty: This is very helpful. Just one final question is, in our Europe business, do we have a sense around what is our exposure to the European passenger vehicle OEMs out there?
B.R. Preetham: See, largely, today, whatever we export to Europe and bearing our Sweden facility, which actually in our international business, that also contributes, that is largely for the commercial

vehicle and larger engines. But otherwise, our European sales largely is on passenger vehicle only. So I would say that exactly, I don't have the numbers now, but more than 70% of our exports to Europe is for passenger vehicles.
Anirudh Shetty: Okay. So you're saying that 26%, which is exports from India, of that, give or take, 70% is for passenger vehicles to Europe. That's...
B.R. Preetham: No, no. That was -- if that was the question. I thou

ght only Europe, you want in the overall exports, how much is the passenger vehicle, was that your question?
Anirudh Shetty: No, no. It was Europe specifically. So then you think 70% of that or 18% of sales?
B.R. Preetham: Yes, yes, correct. So you're right. You are right.
Moderator: The next question comes from the line of Vaibhav Shah from DSP Mutual Fund.
Vaibhav Shah: Sir, the first question is on the subsidiaries performance for the quarter. So if I look at our consolidated revenue and profitability numbers, minus my stand-alone numbers, it seems to be a little bit slower in this quarter. Also in performance highlights, you have mentioned that the subsidiaries is having some one -off impact on pr ofitability, which is expected to stabilize in Q3. So can you just talk about what is this impact? And how do you see this performance improving over the course of FY '26?
B.R. Preetham: Vaibhav, I think last year, we did comparatively better in Sweden because Sweden, we got the price support from the customer in terms of both peak price as well as there was a onetime grant that was also given to enhance the capacity and also support the production because there was another vendor who closed down and then we had to immediately ramp up the production and support them for that.
So looking at that, our EBITDA margins for last year was definitely much better than compared to the previous year. But going forward, I would say, full year, I think EBITDA margin of Sweden was about 11.4%, which was way higher than the previous

year, which was 6.4%. So
going forward, we expect that this would be stable between 10% and 12%, which is what we --
given the context of Europe and the cost structure there and limited growth opportunity that is there while we are growing at about 15%, 20% this year, but then 10% to 12% stable margin is
what we expect to be delivered from our Swedish subsidiary.
Vikas Goel: On next -- from second half of this year. Basically, the comment that you see on the presentation
is referring to the one -off where we got a lump sum compensation for a previous cost increase
from the customer. So going forward, this will become a uniform margin as we speak.
Vaibhav Shah: Understood, sir. So just if I see my consolidated EBITDA margin, which has declined on a Q -
o-Q and a Y -o-Y basis to 16.3%, how should we think this EBITDA margin improving with
higher contribution from segments like Non-auto, Auto, Tech Agnostic growing fa ster, say, in
FY '26 or beyond, where do you see this settling as well as subsidies, you were talking about margin stabilizing over here?

BVikas Goel : Yes. Definitely. See, as we were speaking a little while before that our ADS segment is supposed
to perform really well based on the schedules that we have and the kind of ramp -up we are doing
in that space. And this is a much higher margin business, plus we also expect improvement in other segments going forward.
Added to that, the improved performance of subsidiary that we spoke about. We should expect
about 50 to 60 basis points improvement in terms of overall consolidated EBITDA percentage
for the full year. And this will happen. This will be a grading -- I mean , it will be an upward
scale as we move through the year. It may not happen at a same level through the year.
Vaibhav Shah: Understood, sir. And the last question is on our overall revenue growth. So if I look at for this quarter, the consolidated revenue grew by 5-odd percent. Obviously, if you can help us give
some context between Auto and other segments.
And going forward, how should we think about revenue growth? If I understand or remember
correctly, you talked about outperforming at least Auto industry growth by 1x, 1.5x. And with
these new segments, like Aerospace doubling in FY '26, how should overall revenue growth
look like say in FY '26?
B.R. Preetha

m: Yes. We should be back to our high teens kind of growth this year. That is what we expect that
we should -- because that is what is the overall indications from our customers for both the set
business as well as the new product launches. So while we remain very optimistic that we should
be very, very close to high teens towards a normal CAGR growth which we have done, FY '21
to '25, our CAGR growth is between 18% and 19%. So that is what we expect that we will go
back to this year.
And all the order book maturity as well as the new orders starting, everything indicates towards
that. Of course, this -- again, as I said that the first quarter, we still are looking at the impact of
tariff on this thing. Despite that fact, I'm only sayin g that all these things have been taken into
account while we say that full year, we expect a high -teen growth.
Vaibhav Shah: Understood, sir. Just one last question. What would be our capex spends for FY '26? And would
we be doing similar asset turns in the new capex that we have given? You have given a very
good split in terms of where you are spending your incremental capex . So it would be helpful if
you can just also talk about what sort of asset turns we should expect from this new capex that
you have done?
B.R. Preetham: So the -- see, lot of focus and this thing is going on in ADS. So ADS posts are -- now that facility
is also getting full, so we expect that with the full facility being ready, it would -- our gross block
would be closer to INR 300 crores in this facility, including our special process. And with this
facility, we expect that we should be able to deliver close to about INR 600 crores to INR 650
crores of revenue, which means that overall, there would be an asset turn close to about two .
But having said that, we are also looking at additional machining shop to be added into the facility in the coming years, maybe next year or so, which would mean that the additional
investments would return a higher asset turns. But overall, what I can say is we will, including
Sansera automotive and this thing, we will maintain that 1.35 to 1.4 asset turns overall. So that

is what we should look at. And this year, depending upon the speed at which the things get
normalized in North America, we expect anywhere close to INR 350 crores of capex to be done.
Vikas Goel: Yes, this will include the ADS capex as well.
B.R. Preetham: Yes, it is all, full group.
Moderator: The next question comes from the line of Khush from Electrum PMS.
Khush: I had a couple of questions. First, can you give us a split between the revenue mix of Tech

Agnostic and xEV in terms of total sales? And second, sir, like you mentioned, we are expecting high teen growth. So can we get more granular data in terms of the g rowth that you are expecting segment wise?
And so lastly, my questions on MMRFIC. So what percentage stake do we have today? And what kind of order book or the total addressable market considering the products and the approvals that we get in that segment are we expecting?
B.R. Preetham: Okay. So I will -- in the first question, in Auto, Tech Agnostic and xEV, which contributed to 14.8%, 8.8% came from Tech Agnostic and 5.9%, almost 6% came from xEV. In terms of what percentage do we hold in MMRFIC post the CCPS conversion of whatever amount that we have already put in, that's about, I think, INR 30 crores , we should be closer to 30% of this one.
While we have already said that we have the right to go up to 51% as and when the company needs infusion. To be very clear, MMRFIC today, given the context at which we are today currently post the operations Sindoor where you have seen a lot of technology that was used.
This company is specifically in the midst of developing technologies for all those things what we saw, be it on speaker radars for very accurate striking missile

s or EW radar system, or loitering ammunitions or for that matter, the border s urveillance.
The company is working very, very closely with various developmental projects, which are -- some of them are in the testing phases and these would be very, very strategic in terms of the technology that India is trying to indigenize. Currently all these te chnologies, as I previously mentioned, were also being -- are also being imported, and there is a lot of emphasis from the government side to indigenize these technologies.
So company is in the very advanced stages of proving out these technologies. Added to that, MMRFIC is also now engaged with a lot of grant s and new development program, which includes iDEX programs and also for ISRO in various communication related projects. So we are very, very excited with this opportunity that has been there to work along with the promoters of MMRFIC to support them to develop these technologies in India and leverage that technology into the future.
Khush: So you could help with the revenue or the PAT that MMRFIC did for FY '25? And what kind of order book are they sitting on?

B.R. Preetham: As you -- it's about INR 20 crores. Approximately about INR 20 crores revenue with about 40% EBITDA. This is what was developed, but please understand, these are mostly coming from grant and developmental projects, developmental costs that they've received and few of the ramping up of -- few of the initial orders. But we -- when on a full scale production, the EBITDA level could be much higher when the mass production starts and we expect that these things would come into place towards FY '27 fully. That is where we had told that when we had invested also it would take about 3 years' time for the company to get into the mass production, right, sir.
Khush: Just one last question. If you could give more granular data in terms of growth rate, maybe segment wise that what will drive this high teen growth that we're expecting for the next 2, 3 years?
B.R. Preetham: See, as we said that our progress towards achieving 40% on Auto, Tech Agnostic, xEV and Non-auto business and we are well placed to go into that. And if you really look at how we are looking at -- aero, I already told that we are looking at doubling the this thing, it is more than 100%. We expect that two -wheelers should grow between 10% and 12%. This is for us. This is for Sansera's revenue growth. We expect Passenger Vehicle segment to grow between 15% to 17%. And Commercial Vehicle will al so do a double -digit growth. This is broadly what I can say.
Moderator: The next question comes from the line of Mukesh Saraf from Avendus Spark.
Mukesh Saraf: My first question is on the order book. Notice that xEV and Tech Agnostic outstanding order book has come around to say closer to INR 3 billion. While we have seen some business getting commercialized there and hence, the order book has come around there, but the new order intake there seems to have kind of come off in the last few months. Is this just a timing issue and we kind of see t his coming back strongly? Or are you seeing something more structural there on some of the segments that we are catering to?
B.R. Preetham: So xEV -- of course, xEV and Tech Agnostic, I answered the Tech Agnostic part earlier because our total order book -- if you really look at our total order book, which is currently INR 18511 million, almost 17% is xEV and Tech Agnostic. While what has happened is on Tech Agnostic, especially on aluminum, we have taken a very conscious decision of stabilizing the production because their cost structures need to be understood from both the sites; otherwise, we get into a challenge of -- while th e company also needs to understand more cost structures on these new technology components.

So we would like to actually -- that is where, since whatever cap

acities that we have put in, we have full. In fact, I was corrected that the overall order book on aluminum, I said that it's around INR400, it is much higher. It is closer to and in excess of INR 500 crores. So we have enough of that. So we have consciously slowed down participating in aluminum forged and machine component, the things to make sure that we are on the right track. On the xEV segment, see, we have just commercialized -- I mean, last year was a full year of commercial production for us with the North American supplier.

And I had also said that there is several opportunities, but the customer was also very clear because the kind of -- this was our first exposure with them, and they wanted to see how -- from the development process, how well that we establish our supply chain and also perform on PQCDSM parameter. So now that it's a full year, there is large -- many RFQs are in discussion with the customer and also with the other customers.

And to strengthen this and also to work more deeper into this segment, we have actually appointed a very focused marketing team for North America, who have been in the leadership role in the auto industry, based out of -- two of them based out of China as well as based out of the U.S. to focus on North America based customers, both on auto and non-auto, not the ADS part of it and that we have done in this quarter.

So while the efforts increase our footprint. But this tariff was also a barrier for a lot of decisions to be made because obviously people would not like to decide on the uncertainty. But it is -- there is no -- fundamentally, there is nothing -- the thing we look at the segment quite strongly, Mukesh.

Mukesh Saraf: Got it. Got it. And second question is on capex and the plants that you are going to start constructing in FY '27 for the new land that you have acquired, could you give some sense on the kind of segments we'll focus on there? Will there be a lot of ADS there? Or will there be more of the forging, maybe regular steel forgings over there?

B.R. Preetham: No. Actually, we are also looking at various other opportunities to increase our value -added products in both Auto and Non -auto segments. ADS would not be -- I don't think ADS will not be there in that facility specifically because ADS we are trying to con solidate it, we still have some more place where we can construct another 60,000, -70,000 square foot. And beyond that, it only makes sense for us to go nearer to the customer where into the new aerospace part that is being Phase 1 and Phase 2 not go towards this would be very far off whereas this specific facility will focus on new technologies, both aluminum and steel, mostly into Auto, Non-auto, Non-ADS segment.

Mukesh Saraf: Got it. Got it. And just lastly...

B.R. Preetham: Because, Mukesh, this is one large piece of land that we have for expansion. Like last time, I said that we have got a Pantnagar facility and this Pantnagar facility is to largely focus on low -cost manufacturing segments and focus on mass production or legacy components where we could use the cost base and leverage that.

So we are going to consolidate that portion of business in Pantnagar. All other new businesses, which are driven mostly on exports and domestic side on Auto and Non-auto would get consolidated into the new facility.

Mukesh Saraf: Got it. And just lastly, specifically this quarter, we've seen gross margins come off more than 200 bps. Is there any pricing pass -through that's pending? I mean, if there was some increase in raw material or -- because the product mix looks largely similar when I look at it sequentially?

Vikas Goel : So at a category level, the product mix looks similar, but then at a component level, there have been shifts, which happens at times and we've

seen this in earlier years also. So this is, as we understand, quite normal.

Moderator: The next question comes from the line of Varun Basrur from Julius Baer.

Varun Basrur: So just looking at the Slide 6, looking at the order book build -up INR500 crores, I believe, is move to mass production, so does this mean that INR 500 crores is a peak revenue in maybe the second or third year? Or is it the cumulative revenue?

Vikas Goel : No, no. This -- see annual revenue -- annual peak revenue, which will be realized by third year. That's the general experience we've had.

Varun Basrur: Right. Right. So what that means is that if I go back 1 year, that INR 600 crores that was moved to mass production, barring any deferrals, that should be essentially what will come in FY '27?
B.R. Preetham: No, no. Portion of it will come in '26. So large portion of it will come in '26 and other portion of it will come in '27. So the maturity should happen by '27. You are right. Full maturity should happen by '27.
Moderator: The next question is from the line of Shashank Kanodia from ICICI Securities.
Shashank Kanodia: Just wanted to check on the gross debt numbers. So now given the fact we have a surplus cash on balance sheet and the capex for next take can be funded through cash flow from operations, so do we see the gross debt coming down and probably becoming nil or do we still have to maintain -- intend to maintain a mix between debt and cash on balance sheet?
Vikas Goel : We will continue some mix of debt and cash, mainly to have a better balance sheet support. Broadly, the debt that is remained is the long -term debt, which had in the main flagship company, about INR200 crores and about INR 100 crores of debt is in the subsidiaries, which we have not touched.
So this will get liquidated in normal course as per the standard repayment schedules. And you're right, we are generating a lot of operating cash. That should be sufficient for us to invest in the capex , and we broadly should not require further debt to raise.
Shashank Kanodia: Sure. And second, sir, in terms of your order book, the view that we have maintained is that it should hit the peak revenues in 3 years' time frame, right? So from the current base, we should expect us to grow something like INR 5,000 crores of revenues in FY '28, right? Is the understanding correct?
B.R. Preetham: Yes, you're right. It could not -- it may not be FY '28, it could be FY '29. No, what do you mean? I mean, additional INR 5,000 crores or -- yes, FY '28 is a very reasonable time frame to look at crossing INR5,000 crores, yes.
Shashank Kanodia: And sir, lastly, on the raw metal side. So domestically, we've seen a decent price peak in terms of steel prices. So how are we navigating this? And is the entire RM a pass -through to us?

B.R. Preetham: So both in domestic, both increases and decreases are full pass -through. So whatever is the increase, all these years which has happened, we have been given by the customer and whenever the reduction happens, we'll have to pass it back. It's a 2-way contra ct.
Shashank Kanodia: Okay. So sir, consequently, the mid-teens growth guidance that we give for '26, does it factor in the ASP increase? Or it's just pure like-to -like organic growth that we are seeing for our product profile?
B.R. Preetham: No, there is no raw material effect that we have taken. Raw material is taken at a neutral.
Vikas Goel: We have not assumed any inflation here. It's the volume increase on the running components as well as the starting of new products like the order book that we said. So those two factors are there on this.
Moderator: Ladies and gentlemen, due to time constraints, we will take that as the last question for today. I would now like to hand the conference over to the management for the closing remarks.
B.R. Preetham: Thank you v

ery much all of you for taking time out and participated in this earnings call. We would like to emphasize the fact that while there were uncertainties surrounding the export market, we are quite confident that company will be back to the normal high-teens kind of growth profile in this year. And you would also see a strong performance from some emerging sectors like ADS and others. So thank you very much again. And any questions that you may have on the follow -up questions, you co uld address it to our IR partners, SGA or directly to us. Thank you again.
Vikas Goel: Thank you.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Sansera Engineering Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore- 560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

August 17, 2025

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning group conference call which was held on August 12, 2025 on the Unaudited Financial Results of the Company for the quarter ended June 30, 2025 . The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you,
for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

“Sansera Engineering Limited
Q1 FY '2 6 Earnings Conference Call ”
August 12, 2025

“E&OE -This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on August 12, 2025, will prevail ”

M
ANAGEMENT : MR. B.R. PREET HAM – EXECUTIVE DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER – SANSERA ENGINEERING LIMITED
MR. HARI KRISHNAN – CHIEF EXECUTIVE OFFICER --

ADS DIVISION – SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – HEAD CORPORATE
STRATEGY – SANSERA ENGINEERING LIMITED
MR. RAHUL KALE – CHIEF OPERATING OFFICER --
SANSERA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sansera Engineering Limited Q1 FY '26 Earnings Conference Call. This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involves risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B.R. Preetham, Executive Director and Group CEO.

B. R. Preetham: Thank you, ma'am. Good morning, and welcome to everyone. Thanks for joining this call. On this call, I'm joined by our CFO, Mr. Vikas Goel ; our CEO of our AGS Division, Mr. Hari Krishnan; Head of our Corporate Strategy, Mr. Praveen Chauhan; and our COO, Mr. Rahul Kale; and of course, our Investor Relations advisers, the SGA team. The results and the presentation are uploaded on the Stock Exchange and the company website. I hope everybody has had a chance to look at them.

For quarter 1 of FY '26, Sansera delivered a top line growth of 3% on a year -on-year basis, while maintaining a disciplined and healthy margin structure. Our EBITDA margins stood at 17.2% and the PAT margin at 8.2%. We are facing multiple headwinds in both domestic and global markets in this quarter, which slowed down our growth momentum. However, despite that, our performance has been good and in line with the overall industry.

These challenges are expected to be short term in nature and should be resolved in the coming quarters. With our diversified portfolio in terms of segments, geographies, customers, product range, we remain well positioned to navigate this temporary disrupt ion and continue delivering profitable growth.

In line with that, our domestic business recorded a revenue growth of around 4% on a year -on-year basis. The growth was primarily driven by the healthy performance across multiple segments, namely PV, CV, ADS, agriculture, and industrial applications. However, 3 and 2-wheelers delivered muted performance.

The primary impact was due to a decline in 2 -wheeler scooter sales, whereas 2 -wheeler motorcycles category continues to thrive and deliver positive performance. We witnessed, like the industry, strong rural demand for the entry-level bikes and healthy urba n demand for the premium motorcycles, which are above 200 cc.

Turning to the non-automotive segment. The domestic business delivered positive growth, primarily driven by agriculture and other non-auto segments. xEV and tech agnostic remained resilient for the domestic market as well.

Our international business witnessed slowness in this quarter. Exports from India, excluding ADS, declined by 20.6% due to global uncertainties. However, our Europe business grew by

about 3.5%. This was primarily due to our Swedish business, which grew by over 80% on a year-on-year basis because of the low base effect of Sweden. And revenues from other countries delivered a healthy growth of 11%.

Sweden business delivered its highest ever quarterly sales of INR 637 million, an exceptional year-on-year growth of 80%, but on a low base. This growth was achieved due to pricing and volume improvement with the key customer. We expect this momentum to stabilize from quarter 3 of FY '26 and remain at similar levels ther eafter.

Most segments were impacted by the slowdown in the US exports, particularly the passenger vehicles, xEVs and non -auto categories. However, ADS and premium 2 -wheeler motorcycles continued to demonstrate resilience.

Now coming to our order book. As of June 2025, our order book stood at INR 20,243 million with more than 60% of orders coming from the international orders. We added INR 1,732 million worth of new orders during the quarter, mainly from the ADS segment, followed by the xEV and tech agnostic, and lastly, ICE orders. The new order wins are exactly in the direction of our long-term vision and our growth strategy.

The recent increase in US tariff on Indian exports has created significant uncertainty for various companies across sectors. In this uncertain environment, we have a cautious near -term outlook for exports. That said, we remain confident in our position as a company with strong engineering capability, diversified product portfolio and decades of experience in this industry. We are focused on continuously outperforming the Indian auto industry and delivering accelerated growth in the non-auto division. ADS r emains the primary growth driver for non-auto business segment over the long term.

Lastly, I would like to share that our Bidadi plant at Karnataka has been awarded the Platinum rating by the Indian Green Building Council, demonstrating our commitment towards sustainability and environmental responsibility.

With this, I would like to hand over the call to our CFO, Mr. Vikas Goel, who will take further.

Vikas Goel: Thank you, Preetham. Good morning, everyone. I will share with you a brief about the consolidated financial performance of the company during Q1 of FY '26. Our revenue increased by 3% on a year -on-year basis, reaching INR 7,663 million as against INR 7,439 million in Q1 of the last year, which is reflective of the diversification approach that the company has taken. And despite difficult circumstances across the markets, we are able to maintain the growth momentum.

Our EBITDA for the quarter stood at INR 1,321 million with a margin -- at a margin of 17.2%, which is a growth of 10 basis points on a year -on-year basis and sequentially about 90 basis points. We remain committed to cost optimization in this environment when the macro environment is very volati le and beyond our control. So we remain focused in terms of managing our profitability in a manner which is more sustainable.

The depreciation and amortization expenses stood at INR 476 million. The gross finance cost for the quarter stood at INR 104 million. On a net basis, we also booked some interest income during the quarter. Net basis, we had an interest cost of about INR 36 million, which is significantly lower than the previous year. And this has also resulted in a healthy PAT margin profile at 8.2%.

In absolute terms, the profit after tax was INR 630 million with a year -on-year growth of 26%.

Our operating cash flow net of tax continues to be healthy and stood at INR 962 million, which is 13% of the operating revenue.

With that, we would like to conclude this briefing and open the house for question and answers.

B. R. Preetham: Thank you, Vikas.

Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha: Congrats on the healthy margin performance. Sir, firstly, can you just update on the new orders of INR170 crores, which mainly came from ADS segment? Just want to understand what kind of orders are being added for sir?

B. R. Preetham: No. Actually, out of this, about 25% has come from ADS, 10% from xEV, 9% from tech agnostic, 30% from PV - CV and 15% from the 2 -wheeler segment. So in the ADS, primarily, we would have both in terms of our order inflows, it is equally between aerospace and semiconductors. We are seeing here is very high value -added products now getting added to the product portfolio.

Unlike the earlier times, now b

ecause of our track record and also that our focus on high value -
added components, we have actually added a lot of capability in terms of taking our product sizes up to 4 meters on Y axis, along with very, very intricate special capability on machining. So these are resulting in high value -added components today compared to what we were getting earlier where the number of parts were more per order and the value per each part was lower. Today, we are getting much bigger components, much intricate where the order sizes have become much bigger, larger, but then the number of components have come down. So this is true in both the cases, both in terms of aerospace as well as semicon.

Mumuksh Mandlesha: Yes. I just also want to understand incrementally this quarter, can you share what kind of new orders win has happened?

B. R. Preetham: I didn't get the question again.

Mumuksh Mandlesha: I mean in Q1, around Q1 versus Q4, there's an increase in the order book. And I just want to understand what are the new orders won this quarter, sir?

B. R. Preetham: Yes. I mean I gave you the breakup of the segment. We have received orders from -- our largest order was from our semicon customer. Then from -- also, we have got one new customer added, which is from a US -based tractor manufacturer. Then we have from our regular Collins

Aerospace, who have been our customer for a long time, we have received orders from them as well.
Of course, we have got further orders from our largest EV manufacturer based out of North America. So it's been a mix of both xEV and technology agnostic components in auto segment plus the ADS. Of course, there are some of the defense orders we have recei ved even from the company in Israel. So it's been a mix of all this. These are amounting to about INR 173 crores as we have declared, INR 1,731 million, peak annual revenue. This is the addition to the first quarter business.
Mumuksh Mandlesha: Got it, sir. And sir, for this year, a target of ADS reaching to INR 280 crores to INR300 crores revenue in FY '26 remains intact, sir?
Hari Krishnan: Well, this is Hari here. As things stand today, yes, we look like we will reach what we have indicated.
B. R. Preetham: Basically, we do not see any kind of slowdown in the ADS segment. In fact, the ADS segment, the pressure to accelerate the delivery and finish our FAIs are significantly high. So we are working on matching both the FAI development programs as well as bringing them on to the thing.
So currently, as it stands today, our order book and our certainty on volume from the customers has not changed anything. So we expect that as we have indicated, we would want to double our revenue from the past year and try and reach about INR 280 crores to INR 300 crores. This is what I have indicated in the previous con call. And we are on a path to reach that. There is no change in -- none of these have -- currently, whatever is the development that you are seeing, they don't seem to have any impact on ADS business as of now, yes.
Mumuksh Mandlesha: Got it, sir. And sir, in this Q1 quarter, scooters and tractors have seen a decline. I'm assuming mainly, sir, this would be for domestic market. Any reason why we have seen a decline, while last 1 year has been very good for both of the segments, sir?
B. R. Preetham No, I think it is the overall market trend. So -- and both these segments, scooters as well as electric is not a very big segment for us. Of course, scooter constitute about 6% to 7% of our overall revenues. So we see that it's not -- it's I think a tempor ary phenomenon. I don't see this as the thing. It could be a one -off in this quarter. So we expect that the 2-wheeler market to be resilient and doing well in the coming quarters in domestic.
Mumuksh Mandlesha: Got it, sir. And sir, lastly, sir, for the Sweden has seen a very goo

d margin this quarter. Just want to understand what kind of margins we should see for the full year? And also growth has been very strong. So what kind of a growth number we can expect for this year from the earlier guidance of 15% to 20% growth we had talked about, sir?
Vikas Goel: Yes. So we are -- the growth that we see in Q1 is basically because of a lower base in last year. But overall, if you look at full year, we should be achieving a 20% plus growth in Sweden business on a full year basis.

The margin profile will also be substantially better than what we had last year, and this is basically on back of a host of factors, including the volume increases, the better capacity utilization, and some automation that we are currently in the process of implementing, which will start reflecting through the second half of this year. So overall, we should have a double - digit margin on a full year basis, which we also achieved during the Q1. So we expect to maintain that as we move forward.
Moderator: The next question is from the line of Kapil Singh from Nomura.
Kapil Singh: Congratulations on a good performance in a tough quarter. My first question was on margins.
We have seen a pretty strong improvement in gross margins, the raw material to sales. And this was a quarter where you had a lot of headwinds, like rupee had apprec iated a bit and steel price and also export mix was down and possibly some tariff impact as well. So could you just explain the dynamics here of how you were able to achieve this improvement? And what was the impact of each of the elements that might have affected the margins?
B. R. Preetham: I just will take the first half of the question and Vikas will take it over. Currently, Kapil, we don't have any impact on our business. Currently, we have been able to pass on all the impact of the tariff to the customers. So we haven't had any negative i mpact on to the -- very minor if it is there because all our customers have actually committed that the tariff would be passed on. Most of them, I would say, not all.
So most of them have committed all major customers. And a few of them have said that we will

compute and come back to you. But we do not expect any major impact on our business because of tariff currently. I mean, on a long term and mid -term, one needs to see how things will change,
but currently, it does not have any impact.
Of course, our Swedish business has been benefited with higher capacity utilization and also the price correction, which we have received from our Swedish customer because there have been
a lot pending activities, which has been recognized and there has been a price correction that has
come.
So with this -- both this impact, the Swedish business have contributed positively. In fact, our
other subsidiary, Fitwel Tools, also has done well and their growth has also been very strong. So these are some of the factors. And operationally, we have tak en a lot of initiatives in trying
to optimize our capacity utilization, trying to optimize our manpower utilization. So these are some of the impacts that you would see. But I will leave it to Vikas to add to how he has seen
the improvement in gross margi n.
Vikas Goel: Yes, pretty much on similar lines, but I'll just give it a little more elaboration. So Sweden, we had 80% growth year -on-year if you were comparing against last year in the revenue. And on
top of that, we had a 4% improvement in the gross margin. So that volume growth plus the higher
margin directly adds into the overall consolidated results.
On top of that, Fitwel had a 21% growth year -on-year and maintaining their gross margins. So
that also helped. In addition to this, we had -- we have been working on certain initiatives in
terms of raw material yield improvements and certain other initiati ves, which have started

showing during last year itself. And when you compare against the Q1 of last year, it shows a
marked improvement. And on top of that, the increased mix of ADS in the overall scheme of
things.
So these are some of the factors. And then minor update here. Preetham mentioned about the
tariff. We have booked some tariff costs during the quarter. While the customers have agreed to
reimburse it, we are still awaiting the final receipt of money then w e will reverse it from the
cost. So currently, it's a small cost, but it still sits in our P&L.
Kapil Singh: Sure, sir. I mean I just was observing that this is the best gross margin we have delivered on a
quarterly basis. So congratulations for that. On the tariff, sir, if you could just give what is the
current situation because we've had an increase in tariffs recently. So is the export further
affected or is it -- both in terms of revenues and order inflows, is uncertainty affecting
performance further compared to the first quarter?
B. R. Preetham: Very, very initial phase, customers have not indicated any kind of change in the schedule as of
now compared to what it was, Kapil. But I think if this continues to stay like this, we don't expect
this to be continuing to stay like this. I'm sure all the s ites and the government are working
towards resolving this and that is what is the hope that before the end of the quarter, everything
seems to be -- seems to get sorted out.
I mean, at least from our discussions with all our major customers, we just came back, me and my colleague, Hari Krishnan:, we were on 8 - 10 days trip to US to meet all the customers and
also take their inputs and views on how things are looking and what is their expectation. So they
don't seem to be really worried at the moment because when we were there, it was at 25%, 50%
came later after we reach back Ind ia.
So they don't seem to be overly worried about tariff situation on India. They seems to be -- in
fact, the more concern, what we understood was on -- RVC, which is residual value content,
which is currently I think is at 65% on the USMCA region, which means that all the value
addition that they expect on a vehicle level to achieve 65% from the USMCA region. That seems
to be more focused because they expect that to go up, and there are indications that it might be
kind of looking at between 75% and 80% over the time. So that is where they are more focused
on, tariff is a smaller issue and they think that it is a short term market shutter.
Kapil Singh: Okay. One small query from the presentation. On Slide 4, we have mentioned that we expect the
Swedish subsidiary to stabilize from 3Q FY '26. So is there a further ramp -up in revenues
expected from 1Q levels? If you could give some color as to what's happe ning there?
B. R. Preetham: Yes. Actually, basically, Q2 is always slightly a muted quarter there in -- because of the summer
holidays that would come for a month's time. So we would see a good amount of stabilization
in Q3. That is why the comment on stabilization happening on Q3. A nd by the end of Q2, we
would also expect our automation to be fully in place, which means there is further cost
optimization that can happen.
So with the addition of new programs, we expect a reasonably stable performance from our
Swedish entity. So that is what is the indication from the third quarter, the volume stabilization

and the margin stabilization will happen. Of course, you will see a healthy growth year -on-year because the products have been added and the base of last year was also low. So we continue -- overall, I think full year basis, we expect between 20%, 25% grow th from the Swedish subsidiary.
Kapil Singh: Okay. What I was just trying to understand, is the revenue and margin fully ramped up in 1Q or from 3Q onwards there is sc

ope for further improvement?
Vikas Goel: I think we are at the run rate volumes as of now. Margin will also be around 10% to 11%.
Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited.
Bharat Sheth: Good result in challenging time. Preetham, you spoke about value addition at 70%, 75% in USA. And I understand that we had bought a land parcel also in US A. for value -added product. So can you give some more color on that? What is the status? And how do we plan to really ramp up when this type of a problem arises?
B. R. Preetham: No, we haven't bought anything in US A. We were looking at a brownfield project to start while we had -- because of the tariff uncertainty, we had not -- while we had almost finalized and we were on the verge of due diligence for a particular site in North Carolina near Raleigh, but we had put it on hold because of the tariff uncertainty because none of the customers were committed on the newer programs because of these things.
But now as I said that we were -- in the last couple of weeks, we were in visit to our customer.
And what we understand there is that, of course, to defend the existing orders on a long term, plus also to look at addition of the orders, one needs to -- I mean, we need to have -- definitely, there is no 2 ways on having a facility in US But in order to achieve the USMCA norms or RVC of 65% and above, we need to decide on how much of machining that we need to shift.
So it's a fine balance today because the cost, we have already started our discussions with some of our customers as to what would be the differential cost if we have to move the component from India to US And would that offset the tariff at 10% and 25%. And at 50%, of course, there is no discussion on that. It would definitely be more than offsetting it.
But then it is going to be a strategic decision for every customer because this RVC is going to be on a vehicular level and they need to decide on the cost of the product that they are going to buy from outside vis -a-vis the content, what is going to be the content. I'm sure every customer over the time would evaluate that and then take a decision.
But of course, for any new future programs, we need to be having a facility. So we would be accelerating that process. And we have already are in the process of identifying and we are already in discussions with a couple of them to finalize. So we would ap propriate -- at the appropriate time, we will come back and give more information about it.

Bharat Sheth: And second part on last year, we started a large part aluminum casting. So what stage we are? And how do we see over the next -- in FY '26 and '27 business from there? And what level business development as well as customer additions are happening?
B. R. Preetham: No, you mean aluminum forging because we are not into aluminum casting. We are in aluminum.
Bharat Sheth: Sorry, my bad. Aluminum forging.
B. R. Preetham: Yes, yes. Aluminum forging, we are -- while all this thing now we are on the process of -- as I had told that now we have taken almost 6 press lines we have put and the business is on a stable basis now because we have developed more than 100- 110 components for various customers across the premium 2 -wheeler segment. While having said that, we have added 2,500 and 4,0 00 Tonne presses into our new forge shop in Bidadi, which would also be catering and we are looking at some very, very intrica te new components to be developed.
There is some development that is going on for a passenger vehicle customer. And we are also in discussion to look at various other opportunities that are there in both suspension and driveline parts on the aluminum front. Of course, all these things would not happen overnight. It would take some time because we'll have to demonstrate ou

r capability and our engineering ability to develop these components. So we are on that process.
We are quite confident that for the facilities that we have set up and the know -how that we have now gathered over the last 3 years, our foray into the passenger vehicle will not be that difficult is what we think.

Bharat Sheth: So what kind of revenue in '27 do we expect from this? And some color on the -- either gross margin or EBITDA side?
B. R. Preetham: No, I think, see, we had already said that aluminum is going to be -- we are -- aluminum for the FY '27. If you really look at our order book and the way that we should target about INR 500 crores coming out of overall aluminum portfolio.
Now it also depends on how well the premium motorcycle segment does in India because we are present in most of the premium motorcycle segment. We are also looking at more opportunities to expand aluminum forgings in the export markets as well. So we are working towards achieving a sustained business order book of INR 500 crores plus over the time.
Bharat Sheth: Okay. And last question on the connecting rod. What we understand that, again, a lot of -- I mean, the kind of challenge EV is facing, so a lot of players are also rethinking on going or developing a new platform for ICE engine. So how are we seeing a global level our capacity that we have? And how do we want to leverage that part?
B. R. Preetham: So as -- we have been one of the leading players, at least outside the OEM because a lot of European and North American OEMs traditionally used to make the components on -- in their own shops. But those trends have changed and people are looking at increas ingly outsourcing this component. Of course, because there was last 3 years, as you have rightly said, that all these

programs were on hold because a lot of focus was on EV. And we see a lot of renewed interest in the revamping of the existing platforms and also introducing newer platforms.
We are working with multiple customers. L argely, we are present with all the major OEMs, I would say, all the three major OEMs in US and also the European OEMs. So we are present with all the major OEMs. And we are in discussions with various programs. Of course, there has been a slight pullback from the customers on the speed at which it was going because of this tariff issue.
They didn't want it. There was lack of clarity on how do you allocate the project, whether to go towards Asia or look at Mexico and Canada and US and all these -- because this was cost against regional content. So I'm sure over some time, this will all get sorted out. And we expect a lot of new platfo rms to be introduced by FY '28.
So that is where we are working with multiple customers, both in auto as well as in non -auto, like stationary engines, industrial gensets. So all these are industrial applications and tractors, all these are platforms in which we are trying to work along w ith the passenger vehicle segment.
Moderator: Next question is from the line of Khush Nahar from Electrum PMS.
Khush Nahar: So just two questions from my side. Number one, sir, considering the geopolitical situation right now and our order book, what kind of growth are we seeing for the company in the next 3 years? If you could elaborate maybe segment -wise that we are in?
And my second question was more on the ADS segment. So like we mentioned that we might double our revenues in FY '26 to around INR 280 crores, INR 300 crores. So if you could elaborate a bit in terms of what kind of overall addressable opportunity that we see in this segment for the next 3 years, 5 years, what is the vision for this segment? So some direction, maybe this segment becomes as big as the company level revenues that we are today. So some direction on that side.
B. R. Preetham: Geopolitical situation is very volatile and I

am not in a position to give you any kind of numbers,
at least till the time the situation gets better because there could be a lot of realignment of the supply chain that could happen because of various -- once the tariff gets settled down, depending upon where we are going to land. So on the tariff, there could be a lot of realignment in the supply chain.
Also in North America, as I explained, that regional value content is also one of the key elements. So we may have to really look at how to be more aggressive in North American market, what do we need to do? That is the direction in which we are working. W e have also appointed a sales agent for representing us in Korea, who's been in the industry. So we were not present there and we wanted to explore that opportunity. And we have recently signed up a representation there.
We think that having a person in K orea would have good impact on the customers with whom we work.
And so for us, the East Asian market is something that we are going to focus more on. We are also looking at some more opportunities in Japan and around Asia to strengthen this opportunity.

While I would say that we will take some more months before we could firm up our business

plan. We have a long -term rolling plan, which we are already working on. But short term, how this impact will change that, it's very difficult to say that. We would b e cautiously optimistic looking at this.
But ADS, of course, as I have said that, that's something that we are very bullish upon. It is currently resilient to all this current development because most of the semiconductor business that we have contracted, the end market or the final destination, we understand is not the US So there is some amount of resilience there.
And I also understand from our aerospace customers that they have been exempted. So we are looking at not a big tariff impact on those businesses. So we are quite hopeful that we should be able to reach our targeted revenue of INR 280 crores to INR 300 crores this year. And then we are also looking at a very strong order book.
Like last time, I have said that in 3 years' time, we are looking at about reaching INR 1,000 crores. And we are already about -- including our current business that we are executing and the new order book, we are around INR 750 crores, close to about INR 750 crores. So there's not much of a gap that we need to fill to achieve that INR 1,000 crores in terms of the order book.
So we are working on building more resilience into our business model in order to overcome such uncertainties.
Hari Krishnan: If things go as per customer projections, the ADS, as Preetham said, should hit the peak revenue of the orders booked by FY '27, '28. Yes. And then further growth is definitely the traction is looking very good. The new order wins are looking very nice. So everything finally depends, as Preetham said, on where the tariffs really settle down after this storm. And then we will be able to give a little more clarity.
Khush Nahar: If one last question, I can squeeze in. So on the MMRFIC side, so how much stake do we have as on date? And do we intend to increase it and then consolidate? Because I think -- and the second question related to that is, are the product segment different t han our current ADS system or is it a bit overlapping?
B. R. Preetham: MMRFIC, we are currently around -- if we are fully between -- depending on their this year performance, we should be between 33% and 35% for whatever money we have already invested. But you are -- as you are aware that we have the right to go up to 51%. An d as and
when the company needs the further revenue to their growth, they have been awarded with some very, very exciting projects, both from the government and the space projects.
So they are working -- I mean, they have been quite busy in working on these projec

ts,
developing technologies for the thing, and also productionizing this technology. So we are really excited about our prospects in MMRFIC. We know that there is a long runway there. We need to be patient on that. But the technology that they are working on is totally different to what we are doi ng in ADS.
See, in our ADS, we are very focused on our mechanical machining, high -precision machining, whereas the MMRFIC is totally a segment which is unrelated to what we are doing in Sansera

that they are working on radar technology. So radar technology for both defense and non-defense applications. So that way, there is no overlapping of any of this, except that in some of their mounting structural parts, they could use our capabilities on machining some of their chassis and other parts. But other than that, there's no overlapping in what we are doing and what they are doing.
Khush Nahar: Right, sir. Sir, any numbers if you can provide for MMRFIC in Q1, how was their performance, their EBITDA margins, etcetera?
B. R. Preetham: See, I think for MMRFIC, the overall -- because they work on a lot of projects and project revenues are all -- it's all 6 months, 9 months revenue, I don't see it is a pt for -- us to discuss on quarterly numbers. On an overall basis, on a yearly basis, this year, we look at them anywhere between INR35 crores and INR 40 crores of revenue as what has been projected. And they would have a very healthy EBITDA margins.
Of course, we see a lot of acceleration in government intent in productionizing these technologies because these are all technologies which are being imported and there's a long lead
time of development and testing. So we see that there is a lot of acceler ation that is happening in adopting this technology into the field. So which gives us more confidence on productionizing these technologies much faster than what we had anticipated earlier.
Khush Nahar: Sir, lastly, the order book that you're expecting to close maybe in MMRFIC that would give some clarity.
B. R. Preetham: I don't have immediately the order book details of MMRFIC. We will get back to you through our SGA because these are both long term and short term. So defining this order book is slightly more trickier than what we have. So I would -- we would come back to you on the order book details on MMRFIC later.
Moderator: The next question is from the line of Shashank Kanodia from ICICI Securities.

Shashank Kanodia: Sir, just wanted to check, so with all the turbulence in the domestic and export market, so will it be difficult for us to clock double - digit revenue growth this year or do we feel confident of clocking mid -teens kind of revenue growth, which has been our endeavour always?
B. R. Preetham: I would really like to answer this question more confidently than what I am today because there's so much of uncertainty that every day, things are different, looking at -- it largely depends on how this tariff would settle down. I can only talk about certainties where we have domestic business, of course, we are looking at between 5% and 8% growth for -- or towards -- mostly towards 8% to 10% in the 2-wheeler sector industry-wide and about 0% to 3% on passenger vehicle, monsoon being good. So the other things also should improve.
We think that our Swedish subsidiary is doing well. Our ADS is doing extremely well. And with all these things, we definitely hope that we will be positive growth. But what is the extent of positive, whether it will be double -digit, whether it will be mid -teens, high teens, one needs to be -- I don't have that answer currently. I would also be cautiously wait -and-watch approach

because we need to calibrate our business models as the things progress. So we are working on towards that. So I'm -- toda

y, I don't have a clear -cut answer for your question.
Shashank Kanodia: But on the order book side, you have always maintained a thing that we'll hit a peak order book in 3 years kind of time frame, right? So given the fact that we are at roughly INR 3,000 crores of revenues last year and with INR 2,000 crores of order book now, so are we like INR 5,000 crores of revenue look likely in FY '28? Is this a safe assumption to work upon?
B. R. Preetham: Yes, yes. That is the assumption with which we work. And generally, that it follows the same path. But then one needs to be also cautious here that if there is some realignment of supply chain that would happen in the future, if this tariff impact is going to continue or worsen, then we are looking at realigning our business models.
So it could have an impact on the overall pricing. Suppose if we are supplying a component from India to, say, North America at X rupees. And if a larger portion of that value addition needs to be shifted to the North America, of course, the X will become 1.25, 1.3 X depending upon how much of the thing.
So that will have definitely an impact on maybe having a positive impact on revenue. But then again, it also depends on how fast we can adopt that. And depending on that, the share of businesses will also be decided by the customer. So it's a very fluid si tuation, but we think that most of it would be -- we should be able to defend our existing order book and also look at strengthening the order book in the future. So overall, what you see, what you said in the 3 years, adding this to the thing is a very g ood possibility.
Shashank Kanodia: And sir, lastly, on the margins front. So we have always made an endeavour to reach 20% kind of a thing, right? So -- but we think the market has been weak for last 2 years. So we have been hovering at this 17% kind of a bracket, right? So do you want to p ut a time line to as to when can we reach 20% EBITDA margin profile? And is it like 50, 100 basis points possible every year improvement is something that we should look at delivering from the company?
B. R. Preetham : Yes. Actually, this 20% is a mid to long -term target that we are working on. Of course, the change in product portfolio to more of 20% coming from non-automotive, 20% from xEV and that too -- and also stabilization of our MMRFIC would definitely aid the pa th towards 50%.
I would say that while we were fortunate to maintain our margins at this, we were -- unfortunately, there are so many headwinds that have been not expected. Otherwise, we would have definitely taken steps to achieve that 50 to 75 basis points year -on-year. Now these are the initiatives that is helping us to manage the margins at the current difficult time. I would only say that once the things get normalized, you would see the impact on a positive side of all these initiatives.
Shashank Kanodia: Right. And sir, lastly, one small clarification. I think last month, there was a news where Karnataka government has kind of pulled out of acquiring land from farmers for the new aerospace and defense park near Bengaluru. So our venture or our land acquisi tion is separate from this, right? So these are 2 separate things or are we also impacted from that?

B. R. Preetham: No, no. We were not in that portion of the land. Where we have got the land is on the opposite side, near the Harohalli industrial area, which is a 55-acre parcel of land, where already the industrial development has started and taking place. And we are in the final stages. We have already secured the lease-cum sale agreement from the government of Karnataka and we are in the process of registering

that land. So this has got nothing to do with that aerospace and defense
park.
Moderator: The next question is from the line of Sucrit D. Patil from Eyesight Fintrade Private Limited.
Sucrit D. Pati

l: And I have a specific question for Mr. Praveen. Is Mr. Praveen Chauhan online?
B. R. Preetham: He is online.
Sucrit D. Patil: Yes. My name is Sucrit D. Patil. My question to you is, as Sansera looks to grow beyond its core auto business, especially with the traction you're seeing in high-tech agnostic and xEV segments, how are you thinking about expanding into newer verticals or areas that could structurally diversify the revenue mix and improve the margin growth?
And if some of these bets, say, in aerospace or the premium EV components face a slower ramp - up or there are some issues going ahead, what kind of fallback or alternative growth plans are you building to keep the momentum intact?
Praveen Chauhan: It's basically a question on our long-term strategy. If you look at our historical last 5 years, you can see that we have been diversifying into a model wherein our dependence on ICE would be 60% and dependence on other technology agnostic non-auto and emerging technologies would be around 40%.
We have very aggressively diversified into various areas. You would have seen that we have gone into aluminum forging. We have gone into semiconductor. We have expanded our basis into aerospace, of various segments of aerospace. We are also looking at aggr essively into non-auto segments like industrial application, agricultural applications. We were already into off - roading and so on and so forth.
We continue to strive to look at opportunity. But as of now, if you see, we have a lot of things in our hands. And we strongly believe that these areas will continue to expand and has given a wider spectrum of addressable market to us. EV will continue to be a very interesting area. We have already gone into to the extent that we have had a similar kind of business from EV sector, looking at 2 - wheelers and maybe now looking at passenger cars also.
So right now, we see that we have enough on our hand. We have been expanding quite well. Our visibility over the orders and the business over the next 3 to 5 years is quite strong. But we do not stop here. We continue to look at inorganic growth. We contin ue to look at newer emerging areas.
We continue to look at areas which our customers indicate that these are potentially large scope areas, which as of now is difficult to reveal, but we can only assure you that we continue on our

path of high growth, high diversification, while continuing to remain strong in our legacy parts, particularly connecting rods. That's what we can say as of now.
B. R. Preetham: Just to add to what Praveen said, Preetham here. See, resilience is something that we have been working on to build resilience against technology obsolescence, resilience against geopolitical situation. So in the -- in continuation of that, we are looking at some very critical aluminum and steel forged components, which are currently being imported into India.
While these components may require some kind of technologies, we are working on definitely getting into those products. And you would hear us -- hear from us in the near future as to how we are trying to get this. This would be more diversification into te chnology agnostic non-engine, non-transmission kind of components, which are very, very precision in terms of both forging and machining, both in aluminum and steel. So this is something that we are working on
and you would hear more of this in the coming quarters from our side.
Sucrit D. Patil: Just to close the loop, if you had to call out one non-auto segment or area which you are most confident about in the near term, what would that be?
B. R. Preetham: You mean one segment where we would put our bets on. Is that what you're asking?
Sucrit D. Patil: Yes, yes.
B. R. Preetham: Definitely. As I have said that we have been -- see, because we have invested over a decade in our capabilit

y building in aerospace and defense and that has aided us to look at -- I mean, get more orders from the semicon as well as -- so ADS is our prime m over. We have already said that.
And to -- in order to capture not only the semicon market in both US -based customers, we are also looking at opportunity to work with Japanese customers and how do we get into those because that is also a big market. So ADS is our prime mover. Our focus, our resources are definitely more skewed towards ADS.
Moderator: The next question is from the line of Kripashankar from Mirae Asset Capital Markets.
Kripashankar: Sir, I have a question on the Swedish plant re-utilization and the peak revenue potential from this plant, if you can help on that? And in CV vertical, we have seen a good growth during the

Q1 by around 43% on Y -o-Y. Just want to understand what could be the growth for the year you're assuming in the C V vertical? And what could be the lever for that?

B. R. Preetham: I would ask my colleague, Praveen, to take this. Praveen, would you give a flavor of Sweden?

Praveen Chauhan: So on the Sweden side, we have been saying for the last couple of years that there is a change in the product portfolio. We are adding a couple of new emerging high -volume businesses. So last year has been the development phase. This year, we have already started on that. And it's already visible that we are talking about around 20% growth on the top line.

On the operational side, we have been -- we have invested. We are in the process of investing. Over the next 2 to 3 months' time, we'll stabilize and conclude those investment part of it to reap

the benefits of this growth. Now this year is a good growth and we see a similar kind of a momentum going on, at least for another 1 year. After that, how this entire global thing would stabilize and how our customer would look at global markets would be s omething not very easy to say. But then we are hopeful that our capacity utilization would be pretty good. So that's how Sweden and that will certainly impact our margins.

B. R. Preetham: Around -- I think our expected revenues from Sweden would be around INR 225 crores.

Kripashanka r : For the whole year?

Praveen Chauhan: That's right.

B. R. Preetham: Yes. On a fixed currency basis, we haven't taken any currency [57:50]

Vikas Goel : Approximately 25% growth.

Kripashankar: And on CV, what is our growth assumption? And what are the levers we have growing at this 46% kind of growth?

B. R. Preetham: CV is primarily driven by -- see, we have a couple of customers in India. Now we have IPCo, CNH, we also have Daimler in India. But then primarily CV business is driven by the Sweden business. So you would only look at CV business as -- because of -- you a re seeing that growth because of the contribution from Sweden.

Moderator: Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to the management for closing comments.

B. R. Preetham: Thank you very much for all your participation. While we are cautiously optimistic about the future quarters' growth prospects, we are definitely building more resilience into our business model to defend and improve our margin profile as well as look at m ore new opportunities beyond the geographies that we are working on. ADS definitely, as we have reiterated, is a very important portion in that aspect and we are putting all our resources and energy into it.

So with this, I would like to conclude this investor call. And any further questions you may have, you could reach us directly or through our IR firm, SGA. And thank you very much for your patience and the cooperation. Thank you very much.

Vikas Goel: Thank you.

Moderator: Thank you. On behalf of Sansera Engineering Limited, that concludes this conference. Than

k you for joining us, and you may now disconnect your lines.

Call: Nov 2025

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

November 20, 2025

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning call held on November 13 , 2025 on Unaudited Financial Results of the Company for the quarter and half-year ended September 30, 2025 . The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you.
for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

"Sansera Engineering Limited Q2 & H1 FY26 Earnings
Conference Call"

November 13, 2025

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on November 13, 2025, will prevail."

MANAGEMENT : MR. B.R. PREETHAM – EXECUTIVE DIRECTOR & GROUP CHIEF EXECUTIVE OFFICER, SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL – CHIEF FINANCIAL OFFICER, SANSERA ENGINEERING LIMITED
MR. HARI KRISHNAN – CHIEF EXECUTIVE OFFICER - ADS DIVISION, SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – HEAD (CORPORATE STRATEGY), SANSERA ENGINEERING LIMITED

MR. RAHUL KALE – CHIEF OPERATING OFFICER, SANSERA ENGINEERING LIMITED
MR. AMIT GAUTAM – CHIEF TECHNOLOGY OFFICER, SANSERA ENGINEERING LIMITED

Sansera Engineering Limited
November 13, 2025

Moderator: Ladies and Gentlemen, Good Day and welcome to Sansera Engineering Limited Q2 & H1 FY26 Earnings Conference Call.
This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to "Mr. B.R. Preetham, Executive Director & Group CEO of Sansera Engineering Limited." Thank you and over to you, sir.
B.R. Preetham: Thank you. Good morning, and welcome, everyone. Thanks for joining this call.
On this call, I am joined by our CFO – Vikas Goel, our ADS Head, Mr. Hari Krishnan – Praveen Chauhan, our Head of Corporate Strategy, Rahul – our COO, Amit Gautam – our new CTO, and our Investor Relations Advisors from SGA.
The Results and the Presentation are uploaded on the Stock Exchange and the company websites. I hope everybody has had a chance to look at them.
With a healthy recovery in domestic markets, Sansera reported its strongest-ever quarterly performance and for the third-time in a row with a revenues of INR 8,252 million with an EBITDA of 17.3% and a PAT of 8.7%. This growth came despite multiple challenges, such as slowdown in exports, cost pressures, and supply chain risks.
Gathering consumption waves following changes in the GST rate, the domestic auto industry is expected to grow at a healthy pace.
The entry-level motorcycle segment and PV segment is poised for a strong volume expansion, and the overall PV segment is also expected to perform well.
On the global side, stricter regional value content, RVC requirements, are accelerating the shift towards localized manufacturing, especially in the U.S., and sourcing within the U.S., Mexico, Canada, and Florida.
In line with these trends, we have set new benchmarks in our domestic sales during the quarter, which grew by 8.5% year-on-year.

At the company level, this was our best-ever quarter for both auto and non-auto segments.
This performance has come despite the introduction of tariffs, which are causing some pressure on the sales offtake, especially in the U.S. and European markets, also impacting our margins in certain cases.
In Q2 FY26, the automotive segment saw strong demand in motorcycles and CVs, while PVs sales declined on a year-on-year basis.
We have developed over 100 components for various customers in the premium two-wheeler segment, which is helping us to drive strong growth in the ICE motorcycles, especially in the premium segment.
We are also engaging with the new customers and our existing customers, who are exploring a transition from in-house production to outsource solutions.
On the CV side, we are seeing a strong attraction in our Swedish subsidiary, with the addition of new emerging high-volume businesses.
The Non- auto segment grew by a healthy 56.4% year-on-year in Q2 FY26, driven by strong offtake in the ADS segment, which delivered a top line of INR 496 million. With this, our top line in ADS for H1 FY26 would be close to INR 864 million, and we are very confident that our sales guidance should be very close to INR 3000 million. This business is expected to grow quarter-on-quarter over the next few quarters with a very strong momentum.
Additionally, we witnessed healthy growth in our off-road segment as well.
Sales in the xEV and tech-agnostic segment remained in line with our Q1 FY26

. This segment was
impacted by the tariff-related uncertainty and a lower offtake from one of our largest North American xEV consumers.
Our international business delivered 7.3% growth on a year-on-year basis, led by a solid recovery in

our Swedish operations and also a strong performance from our ADS division.
The European business, excluding sales from our Swedish subsidiary, declined by 28.5%; however, revenues from the other countries showed a healthy growth of 28%, again led by the ADS exports.
As of September 2025, our peak annual revenue for the new business stood at INR 21.5 billion. For auto, which is a predominant part of our business, the orders are open-ended in most cases. Hence, it is not possible to ascertain the unexecuted cumulative order backlog. However, our ADS business is growing fast. We would like to update you on the unexecuted order backlog for this segment. As of quarter-end, it was more than INR 39,500 million. This order book gives us a significant advantage

and puts us in a position of strength as a precision engineering company, catering to global OEMs while meeting our diversification goals.
We are also exploring new geographies, such as Japan and Korea, to engage with a set of new and existing clients, especially in auto space.
We aim to leverage our existing relationship with our OEMs to penetrate these markets.
The USA continues to be an important market for us and we have recently appointed a very senior professional to represent us there and target new growth avenues in the stationary engines, HCVs, etc.,
I would also like to welcome Mr. Amit Gautam, who joined us as Chief Technology Officer earlier this month. He is a seasoned automotive technologist with over 26-years of experience in R&D, specializing in powertrain design, advanced engine development, calibration, transmission systems, and simulation.
With this, our previous CTO, Mr. Satish Kumar, has been designated as Chief Customer Relationship Officer and Mentor to increase our focus on customer relationship.
Lastly, I am proud to share that Sansera Engineering Aerospace Division has achieved the honor of IGBC Platinum Certification, a remarkable milestone that reinforces our unwavering commitment to green initiatives, sustainability, and eco-friendly innovation. Now, we have the certification for two of our plants, including our Bidadi plant.
With this, now I would like to hand over the call to our CFO, Mr. Vikas Goel.
Vikas Goel: Thank you, Preetham. Good morning, everyone.
Let me take you through our consolidated financial performance during the 2nd Quarter of FY26:
Our revenue from operations increased by 8.1% on a year-on-year basis, reaching Rs.8,252 million.
The gross margins remain stable at 41.2%, and I would like to draw your attention, despite the growth and other headwinds, we were able to maintain this gross margin ratio. And just to underline, we had a solid growth of revenue in our ADS division, about 80% on a year-on-year basis, similar growth in our Swedish business, but these were able to absorb the decline that we faced in our exports from India on a non-ADS basis, which was about 18% during the quarter. So, despite all this, because of the healthy business mix, we were able to maintain our gross margin ratios.
Our EBITDA for the quarter stood at Rs.1,431 million with an EBITDA margin of 17.3%.

Depreciation and amortization are on uptrend due to the addition of new asset blocks to support the growth initiatives.
Finance costs for the quarter stood at Rs.81 million, which is significantly lower on a year-on-year basis, owing to the reduction of debt that we have had. This resulted in a healthy profit after tax of INR 714 million with a margin of 8.7%.
When we look at our half-yearly performance for the H1 of FY26, we did a top line of INR 15,915 million with an EBI

TDA of 17.3% and a profit after tax of 8.4%. This represents impressive growth across parameters in this uncertain environment.
Our operating cash flow, net of taxes for the period continues to be healthy and strong, and stood at INR 2,050 million, which is 13% of the operating revenue and 70% of the EBITDA for this period.
During H1, we incurred CAPEX of approximately INR 2 billion. Slide #11 on our presentation shows the breakup of the same.
Non-auto is our top priority on the CAPEX front as of now, because of the opportunities that we are getting there.
On the balance sheet front, we continue to remain net debt free.
With this, we would like to conclude our opening remarks and open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.
Mukesh Saraf: Yes, sir. Good morning and thank you for the opportunity. Firstly, congratulations on good numbers in a tough environment. I just want to start off with the ADS division. You have mentioned about the cumulative order backlog, but you also have an order book number that we mentioned; I think it is about 24% of your overall order book, so that comes to around, say, Rs.500-odd crores. So, how do

we look at this Rs.500 crores number and that Rs.3,950 crores number, could you kind of explain a bit more on this and help us understand if this is just a kind of a back-ended growth that we are going to see?

B.R. Preetham: Yes. Morning, Mukesh. Yes, I would start this and then I will let Hari to take over. See, basically, when we were representing our order book, generally, we would not give any cumulative order book on the overall, we only represent the peak annual revenue potential that is there on the unexecuted order. So, this is primarily because most of our automotive order books are open-ended, they do not generally have a closure date that has been put. generally, it is open-ended. So, that is the reason, generally, we were avoiding that. But then specifically in ADS, we do get a contract for a specific

period, which at the end of the contract period would get either extended or get terminated. But in most of the cases, generally, if your QCDM parameters are good, you get extended. So, currently, the visibility that we have up to FY30 amounts to this. So, I will just let Hari take over and just explain you how we are looking at this. Hari?

Hari Krishnan: Good morning. As Preetham explained, this is just a methodology on what we did so far. But it was very important for us to capture the ADS business differently, since we have clear visibility of the life of the program. So, what it really means is, rather than telling you what is the value of the business which we have booked and not started production as yet versus now telling you that as on date if I were to take all the available orders in hand and estimate the lifetime value of all the programs confirmed with a clear cutoff period of four years, it is almost Rs.4,000 crores.

Mukesh Saraf: Right, right. So, sorry to harp on this a bit more. In the order book, the peak annual revenue potential we have is around Rs.500 crores, but say in the next four or five years, if we are going to have a cumulative revenue of Rs.4,000 crores, then obviously, we are going to cross that Rs.500 crores peak number.

Hari Krishnan: Absolutely. Your understanding is perfectly right.

B.R. Preetham: Now, Mukesh, just to add to what, so the Rs.500 crores program does not include the programs which we have already started production, which we are already executing and which is on various stages of maturity. So, if I have to cumulate all these existing programs, which are going to run up to FY30, and then add the peak annual, so this is how it actually gets cumulated.

Hari Krishnan: You are right, Mukesh,

in probably coming to a conclusion that the peak value of the ADS business in the next four years will be something close to 500 to 600 plus what we are probably doing currently.

Mukesh Saraf: Yes, yes, got it. Understood. And a little more color on this, I mean, are you able to give us some breakup of ADS here of this Rs.4,000 crores, I mean, just a broad color, sit largely aerospace?

Hari Krishnan: I would not want to dig into that, please understand that there is a sensitivity around semicon because currently we are working with one major customer, so which would mean that we would divulge a lot of their information. So, we would like to avoid that. But just to add to this that, see, our current facility, as we have also previously mentioned in our various calls, that can cater up to about Rs.600 to 650 crores of existing mix of the components. So, we are looking at that kind of revenue for the next year and that is the reason why yesterday the board has given us an approval for starting the new hangar, which we would be starting and our basic idea is to finish this by middle of next year, say around June to July, so that we are ready to take on further business. So, this would be about close to about 70,000 square foot of addition, which means that almost two-third of the existing facility that would get added further.

B.R. Preetham: We believe that with the new facility, which will be ready by June, July, Mukesh, we should be good to meet our projections for the next four years.

Mukesh Saraf: Got it. Understood. And secondly, on the US, I mean, I think last time you said that you are very close to doing due diligence on a land, but then you kind of put on hold with the tariffs. Any update there on, any clarity you have on, what the customers are telling you to require you to do an investment right away there?

Hari Krishnan: Well, I think the situation remains the same as on today, except that there has been continuous discussions on the subject almost on a weekly basis. And with the most recent promising inputs, what we are getting that the tariffs are going to be significantly lowered any time now, as what we read in the papers, I think we believe that will be a very big trigger point to see for the momentum on that front.

B.R. Preetham: But Mukesh, adding to what Hari said, that while all the decision-making has been kept on hold, there is a lot of analytics that are being carried out as to various tariff scenarios. But what is more important, because people have now understood that the base tariff of between say 10% to 20%, we could say that it would be anywhere between 10% and 20%. That is taken as a base case for calculating. But more importantly, the focus is on regional content. So, the value addition that is going to be done. So, that is the primary importance, and they expect that this to further go up to close to 75%, 80% in the years to come. So, that is why for all the future programs, so the content value addition is what is being discussed. So, I think that is the primary focus of all the OEMs now.

Mukesh Saraf: Got it, got it. Thanks a lot for this. I will get back in the queue. Okay, thank you.

Moderator: The next question is from the line of Siddharth Bera from Nomura. Please go ahead.

Siddharth Bera: Hi, sir. Thanks for the opportunity and congrats on a good set of numbers. Sir, first question is on the export PV segment where I see that it is still under a bit of stress compared to other segments. So, can you throw some outlook here on the Europe side, what is happening, is there any scope to gain more business, given that we are hearing a lot of stress in the local players there? And when should we expect some of these things to sort of normalize and pick up for us going ahead?

B.R. Preetham: Yes, actually, this has been both on ICE as well as on EV, passenger vehicle has been the most stressed segmen

t for us. In fact, what I want to tell you is on a year-on-year basis, on a passenger car, we have de-grown by 22%, but in H1 it is 25.8%. This is both in terms of XEV customers as well as the ICE OEM. But, predominantly this was in the ICE customers. There were a couple of large programs which got delayed in terms of introduction of the models. But that we see that is primarily now started, we are seeing the increased off-take projections for the remaining portion of the current financial year. So, that should definitely help. The second portion of your question was, how do we see Europe? Europe also was weaker. We do not see too much of a change in European numbers for

the coming financial year. Of course, this was also coupled with holiday in Europe. So, H2 should be better than H1 definitely. But then what we see is a lot of OEMs have now started talking about outsourcing of these, we have some large enquiries that we are discussing even in Europe for our existing range of components. So, I guess that with all the tariff and the content issues, and then primarily the resource constraints on the manufacturing front, especially on the human manpower availability, there is a lot of potential outsourcing plans that are being made. And we are definitely in discussion with a few of our large customers for some very good RFQs.

Siddharth Bera: Good to hear that, sir. Second question is on this profitability side. Now, I understand ADS profitability should be a lot better compared to the company average margin. So, where do you see the overall margin settling at now with the very strong growth in the ADS segment like you have guided? So, in the next few years, maybe, if not immediately in the near-term, if you can throw some color about where should we sort of see this settling at?

B.R. Preetham: Yes, I mean, basically, see, unfortunately for us, while we have done well on ADS segment, as I said that on exports front on ICE has come down, which is also a very high margin potential business for us. So, the gain in one has largely got off-stetted by the loss in the other segment. But just to give you some color that while our run rate in ADS has been almost now for the next five months should be close to about Rs.38 to 40 crores per month. So, this would mean that there would be an improved utilization of our resources, and this would also result in margin which has been actually very close to between I would say… I would not like to put up a number, but then it would be anywhere between 25% and 30% for the ADS business. So, we are closer to the higher end of that band. This is what I think we should take.

Siddharth Bera: Got it, sir. Thanks a lot. I will come back in the queue.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited. Please go ahead.

Bharat Sheth: Hi, good morning, sir, and thanks for the opportunity. My question is related to ADS division. When we are talking of this kind of Rs.4,000 crores of cumulative lifestyle order, so does that include MMRFIC order also or is again separate? And when we are now investing and increasing our stake in MMRFIC, so can you give some more color on our roadmap for next three years?

B.R. Preetham: No, the ADS business of Sansera does not include anything on MMRFIC. We do not give any guidance on MMRFIC as of now, because we do not hold majority in MMRFIC as of now. Currently, I think our holding is about 31%. And as we had communicated in the earlier communications also that Sansera seems to have a right to go up to 51%, and in yesterday's board meeting has approved a further investment of Rs.30 crores, which would be deployed before the end of this financial year. This as per our thing should be able to take us beyond 50%. Now, I do not have any specific projections to give in terms of MMRFIC currently. So, there are a lot of positive

programs, which

are quite sensitive in nature in terms of the disclosures that I can give, which the company is working, both in defense and in space programs, and these are very exciting. That is the reason that the board is also very upbeat and have approved the investment.

Bharat Sheth: Okay, great, sir. And second thing on this PV side on the export business, what you are talking, is it largely for a connecting road or also a component that we want to do? And secondly, what I understand is since lot of people have exited from the connecting road business globally, so how do we see our stake in, I mean, contribution increasing and what kind of a business that are we looking for from this connecting road?

B.R. Preetham: I mean, if you are asking us what is our interest in manufacturing facility in US, it would be only to begin with for connecting roads, especially machining, we are not looking at any forging facility as of now. So, we will be doing some forging and green machining in India and looking at finished machining assembly and inspection in the US. But to just to get you that, see a lot of the current existing programs, majority of them have still been catered by the OEMs themselves, and they are all looking at all the newer programs, now with renewed interest in ICE/hybrid, because even in hybrid, our components are common, renewed interest and focus from all the OEMs, there are a lot of upgrades for the existing programs and also the newer platforms that are being designed, we are already part of such programs. So, for those, we have a good chance for being active source, whether a majority source or a significant source that depends on our presence, which is going to be critical for them. So, that is the reason that we are looking at a facility in US. We already have a facility in Sweden. So, any such initiative by the European Union, we can cover it from our Swedish facility.

Bharat Sheth: Okay. Thank you and all the best, sir.

Moderator: The next question is from the line of Nikhil Rao from Ithought PMS. Please go ahead.

Nikhil Rao: Hi, good morning to the management. Congrats on a great set of numbers. So, my question is on the EV passenger vehicles for the domestic market. So, what exactly is your current wallet share with all the major OEMs in that space like do you have like Mahindra, MG, Hyundai, and Kia as your customers? And if not, what exactly is the strategy to win these accounts?

B.R. Preetham: No, if you are talking about the passenger vehicle EV segment, we are only with Toyota and Maruti. We are not yet on the newer platforms of either Mahindra or Hyundai or Kia. While there has been a lot of interest from both the sides, we are actually trying to get into a very focused product line, which you will hear from us in a few months to come, because we are working on some of the very interesting products which currently we are not into. So, just to give you a straight answer, our presence in the passenger vehicle EV segment domestically has been very limited and limited to Toyota and Maruti.

Nikhil Rao: Okay. And coming to EV scooters now, so are you the first choice supplier for all the biggest OEMs like Bajaj, TVS, Ather? And are there any plans to include Ola as well in your portfolio?

B.R. Preetham: We are currently supplying to all the names that you said, Ather, TVS, Bajaj. We are open to any other OEMs whom they would like to work with us, we are very welcome. I mean, it depends on the product, it also depends on the cost. So, we have a structure with which we work. So, we are focused on technology-agnostic components like aluminum forged and machine components, also on very high precision components like rotor shafts and stator shafts and all those things. But these are definitely high precision components, high performance components. So, our fo

cus has been there and we would definitely want to expand to any other customer who would like us to work with. So, we keep approaching the customers and we keep looking forward for adding further customers.

Nikhil Rao: Okay, okay. And now coming to the ADS segment, so, I just wanted to understand what the competitive landscape looks like in defense and semiconductors and what is your right-to-win in this segment?

B.R. Preetham: We have three segments here - aerospace, defense and semicon. Now, over the last one and a half decades, the aerospace component manufacturing industry has been now, probably I would say that has now matured to absorb all the complex parts that we have. Today, the peer group that we have along with Sansera, we have capability to handle almost every component in the machining segment, whether it is on aluminum, titanium, steel or any other thing. Just to give you an example, Sansera, when we started in 2010, our journey to 2025 has been that we have now matured to handle components up to four meters, five axis, including now we are setting up a very dedicated special process component, which means that the landscape of the components that we can address in an aerospace, including the engine and landing gear components, structural components, everything is more or less complete. So, India used to get a , low value, people who did not wanted to take up these components in the other countries we used to get, but that situation has changed now. We compete globally and win globally against all the global peers on the most complex packages that we have got. In fact, yesterday, we were awarded a 7.7 million annual package from one of our OEMs and these are very complex parts. So, on aerospace business, India stands a very, very good chance with the renewed focus from both the OEM majors onto Indian supply chain. This also needs to be one more factor that you need to also consider is that, there is a huge shortage of skilled manpower, both white and blue collared for the aerospace manufacturing industry, both in US and Europe, and this is actually driving a lot of business towards India. So, I think if Indian companies like ours stay focused on the quality and cost aspect, I think the business would definitely be doubling, at least if not every year, every once in two years. On semicon, this is a new segment that we have got into. I cannot really talk much about the landscape that is currently there. There is very good potential because the kind of components that have been now being manufactured by our company to the segment is definitely on the top of the pyramid. And this is just that I think what we have now seen is only a tip of the iceberg. We have a lot of exploration that to be done. And I think as now the industry also understands that the Indian ecosystem can cater to such kind of components and this thing, so the

depth of the industry can definitely be penetrated. So, on defense, we are in a very initial phases, we are working with both the Indian companies, both private and government and also their principals. So, while our focus has been to get into the defense, we are just not taking anything and everything that comes to our way. We are quite selective in what we do and we only want to handle components which actually justifies our investment. So, both on aerospace and semicon, we see a lot of growth coming in, but on defense, we are cautiously optimistic.

Nikhil Rao: Okay, okay. Thanks for such a detailed answer. So, just one clarification. So, in aerospace and defense, you are now as a Tier-2 supplier and in semicon, it is more of a Tier-1 supplier, right?

Hari Krishnan: No, just to clarify, in aerospace, we are Tier-1 and Tier-2 suppliers. We are Tier-1 suppliers to aircraft manufacturers like Boeing and Airbus. We are also parallelly Tier-2 suppliers to people who supply to these two companies wha

t I mentioned. And in the semicon, we are Tier-1 suppliers to people who make the equipment for the semiconductor application. So, I would say in semicon, we are Tier-1, in aerospace, we are Tier-1 and Tier-2.

Nikhil Rao: Okay, okay. Thank you very much. That is all from my side. Wish you all the best.

Moderator: The next question is from the line of Anirudh Shetty from Solidarity Investment Managers. Please go ahead.

Anirudh Shetty: Hi, thank you very much for this opportunity. Just a couple of questions on the ADS segment. Unlike auto wherein there is a bit of variation in the offtake of the order, just depending on how customers demand. The ADS is more, visibility that we have on growth is just a more higher probability outcome happening. And if you could just take us through under what situations could you actually be surprised in terms of how things play out, what could possibly cause that?

Hari Krishnan: Yes, I think absolutely right when you said that there is a much higher degree of certainty as far as volumes happening in the aerospace industry. Just given the fact that there are very few players and there is a huge global demand. So, if you want to ask what exactly can upset the apple cart or what can go wrong, nobody wishes that anything goes wrong, but an incident like what happened with Boeing four years ago, right, that really set us back quite a bit, and now, at least we are happy to note that we are almost back on track as far as Boeing is concerned, and Boeing themselves, I think, are now nearing peak production of what they were achieving before the entire incident. Barring such very unforeseen things, right, when we maintain a very high degree of outcome as far as probability is concerned in the aerospace business, again which is exactly what you said.

B.R. Preetham: Just to add to what Hari said, see, one more aspect of this thing is, see, when we work on aerospace and semicon, we work with longer lead time on both on raw material procurement as well as on the inventory cycles. Here, while the development cycle also is very, very critical… see, unlike in aerospace, which we developed per order one component or maybe two components, here, when we

get an order, it will be multiple of, it could be about 100 to 200 components per batch. And what happens is, if we are able to deliver the FAI samples on time, we generally tend to miss the cycle, because they have to order on the incumbent supplier, and if we are not able to get into that cycle, then we miss a complete either six months or one year, so, which could mean that to that extent for that program, delay of about six months of mass production execution. So, these are some of the potential risks that you should be keeping in mind, because as we grow much faster, there are all chances that we handle multiple components with multiple customers and with a limited number of missions that are there for catering to FAIs, which we are constantly increasing. This is one of the risks that is always there in the business that if we miss a particular program, we would miss about six months to one year depending on their cycle of ordering.

Anirudh Shetty: Got it. Got it. I just want to clarify the order book. I know you guys spoke about it in depth, I am a bit confused that Rs.3,950 crores still have over five years, is that a cumulative number or is that annual? I am a bit confused there.

B.R. Preetham: No, no, it is a cumulative number over the next five years. Currently, whatever visibility that we have, which are on the confirmed programs, which are either get already under manufacturing or under development, if I add the exact visibility, up to FY30, our overall cumulative execution would be as of now stands at close to Rs.4,000 crores.

Anirudh Shetty: Got it. And just one final question. In the semiconductor space, I think we are working with one customer at pres

ent, but are you in aerospace receiving a lot of interest, are you also getting early inquiries in terms of other semiconductor customers could eventually work with us, that kind of stuff?
Hari Krishnan: While we are right now currently working with one customer, we are seeing active dialogues and enquiries from other people also.
B.R. Preetham: The second thing is, with this existing customer itself, the potential is quite huge. I think we have just got about 25%-30% of the overall potential that both the parties, them and us, want to execute. So, there is a lot of headroom left with the existing customer and the ecosystem also. As Hari said, there is already interest shown by the other OEMs. We ourselves have been very cautious because this has been a new experience for us. The requirements are quite unique in terms of the machining capabilities, the cleanliness capabilities, we have set up a state-of-the-art class 1,000 clean room for this. So, we have also been cautiously taking further strikes in this segment.
Anirudh Shetty: Noted, sir. Thank you very much for answering the questions.
Moderator: The next question is from the line of Khush Nahar from Electrum PMS. Please go ahead.
Khush Nahar: Congratulation on a good set of numbers, sir. Thank you for the opportunity. My first question was on the overall demand situation, how are we looking at it? So, since there is a possibility that there

will be some resolution on the tariff situation, what are our customers saying in terms of the recovery in volume that we expect, because considering today's order book that we disclosed at Rs.21.5 billion, if executed over three years, so are we still intact on that Rs.5,000 crores revenue in FY28 or are we seeing any postponements in that? Secondly, you mentioned about an outsourcing opportunity that is there in Europe. So, could you give us a ballpark number in terms of the OEM was producing say, 50-50 and now that 50% for us can increase to 70%, just to get a sense on the kind of opportunity we are looking at? And lastly, I think in the ADS segment, we mentioned that our peak revenues can be around Rs.600 crores in the current capacity. In the presentation, you have mentioned that FY27, we target to achieve Rs.550 crores. So, what is the CAPEX plan for that segment?
B.R. Preetham: Okay. First is that your question on the full year revenue how are we looking and what are the things? Our expectation is that the H2 is going to be much, much, much stronger than the H1. While in the beginning of the year, we had spoken about a growth rate of about mid-teens to high teens. This is what was the initial, prior to all the tariff was increased to 50%, this was our initial estimates. But then, , the post tariff, the things changed. And at the end of the half year, we are only at about 6%, 6.5%. But currently, our visibility shows that on a full year basis, we should be able to enter at least the teens. So, in my opinion, that would indicate that the H2 would be quite strong. We had a good October, we are looking at good November, and a decent December, which means that the momentum that we have seen in the Q2 would continue into Q3 and Q4, which would result into at least company achieving, if not the full teens, so very close to the teens that we are targeting. This will definitely be aided by the ADS and the Swedish facility, which are doing well, and I also hope that the auto ICE exports would start performing much better. So, these three. Now, coming to the next question, where you have asked about also the opportunity from the European OEMs. These are very initial engagements that we have been having with the customers. There have been multiple RFQs that have been floated and we are working with. So, I have no comments on the size of the opportunity and the thing. Just to give you an indication that Sansera currently, probably if you reall

y
look at the connecting road universe, overall ex-China, we should be close to about 5% to 6% of the worldwide catering market, and almost close to 45% to 50% is catered by the OEMs across the world. So, there is a huge amount of potential that one can actually tap into. So, that is what we are working on. We are quite focused. We are also working on back-end, creating adequate capacities in forging and other-related supporting infrastructure. So, we are quite optimistic on that front. The last question was on the ADS investment plan. So, ADS, as we have said that this current capacity is about Rs.600 crores. And for that, by the end of this year, we would have invested fully to execute that Rs.600 crores capacity. Now, you should also understand that the capacity expansion happens quite front-loaded, which means that today what we are investing is also partially for the next year, but then what we invest next year would be definitely for FY27 onwards. So, for Rs.600 crores, the company has already fully invested or committed the investments. So, we are fine with both the equipment as well as the space for executing this Rs.550 crores order for the next year.
Khush Nahar: Thank you for the answer. Just one last follow-up. Just to clarify, you said 45% to 50% of the connecting rod is still made by the OEMs themselves in-house.

B.R. Preetham: Yes, worldwide. That is the approximate data that we have.
Khush Nahar: Sir, lastly, on the U.S. opportunity, I think I missed the clarification. Any timelines on putting up a machining facility or how are we looking at it for our customer?
B.R. Preetham: We are just waiting for these tariff issues to be cleared because we have identified potential sites. We have had initial discussions with both the local government in terms of all the incentives and the programs that they have. We have also had several discussions with the OEMs. Now, everything is

on a standby till the final decision on the tariff happens, because that is what is finally going to determine the competitiveness of the partial production from India and partial production from the U.S. So, everything is kept ready.
Hari Krishnan: As we said, this quarter, we expect as a company to see some momentum on that front, which was pretty quiet last quarter. If something happens, we are very confident that we are ready to move fast and capitalize on the opportunity and there is definitely a huge opportunity by going there and manufacturing.
B.R. Preetham: So, our commitment to the customers has been that the day that we sign up a contract with them, between 12 and 15 months, the first line would be ready for mass production in the U.S.
Khush Nahar: Right, sir. Are there any of the new customers that you are adding on the semicon side or in discussions?
B.R. Preetham: There are several customers with whom we are in discussion. Generally, we do not disclose the customer name as it breaches the confidentiality otherwise. So, there is a lot of discussion, a lot of interest, especially after our current development with one of the customers. So, we look forward to adding a lot more in that segment.
Khush Nahar: Thank you so much and all the best.
B.R. Preetham: Thank you.
Moderator: The next question is from the line of Yash Agrawal from Nirmal Bang. Please go ahead.
Yash Agrawal: Good morning, sir. Thank you for the opportunity and first, congrats for the great set of results. I have one accounting-related question that in this quarter, I see staff expense is a bit elevated as compared to previous quarter as well as last year's quarter. Any specific reason?
Vikas Goel: See, when you look at last year, definitely we give annual increments to the people. So, that is one of the factors. And when you look at against last quarter, of course, we have some committed lines with the customers and then we have seen a recent increase in the

volume in certain of the lines including ADS, which is actually resulting in a higher employee cost.

B.R. Preetham: Now, basically, we are building the organization for the higher growth. So, there is an organizational restructuring that is happening. We are adding people both at the top and the middle management to definitely look at our future growth and also be prepared for the succession that has to happen. So, all these things have added up.
Vikas Goel: So, in absolute terms, you may see slightly higher number, but on a percentage basis, we are tracking well.
Yash Agrawal: Okay. And the second question is on two wheeler space. We are seeing that the motorcycle segment is doing good, but scooters is in decline in the last two, three quarters. So, overall, we see scooters are doing good and their penetration has been higher. So, why our segment is showing decline?
B.R. Preetham: Can you repeat the question?
Yash Agrawal: Scooter segment is seeing decline in overall two wheeler segment, while the motorcycles are doing good from the last two, three quarters. But if we will see scooters overall growth in the domestic segment has been better than motorcycles. So, why our segment is seeing a negative growth?
B.R. Preetham: Basically, we are with all the major OEMs, but the issue is the content per vehicle in a scooter is lesser compared to the content per vehicle in our motorcycles. That could be the reason. Otherwise, our growth with the OEMs, we are present in both the segments. Of course, scooters, one of the OEMs, the largest one being Hero, we are not with any of the Hero models in the scooters. So, that could probably mean that there is some offset in the growth rate. Otherwise, I do not see any big reason for that.
Yash Agrawal: Okay, sir. Thank you. That is from my side.
B.R. Preetham: Thank you.
Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.
Prolin Nandu: Hi, team. My question is on your core or traditional ICE business, right, while in many of the previous answers, we have alluded to this point, but if I think about these products like connecting rods, rocker arm and crankshafts, let us say in the next four to five years, in terms of either revenue growth or growth in order book, should we at least build a healthy single digit to double digit kind of a growth? What I wanted to understand was that while one of the drivers could be the in-house manufacturing, which can move to outsource manufacturers like us, what are the other drivers, right, because, is it like CV is an opportunity, is export also an opportunity? And how is the situation in-house versus outsource manufacturing in the domestic market, right? And what does lead to an OEM thinking about moving from in-house manufacturing to outsource manufacturing? So, the larger point that I

wanted to get clarity from that about traditional products, which go into ICE and that to into the engines, right, should we build at least a double-digit kind of a growth in revenue and order book

going ahead?
B.R. Preetham: Yes, if you really look at the order book, it still is a very healthy growth that you see from our traditional components. While we are very excited about the non-auto including areas, we are very focused on our core products. In fact, just to give you some more indication that company is exploring to add further into our component list. So, we are looking at adding capabilities of warm and cold forging into Sansera's product line. So, we are working on in those lines, so which would also open up a lot of newer components to us, specifically on steering and driveline series. So, while the traditional, our own stronghold components like connecting rod and crankshaft would continue, as we have seen, that the renewed focus from the OEMs bot

h in multi-fuel capable ICE engines or
hybrid engines or pure ICE, so all these are still going to have our components. So, we still look at anything up to at least FY2035 as a visibility that customers have already spoken about, then just to give you another perspective on why the customer would like to look at outsourcing from the current in-house manufacturing facility. As you are aware that the world is moving towards higher standards in terms of emission, in terms of the Euro VI, VII, Euro VIII is already being spoken about and work has started. So, as the technology moves up, the products also get changed and they require higher spec in terms of both weight controls, cleanliness, dimensional controls, everything. This would mean that their existing facilities needs to be changed because the programs would also mean that… and one is the technical requirements that goes into the product. Second thing is generally in the last few decades when OEMs would set up an in-house facility, the consideration was the longevity of the life of the engine, which used to last for 10-12 years and the number of variants also used to be very low. Currently, the trend is that the upgrades of the engine happen much faster, five to seven years is what you should look at, and then also the variants also will be quite more. So, these are the few of the factors which would play in the favor of OEM deciding to outsource rather than to keep it in-house. So, I think these are the factors that one needs to look at.
Prolin Nandu: Thank you so much. That is very clear. And one last question would be on ADS, right? Now, on the margin part, you mentioned that you are already at the higher end of that 25%-30% kind of band, but as we think about your peak revenue run rate of let us say Rs.500-600 crores, is it right to assume that the margins in the ADS segment has still significant upside left beyond the higher end of 30%?
B.R. Preetham: No, no, no.
Hari Krishnan: We will get to the higher end of the band.
B.R. Preetham: Yes, yes. Basically, you should also understand that as the industry matures, there would also be cost pressures and people would also, the thing and our requirement on resources also would go up. So, as a company, we are very happy with the current band of margins that we are working with, which is what I said 25-30%, slightly probably above that, and we would like to have that on the higher end

of that band. So, that is what we would like to keep it as of now. Of course, if there is a change in product portfolio and the thing, we will keep updating that on time-to-time basis.
Prolin Nandu: That is it from my side, gentlemen. Thank you so much and all the very best.
B.R. Preetham: Thank you.
Moderator: Ladies and gentlemen, due to time constraints, this was the last question for today. I now hand the conference over to the management for the closing comments.
B.R. Preetham: So, thank you very much to all of you for your attention and interest in Sansera. So, as we communicated, we look forward for a much stronger H2 and look forward for meeting all of you at our fully operational ADS facility. And our investment advisors, SGA, are available for any further clarifications or queries that you may have. Thank you, again for all your attention.
Moderator: Thank you, sir. On behalf of Sansera Engineering Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

February 17, 2026

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Transcript of Earning group conference call

Please find attached transcript of Earning call held on February 10, 2026 on Unaudited Financial Results of the Company for the period Q3 & 9MFY26 .

The above transcript will also be made available on the website of our Company at www.sansera.in .

We request you to take the same on your record s.

Thanking you.
for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer

Encls: a/a

"Sansera Engineering Limited
Q3 FY '26 Earnings Conference Call"
February 10, 2026

"E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on February 10, 2026, will prevail."

MANAGEMENT : MR. B.R. PREETHAM – EXECUTIVE DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – SANSERA
ENGINEERING LIMITED
M R. VIKAS GOEL – CHIEF FINANCIAL OFFICER –
SANSERA ENGINEERING LIMITED
M R. RAHUL KALE – CHIEF OPERATING OFFICER --
SANSERA ENGINEERING LIMITED

M R. HARI KRISHNAN – CHIEF EXECUTIVE OFFICER,
ADS DIVISION – SANSERA ENGINEERING LIMITED
M R. PRAVEEN CHAUHAN – HEAD CORPORATE
STRATEGY – SANSERA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Sansera Engineering Limited Q3 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
This conference may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.
I would now like to hand the conference over to Mr. B.R. Preetham, the Executive Director and Group CEO. Thank you, and over to you, sir.
B. R. Preetham: Thank you. Good morning, and welcome, everyone. Sorry for making you to join so early in the day. Thanks for joining this call. On this call, I'm joined by our CFO, Vikas; our CEO, ADS division, Hari Krishnan; Head of Corporate Strategy, Mr. Praveen Chauhan; our COO, Rahul Kale; and our Investor Relations Advisors, SGA. The results and the presentations were uploaded on the stock exchange and the company website. I hope everybody has had a chance to look at them.
I'm delighted to connect with you all from our newly inaugurated Pantnagar facility, a state-of-the-art plant dedicated to serving domestic 2-wheeler OEMs. We will be primarily producing crankshaft assemblies in this plant, which would help in increasing our content per vehicle for the ICE segment, which is having a very good current demand in this segment.
In the quarter gone by, Sansera reported its highest ever quarterly figures for sales of INR9,077 million as well as EBITDA of INR1,639 million. PAT after exceptional item of INR162 million pertaining to the revised Labour Code law stood at INR694 million. The performance reflects an improvement in EBITDA margins at 18.1%, whereas PAT margin remained healthy at 7.6%.
To highlight this momentum, let me outline a few revenue cuts that were achieved -- that we achieved our best-ever quarterly performance milestones during this quarter. Geographically, revenues from Europe grew by 27% year-on-year, while the sales from our other foreign countries more than doubled on a small base, together driving our best-ever international sales for Sansera.
Segment-wise, ADS revenue stood more than 4x on a year-on-year basis and more than 2x on a quarter-on-quarter basis. This is in line with our expectations and guidance and sets a new benchmark for us in the non-automotive performance. Following the interim U.S.-India trade deal and EU FTA, we expect a positive impact on both current exports and new opportunities.
From a domestic market perspective, the post-GST momentum in the auto segment remains strong, driven by new model launches. This is reflected in the solid auto sales figures for the month of January as well reported by the OEMs. Production schedules for us for the coming months indicate sustained robust trends.

Further, we see long-term benefits in Semi-con space with government's upcoming launch of India Semiconductor Mission 2.0, which is aimed at supporting equipment and material manufacturing, develop full-stack Indian IP and strengthening supply chains. And we are strongly present in the equipment space in this segment.
Zooming our performance for the quarter. Seasonally, this is a weak quarter for the auto segment due to annual maintenance-related shutdown and model change -- yearly model change. However, on a YoY Basis, we saw a strong growth of 13% in the auto ICE space, led by PVs, HCVs and motorcycle components

. At the same time, Auto Tech-agnostic and xEV recorded about 26% year-on-year growth.
For the non-auto business, revenues more than doubled during this quarter. As of December 2025, our peak annual revenues for new business stood at INR24.1 billion. If we look at the cumulative unexecuted lifetime order book of backlog till FY '30, specifically for the ADS

business, it stood at INR38.7 billion.
As we look forward from here, our pipeline remains robust and the outlook along with the market backdrop and the client sentiment continues to be upbeat. Based on our current order execution and customer schedules, we remain confident that we will close the year with teens to mid-teens top line growth while comfortably maintaining our current margin profile.
With our 9-month ADS revenue crossing INR2,150 million, we are on track with respect to ADS -- our ADS target for the FY '26. Lastly, as we mentioned in our previous earnings calls that we are also exploring new geographies in East of Asia, especially Japan to engage with a new set of customers, primarily in the auto space. Towards this, we have recently signed a joint venture agreement with Nichidai Corporation of Japan. Our JV partner's expertise in manufacturing of tools, dies and precision components in cold and warm forged categories. And these are manufactured across operations in Japan and Thailand.
With the range of tech-agnostic components under this JV, we will be -- we are well aligned with our diversification strategy. Sansera will be investing INR500 million towards this JV for a stake of 60% over a couple of years. With this, I would like to hand over the call to our CFO, Mr. Vikas Goel.
Vikas Goel: Thank you, Preetham. Good morning, everyone. Let me take you through our consolidated financial performance for the third quarter of FY '26. Our revenue from operations increased by 25% on a year-on-year basis and stood at INR9,077 million, marking it the highest ever revenue by the company.
Due to a positive product shift, we have witnessed margin expansion during this quarter, leading to a 60 basis points increase in the operating margins. This is after making a provision for the development cost, which is a onetime expense of about INR100 million during this quarter.
EBITDA for the quarter stood at INR1,639 million with a margin of 18.1% as against 17.5% in Q3 FY '25.
Our employee expenses were INR1,213 million and other expenses amounted to INR798 million, recording a year-on-year growth of 9% and 18%, respectively, which reflects a healthy

operating leverage on this new scale. Finance costs for the quarter stood at INR79 million, which is significantly lower, owing to the reduction of debt that we have done over the last 1 year.
We recorded a onetime impact of revised Labour Code as an exceptional item amounting to INR162 million for the quarter. Profit After Tax stood at INR694 million with an increase of 24.2% on a year-on-year basis at a margin of 7.6%. This is after a onetime exceptional cost pertaining to revised Labour Code amounting to INR162 million. Excluding this, our PAT number stood at INR857 million with a year-on-year growth of 53%.
Coming to the 9-month performance, we reported revenue from operations of INR24,992 million, a year-on-year increase of 12% from INR22,351 million. EBITDA for the period stood at INR4,391 million, reflecting a year-on-year growth of 13%, with a marginal improvement in margins compared to last year. Profit After Tax for the period was INR2,038 million, registering a strong 29% year-on-year increase with margin expanding from 7.1% in last year to 8.2% in the third quarter of this year (wrongly said, the number is for 9MFY26).
With this, we conclude our opening remarks and open the floor for questions and comments. Thank you.
Moderator: Thank you. Our first question comes from the line of Mukesh Saraf f

rom Avendus Spark. Please go ahead.
Mukesh Saraf: Congrats on a good set of numbers, especially the ADS division. My first question is on this new plant in Pantnagar. Could you kind of give some more sense around this, especially you're talking about the content per vehicle increase. So we know that you're quite strong in terms of wallet share on the connecting rod and the other parts. But is this -- or could you give some sense on how we are on wallet shares on crankshafts and crankshaft assemblies and hence, how this new plant can kind of help us probably increase content? Or is it, say, a new customer? Some more sense around this will help?
B. R. Preetham: Yes. Thanks, Mukesh. Yes. See, we already have quite a big plant in Pantnagar, which caters to primarily to the 2-wheeler sector where we have both machining and forging components. But as you are aware that Bangalore, our Karnataka plants are almost full, except that now we have bought a new place in Bidadi, it will take some time for us to develop. And all the growth now needs to be focused on this.
So with that intent, we have bought this second plant in Pantnagar, which we bought it about a year back. So we had to do up the plant to bring it up to our required standards, which we have done over the last 8, 9 months. Now we have put up -- to begin with, there are 2 manufacturing sheds here, approximately about 2 lakh square feet.

One of them, we have started activating it, and then we have put up a couple of crankshaft lines. And here, the intent is that we are now going to build this with significantly high amount of automation with IoT and all the data capturing and analytics and all these things. So the first 2 lines have been put. And also, this would be predominantly operated by women employees. As we speak today, we are about close to 60% of the employees who have been employed here are women. But over the time, we want to take it to 100%.

This plant primarily is for focusing on our domestic 2-wheeler segment. So we will consolidate our operations here. So having said that, there is a lot of opportunity now we see where companies are looking at more and more outsourcing. There are quite a few of leading 2-wheeler OEMs who still manufacture crankshaft assemblies in-house. So I would say more than -- still more than 60% of Indian automotive 2-wheeler industry still manufactures these crankshaft assemblies in-house.
There is an interest shown by all of them to gradually outsource these components. So we also stand a good chance to participate in this drive. So keeping all this in view, so we have put up this place, and we expect that over the next couple of years, we should be fully utilizing this space.
Mukesh Saraf: Okay. Great. Great. That makes sense. Any number that you have in mind, sir, what kind of revenues, say, once the second shed also is operational, this plant can generate over, say, next 3 years or so?
B. R. Preetham: No, I think, see, potentially, the kind of square foot that we have put, if it is fully occupied, this can actually generate close to about INR500 crores per annum. I mean that depends again on what kind of product mix we are going to put and what kind of the thing, but that is what is the intent.
Mukesh Saraf: Understood. And second question is on the tech-agnostic and the xEV order book. It's around that INR430 crores mark. Notice that this number has been around the same, say, over the last 3, 4 years in terms of the outstanding order book there. While I know that this is going to get executed over the next 3 years, I mean, the order book staying the same probably will result in the growth tapering off, say, second year, third year from now. So how are we looking at this order book? Is it largely export driven and hence, now these trade deals can help in shoring up that order book there? Some color there will help.

B. R. Preetham: Yes. See, there are two, this thing. Tech-agnostic mainly pertains to the aluminum forging kind of components that we had taken. And we have taken a pause in taking the newer orders because we've also establishing our technology there, and then we have also stabilizing what we had taken. We had taken a lot of components in the beginning of the year. So that is why you see that specifically, it is an intended pause that we have taken on the segment.
I hope by towards the end of this financial year, our learnings would have got stabilized and we would really look at go -- approach our customers with all the learnings that we have had and start looking at more opportunities, both in passenger vehicle and 2-wheeler space. So you are right, when you have seen that last 1- 1.5 years, we have not added too much of -- this was not -- this is not that there is no interest. There is a very clear decision that we had taken, which I had also communicated in my previous calls.
As far as the xEV components are concerned, definitely, there is a large scope going forward, both in hybrid space, we are working with multiple -- with our leading OEM, Japanese OEM who are the world leaders in this technology. We are there on Gen 4, Gen 4.5, Gen 5 programs.

We are also looking at building the similar capabilities with another Japanese OEM and also leading North American OEMs.
So I see that over next couple of quarters or over next 1 year, there's a lot of order buildup can happen in this category. Apart from that, we are also looking at through our JV, we will now focus on more of driveline and steering kind of components on to -- which also is common between -- which can be common between ICE and EV segment.
So I see a lot of -- at least in passenger vehicle kind of components, a lot of potential to expand in xEV. Of course, 2-wheelers depends on -- we are already there with all the major players, and then it also depends on how well the market expands in the xEV segment.
Moderator: The next question comes from the line of Arjun Khanna from Kotak Mutual Fund.
Arjun Khanna: Congratulations to the entire team for a great set of numbers. Sir, my first question is on the

expansion of capex. We were planning a plant maybe in the U.S. based on post-tariff negotiations. Given that there is some clarity at this point in time, could you call out what kind of capex we envisage for a U.S. unit?

B. R. Preetham: Arjun, so thanks again. Yes, I mean, Arjun, this -- I think while the news has come and it's very positive, we expect that there will be momentum and traction that will build up in the decision-making process because while there were a lot of discussions that was happening, the decision-making was not happening.

So we expect that now while there are still -- because we really don't know yet whether our component falls under 0% or under 18%. I mean 0% would really be a huge potential. Of course, 18% is also not bad. So I expect that towards the end of this month or maybe middle of this next month, we may plan a visit to conclude what we are discussing with our customers and come up with it.

The numbers are quite huge in terms of what is the potential. But I really can't put a figure because I really don't know whether it will be 3 million or 8 million or 10 million connecting rod. So depending upon what numbers comes out only, I can -- we can really put the figures. But with the reduced tariff, I would -- only constraint now would be the RVCs. So we need to only look at that as to how the value -- the Residual Value Content. So that only would be the driving force in decision-making for them.

So that we'll have to work it out around what final tariff will come and then see whether we qualify to the current 65% norms that are there. And then later on, be also ready that if it has to go up to 70% or 75% in coming years

. So with that in mind, we will distribute our value addition once the order gets finalized.

Arjun Khanna: Sure. Sir, just a continuation. In the second quarter call, we had said that the tariffs were causing some pressure on sales offtake, especially in U.S. and European markets and also impacting margins in some cases. Given that we have had a successful third quarter, given that now at least the tariff rate seems to have come off. So should we expect a significantly stronger uplift in margins and exports to these regions in the latter half of fourth quarter or first quarter FY '27?

B. R. Preetham: Except for 1 or 2 customers, we have had a decent third quarter in exports as well. If you see, we have had better quarters this year. So that is already there. Of course, there is some capacity utilization. Still, we are not at our optimum capacity utilization. See, all these things only make sense beyond a certain capacity utilization.

While my product margins may be very good to exports, but if I'm not using capacities, at least up to 70%, those gets diluted. So I expect that going forward in the fourth quarter onwards, definitely, there should be a larger momentum leading to better offtake. And having said that, one of our most premium customers who are the leading North American-based EV manufacturer, we are down by 50% on last year's numbers and down by almost 60% on our own projections.

So I expect that once that also comes in place because we've also adding a lot of business from them, including in energy sector, and we are looking at participation even in the other upcoming sector. So that is the reason that we are also very optimistic on the coming quarters in terms of both sales and margins from exports on our components.

Arjun Khanna: Perfect. Sir, the second question is on the ADS. So obviously, I think we've been talking of INR300 crores, and we are on track of meeting or beating that guidance. So congratulations. We have also given a stiff target for FY '27. Given you've mentioned in the press release that the capex of maybe INR250 crores for further expansions post that, we should probably be fully utilized by FY '27. So when do we expect the new capacities to come in?

B. R. Preetham: Arjun, I'll take this and then pass it on to Hari. Hari will expand on that. Yes, we have had a -- so this year, we had kept ourselves a target of between INR275 crores and INR300 crores. And I hope that we should cross INR300 crores comfortably this year. And in this first building, we had also said that we can go up to between INR600 crores and INR650 crores of revenue annually, which is what we are looking at for the next year between INR550 crores to INR600 crores is what we look at.

And then for which the entire facility is the thing. But we have also started construction. Hari will take you through what we are looking at beyond INR600 crores and what is the status of both our new plant as well as...

Hari Krishnan: Good morning. This is Hari here. And the -- as we have been updating the community, the current capex, what we have already committed and already installed is adequate for us to reach our FY '27 numbers, which, as Preetham just said, is between INR500 crores, INR550 crores to INR600 crores is our expectation and guidance.

And the construction of the new facility adjacent to the current one is underway. Construction

is going on in full swing. We expect that to be ready by June, July of this year in another 5 to 6 months' time. And that is about 80,000 square foot of manufacturing space.
And for the FY '27 revenues, what we are targeting, see, we'll also have to look at this in conjunction with the lifetime order what we are holding currently, which is about INR3,800 crores till FY '30, so which means there is going to be a steep ramp in revenues going forward from FY '28 till '30. So we are getting rea

dy with the new facility. The equipment for that facility

based on current order wins is already on order. So the facility should start getting operational with a substantial footprint no later than August, September of this year.
Arjun Khanna: Sure. And in terms of new order wins, if you could just give some color in terms of each of these segments, have we had new clients and new order wins?
Hari Krishnan: Well, we've had new clients in the aerospace division. On the semiconductor division, while we have one very active client right now, a customer, discussions are, I would say, progressing well with other players in this space. And the conversion, in my opinion, will happen pretty soon.
B. R. Preetham: Arjun, having said that, this is the first year of execution for us in terms of semicon. So there has also been a lot of FAIs is converted to production and the requirements are pretty stiff. So we are taking -- we are just now establishing ourselves. We really did not go -- because the facility was also full, we could not actually take it and not satisfy the customer. I think towards the second half, we will focus more on marketing it properly and getting a few more clients into the...
Hari Krishnan: And I would say what we look at it internally, yes, it's always important to have new clients, but the existing customer is also looking at much, much bigger things from Sansera. So he is going to definitely keep us busy for the next 1 year, more the better. So if more discussions convert earlier, we are ready resources-wise to attend to them also.
B. R. Preetham: Yes. And also with this, the second phase also, we expect that in next 1, 1.5 years, we should be full with the second phase. So management actually have started -- we have started looking at additional space for aerospace in either Aeropark 1 or 2 or the new STTR, which has come for semiconductor where Foxconn and all the new facilities have come up in that region.
So we are looking at some more because long term, we would require some larger space for aerospace and defense, given the way the order buildup and the interest shown from both aerospace because the last year has been quite this thing dominated by semicon, but aerospace also, we see a lot stronger growth here.
Arjun Khanna: Sure. And the asset turn for this INR250 crores should be 1.5x to 2x?
B. R. Preetham: No. See, the first portion of our investment, which is like about INR350 crores, including our special process investment should give us about INR600 crores, INR650 crores, which is about 2x, okay But then going forward, the incremental investment in the second phase of this building should give us about 3x this thing. But then overall, if you see, it is better to take about 2x.
Moderator: The next question comes from the line of Siddhartha Bera from Nomura Holdings.
Siddhartha Bera: Congrats on a great set of numbers. Sir, first question is on this Europe and U.S. deals. You talked about good traction in the exports and potentially new opportunities as well. So can you just elaborate a bit on where do we see some of these areas given that exports currently, which I believe is mostly led by your aerospace? And how do we look at other opportunities and segments like PV, which has got impacted in the past?

B. R. Preetham: Yes. I think, Siddhartha, thank you. So see, there were -- we have seen significant increase in terms of the discussions, the RFQs, the interest. Everything was there in the last 6 to 9 months.
There have been both from U.S. and from Europe, automotive customers have engaged with us in various platforms of their in looking at larger programs in terms of what we want to do on the connecting rod especially.
And we expect that with this trade deal out of the way now for both Europe and this thing, the decisio

n-making will start happening. So our expectation -- see, the biggest challenge for us when these things happen, it is -- it gets stacked up. I mean, a couple of big orders, which means that we are talking about 3 million to 4 million from each customers. And then that has to end-to-end, Sansera is a fully integrated facility. So we need to create end-to-end capacities.
So we have already started looking at long-term capex that needs to be done, which is mainly

on forging press. See, we are currently manufacturing close to about 110 million components every year. And this requires a lot of planning and capacity in terms of -- Rahul and his team have been now working on for the next 2 years and beyond, how do we have to add. So there's a lot of planning is going on in the forging capacity augmentation and the thing because that takes the longest lead time. I think that party has now just begun. So I think we have a lot of traction, and I think we are in a good space now.

Siddhartha Bera: Got it, sir. On this Nichidai JV, can you talk about the potential you see [inaudible]?

Hari Krishnan: Sorry. I'm sorry, you're breaking. Can you come again, please?

B. R. Preetham: Siddhartha, we couldn't hear you.

Siddhartha Bera: Just wanted to...

Moderator: Siddhartha, you're still not audible. Sorry to interrupt, Siddhartha. You're still not audible.

B. R. Preetham: We got the question. He probably meant that what is the potential of Nichidai and what kind of components. Hari will take that question.

Hari Krishnan: But I think I have heard it differently. Siddhartha, can you again -- sorry, can you repeat the question?

Siddhartha Bera: Yes, I can. Just one thing that about the Nichidai JV, how do we look about the potential in the next few years on the revenue side? And is the margin profile different, better than our current business?

Hari Krishnan: Okay. See, we have got into this joint venture mainly to get into 2 areas of forging where our presence has been practically not – non-existent, which is cold and warm forging. So cold and warm forging automatically mean high-precision parts, near net shape parts. So the applications are varied, totally different segments.

And in transmission, we're talking about differential driveline. So we also really, really expect, and we are very confident the margin profile of the products what we are targeting in the JV will be better, will be better than what we currently have as a margin profile.

Moderator: Our next question comes from the line of Kashyap Javeri from Emkay Investment Managers.

Kashyap Javeri: Congratulations for such a great set of numbers. My compliments also to Vikasji and his team. The presentation this time gives disclosures which are probably at par or better than some of the best in the industry. So congratulations on that to Vikasji also.

My question first is on the order flow. While in the earlier question, you mentioned about the semicon part. If you can throw some light on the passenger vehicle order flow also. I understand you give the numbers yearly, but if any orders have now gone into production from the order book? And what's the kind of order flow there?

Second question is on the ADS division. Now that forms 24% of our overall order book. And in past, we have seen that at times, it can be significantly volatile also. So what are we doing to sort of stabilize that volatility in that segment? Also a connected question there. Recently, we heard about A220 doors or door frames being supplied by one of the Tier 1 suppliers, and we were supposed to be part of that. Is that now already part of the revenue flow? Is that been part of the production schedule now?

B. R. Preetham: Yes. Just your question on volatility was in aerospace, is it?

Kashyap Javeri: Yes. ADS.

B. R. Preetham: Okay. So let me first come to our international order wins on passenger vehicl

es. We have been quite active. As I said that last -- except for the ICE manufacturers where there was a pause in decision-making, but a lot of large potential opportunities are available. You would see in the next couple of quarters, provided the entire clarity on the FTA comes through, you will see a lot of conversion of these opportunities into orders.

But of course, as we said that for all these things, there has to be backed up by a U.S. manufacturing facility. So that would come. Meanwhile, we have also been working with expanding our xEV plus non-automotive segments. So we have now got an entry into energy with this -- the largest EV producer of North America, they have also got energy segment they have got into, and we have got a very good first big order from them amounting to about INR70 crores per annum, which we will be executing it starting from next financial year itself.

We are also working on a few other segments of connected this thing could be on humanoids, could be on other autonomous cars and all that. So that is something that we have focused upon, which will also be part of both Sansera as well as our upcoming JV because some of these components would go into our JV segment. In terms of aerospace...

Kashyap Javeri: But in PV ICE, the order flow is still sort of modest, right? I mean is that...

B. R. Preetham: That is exactly what I said that. That is because see in terms of PV ICE, both in Europe and in U.S., there has been a lot of discussion and interest, but the decisions have not happened because of the tariff issue that was there. I expect that in the next couple of quarters, this would come through.

Kashyap Javeri: Understood. Yes. On the ADS?
B. R. Preetham: See, the volatility in the aerospace was mainly because of Boeing, one incident, a couple of incidents of Boeing that was not very -- because the regulator came heavily on them and there was a lot of inspection and checks before the dispatches. So they went now.
But they are now, I think, as we understand, they are almost normalized now, and there's a lot of demand and focus even on getting more and more supplies because -- not because of anything else, but because of availability of resources, especially trained manpower in India, where we also have challenges, but our challenges are probably much lesser compared to the other countries. So that we don't expect too much of volatility. In terms of -- what was the other question.
Hari Krishnan: The other one is on the...
Kashyap Javeri: On the A220.
Hari Krishnan: Yes. On the volatility, I want to add a couple of points. Even today, the 2 big aircraft manufacturers are booking orders more than what they're delivering. Their backlog is continuously increasing, and they expect this trend to continue for the next long, long time, I mean, for years to come. So barring something very untoward like something which is very catastrophic. God forbid, nothing happens like that. I think there is no much of volatility we see in this industry at all.
And the last question on the company in the news recently, which delivered the first ship set of doors for the A220 aircraft. We are very much present in that. We had a large number of parts going into that first ship set. And also happy to inform you that our production has been ramped up, and we are now aligning our production to meet the requirement of our customer.
Kashyap Javeri: Sure. Just to squeeze in one small question here on the JV. This size is about INR200 crores market cap and about INR600 crores, INR700 crores kind of revenue. In the future, can it be like a meaningful part of Sansera as well as their own journey, given their size is too small, probably just a tech which is probably useful to us.
Hari Krishnan: You just said it. It is the tech. It is not the size. In fact, they have a combination of high technology, which we lev

erage into a low-cost manufacturing country like India. And also important to note that for some very critical components, they also have production lines established in their company as a backup to a few of the customers in Japan where they started developing and supplying the tooling. So it is a combination of tech and also high production volume ability for certain very key differentiating products.
B. R. Preetham: See, Sansera has a very strong mass manufacturing capability and well-established processes. So huge technology advantage. So we think that combining this, we can address a very large section of non-ICE components, which we were not there at all. So we really want to focus on this segment and take it. This opportunity can be as big as our current automotive business.
Hari Krishnan: The speed-to-market is going to be the differentiator, and that's where is the tech.

Kashyap Javeri: Sorry, you were saying speed-to-market and then probably...
Hari Krishnan: We are developing such critical components with new technology, the speed-to-market, especially considering somebody has the technology, which is proven and they are a very, very well-known, respected name in the country with relationships with all the major OEMs, I think that's going to be a very key differentiator.
Kashyap Javeri: And again hearty congratulations on great set of numbers.
Moderator: The next question comes from the line of Yash Agarwal from Nirmal Bang Securities.
Yash Agarwal: Congratulation on the great set of results. My first question is on gross margin. As you have observed that the gross margin has declined 190 bps Y-o-Y and 100 bps Q-on-Q. Could you help us break down the key drivers of this contraction? And how should we think about margin trajectory in Q4 FY '26 and FY '27?
Vikas Goel: Thank you, Yash, for the question. As I explained during my opening remarks, so we had one exceptional or rather onetime adjustment this quarter where we basically provided for a development cost of about INR100 million which is not in the ordinary course. But since we have been developing a lot of components of late, we made this provision onetime, which is actually impacting the margin for this quarter and also on a year-to-date basis.
So if you ignore that, our margins are more or less in line. Marginal variation, we will always

see because of the product mix changes. But on an overall trajectory, gross margin, we expect
to be stable in this territory.
Yash Agarwal: And my second question is on sales mix trend. The share of other foreign countries in the revenue
mix has increased in recent quarters. So could you elaborate which geographies are driving this
growth and whether this reflect any new customer wins?
B. R. Preetham: No, this is basically because our other countries, the semicon deliveries primarily happen to
Malaysia. So that is where you would see all the semicon getting loaded on to the other countries.
So that is why the significant increase has happened.
Moderator: The next question comes from the line of Divyansh Gupta from Latent PMS.
Divyansh Gupta: A couple of questions on the Aerospace and Defense segment. I understand that aerospace is
right now, let's say, not fully utilized. But let's say, when we hit the revenue of INR600 crores,
what would be the EBITDA margin for this business and similarly for defense? And also, what
would be the working capital days requirement for this business? How does it differ from our
current auto business?
B. R. Preetham: Yes. I mean, see, as we said that the first building would be fully utilized next year, but the
second building would have started and we would have upfront invested. So there is always a
catching up in terms of utilization that happens. But then a significant portion of our investment
would start getting used in the next year.

So we should see -- we are definitely towards -- we had said that aerospace would give us about
25% to 30% margin. We think that once we fully utilize this, we would surpass that number of
30%. So it could be very close to 30% or 30% plus.
Divyansh Gupta: Got it. And on the working capital?
Vikas Goel: So the working capital in ADS business is approximately twice as high in terms of number of
days as against the automotive business. So on an average, we have about 80 days of working
capital cycle. In aerospace and defense -- sorry, ADS business, we should be seeing about 170,
180 days.
Divyansh Gupta: Got it. Understood. And the second question was also on the ADS. So from INR600 crores to
INR3,900 crores of business that we have in hand and taking out 2x over, as you had mentioned.
So it implies about INR1,600 crores of capex that needs to be done. What would be the time line
of it? Because I'm guessing you will establish the facility and some testing and acceptance
pipeline?
Vikas Goel: It's like this. Now INR3,800 crores is my order book.
B. R. Preetham: Yes. First, it is not yearly INR3,800 crores. It is a cumulative unexecuted order book of
INR3,800 crores for the -- till FY '30.
Hari Krishnan: So I have to execute INR3,800 crores of backlog orders in the next 4 years approximately, okay,
, cumulatively totally. So which means I expect in the last year FY '30 to be around INR1,300
crores, INR1,200 crores - INR1,300 crores.
So today, if I'm already I have a visibility for INR600 crores revenue, which I mentioned a little
earlier, so my capex requirement for the differential INR650 crores, INR700 crores would be
assuming 1:2 about INR300 crores to INR325 crores, which I would do again in a phased manner
year-on-year ending definitely by FY '28, somewhere end of FY '28 because I'll have to start
realizing it in FY '30.
B. R. Preetham: Having said that, this is the current position. So any addition would attract additional. So we
expect a lot of traction in ADS. And that is the reason that in my commentary, I said that we are
looking at an additional new space to look at some 10 or 15 acres of land in either Phase 1, Phase
2 of Aeropark or STTR, which is very close to the Devanahalli Airport.
So we don't expect that this is to be stagnant. This is the current position of INR3,000 crores.
We expect a lot of uplift in this order book also over the next couple of quarters and in next year.
Hari Krishnan: Yes, in the sense that we are 100% looking at new order wins in the next 1 year, where we have
to start execution before FY '30. So this is only a situation as on date.
Moderator: The next question comes from the line of Mumuksh Mandlesha from Anand Rathi Institutional
Equities.
Mumuksh Mandlesha: Sir, congrats on the strong result and with over 80% margin and very good positive commentary
across so many segments. Sir, firstly, I just want to understand on the capex side, what is the

capex plan for this year and maybe for next year, what are the plans? And also, sir, I just want

to understand if we go ahead for the U.S. plant, what kind of capex requirement would be
required for that plant.
B. R. Preetham: See, we had given about -- while in the beginning of the year, we had said that could be about INR450 crores is our -- this year's capex plan. We were willing to -- I mean, we were looking at anywhere between INR350 crores to INR375 crores. That's what more or less we will spend maybe towards -- close towards INR400 crores because we want to be aggressively.
Now we have started putting up a few more buildings, especially one forge shop in our existing facility in Pantnagar. There is another building that we are starting in one of the Bangalore auto plants. So all these things would mean that we see a larger momentum.
So we are a growing company, and we aspire to grow about 10%

, at least faster than the market
growth, so which means that the capex would also be happening. And this year, if I say that between INR375 crores and INR400 crores, a similar number could be for the next year as well.
Mumuksh Mandlesha: And so this would include the upcoming new ADS plant as well?
B. R. Preetham: ADS is part of our overall capex. This does not include anything currently on U.S. U.S., as I said, that it can only be -- visibility will only come once we have certain orders confirmed and if customer wants us to put up facilities there. If they want us to do it from here, if the tariff is 0, we would also be very happy to do it from here.
Mumuksh Mandlesha: Got it, sir. Sir, on the Sweden side, how was the performance this quarter and how that is going, sir?
B. R. Preetham: Sweden has grown very well. I think Sweden has grown year-on-year close to about 70%, 62.5% to be precise or no, about 70%, I think. Yes. And we expect the momentum to continue. Of course, the cost structures in Sweden are different. From the beginning, we have said that this is a very strategic investment for us.
One is for getting into large connecting rods. So we do connecting rods up to 19-liter engine there, starting from 9-liter up to 19 liter, including for marine segment, including for large earthmoving equipment, large trucks and all those things. So it's a segment which we were not present, and it has given up a lot of opportunity for us through Indian plants as well.
So we would like to continue to operate as long as this EBITDA margins are between 10% and 12%. That is what we have been aspiring and that is what we are doing. So it will continue to deliver that kind of percent thing. Next year, the growth will get stabilized. I think next year, we are looking at about 20% growth. Probably in the...
Vikas Goel: In the range of 20%.
B. R. Preetham: Yes, 20% in Sweden. Yes.
Mumuksh Mandlesha: Just possible to share what was the Q3 revenue and margin, sir, for this Sweden?

Vikas Goel: Q3 revenue was about INR736 million, I mean, converted to rupees and the margin was about 14%.
Mumuksh Mandlesha: Got it. And if possible, what was the Q2, sir, for Sweden?
Vikas Goel: Q2.
B. R. Preetham: I don't have the numbers as of now.
Mumuksh Mandlesha: No problem, sir.
Vikas Goel: Holiday season in Europe.
B. R. Preetham: Q2 would have been lower because Q2 was 1 month off there, 1 month off.
Vikas Goel: INR591 million and 16% margin.
Mumuksh Mandlesha: Got it. And congrats on the strong results.
Moderator: The next question comes from the line of Nikhil Rao from ithought PMS.
Nikhil Rao: A couple of questions from my side. On this JV with Nichidai, just wanted to understand the overall scope. Is it beyond automotive? Like are you planning to enter into any new industries through their filter business? Could you provide some insights on that?
B. R. Preetham: No, filters are not as part of the first phase of joint venture. We are focused on what we want to do, which is forge and machine category of components. Primarily, it would start with automotive, but there are opportunities in non-automotive. I said that there are opportunities in energy segment. There are opportunities in humanoids.
We are looking at a lot of such things where cold and warm forged, high-precision components are required on a mass scale. So they have the technology. We will be coworking with them to get these orders executed.
Nikhil Rao: Okay. And my next question is on the commercial vehicle segment. So given that the industry looks like it's about to enter into an upcycle, are there any new order wins? Like have you seen any new orders coming in the past few months?
B. R. Preetham: See, we are not present very strongly in the Indian commercial vehicle industry. We only cater to a couple of players like Daimler and Volvo Eicher and Cummins. So on this, we

are seeing
good demand increase, but we are not with Tata Motors, we are not with Ashok Leyland, we are not much with Mahindra. So for us, domestic commercial vehicle industry is not a very big part of our business.

Nikhil Rao: Okay. And one last question. Is there any new development on the MMRFIC side?

B. R. Preetham: There's a lot of developments on MMRFIC, a lot of which I can't even say it, unfortunate, on the public forum. So if there is an opportunity for you to visit, so you would see what all things that

we are doing. On a public forum because a lot of that is connected to defense and it is connected to government organizations, both production and development, we are restricted to give too many details on these products.

Moderator: Are your questions answered, Nikhil? The next question comes from the line of Aashav Patel from Molecule Ventures PMS.

Aashav Patel: Congratulations to the entire team for a phenomenal set of numbers. So sir, my first question is regarding the qualitative aspects within semicon division. So we have seen excellent ramp-up in the numbers now. So how are we able to do it at this scale in this segment so fast? What sort of caliber do we have in this space? How do we compare with our domestic and global peers in this segment? And in terms of skill set and know-how value addition, et cetera, if you can throw some light on the qualitative aspects of the same?

Hari Krishnan: We have -- thank you for the question. We have demonstrated last quarter that we are up there with the best in the world as far as execution is concerned. This ramp-up, what we have demonstrated has been very well received and accepted by the customers. And I think it's all due to the excellent team. We are very, very focused engineering company. That is in the DNA. It only has to translate into different components because engineering is our core strength. And more complex the part, I think more welcome for us, the challenge.

So I think we are very well placed and the satisfaction level with the customer is pretty high. We are confident this will translate into more opportunities with existing customer and as I said earlier, with new customers also.

B. R. Preetham: In fact, to add to what Hari has said, Sansera has been restricted to about 1.5, 2 meters kind of components in the previous years. Now both in ADS as well as in -- I mean, both in aerospace and defense and also in semicon, we have developed and demonstrated and upped our capacities up to 4-meter components. So we can -- including the special process capabilities we have set up.

Of course, special process is yet to start. It is in the final stages of commissioning. It would be mainly for aerospace, not for semicon in to begin with. But then we have multiple different kinds of 5-axis machines, different capabilities. So the strength of Sansera is to identify exact kind of components, which are very, very complex in nature and identify and execute it in a best possible machine.

So we have wide varieties of machines, which can handle this. Very few of such facilities can be seen in India today, where -- 5-axis machines, everyone will have, but different configurations and to handle a job of about 4 meters, consistently producing mass production is our engineering skill.

Aashav Patel: Got it, sir. So a follow-up to that would be that within the surface treatment, which you mentioned, is that exclusively for aerospace? We are not targeting anything on the semicon side because what we see it is an industry phenomenon that even surface treatment is a crucial value addition in the value chain?

Hari Krishnan: See, it's like this, that we initially set about investing in surface treatment for our aerospace requirements. Subsequently, when we started ramping up in the semicon space, ther

e have been
discussions. There is also a requirement for the semicon components that goes through a totally different level of surface treatment. The requirements are far more stringent.

But at this point of time, we are restricting ourselves to only the aerospace surface treatment, mainly for the reason that there are people in the vicinity who have created capacity and are creating capacity. And with this, we have enough conviction that our requirements can be met.

Aashav Patel: Got it, sir. So sir, my second question is with regards to the -- our core ICE segment. So this quarter, we were able to grow by double digits after a gap of almost 4 quarters. So now that post COVID, we had an advantage of industry consolidation and taking away share from players who were financially burdened?

So now given that we have already caught the low-hanging fruit, so over next 2, 3 years, what do you aspire the growth rate which you aspire for ICE segment, specifically considering all the trade deals and everything?

B. R. Preetham: See, domestic ICE would grow between high single-digit to low double-digit kind of growth. That is what is the expectation from the market given post the GST, which we think that for the next couple of years, at least will continue in that trend. In the export segment, just to give you some flavor on connecting rod, like see, connecting rod worldwide, approximately, this is the study that we had got it done for a few years back.

We are one of the largest players outside the OEMs in connecting rod, could be about top 5, top 7 players in the world. The overall volume of connecting rod post all the 25% electrification considered, 50% hybridization considered could be about 380 million connecting rods per annum ex China. And we are doing about 5% to 7% of share of business. So there's a huge upside potential that is available given the fact that a lot of European and U.S. companies wants to outsource all the newer programs.

And the forging as an industry in the West are not in -- people are not there. Financially, it is not that conducive for them to invest. So there is an opportunity for countries like India and specifically companies like Sansera, who has demonstrated consistently over the years to take these kind of opportunities forward.

So we expect in the next 3 years, especially in the export segment, we should see a very healthy 20%, 25% growth given everything to be normal. So that is what we aspire to do. Of course, it depends on how many order wins that we have. I feel that the potential is there. And if the environment will be conducive, we should be able to catch that upswing.

Aashav Patel: So on a consol basis, the ICE segment would easily be able to grow beyond 15%, right, considering both domestic and export?

B. R. Preetham: I think so. I think so. Yes.

Aashav Patel: Okay. And sir, my next question is that -- so this quarter, we were able to see the potential of untapped operating leverage within our ecosystem for the first time as our margins improve from 17% to 18% because most of our investments, as you rightly explained in the past con calls is front-loaded and the ROCEs get impacted in the initial years and stuff.

So do you feel next year, given the ramp-up because most of this H1 was flat for the ICE business. So given the ramp-up in H2 and next year, FY '27 itself with support of ICE as well as ADS segment doubling down, we can see a case of 20% operating margin on a consol numbers?

B. R. Preetham: Yes. Our target remains to be that we should be 20% EBITDA, 20% growth, 20% ROCE. That is what is the core objective with which the entire company is working on. Of course, with the added advantage of ADS doing well and also exports coming back, we should be able to improve our current margin profile.

I would not say that we will reach 20% next year. We will definitely do better

than what we have
done this year. In fact, this quarter, we have taken a couple of things which should have actually otherwise would have -- our margin should have been 18.25% because 0.15% was due to grossing up of revenue because a couple of our orders in the U.S. where we pay the duty and collected, our auditors were of the opinion that we should gross up the revenue that has optically impacted our margins.

And one time, we have done some correction for development components, which has also resulted in about 0.1% margin. So we have actually started realizing that this one. So if we continue to do similar numbers, please understand that we have also signed up a labor agreement, which will ensure our seamless continuity of all our plants, except one plant for the next 3 years. But this is also comes with little cost because generally, when we sign the labor agreement, the first tier gets loaded upfront. So considering all these things, we would probably be better than this year in the thing. I don't want to -- at the current stage, I don't want to put what number we will have, but our margin profile will continue to be better than the current year.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we would take that as the last question for today. I would now like to hand the conference over to the management for their closing remarks.

B. R. Preetham: Thank you very much, and it was a pleasure interacting with all of you. We would continue to put our efforts to deliver like in the beginning of the year, we had said that we would like to end the year with mid-teens to high-teens. So our objective, while the first 2 quarters were very, very weak, but we have put all our efforts to make sure that we live up to what we have said. So we would still hope that we will end this year towards mid-teens and the next year would be much stronger.

Thank you for all for joining this call and patiently hearing what we had to say. Thank you very much. You're all welcome to visit our facilities to see further progress. You could contact either us directly or our investor relation partners, SGA. Thank you again.

Vikas Goel: Thank you.

Hari Krishnan: Thank you.

Moderator: Thank you, gentlemen. Ladies and gentlemen, on behalf of Sansera Engineering Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

SANSERA ENGINEERING LIMITED
Reg Off: Plant 7, No. 143/A, Jigani Link Road, Bangalore -560 105, India, Tel: +91 80- 27839081/82/83. Fax: +91 80-27839309
E-mail id: info@sansera.in Website: www.sansera.in CIN: L34103KA1981PLC004542

May 28, 2026

The National Stock Exchange of India Ltd The Department of Corporate Services
Exchange Plaza, C -1, Block G BSE Limited,
Bandra – Kurla Complex P.J. Towers, Dalal Street
Mumbai 400051 Mumbai 400001

Scrip Symbol: SANSERA Scrip Code: 54335 8

Dear Sir/ Madam
Subject: Earnings Call Transcript
Please find attached a copy of transcript of Earnings call held on May 21, 2026 on audited financial results of the Company for the quarter and year ended March 31, 2026.
The above transcript will also b e made available on the website of our Company at www.sansera.in .

Kindly take the same in your record.
Thanking you,

for Sansera Engineering Limited

Rajesh Kumar Modi
Company Secretary and Compliance Officer
M.No. F5176

Encls: a/a

“Sansera Engineering Limited
Q4 FY '2 6 Earnings Conference Call ”
May 21, 202 6

“E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on May 21, 2026, will prevail. This conference may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. ”

MANAGEMENT : MR. B.R. PREET HAM – EXECUTIVE DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – SANSERA ENGINEERING LIMITED
MR. PRAVEEN CHAUHAN – HEAD CORPORATE STRATEGY -- SANSERA ENGINEERING LIMITED
MR. HARI KRISHNAN – CHIEF EXECUTIVE OFFICER (ADS DIVISION) – SANSERA ENGINEERING LIMITED
MR. RAHUL KALE– CHIEF EXECUTIVE OFFICER (AUTOMOTIVE DIVISION) – SANSERA ENGINEERING LIMITED
MR. VIKAS GOEL– CHIEF FINANCIAL OFFICER - SANSERA ENGINEERING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sansera Engineering Limited for Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. B.R. Preetham. Thank you, and over to you, sir.
B.R. Preetham: Thank you. Good morning, and welcome, everyone. On this call, I'm joined by our CFO, Mr. Vikas Goel; CEO of our ADS division, Mr. Hari Krishnan; CEO of Automotive division; Mr. Rahul Kale; Head of our Cor porate Strategy; Mr. Praveen Cho uhan; and our Investor Relations advisers, the SGA team. The results and the presentations have been uploaded on the stock exchange and company website. I hope with a limited time that you – everyone has had a chance to review them.
Before I walk you through the quarterly highlights, I would like to take a moment to reflect on the strong progress made during FY '26. This year has been a pivotal year for Sansera Engineering as we delivered record revenues, sustained healthy profitability, accelerated our non-auto diversification journey via ADS business, expanded our manufacturing footprint with the inauguration of the new facility at Pantnagar and entered into a strategic joint venture with Nichidai Corporation, Japan.
The fact that these achievements came amidst a challenging macro environment marked by global tariff uncertainties, export slowdowns and continued geopolitical volatility make them even more special. On this special occasion, I would like to thank entire team of Sansera, who has put in a lot of effort to achieve what we have done. I also would like to thank all our customers for continued confidence in Sansera.
Our FY '26 marked our highest ever annual performance with a top line of INR 34,979 million and improved EBITDA and PAT margins, reflecting strong operational resilience and the successful delivery of our growth objectives. This also includes achievement of our ADS segment guidance with ADS revenue from product sales reaching INR 3,155 million, representing an exceptional growth of 155% during the year. Full year revenue, including scrap sales for ADS would be around INR 3,498 million.
Coming to Q4 FY '26, we continued our strong growth momentum and delivered our highest ever quarterly revenue of INR 9,987 million. Throughout the year, we saw margins improve every quarter and Q4 margin showed a marked improvement, primarily led by the revenue mix and operating leverage.
We continue to see strong opportunities emerging across both automotive and nonautomotive segments. As domestic automotive OEMs continue to undertake large-scale capex and capacity expansion initiatives over the coming years, this creates strong opportunities for precision engineering players like us.

At the same time, the pace of EV adoption, particularly in 2 -wheeler segment, continues to accelerate amid ongoing energy transition and geopolitical developments, creating long-term opportunities for our xEV and tech-agnostic offerings. In non-auto space, global aerospace order books remain at historically high levels, and India is increasingly being recognized as a strategic manufacturing and supply chain hub.
The Government of India's Semiconductor Mission 2.0 also strengthens our conviction in the semiconductor opportunity and aligns well with our ADS diversification strategy. AI has become the single biggest driver of the semiconductor up cycle, fundamentally changing both demand intensity and capital allocation

across the global chip ecosystem.
Despite the strong structural tailwinds underpinning the business, the operating environment remains fluid with inflationary pressures across steel, aluminum, energy, tooling, consumables and freight, et cetera. We are proceeding towards FY '27 with caution.
Zooming in on our performance for the quarter, our core Auto ICE business delivered its highest ever quarterly revenue of INR6,426 million, registering a healthy Y -o-Y growth of 21.6%. The growth was primarily driven by strong momentum in the passenger vehicles and commercial vehicles with passenger vehicle being broad -based across OEMs and commercial vehicles, led by the strong growth in Swedish subsidiary.
At the same time, our Auto -Tech Agnostic and xEV segment also registered its highest ever quarterly revenue of INR 1,217 million in Q4 FY '26, reflecting a healthy growth of 19.8%.
Our Non -Auto business sustained its strong momentum, delivering a record revenues of INR1,736 million, registering a robust growth of 70.5% year -on-year. Within this segment, the ADS business more than doubled on a year -on-year basis.
As of March 2026, our peak annual revenues for new business stood at INR 19.2 billion post our annual reset exercise. New order booking for the quarter remained soft, largely from

international customers due to global uncertainty. If we look at the cumulative unexecuted lifetime order backlog for 5 years, especially for the ADS business, it stands at INR 44.6 billion. Looking ahead, we remain confident of sustaining a similar growth trajectory in the coming year while maintaining healthy profitability.

Within the Auto business, FY '27 H1 is expected to be relatively stronger than the H2, aided by favorable base effect. To capitalize on emerging opportunities, we are scaling capacities while simultaneously enhancing our management bandwidth. Mr. Rahul Kale, who joined us a couple of years back as COO, has been elevated to CEO for the Automotive division. With his over 2 decades of extensive industry experience, he forged healthy relationship with Sansera ecosystem, and he is well positioned to take Sansera to its next phase of operational excellence.

Further, I would like to announce the appointment of three new Independent Directors on the Board as part of ongoing Board succession activities. The company has appointed Ms. Radhika Govind Rajan, Mr. Deepak Keshav Ghaisas and Mr. Venkataram Mamillapalle, subject to the approval of the shareholders. Notably, Mr. Muthuswami Lakshminarayan and Mrs. Revathy

Ashok will step down from the Board effective 27 July 2026 upon completion of their tenures. The company expresses its gratitude to the retiring directors for their strategic guidance and contribution towards the strengthening of the organizations over the years.

On the capex front, during FY '26, we incurred a capex of INR5,097 million, and we expect a similar level of investment in FY '27 as well. As a part of this outlay -- part of this outlay is directed towards expanding our ICE capabilities as our existing facilities are currently operating at max peak utilization. In addition, we are setting up new ADS facilities to support growing demand backed by our strong order book.

Further, we continue to invest towards adding capacities into forging and machining in our existing facilities of Plant 6 and Plant 12, respectively. With a healthy cash position of INR3,972 million, our balance sheet provides ample flexibility to support future expansion without significant dependence on leverage.

With this, now I would like to hand over the call to our CFO, Mr. Vikas Goel, who would walk through the financials. Vikas

Vikas Goel: Thank you. Thank you, Preetham. Good morning, everyone. Let me take you through our consolidated financial performance for the fourth quarter of FY '26. Revenue from operations grew by

28% year -on-year to INR 9,987 million or INR 999 crores, to make it simple, marking it as our highest ever quarterly revenue achievement, with notably strong growth in the ADS and Sweden businesses during this period. Due to a positive product mix shift towards higher ADS revenue contribution, we witnessed margin improvement during the quarter, leading to a 306 basis points increase in the operating margins.

EBITDA for the quarter stood at INR 1,929 million, registering a strong growth of 52% year -on-year, while the EBITDA margin has improved to 19.3% as compared to 16.3% in the fourth quarter of FY'25 . Other income for the quarter increased by 170% year -on-year to INR 266 million, largely on account of INR 54 million as interest income and INR 172 million of forex gain.

The employee expenses for the quarter stood at INR 1,298 million, with a year -on-year increase of 14%, reflecting an operating leverage effect on the revenue increase of 28% during this period. Other expenses came in at INR 953 million, which grew by 28% year -on-year. The increase was driven by business growth, coupled with elevated logistics costs and certain other costs where we experienced higher inflation amid the evolving geopolitical landscape.

Finance costs for the quarter stood at INR 112 million, registering a year -on-year increase of 17%, reflecting additional working capital borrowings to support the business growth. Profit after tax for the quarter stood at INR 1,231 million, registering a strong year -on-year growth of 108%, with PAT margin expanding to 12.3% from 7.6% in the Q4 of FY '25.

Now talking about the full year performance. We recorded an annual revenue from operations of INR34,979 million in financial year '26, reflecting a year -on-year growth of 16% over INR30,168 million in FY '25. EBITDA for the period stood at INR 6,321 million, registering a

year-on-year growth of 23%, while EBITDA margins improved to 18.1% from 17.1% in the previous year.

Other income for the year stood at INR 596 million as against INR 203 million last year, comprising largely of interest income of INR 233 million and for ex gain of INR311 million.

Profit after tax for the period was INR 3,269 million, registering a strong 51% year -on-year increase with margins improving from 7.2% to 9.3%.
Our operating cash flow net of tax continued to be healthy and stood at INR 3,871 million, which is 11% of our operating revenues and 61% of our EBITDA for the year. We also see an improvement in our return ratios with ROCE at 18.0% as against 16.2% in FY '25 and ROE at 11.1% against 10.5% during last year.
With this, we would like to conclude our opening remarks and open the floor for question and answers. Thank you.
Moderator: The first question is from the line of Pankaj Tibrewal from IKIGAI Asset Managers.
Pankaj Tibrewal : Congratulations on a great set of numbers. And very heartening to see the trajectory change for the company. My question is that when you look in next 2, 3, 4 years, and we have set a very ambitious target for ourselves on ADS moving to INR 1,300 crores, INR 1,400 crores, overall
company revenue moving up to INR8,000 crores, INR 9,000 crores.
Can you give us a strategic road map on where we are because this is a year -end FY '27 -- '26
call. So next 2, 3, 4 years, how do you visualize the company, how the shape and size of the company will look like will be very, very helpful for us ?
B.R. Preetham: Thank you, sir. We always are thankful to people who have been with us and have confidence.
So you are one of the very early people who have been investing in Sansera, and thank you very much for your confidence. We, as a company, when we got listed, as you are aware, we said that while we stay committed to our growth trajectory in Auto ICE, we also said that as a company on the overall derisking strategy, we would like to move mor

e aggressively towards
non-auto, technology-agnostic and xEV components.
And we had set ourselves a target that we should be reaching closer to 40% of all xEV -- the
Auto ICE to be restricted to about 60% of our business, which was almost 88% on a lower -- much lower revenue. So we said 60% has to come -- will come from auto ICE and another
40% will come from non-auto as well as tech -agnostic and xEV components.
While we have progressed in that journey, if you really see how we have -- I think the entire year-end, we have reached 30% on non-auto and xEV and the thing. And only if you look at
the quarter end, it is 32%. So we are quite confident that we will be able to achieve whatever we have set forth. In fact, if you see the company has also secured a lot of additional business in ADS, this thing. And as we speak, our growth trajectory on our Non-Auto business,
especially on ADS looks much stronger.

So every year, in fact, we have just -- we have just taken up the expansion of our new factory building. And as we speak -- we expect it -- to complete the construction by July, August. And as we speak, we have a visibility of the entire factory to be fully occupied already. So there is a lot of momentum shift towards India in terms of the capabilities that we have demonstrated over the years.
We, in this -- especially in the segment of ADS, as evident from our performance also and our strong order book, we have grown our capabilities both vertically as well as horizontally, which means that we have increased our component offering sizes. From earlier, it used to be limited to 1.5 meters was the maximum component si ze we could handle. Now we can handle up to 4 meters, 5-axis machining.
So this has enabled us to address much larger, much complicated components coming out of structural parts, coming out of engines and very, very complex geometrical part. So this has not only increased the confidence with customers, it has opened up a lot of different kinds of packages from coming out of the aerospace industry.
While the aerospace looks very strong, the semicon also has added to the growth trajectory in ADS. This was something that we started into mass production towards the end of second quarter coming into the third quarter. And this has really taken off. And then we see a lot of interest from multiple customers. We are working with one of them on various projects, and we see further -- deeper engagement with this customer as well as expanding into other customers.
So as we go towards the end of this decade, we already have a visibility of closer to, as you said, about INR 8,000 crores, INR 8,200 crores on the order book front for the execution. We still have a couple of years where we can fulfill the order book and take the company towards INR10,000 crores. So that is -- the time frame could be depending upon the macro condition, it could vary by a year or 2, but then our order book visibility is quite clear.
And here also, we will -- while we had set ourselves target of 20% non-automotive, 20% xEV and tech agnostic, we may have some change in this mix of non -automotive could go up higher than 20%. But overall, the theme remains strong. And auto also, we see a lot of opportunity to grow.
We have added Nichidai joint venture where we want to address other precision forged and

machined components, which we are not into like driveline and steering systems, and these are
precision forged components and forged, primarily precision forged with a reasonable amount
of machining. So with all these things, we are well poised to achieve whatever objectives that
we are setting. Thank you very much.
Pankaj Tibrewal : And though on the numbers, it looks like INR 8,000 crores, INR 9,000 crores from the current
levels, but I'm sure management can achieve it.
Moderator: The next question is from the line of Arjun Khanna

from Kotak Mutual Fund.

Arjun Khanna: Congratulations for the great set of numbers. My first query was on the ADS piece. So we
have given a guidance for next year, which we retained roughly INR 550 crores to INR600
crores. In terms of -- the question was in terms of utilization. We have stated that once we
actually build out the full facility, margin should move closer to 25%, 30%. So would that be the right understanding that since
the size of this facility is maybe INR 600 crores and we'll be
running at peak, margins should head towards those levels?
B.R. Preetham: Yes. I think I'll first take the question, then maybe Hari has to add. So yes, Arjun, this --
primarily the facility which we are operating is relatively full now. And with the execution of this year's current order book,
which should be around INR 600 crore s plus/minus, the thing.
So we should be on a reasonably good utilization. And with the additional building getting
added this year, which will also start contributing revenue towards the third and fourth quarter
of this year slowly because there are a lot of FAIs that have to be delivered and that will get
into production. I think it is -- the margin profile should move towards the number that you
indicated.
Arjun Khanna: Sure. In terms of capex , so we have indicated that further capex of INR250 crores and we have
given an asset turn of 2x. So potentially, that takes our turnover to maybe INR 1,000 crores,
INR1,100 crores. Given that we have a sizable order book, would it be a fair assumption we
should see further capex announcements on the ADS space?
B.R. Preetham: Hari will answer the question.
Hari Krishnan: It is very clear right now, the asset turn ratio in the ADS space is very clearly 1:2. And we
have given an indication that we would be incurring another INR 250 crores of capex , more or
less to clear the current order backlog of INR 4,500 crores.
But as and when -- this number is just a visibility as on date by 2031. It is not -- it is for sure,
and we are confident that this number -- by 2031, the number we are going to be doing or
targeting or achieving is going to be much, much higher. So the capex will increase as and
when we have additional opportunities. But as on date, to reach the number what we have
published as a confirmed order backlog, we see another INR 250 crores of capex .
B.R. Preetham: To add to what Hari said, with this -- we are looking at full facility utilization and our special
process also. So yesterday, in fact, at the end of the Board meeting, we have taken an approval
to acquire about 10 acres of land very near to the international airport, which is closer to the
aerospace park.
The way we see the momentum building up in ADS, I'm very, very -- pretty sure that we will
run out of space, and this thing. So we have requested, the Board has consented the purchase of the land. So we expect that
the accelerated growth will happen in this segment. So that is the momentum and the indications that are coming from both
aerospace and semicon.
Arjun Khanna: Perfect. Sir, I know we don't break up this number in terms of individual components. But in the press release,
we've seemingly indicated semiconductor is doing exceptionally well. In terms of our expectations, say, for this year of INR
315 crores, have all segments contributed as

what we had anticipated or maybe semiconductor has done better and aerospace may just pick
up in the quarters to come?
Hari Krishnan: No, I would say in whatever we have done in the year gone by, every sector or every division
has done in line with expectation. But semiconductor being the outperformer because the
expectation was also 63.3% was the growth in the aerospace business. In semicon business,
obviously, we grew from almost zero base.
So that has result

ed in a huge surge. And even our defense business is up significantly from a
small base. So I would say in line with expectations, all the 3 verticals have performed with

semicon being the major portion of the growth driver because that was an opportunity which
came by and we capitalized to the fullest.
Arjun Khanna: Perfect. Just final question is on our core business, on the non-auto side to the U.S., essentially, we were impacted by tariffs. Now that tariff rates are substantially lower, we have seen good growth this quarter. Is there any onetime element to this in terms of inventory refilling? Or do you believe this is the run rate one should assume going forward?
B.R. Preetham: No, there is no onetime refilling that has happened. In fact, we would see that because a lot of our -- some of our clients -- U.S.-based clients had a rough -- especially on the EV segment had a rough year. So we would see that going forward, I think we will have a better offtake from the exports. Things have started looking more positive there.
Of course, the order inflows are yet to -- we are yet to see the conversions. There are a lot of discussions that are going on, but decision is still not been coming. So we expect that business -wise, there will be good momentum in the exports this year, but order inflows could take 1 or 2 more quarters to see the conversion that is happening.
Arjun Khanna: And our plant in the U.S., has there been any further movement in thought process?
Hari Krishnan: Yes, there has been movement in the sense that discussions have restarted with a little more energy. We were always very keen. But now they have seen an indication at 10% tariff. Buyers are excited for sure, but what they are waiting for is a little more period of stability that this tariff will not again swing up and down. But the answer is we are seeing some positive momentum in our discussions on the U.S. plant.
Moderator: The next question is from the line of Nitin Arora from Axis Mutual Fund.
Nitin Arora: Just a first question on -- you articulated on the EV surge, what you are seeing. Can you talk about a little because you are a supplier to -- on the 2-wheeler side, on the EV specific player as well as doing both ICE and EV. And globally, though the fastest -growing company slowed down, how you're getting the inquiry pipeline, both on the export side on the EV and on the domestic side? That's my first question.
B.R. Preetham: Yes. I think on the domestic 2 -wheeler front, we see a lot of traction both in terms of our traditional OEMs who have been strongly growing in the EV segment as well as the industry-leading exclusive 2-wheeler OEM who have also expanded into their second facility and then

they are growing strongly. So we see a momentum to continue this year on the 2-wheeler EV offtake improvement. We are also quite excited to see the hybrids working well where we have a lot of offering on the hybrid components into the system.
While we have been working very closely with the global OEM company, North American based, on a few of the very prestigious projects so that this year, a lot of that has been going to put into production. Apart from that, we have also got some traction into the energy storage solution where we will see the mass production starting this year into that segment for the same customer. So overall, for us, the EV journey looks quite strong in this year.
Nitin Arora: And just to ask my second question, one on that energy storage side, which the same customer is pretty full in terms of his orders, what he's talking about in his calls. How big is -- this can become for you, energy storage, I mean, in the next 1, 2 years?
B.R. Preetham: Currently, for this program, it is anywhere between INR 80 crores to INR 100 crores is the annual revenue that we expect out of this program that has come to us. These ar

e two
components which will go. But we have a lot of other programs which we are working on for this same segment. And I feel that once we productionize this, there are other opportunities to look other than the only customer that we have been working on. We just wanted to explore more possibilities once this is established.
But one thing that we also are careful of, and these are large volume businesses, in steel currently, but then we have some very exciting, very, very technology-intensive product in aluminum as well.
So in our opinion, what is important is to make sure that we have our planning well distributed for the forging requirement because we are also either a majority or a single source for a lot of our auto OEMs, and the growth trajectory has been quite strong. And we feel that going forward, forging could be a very, very -- there could be a shortage as we see because last year, we have produced close to 120 million components, that is almost 1 crore component per month.
And we are already seeing that this needs to be 40% increase has to happen in the next couple of years. So we have already on that program. So while we are very excited about various other opportunities that are coming our way, we are also mindful of the fact that we need to focus on our -- expansion on our forging division, which also requires a long lead time for any capex approval. So this is going to be one of the key points as to how much more we can take

in each segment.
Nitin Arora: And just lastly, on the complexity of the aerospace side. Can you share some which component
because we have seen your components started with very complexity. But on the aerospace specifically, as the complexity or the sizing has increased like the way you're talking about 3
meters, 4 meters, but any specific component where you see scale up is happening pretty
decent?
Hari Krishnan: This is Hari. I think what we have done is, as we said a little earlier, we have increased our
offering both horizontally as far as size is concerned and complexity is concerned. We are now

winning business. We started off, as you know, with cargoes and lighting, then we're making
parts for landing gear, engine casing, structural parts. And now we got some very, very
complex parts from Boeing and where we have made some tremendous headway in a very
limited period by getting ourselves approved in record time.
And what is happening in -- and also for a large engine manufacturer started engaging with us,
that is one of the latest addition and a very prestigious customer to our customer list. We have
that customer a couple of months back and working on a very, very complex package for
engine parts, for the engine blisk and other parts.
And the real driver here is coming from the increased production of aircraft at both Boeing and
Airbus. And in their largest selling platforms like the A350 and the 737, we are increasing our
wallet share and our presence in many, many more components.
Nitin Arora: But the engine blisk, what we have seen in gas turbine, this is the same thing you are seeing in
the aerospace now?
Hari Krishnan: Yes.
Nitin Arora: Yes. Okay. And does that -- the whole part is coming to you? And -- I mean, how big this can
become for you? I mean I'm just asking this because India, we have not seen too many players.
People are doing for the gas turbine. We have not seen too many for the aerospace so far, you
can correct me on that. If you can throw some light on that aspect.
Hari Krishnan: Yes. See, the blisk, you're right, probably is not done by anybody in India at this point of time. We were given an opportunity to demonstrate the capability in a small way by offering to machine a portion of the blisk and convince the manufacturer of a capability, which was --
they were really surprised to see what we delivered first time right. And now the oppor

tunity is
already been awarded as far as machining of the full blisk is concerned.
The numbers and the potential size of the business is under study and evaluation. But right
now, the focus is to deliver the fully machined blisk in about 2 months' time. And I'm very,
very confident that is going to open up many, many doors, not in the blisk area alone but once the word goes around that we are in the blisk segment, you know what I mean when I say that
it will open a lot many opportunities in the very complex machining space.
B.R. Preetham: In the rotating section.
Hari Krishnan: In the rotating section of the engine, yes.
Nitin Arora: That's why I was asking that.
B.R. Preetham: The thing I would also like to add that there is cold chamber and hot chamber. So we are
working on both cold and hot chamber. We are working on cold chamber, which is with
stainless steel, and with hot chamber, it is inconel. It is a very, very complex machining with
almost 600 diameter, the thing. Our Chief Engineer and CMD, Sekhar Vasan is totally
involved in this project. He is the one who's...

Hari Krishnan: Quite honestly, our conversion from an inquiry to a confirmed order is 100% due to his
involvement and what he brought to the table in record time as far as precision engineering
capabilities.
Nitin Arora: Great to hear that. Just lastly, on the semiconductor, sorry if I'm repeating this question. At this
time, I don't want to name a client here, but what we are seeing, and I just want to know from
your thought process is they're just blocking the capacities in a big way because there are some
other suppliers to your semiconductor clients as well who are listed. How is the situation with
you, especially on the semiconductor?
And can you go to the other one as well, the door opening with the other bigger -- because
there are two only who are the largest. Just one on that. Second, how is the content moving for
you? Because earlier we have seen in the semicon, the EMS content is pretty high. How is the

content moving to you when you have already executed things for them? These two questions.

Hari Krishnan: Okay. I'll take the first point first, which is, yes, they are blocking machining capacities. When I would say blocking, it is -- we are also very, very engaged with them to supply more in the sense that we are seeing a huge volume surge in the very critical components, which we have already developed, in line with the global trend and the market situation, growth in AI, data centers and the requirement for chips.

Now we are not bound by any exclusivity, which is going to prevent us from attempting a relationship with other players in the market. As we talk, we are engaging with the other big player, and we are making very good progress as far as conversion is concerned.

And on the second thing, when you talk about content, content is very interesting. We are seeing the content value really go up. Margins are super exciting in this space. It's all execution because the only challenge we face today in the semicon space is availability of the mother machines where the lead time is a big deterrent. The inability for us to really move fast is sometimes controlled by the machine deliveries, which are sometimes 7, 8, 9 months long.

B.R. Preetham: But fortunately, for us, we have had a very, very strong relationship and a good forecast also has enabled us to make sure that we build a pipeline of orders with the thing. So we get some priority deliveries as well with DMG Mori, Yamazaki and Makino and likes. So we have been able to accelerate it much faster than the expectation actually.

Moderator: The next question is from the line of Suraj Malu from Catamaran.

Suraj Malu: Sir, I had a couple of questions. One is on the automotive side. Is it fair to assume that like the American customers like Ford, Stellantis, GM for who

m we are planning to supply these connecting rods, can that be of the potential of like 1 lakh per month for each of these customers?

B.R. Preetham: I -- it's grossly understated there's -- opportunity sizes would be to the tune of 2 million, 3 million connecting rods per each of them for their couple of programs per year. So definitely, the opportunity sizes are quite large.

Suraj Malu: Understood. And sir, if you look at the domestic 2-wheeler segment, like this quarter, 4Q, Bajaj and TVS, they grew like 28% and 20%, whereas for us, motorcycles and scooters were just 10% and 14%. So can you help understand like where the disconnect in these numbers are?

B.R. Preetham: Basically, our representation does not represent the numbers. It is the revenue that we represent. And there, you would look at the number of vehicles. I don't think it is correct because see, if I look at what we have grown in Q4 in Bajaj, on a year -on-year basis, it is 29.9%. TVS, we have grown by 13.3%, HMSI -- yes. So all this, we have been growing much healthier compared to the market.

But of course, it is not a direct correlation to the number of vehicles number because we represent ourselves in revenue and customers represent in terms of number of vehicles. So -- but I can very safely tell you that with all our major customers, we are working on programs to increase our share of business to increase the number of component offerings and also look at opportunities to take the outsourcing opportunities that are available with a few of the key customers.

Hari Krishnan: And we are making very good progress in these discussions.

B.R. Preetham: In fact, we have recently -- as you know that we have commissioned a second plant in Pantnagar. It is totally focused on 2 -wheeler expansion. And we have taken up a newer place in now Manesar. We have just signed up. It is on a lease, long-term lease. That we want to also focus on both passenger vehicle and 2-wheeler components. So for us, this segment is a strong growth driver going forward as well.

Suraj Malu: Sir, in domestic MHCV, as you had mentioned last time, we are not present. But increasingly, we are getting some orders from one model of, let's say, Tata Motors or maybe in future with Ashok Leyland. So based on all the offerings that we have, sir, what can be our content per vehicle in MHCV?

B.R. Preetham: See, look, the automotive landscape itself is changing. Today, we are looking at from a pure ICE vehicle. There are a lot of people moving towards hybrids and then flex fuel engines, then I think we also are looking at an opportunity to work on other offerings that are now taking.

So for us, content per vehicle, because we have offerings on only ICE vehicles, we are working on hybrid platform, depending upon which platform that we are working on, the content per vehicle will vary. So -- and now with newer Nichidai programs that are going to get added on to our core products, I think it is a very changing scenario. So I would say anywhere between INR5,000 to INR 10,000 per vehicle is what we generally target per vehicle. So that is what we look at.

Suraj Malu: Even on the commercial vehicles or that can be higher?

B.R. Preetham: No. Basically, commercial vehicles, we are seeing domestic commercial vehicles, we are only working with Daimler and now Volvo Eicher. So for us, those two are the major in domestic vehicles. We are yet to penetrate the other domestic commercial vehicle OEMs. As I said in

my previous question also, we are focused on distributing our resources into reasonably well margin , ROCE businesses.

So that is where our focus is on. So currently, we are looking at passenger vehicles exports, passenger vehicle domestic, 2 -wheeler exports and ADS as a prime revenue. We are also focused on getting stron

ger on agriculture. So these are the areas where we are working on.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: Congratulations on a good set of numbers. Just focusing on the domestic ICE business, especially on the 2 -wheeler side. I think last time you had mentioned about the outsourcing opportunity in the sense, OEMs, which are currently in-sourcing, especially on the crankshaft assembly, et cetera.

Now that your plant expansion is done, the Pantnagar 16 plant and you're looking at Pantnagar 6 expansion also, are we kind of at a stage where we can say that FY '27, we will see benefits of this outsourcing opportunity and probability thereof adding, say, new large OEMs, which we are not working with right now in 2 -wheelers? Could you give some sense there?

Hari Krishnan: Absolutely, absolutely. We believe and we are confident in FY '27, the conversion will happen and there will be activity on line installation and probably even production starting.

Discussions are on. Discussions are progressing very well, are in the very, very final stages.

Details are being worked out as we speak. And the answer to your question is, yes , in FY '27, we will see in Pantnagar and Manesar, we're setting up additional capacities for crankshafts for OEMs with whom today we have a relationship and also with whom we don't have a relationship. We'll see both happening this year.

Rahul Kale: But with the same OEM for the expansion, what Hari mentioned is like Pantnagar and Manesar, but we are also expanding our Pune facility this year. At the same time, what we are trying to do for all our new lines with what our recent experience of manpower availability and crunch in the market from last year, we have already started to do almost all the lines whatever coming in as new lines are fully automated to the extent that if we really compare today's manning ratio to new lines, we are running with only 20% of manning and 80% of automation or robotic lines, number one.

Number two. Having said this, and with the growth what we are talking about, our machine building plant is heavily -- the order book, in- house machine building plant is like booked for almost next 1 year. And with all, we are also searching and work is in progress for some strategic partner for automation. We do have our own automation team, but we feel the kind of expansions what we are talking about, our own pace or speed for doing automation won't be enough. So that also work is under progress.

Mukesh Saraf: Great. Good to hear that. And secondly, on the Nichidai partnership, any progress made there? And maybe if you could give some sense on the opportunity size, be it -- is there a possibility of captive requirement for Nichidai itself, which we can supply from the JV as well as external customers. So some sense there would help.

Hari Krishnan: Yes. Let me just try to briefly cover the points what you raised. There is no captive requirement from Nichidai because Nichidai is a technology provider, point number one. Point number two, the progress what we have made is the introduction to the customers is happening or happened in many cases about this joint venture. RFQs have been generated. Discussions are going on. We have responded. We hope to start converting very soon. As we speak, the facility is getting ready and machinery installation should commence September time frame.

And then the normal process will follow of the sample execution and production.

B.R. Preetham: Mukesh, very important thing is that while we have customers who are interested, the technology is definitely -- Nichidai technology is well known in the automotive segment. But it is -- it will be -- I think the acceleration will happen once we have the facility in place. So I think that is very key importance that we have also been only meeting th

e customers and then taking them through what we want to do. While they are all quite excited, I think everything depends on how fast we can put the facility in place. So we are working on getting this up and

running towards the third quarter of this financial year.
Mukesh Saraf: Just about that, I mean, what's the kind of capex we are penciling in this JV?
B.R. Preetham: This year, we have kept about 50 cr as our contribution, the thing towards the JV. That would -
- we have already procured one forging press, which has come into India currently on part of
that -- as a part of that capex . So we expect that this year, Sansera, from our side, we may have
to invest about INR 50 crores. So that has already been as part of our overall group capex .
Moderator: The next question is from the line of Siddhartha Bera from Nomura.
Siddhartha Bera: Congrats on a great set of numbers. Sir, first question is on the PV business. I mean, after a long time, we have seen a very strong growth coming back here. And you talked about a good
order or revenue pickup in the European markets as well. So some color there, how sustainable it is, how you are seeing the growth coming and -- because last year, we have a very low base
as well. Where do you see the PV segment going? And any more customer additions are you expecting in this geography?
B.R. Preetham: Yes, Siddhartha. See, the programs that were actually stalled both in North America as well as
Europe have started picking up, and we also have got some indication that there could be some
more upsurge in the requirement. So we are working closely with -- see, everything is very
fluid as of now because of the ongoing war situation, the price escalations that are happening, the fuel prices have significantly gone up. I don't know how sustainable the demand will be for -- across the geographies.
But as of now, currently, we see a good steady demand flow from all our overseas clients because all the new programs have started, and we are quite hopeful that this will sustain. Even in domestic OEMs, our largest, Maruti, we see a lot of increased upsurge in the requirements
that have been indicated. In fact, we are going to expand our lines for both Tata Motors as well
as Maruti. We are hopeful that we will also be able to add a couple of more OEMs this year into that. So we are working towards that. So with that, PV should be a very continued
momentum into this year as well.

Siddhartha Bera: Understood, sir. Sir, second question is on the ADS. So we have talked about a very strong
traction on the revenues. And with this, I think we will probably continue seeing a very strong
increase in the percentage share of this segment as well, maybe from 10% this year to 15%,
20% in the next 2 years.
So I just wanted to understand how does it impact our working capital because we did see
some increase this year. So how is the requirement for some of these businesses? And how do
you see that changing for us at a company level in the next few years?
Vikas Goel: Yes, Vikas here. So Siddhartha, valid question. And we have actually -- if we break up our
business into 2 parts, one is the Auto segment and one is the ADS segment. In the Auto segment, we've actually improved our working capital ratios this year because of the ongoing
initiatives that we've had, both on inventory as well as on receivables side. But ADS going
through a major growth momentum as of now, partly because of volume increase and partly because of the new segment getting added. So a new set of working capital has been built up
during this year.
So because of that, you would have noticed the pressure on the operating cash during the
current year. We are down from 12% last year to 11% this year. We believe that this is the
initial capital buildup in this segment. As we move forward, as the flow becomes more normal,
we will have opport

unities to further improve or optimize the overall working capital.
Hari Krishnan: Siddhartha, just one more point to add here to what Vikas said. There are opportunities in ar eas
where -- especially in the S emicon space, where the entire surge has happened probably in the
working capital cycle. The customers are working to localize a few component -- raw material
sources, and that is underway. And the moment that happens and we are directed to buy from
that source, there will be a nice significant impact on the reduction. Holding periods will come
down significantly. Lead times will shrink, and that will help a lot.
Siddhartha Bera: Okay. Great, sir. Sir, last question is on the labor side. We did see a lot of inflation coming up
in some parts of the country. How do you see this affecting you? Do we expect any meaningful cost inflation there as well going ahead or not much from our side?
B.R. Preetham: As Rahul explained, we see a lot of pressure on availability of both skilled, semi -skilled labor
across geography, across the different things. So we are trying to increase our diversity. So one
of our second plant in Pantnagar is intended to be 100% women employed. Today, we have
about 65%, 70% women employees there. ADS, we have increased significantly the number of women employees. While we are working towards more and more automation, I think this is
going to be one critical component where the availability and the attrition of the labor
workforce is going to be one of the key challenges in this year for our execution efficiency.
So we are working on various -- see, we have always been above minimum wages. So that
pressure for us was not there. But then for us, what is important is that we deskill the operations and do as much automation

as possible. While Rahul and team are working on improved efficiency there, what we are doing in aerospace, where we have opportunity for
multi-manning, we have introduced kind of different skill -based incentive system to handle

multiple missions and multiple components. This should ease pressure on the things. So there are various schemes through which we are trying to motivate people to this thing. But labor definitely is going to be a challenge.
Moderator: The next question is from the line of Nishant from Premji Invest.
Nishant: My compliments to you and the entire team, Mr. Preetham, a fantastic set of numbers and performance here. My question was actually on one other company that you have in your fold,
MMRFIC, which is obviously very close to your and Mr. Vasan, in fact. Just wanted to spend a minute to understand, is there a bamboo shoot waiting to happen in this company? How has been the performance there? You've obviously been sort of taking a stake higher there in this franchisee as well. Just wanted what are your thoughts on this particular entity.
B.R. Preetham: Thank you, Nishant. This has definitely been one of the strategic investments, which is also very, very -- our Chairman has been quite interested in because of the deep technology that has been -- the thing is also very important that we are working with the Make in India program very, very deeply in this company. We -- from the time that we were -- we have invested in this company, we are very clear on the path that this company is going to take. It is definitely a long haul. It is not going to be a short -term thing because there are multiple agencies, government agencies, aggregators that are involved in this business.
But as a company, we have got a lot of confidence in the abilities of the promoters and the way that the products are going on. With that confidence, we have already increased our stake. I think by end of -- with the conversion of CCPS for the year ending FY '26, we should be upward of 45%. I don't know the exact percentage, will come to know once the balance sheets are finalize

d, but I'm sure that it would be between 45% and 50%.
So with that, we also see a lot of opportunity here. The opportunity sizes are large, the thing.
As you have rightly said, there is a lot of expectation and also time and effort and energy is being put into this business. We are quite confident on the long- term proposal -- long-term opportunity that this business has got. I can't talk a lot on the products that we are working on because it is quite sensitive in nature. So -- but we believe in the story. We have continued to invest into this. We are working with them as to all the support that is required, we are extending that.
Moderator: Ladies and gentlemen, we'll take that as the last question of the day. And I would now like to hand the conference over to the management for closing comments.
B.R. Preetham: Yes. Thank you very much, all of you for this opportunity to interact with all of you and present our story. With this, I would like to conclude the call. I know that we have had a little break in the call, so we lost some time. So if you have any further queries, please contact SGA, our Investor Relationship advisers or any of us directly. And we will look forward to meet you
and engage with you at appropriate time. Thank you very much, everyone, for joining us today on this earnings call. Thank you.
Vikas Goel: Thank you.

Hari Krishnan: Thank you.
Moderator: Thank you. On behalf of Sansera Engineering Limited, that concludes this conference. Thank you for joining us, and you may disconnect your lines.